

Options

Standard Suitability Hypotheticals

100 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Hypothetical 1

[NON-COMPLIANT]

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Dolan, age 63, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,800 per month, a savings account with \$45,000, and a rollover IRA containing \$310,000 that represents her entire retirement nest egg beyond her pension. She has no prior experience trading options or any securities beyond a target-date mutual fund held in her former employer's 403(b) plan. On her new account application at Redstone Financial Services in March 2023, she indicated her investment objective was 'income and capital preservation,' her risk tolerance was 'conservative,' and her liquid net worth was approximately \$355,000. Her financial advisor, Craig Bellamy, age 34, suggested during their second meeting that Margaret could 'generate extra monthly income' on her IRA holdings by selling weekly put options on individual technology stocks, including Tesla, Nvidia, and Amazon. Bellamy told her this strategy was 'basically like collecting rent' and described it as low-risk. He upgraded her options approval level to Level 3 (which permitted uncovered put writing) by noting on the internal approval form that she had '3 years of options experience' and characterizing her risk tolerance as 'aggressive growth.' Margaret signed the options agreement, later stating she did not understand what 'uncovered puts' meant and believed she was simply agreeing to receive dividends or interest-like payments. Between April and August 2023, Bellamy executed 47 short put trades in Margaret's IRA, generating approximately \$14,200 in premium income but also resulting in assignment losses of \$61,500 when several tech stocks declined sharply during a market pullback in late July. Additionally, the frequent trading generated \$8,900 in commissions for Bellamy. By September 2023, Margaret's IRA had declined from \$310,000 to \$253,800, a loss of approximately 18%. When Margaret called Redstone's branch manager to complain, she learned for the first time that her account had been approved for uncovered options writing and that her application had listed her as an aggressive investor with prior options experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Bellamy committed multiple serious violations of applicable regulatory standards.

1. ****Options Account Approval Falsification (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer for options trading, the firm and registered representative must exercise due

diligence to ascertain essential facts about the customer, including investment experience, financial situation, and investment objectives. Bellamy falsified Margaret's application by stating she had 3 years of options experience when she had none, and by misrepresenting her risk tolerance as 'aggressive growth' when she had clearly indicated 'conservative' and 'income and capital preservation.' This is a direct violation of the account approval requirements and constitutes falsification of books and records.

2. ****Failure to Deliver OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be provided to the customer at or before the time the account is approved for options trading. There is no indication Margaret was provided this document or that its contents were explained, as she did not understand what uncovered puts were.

3. ****Unsuitable Options Strategy (FINRA Rule 2360(b)(19) and Regulation Best Interest)****: Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest. Uncovered put writing on volatile individual technology stocks is among the highest-risk options strategies available and is categorically unsuitable for a 63-year-old retired teacher with no options experience, conservative risk tolerance, capital preservation objectives, and limited liquid assets. The strategy exposed her entire retirement savings to potentially unlimited downside risk.

4. ****Excessive Trading****: The execution of 47 short put trades over five months in a conservative retirement account, generating \$8,900 in commissions against \$14,200 in premium income, suggests the trading was driven by commission generation rather than customer benefit, implicating quantitative unsuitability concerns.

5. ****FINRA Regulatory Notice 21-15 Considerations****: FINRA RN 21-15 specifically reminded firms of their obligations regarding options account approvals and highlighted concerns about the approval of complex options strategies for inexperienced retail investors, particularly in the post-Robinhood era of expanded retail access. The notice emphasized that firms must have robust supervisory systems to prevent approval of options trading levels inconsistent with customer profiles.

6. ****Supervisory Failures (FINRA Rule 2360(b)(20) and FINRA Rule 3110)****: Redstone Financial Services failed in its supervisory obligations by not detecting the discrepancy between Margaret's stated customer profile and the options approval level granted. The branch manager or designated options principal should have flagged the Level 3 approval for an account with stated conservative objectives.

****Likely Regulatory Outcome****: Bellamy faces potential sanctions including fines, suspension, or bar from the industry for falsifying customer records, recommending unsuitable options strategies, and violating his best interest obligations. Redstone Financial Services faces potential fines and required remediation for supervisory failures. Margaret would likely prevail in an arbitration claim for damages of approximately \$56,200 (the net account decline) plus commissions of \$8,900, potentially with interest.

Hypothetical 2

Topic: *excessive_churning* | Difficulty: *hard*

Fact Pattern

Margaret Hensley, age 71, is a retired elementary school teacher living in suburban Atlanta with an annual pension income of \$42,000 and total liquid savings of approximately \$310,000, most of which represents her life savings accumulated over a 38-year teaching career. In March 2022, she opened a brokerage account with Pinnacle Wealth Advisors after meeting registered representative Darren Cofield at a retirement planning seminar hosted at her church. Ms. Hensley told Cofield during her account opening interview that she wanted to generate modest supplemental income to help cover rising healthcare costs, that she had no prior experience trading securities beyond owning a few mutual funds in her 403(b), and that she could not afford to lose a significant portion of her savings. Cofield documented her risk tolerance as 'moderate' and her investment objective as 'income with capital preservation.' Despite this profile, Cofield recommended that Ms. Hensley apply for options trading approval at the highest tier offered by the firm, which permitted uncovered call writing, multi-leg spread strategies, and short put selling. On the application, Cofield listed her investment experience as '10+ years' and her risk tolerance as 'speculative,' which Ms. Hensley later stated she did not review or understand before signing. The firm's options principal approved the application without contacting Ms. Hensley or noting the discrepancies with her new account form. Between April 2022 and February 2023, Cofield executed 247 options transactions in Ms. Hensley's account, including repeated cycles of buying and selling short-dated weekly SPY put spreads, iron condors on volatile individual equities like Tesla and AMC Entertainment, and naked call writes on meme stocks. The account had an annualized turnover rate of 38.4 and a cost-to-equity ratio of 71%. Total commissions and fees generated during this period were \$64,200, while the account suffered net realized and unrealized losses of \$119,500. Ms. Hensley's account value declined from \$310,000 to approximately \$126,300 in under eleven months. Ms. Hensley stated she received monthly account statements but did not understand the options terminology or the extent of the trading activity. Cofield told her during periodic phone calls that 'the strategies were working but the market was difficult' and that 'they needed to keep trading to recover losses.' When Ms. Hensley's daughter, a CPA, reviewed the statements in March 2023, she immediately recognized the excessive activity and filed a complaint with the firm. An internal review found that Cofield had similarly churned options accounts for three other elderly clients during the same period, generating over \$180,000 in combined commissions. Cofield was terminated for cause in April 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Cofield committed multiple serious violations across several regulatory frameworks.

****Excessive Trading / Churning:****

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, a broker must have a reasonable basis to believe that a recommended transaction or series of transactions is suitable and in the customer's best interest. The quantitative suitability obligation under FINRA Rule 2111.05(c) specifically addresses excessive trading. An annualized turnover rate of 38.4 and a cost-to-equity ratio of 71% are dramatically above the thresholds that regulators and arbitration panels have

consistently found indicative of churning. Courts and FINRA arbitration panels have generally found turnover rates above 6 and cost-to-equity ratios above 20% to be presumptive evidence of excessive trading. The figures here are extreme. Cofield exercised de facto control over the account—Ms. Hensley lacked the sophistication to understand the trades and relied entirely on Cofield's recommendations, satisfying the control element of a churning claim even without formal discretionary authority.

****Unsuitable Options Strategy Recommendations:****

Under FINRA Rules 2360 (Options) and 2361 (Options Account Supervision), member firms and registered representatives must ensure that options transactions are suitable for the customer. Naked call writing and speculative multi-leg strategies on volatile meme stocks are categorically unsuitable for a 71-year-old retiree with no options experience, limited income, a stated objective of income with capital preservation, and savings that represent her entire financial safety net. FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account approval and supervision, emphasizing that firms must have robust procedures to evaluate whether customers meet the criteria for the options trading levels they are approved for.

****Fraudulent Account Application:****

Cofield falsified Ms. Hensley's options application by inflating her experience to '10+ years' and changing her risk tolerance to 'speculative,' directly contradicting the information on her new account form. This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially securities fraud under Section 10(b) of the Exchange Act and Rule 10b-5.

****Supervisory Failures:****

The firm's options principal approved the highest-tier options trading level without reconciling the glaring discrepancies between the options application and Ms. Hensley's new account form, and without contacting the customer. This is a violation of the firm's supervisory obligations under FINRA Rules 3110 (Supervision) and 2360(b)(5), which require the options principal to specifically approve each account for options trading based on an assessment of the customer's financial situation, investment objectives, and experience.

****Reg BI Violations:****

Reg BI's Care Obligation requires that brokers exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of material facts, including costs. Cofield's pattern of recommending speculative, high-frequency options trades to generate commissions while telling Ms. Hensley the strategies were 'working' violates both obligations. The Conflict of Interest Obligation is also implicated, as Cofield's commission-driven motivation was the clear driver of the trading activity.

****OCC Options Disclosure Document:****

Firms are required to deliver the OCC Options Disclosure Document (ODD) to customers at or before the time the account is approved for options trading. Even if it was delivered, the fact that Ms. Hensley had no understanding of options terminology suggests either it was not meaningfully provided or the firm failed in its obligation to ensure the customer understood the risks before approving her for the highest options trading level.

****Likely Regulatory Outcome:****

Cofield faces potential sanctions including a substantial fine, disgorgement of commissions, a lengthy suspension, or a permanent bar from the securities industry. The firm faces potential liability for supervisory failures, restitution to Ms. Hensley and the other affected clients, and significant fines. Ms. Hensley would likely recover her losses plus interest in a FINRA arbitration proceeding. FINRA enforcement could also pursue an action against the approving options principal for failure to discharge supervisory responsibilities.

Hypothetical 3

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Novak, age 62, is a retired postal worker living in suburban Ohio. He receives a \$2,400 monthly pension and \$1,100 in Social Security, totaling \$42,000 in annual fixed income. He has \$285,000 in a rollover IRA, which constitutes approximately 90% of his liquid net worth, and \$18,000 in a savings account. Gerald has no prior experience trading options or any derivatives; his investment history consists entirely of certificates of deposit and a target-date mutual fund inside his former employer's 401(k). When Gerald opened an account with registered representative Darren Cho at a mid-size broker-dealer in March 2023, he told Darren he wanted to generate a little extra monthly income without taking big risks and described himself as a conservative investor. On the new account form, Gerald listed his risk tolerance as "low" and his investment objective as "income with preservation of capital."

Darren, who had recently attended a continuing education webinar on short-dated options strategies, believed that selling weekly put options on the S&P 500 ETF (SPY) would be an easy way for Gerald to earn premium income. Without conducting any further inquiry into Gerald's financial situation, tax status, emergency fund needs, or understanding of options mechanics, Darren submitted an options account application requesting Level 3 approval - which at his firm permits uncovered (naked) put and call writing. On the application, Darren listed Gerald's investment experience as "5+ years of active trading including options," his risk tolerance as "aggressive," his annual income as "\$100,000-\$150,000," and his liquid net worth as "\$750,000." The firm's options principal approved the application the same day based on the information provided.

Beginning in April 2023, Darren directed Gerald to sell naked weekly put options on SPY in his IRA, collecting premiums averaging \$800-\$1,200 per week. Gerald did not understand the risk of assignment or the potential for losses exceeding the premiums received. Darren never provided Gerald with the standardized options risk disclosure document prior to or at the time of account approval.

In early June 2023, the S&P 500 experienced a sharp three-day decline of approximately 5.8%. Gerald was assigned on multiple put contracts and suffered realized losses of \$47,300 in a single week. Over the following two weeks, Darren continued the same strategy, and Gerald incurred an additional \$22,600 in losses. By mid-July 2023, Gerald's IRA had declined from \$285,000 to \$197,400 - a loss of \$87,600, or roughly 31% of his retirement savings. Gerald filed a written complaint with the firm in August 2023, stating he never understood the risks, never received any written options disclosure materials, and that Darren had

misrepresented his financial profile on the account paperwork.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Cho committed multiple serious violations.

1. **Failure to Know the Customer (FINRA Rule 2090):** The cornerstone obligation of every broker-dealer and registered representative is to use reasonable diligence to know the essential facts concerning every customer. Darren failed to conduct any meaningful inquiry into Gerald's actual financial circumstances, tax situation, liquidity needs, or investment knowledge. He filled out the options application with fabricated information - overstating Gerald's income by roughly 3x, his liquid net worth by roughly 2.5x, and entirely inventing multi-year options trading experience that did not exist. This is a textbook failure to know the customer.
2. **Options Account Approval Failures (FINRA Rule 2360):** Under Rule 2360(b)(16), a registered representative must obtain specific background and financial information from the customer before recommending options, and the branch or options principal must approve the account based on accurate information. The options application contained materially false information supplied by the representative, rendering the firm's approval process meaningless. Additionally, the approval of Level 3 (uncovered writing) privileges for a 62-year-old retiree with no options experience, low risk tolerance, and limited assets is facially inappropriate even if the information had been accurate.
3. **Failure to Deliver the OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the current Options Clearing Corporation disclosure document ("Characteristics and Risks of Standardized Options") must be furnished to the customer at or before the time the account is approved for options trading. Gerald states he never received this document, and the fact pattern confirms it was never provided. This is a standalone violation irrespective of suitability.
4. **Unsuitable Recommendation (FINRA Rule 2111 / Regulation Best Interest):** Selling naked (uncovered) put options exposes the writer to substantial downside risk - potentially the full notional value of the underlying security minus the premium received. This strategy is wholly incompatible with Gerald's stated objectives of income with preservation of capital, his low risk tolerance, his lack of options knowledge, his age (62, nearing or in retirement), and his concentrated reliance on his IRA as his primary retirement asset. Under Reg BI's Care Obligation (17 CFR 240.15l-1), Darren was required to exercise reasonable diligence, care, and skill to ensure any recommendation was in Gerald's best interest considering his investment profile. A naked put-writing program in a retiree's IRA with no prior options experience fails this standard on every dimension.
5. **Falsification of Records:** By entering fabricated financial information on the options application, Darren likely also violated FINRA Rule 4511 (books and records) and potentially FINRA Rule 2010 (standards of commercial honor), as falsifying customer account documents is considered conduct inconsistent with just and equitable principles of trade.

****FINRA Regulatory Notice 21-15**** is directly relevant here. It reminded member firms of their obligations when approving options accounts, specifically emphasizing that firms must have reasonable procedures to (a) collect accurate customer information, (b) assess whether options trading is appropriate for the customer, and (c) ensure delivery of the OCC disclosure. The notice was prompted in part by the surge in retail options trading during the "Robinhood era" and specifically called out concerns about inexperienced investors being approved for complex or high-risk options strategies.

****Likely Regulatory Outcome:**** Darren would face potential suspension or bar from the industry, monetary fines, and disgorgement of commissions. The firm could face supervisory failure charges for its options principal's rubber-stamp approval of a facially inconsistent application. Gerald would have strong grounds for a customer arbitration claim seeking compensatory damages of at least \$87,600 plus costs and interest. The falsification of account records could also trigger a statutory disqualification review.

Hypothetical 4

[NON-COM

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Dawson, age 62, is a retired school librarian living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$210,000, held primarily in a rollover IRA from her former employer's 403(b) plan. She has no prior experience trading options or any securities beyond a target-date mutual fund she held through her employer plan. On her new account form at Greenleaf Securities, she indicated her investment objective as 'income and preservation of capital,' her risk tolerance as 'low,' and her investment experience as 'limited.' She told her advisor, Kevin Brasch, that she wanted to generate a little extra monthly income to supplement her pension but could not afford to lose her retirement savings.

In March 2023, Brasch recommended that Dawson open an options trading account. He told her that selling weekly put options on high-beta technology stocks like Tesla and Nvidia was 'basically like collecting rent' and that the premiums would give her \$1,500 to \$2,500 per month in extra income. He described the strategy as 'low risk' and compared it to selling insurance policies. Brasch submitted an options account application on Dawson's behalf, listing her investment experience as 'good' and her risk tolerance as 'moderate/high.' He approved her for Level 3 options trading, which permitted uncovered put writing. Dawson was not provided with the standardized options risk disclosure booklet at or before the time her account was approved; Brasch later said he assumed she could find it online.

Between March and August 2023, Brasch directed Dawson to sell short puts on Tesla (strike prices ranging from \$180 to \$230) and Nvidia (strike prices ranging from \$250 to \$320) on a weekly basis. Dawson collected approximately \$14,200 in total premiums during this period. However, during a sharp technology sector pullback in late July 2023, several of Dawson's short puts were assigned. She was forced to purchase 300 shares of Tesla at \$210 per share and 200 shares of Nvidia at \$290 per share when the market prices had fallen well below those levels. The resulting unrealized losses totaled approximately \$41,000. Because Dawson's IRA could not support the margin requirements, Greenleaf liquidated several

of her mutual fund positions at a loss to cover the assignments. By September 2023, Dawson's account had declined from \$210,000 to approximately \$158,000 - a loss of roughly 25% of her retirement savings. Dawson stated she did not understand what 'assignment' meant until it happened and that Brasch never explained the possibility that she could be required to buy shares at prices above the market.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brasch committed multiple serious violations.

1. ****Options Account Approval - FINRA Rule 2360(b)(16):**** Before approving a customer for options trading, a registered representative and the firm must exercise due diligence to ascertain essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. Brasch falsified Dawson's account application by upgrading her experience from 'limited' to 'good' and her risk tolerance from 'low' to 'moderate/high.' Approving a 62-year-old retired librarian with no options experience for Level 3 (uncovered put writing) is a clear account approval failure. The branch office manager or designated options principal who signed off on this approval also bears supervisory liability under FINRA Rule 2360(b)(18).
2. ****Failure to Deliver OCC Options Disclosure Document - FINRA Rule 2360(b)(11):**** The OCC's standardized risk disclosure document ('Characteristics and Risks of Standardized Options') must be furnished to the customer at or before the time the account is approved for options trading. Brasch conceded this was never delivered. This is a standalone violation regardless of suitability considerations.
3. ****Unsuitable Recommendation - FINRA Rule 2111 and Regulation Best Interest:**** Selling uncovered (or cash-secured) short puts on high-beta technology stocks is an advanced, high-risk strategy that exposes the investor to substantial downside - potentially the full strike price times the number of contracts. This strategy was fundamentally inconsistent with Dawson's stated objectives of income and capital preservation, her low risk tolerance, her age and retirement status, her limited liquid net worth, and her complete lack of options knowledge. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs. No reasonable advisor could conclude that uncovered put selling on volatile equities was in the best interest of this customer.
4. ****FINRA Regulatory Notice 21-15 Considerations:**** This notice specifically reminded firms to strengthen options account approval processes and to ensure that options approval levels are consistent with the customer's actual profile. It was issued in response to concerns about retail investors - particularly inexperienced ones - being approved for complex options strategies through inadequate or automated approval processes. Brasch's manual falsification of Dawson's profile is precisely the type of conduct the notice targeted.
5. ****Misrepresentation:**** Brasch described uncovered put selling as 'low risk' and analogous to 'collecting rent,' which materially misrepresented the risk of the strategy. He failed to explain the concept of

assignment. This constitutes a violation of the obligation to provide fair and balanced disclosure.

****Likely Regulatory Outcome:**** Brasch would face individual liability including a substantial fine, disgorgement of commissions, and a suspension or bar. Greenleaf Securities would face supervisory failure charges for approving the account and failing to detect the falsified application and the pattern of unsuitable trading. Dawson would likely recover her losses (approximately \$52,000 net of premiums received, plus consequential damages) through arbitration or a regulatory restitution order. The firm's options supervision procedures would likely be subject to a detailed review and remediation requirement.

Hypothetical 5

Topic: *excessive_churning* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Marcus Daley, age 58, is a retired postal worker living in Columbus, Ohio, with an annual pension income of \$52,000 and a rollover IRA containing \$310,000 - the entirety of his retirement savings. He opened a brokerage account in March 2022 with registered representative Tanya Reeves at Patriot Edge Securities, a mid-size broker-dealer. On his new account form, Marcus indicated a moderate risk tolerance, an investment objective of capital preservation and income, limited investment knowledge, and a five-year investment time horizon aligned with his plan to begin drawing down the IRA at age 63. He had never traded options before. During the onboarding process, Reeves told Marcus that she could 'generate monthly income like clockwork' using a conservative covered call strategy on blue-chip stocks. She assisted him in completing the options account application, marking his experience level as 'extensive' and his risk tolerance as 'speculative,' and obtained approval for Level 4 options trading, which permitted uncovered (naked) writing and complex multi-leg spreads. Marcus later stated he did not understand what the different approval levels meant and was never given the Options Disclosure Document to review before he began trading.

From April 2022 through November 2023, a period of approximately 20 months, Reeves executed 487 options transactions in Marcus's IRA. The trading began modestly with covered calls on holdings of Johnson & Johnson and Procter & Gamble, but by June 2022, Reeves had moved into weekly expiration iron condors on the S&P 500 ETF (SPY), short strangles on Tesla, and naked put writing on volatile biotech names including Moderna and BioNTech. Many positions were opened and closed within days or even the same day. The account's annualized turnover rate was 41.2, and the cost-to-equity ratio reached 67%. Total commissions and fees paid during the period were \$89,400. Marcus's account value declined from \$310,000 to \$141,000, a loss of \$169,000, of which \$89,400 was attributable to transaction costs alone. Reeves earned approximately \$62,500 in personal production credits from the account.

Marcus received monthly statements but testified that Reeves told him the losses were 'paper losses' caused by temporary market volatility and that the strategy would 'come back strong.' He said he trusted her because she was recommended by a friend at his church. In December 2023, Marcus's daughter, a CPA, reviewed his statements and immediately flagged the volume of trading and the magnitude of losses. She helped Marcus file a complaint. Internal records at Patriot Edge showed that the branch manager

approved the Level 4 options authorization but never conducted a follow-up review of the account despite the firm's written supervisory procedures requiring quarterly suitability reviews of active options accounts. No exception reports were generated because the firm's surveillance system was configured to flag only equity churning, not options activity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Tanya Reeves committed multiple serious violations, and Patriot Edge Securities failed in its supervisory obligations.

****Options Account Approval Violations:**** Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including investment objectives, financial situation, investment experience, and risk tolerance. The Options Clearing Corporation's Options Disclosure Document (ODD) must be furnished to the customer at or before the time the account is approved. Reeves falsified Marcus's application by marking his experience as 'extensive' and his risk tolerance as 'speculative,' when his actual profile - moderate risk tolerance, capital preservation objective, limited knowledge, and no prior options experience - was plainly inconsistent with Level 4 (uncovered writing) approval. The failure to deliver the ODD is an independent violation of FINRA Rule 2360(b)(11)(A)(1). FINRA Regulatory Notice 21-15 specifically reminds firms that options account approval must reflect the customer's actual profile and that firms cannot rely on application information they know or should know is inaccurate.

****Quantitative Unsuitability / Excessive Trading (Churning):**** Under FINRA Rule 2111 and Regulation Best Interest (Reg BI), a recommendation must be suitable and in the customer's best interest. Excessive trading - churning - is a recognized violation under both frameworks. The hallmarks of churning are present here: (1) the advisor exercised de facto control over the account (Marcus had no options knowledge and relied entirely on Reeves's recommendations); (2) the trading was excessive in light of the customer's objectives (an annualized turnover rate of 41.2 is astronomically high - courts and arbitration panels have found turnover ratios above 6 to be presumptively excessive); and (3) the cost-to-equity ratio of 67% meant the account needed to generate a 67% annual return merely to break even after costs, which is virtually impossible to achieve consistently. The account lost \$169,000, with \$89,400 (over 52%) attributable solely to commissions and fees. This is a textbook churning case.

****Qualitative Unsuitability:**** Even setting aside the volume of trading, the specific strategies employed - naked put writing on volatile biotech stocks, short strangles on Tesla, and weekly iron condors - carry risk of rapid, substantial loss and are wholly inconsistent with a 58-year-old retiree's capital preservation objective, moderate risk tolerance, limited experience, and reliance on his IRA as his sole retirement savings. Under FINRA Rule 2360(b)(19) and Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), these strategies should never have been recommended to this customer.

****Supervisory Failures:**** Patriot Edge Securities violated FINRA Rules 3110 and 2360(b)(20) by failing to conduct the quarterly suitability reviews required by its own written supervisory procedures and by configuring its surveillance system to exclude options activity from exception reporting. The branch

manager's approval of Level 4 authorization without meaningful diligence into the customer's actual profile compounds the failure.

****Likely Regulatory Outcome:**** Reeves faces suspension or bar, disgorgement of commissions, and fines. The firm faces significant fines, potential restitution orders, and a finding of supervisory failure. In a customer arbitration, Marcus would have strong claims for compensatory damages of up to the full \$169,000 loss, potentially with interest, and the churning and falsification of documents could support a claim for punitive damages.

Hypothetical 6

[NON-COM

Topic: excessive_churning | Difficulty: hard

Fact Pattern

Margaret Holloway, age 71, is a retired school librarian living in Tallahassee, Florida. She has a fixed annual income of \$38,000 from Social Security and a small pension, liquid savings of approximately \$185,000 in a brokerage account, and a modest home valued at \$210,000. She has no prior experience trading options or any derivative instruments. When she opened her account with Vista Ridge Financial Services in March 2022, she indicated on her new account form that her investment objective was 'income and preservation of capital' and her risk tolerance was 'conservative.' She told her advisor, Craig Dennehy, that she wanted to generate a small supplemental income stream to help cover her prescription drug costs, which had risen substantially.

Dennehy, a registered representative with 14 years of experience, recommended that Margaret apply for options trading. He assisted her in completing the options account application, marking her investment experience as 'extensive' and her risk tolerance as 'speculative,' which differed from what she had stated on her brokerage account documents. The firm's options principal approved the application for Level 3 options trading - which permits selling uncovered puts and calls - after a cursory review that did not flag the discrepancies between the brokerage account profile and the options application.

Between April 2022 and November 2023, Dennehy executed 347 options transactions in Margaret's account. The trading strategy consisted primarily of short-dated weekly options on high-volatility technology stocks, including selling naked puts on companies like Rivian Automotive, Palantir Technologies, and Coinbase Global. Many positions were opened and closed within the same week. The account's annualized turnover rate reached 41.2, and the cost-to-equity ratio was 78%. Total commissions and fees generated during the 20-month period amounted to \$61,400. Margaret's account value declined from \$185,000 to \$67,300 - a loss of approximately \$117,700, or 63.6% of her original portfolio.

Dennehy earned \$42,800 in personal commissions from the account during this period, making Margaret one of his top five revenue-generating clients. Monthly account statements were mailed to Margaret, but she later told investigators she did not understand the options terminology on the statements and trusted Dennehy to manage the account appropriately. She said she called Dennehy in June 2023 after noticing her balance had dropped below \$140,000 and he reassured her that the strategy was 'working through a

rough patch' and that she would 'make it all back and then some.' She did not authorize individual trades but had given Dennehy verbal discretion to trade the account, though no written discretionary authorization was ever executed or filed with the firm.

Vista Ridge's supervisory system flagged the account twice - once in August 2022 and once in February 2023 - for exceeding internal activity thresholds. On both occasions, the branch manager, Tina Lowell, marked the alerts as 'reviewed - no action required' without contacting Margaret or conducting any independent analysis of the trading pattern. The firm had no automated exception report specifically designed to monitor options churning in accounts belonging to senior investors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dennehy committed multiple serious violations, and Vista Ridge Financial Services failed in its supervisory obligations.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** The options account application contained information that materially contradicted Margaret's brokerage account profile. Her actual risk tolerance was conservative with income and capital preservation objectives, yet the options application listed her as speculative with extensive experience. FINRA Rule 2360(b)(16) requires that a registered options principal (ROP) review and approve each options account, considering the customer's investment objectives, financial situation, employment status, investment experience, and age. The ROP's approval of Level 3 options privileges - including uncovered writing - for a 71-year-old retired librarian with conservative objectives and no options experience was a clear approval failure. The OCC Options Disclosure Document, which must be provided to customers at or before account approval, is designed to ensure customers understand the risks; however, even proper delivery of the ODD would not cure the fundamental unsuitability of the account approval.

****Excessive Trading / Churning:** The trading activity constitutes textbook churning. Under FINRA Rule 2111 (Quantitative Suitability) and Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker who exercises de facto control over an account must not engage in excessive trading. The hallmarks of churning are present: (1) Control - Dennehy exercised de facto control through unauthorized verbal discretion, and Margaret, an unsophisticated senior investor, relied entirely on his judgment. (2) Excessive activity - An annualized turnover rate of 41.2 is extraordinarily high; enforcement precedent generally considers turnover rates above 6 as presumptively excessive. A cost-to-equity ratio of 78% means the account needed to generate a 78% return simply to break even after costs, which is plainly excessive. (3) Scien-ter - Dennehy's awareness that Margaret was his top revenue client, combined with the extreme trading volume, supports an inference that the trading was conducted for his benefit, not hers. The \$61,400 in total commissions and fees represented approximately 33% of Margaret's original account value.

****Regulation Best Interest Violations:** Under Reg BI (effective June 30, 2020), Dennehy owed Margaret a best interest obligation comprising disclosure, care, conflict of interest, and compliance obligations. His recommendations of speculative, short-dated naked options on volatile technology stocks to a 71-year-old conservative retiree failed the Care Obligation, which requires reasonable diligence, care, and skill in

making recommendations consistent with the customer's investment profile. The Conflict of Interest Obligation was also violated because his commission incentive to churn the account was never mitigated.

****Unauthorized Discretion:**** Dennehy exercised discretionary authority without written authorization from the customer and without the firm's acceptance of the account as discretionary, violating FINRA Rule 3260.

****FINRA Regulatory Notice 21-15 Considerations:**** RN 21-15 specifically addresses options account approval and supervision practices. It reminds firms that options account applications must be reviewed with care, that discrepancies between account documents should be investigated, and that firms should have robust supervisory systems for options trading, including heightened supervision for accounts involving complex strategies and senior investors.

****Supervisory Failures (FINRA Rules 3110, 3120):**** Vista Ridge failed in multiple supervisory capacities. The branch manager dismissed two automated surveillance alerts without investigation or customer contact. The firm lacked tailored exception reports for options churning in senior investor accounts. The ROP approved an options application containing facially inconsistent information. These failures violate FINRA Rule 3110's requirement for a system of supervision reasonably designed to ensure compliance with securities laws and regulations.

****Senior Investor Considerations:**** Margaret's age (71), fixed income, limited sophistication, and reliance on her advisor make this case particularly egregious. FINRA has repeatedly emphasized heightened scrutiny for recommendations to senior investors, and state regulators have adopted enhanced protections for vulnerable adults.

****Likely Regulatory Outcome:**** Dennehy faces potential sanctions including a lengthy suspension or permanent bar from the industry, disgorgement of commissions, and substantial fines. Vista Ridge faces potential fines, required remediation, enhanced supervisory undertakings, and restitution to Margaret. The customer would also have strong grounds for a FINRA arbitration claim seeking compensatory damages of approximately \$117,700 plus interest, fees, and potentially punitive damages given the egregious nature of the misconduct.

Hypothetical 7

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Hensley, age 63, is a retired elementary school teacher in Tulsa, Oklahoma, with an annual pension income of \$42,000 and total liquid savings of approximately \$185,000 held in an IRA rollover account. She has no prior experience trading options or any derivative instruments. Her investment experience is limited to certificates of deposit and a target-date mutual fund offered through her employer's 403(b) plan. In March 2023, she met with Kevin Pratt, a registered representative at Heartland Wealth Partners, to discuss generating additional income to supplement her pension and cover rising healthcare costs. During the meeting, Pratt described a strategy he called a 'weekly income engine' that involved

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repeatedly selling short put options on volatile technology stocks such as NVIDIA, AMD, and Tesla. Pratt told Margaret that selling puts was 'basically getting paid to wait for a stock you'd want to own anyway' and characterized the risk as 'very manageable.' He did not discuss the possibility of assignment, the potential for substantial losses if the underlying stocks dropped sharply, or the margin requirements associated with uncovered short puts. Pratt submitted an options account application on Margaret's behalf, listing her investment objective as 'speculation,' her risk tolerance as 'aggressive,' her annual income as \$90,000, and her liquid net worth as \$400,000 - all figures that significantly overstated her actual financial profile. The branch manager approved the account for Level 4 options trading (uncovered puts and calls) on the same day without conducting any independent verification or speaking with Margaret. Over the following five months, Pratt executed 47 short put transactions in Margaret's IRA. In August 2023, a broad technology sector sell-off resulted in multiple assignments, and Margaret was forced to purchase shares of NVIDIA and Tesla at prices far above the market. By September 2023, her account had declined from \$185,000 to approximately \$61,000 - a loss of roughly \$124,000, or 67% of her retirement savings. Margaret stated in a subsequent complaint that she never understood what selling a put option meant, was never provided the options disclosure document, and believed Pratt was placing her in a 'conservative income strategy.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must have a reasonable basis for believing that options transactions are suitable for a customer based on the customer's financial situation, investment objectives, experience, and knowledge of options. Margaret Hensley was a 63-year-old retiree with no options experience, limited investment knowledge, a conservative income need, modest savings, and a low risk tolerance. Selling uncovered short puts on volatile technology stocks is one of the most aggressive options strategies available and was entirely inconsistent with her actual profile. This constitutes a clear suitability violation.

Second, Pratt falsified material information on the options account application by inflating Margaret's income from \$42,000 to \$90,000, her liquid net worth from \$185,000 to \$400,000, and mischaracterizing her investment objective as 'speculation' and risk tolerance as 'aggressive.' Fabricating or materially misrepresenting customer information on account documents violates FINRA Rules 2360 and 4511 (books and records requirements), as well as Regulation Best Interest's Care Obligation under Reg BI Rule 15l-1, which requires the advisor to exercise reasonable diligence and have a reasonable basis to believe a recommendation is in the customer's best interest based on the customer's actual investment profile.

Third, under FINRA Rule 2360(b)(16)(b), a branch office manager or Registered Options Principal (ROP) must approve each options account after reviewing the customer's background and financial information. The branch manager's same-day rubber-stamp approval of a Level 4 account for a 63-year-old retired teacher with no options experience and modest savings, without any independent verification or customer contact, represents a supervisory failure under FINRA Rule 3110.

Fourth, FINRA Rule 2360(b)(11)(a)(i) and the OCC's 'Characteristics and Risks of Standardized Options' disclosure document require that the ODD be delivered to customers at or before the time the account is approved for options trading. Margaret stated she was never provided the ODD, which is a standalone

violation.

Fifth, FINRA Regulatory Notice 21-15 specifically warned member firms about the risks of onboarding customers into complex options strategies without adequate due diligence, particularly in the context of increased retail participation in options markets. It emphasized that firms must ensure account approval processes are robust and that customers genuinely understand the risks.

The likely regulatory outcome would include significant monetary sanctions against both Pratt and the firm, disgorgement of commissions, potential restitution to Margaret, a lengthy suspension or permanent bar for Pratt given the falsification of records, and supervisory deficiency findings against the branch manager and the firm. Margaret would also have a strong arbitration claim for her \$124,000 in losses plus costs and fees.

Hypothetical 8

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Tisdale, age 67, is a retired elementary school teacher in Omaha, Nebraska, with a fixed annual income of \$42,000 from her pension and Social Security. She has \$310,000 in a traditional IRA, \$85,000 in a savings account, and owns her home outright. She has no prior experience trading options or any securities beyond mutual funds held in her retirement account. In March 2023, Margaret visited the branch office of her brokerage firm to discuss ways to generate modest additional income from her IRA without jeopardizing her retirement savings. Her financial advisor, Kyle Devereaux, age 34, conducted a brief meeting during which he explained that options could produce 'consistent monthly income that's much better than CDs or bonds.' Kyle had Margaret complete a new account application in which he marked her risk tolerance as 'aggressive,' her investment objective as 'speculation,' her annual income as \$75,000, and her liquid net worth as \$600,000 - figures Margaret later said she never provided and that did not reflect her actual financial situation. Kyle approved Margaret's account for Level 4 options trading, which permitted uncovered (naked) call and put writing. Over the next five months, Kyle recommended Margaret sell naked puts on volatile technology stocks including Tesla, Nvidia, and AMD. He executed 47 naked put transactions in her IRA, generating approximately \$18,400 in premium income but exposing her account to theoretically substantial downside risk. In August 2023, a sharp market pullback caused assignment on several positions, resulting in unrealized losses of \$74,000. Margaret's IRA balance dropped from \$310,000 to approximately \$237,000. She was also charged \$6,200 in total commissions and fees across the transactions. Margaret filed a complaint in October 2023 stating she never understood what naked options were, never told Kyle she wanted aggressive or speculative investments, and believed she was getting a safe income strategy. Kyle's branch manager had approved the Level 4 options authorization after reviewing the inflated figures on the account form without conducting any independent verification or speaking directly with Margaret.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

[NON-COM]

Yes, Kyle Devereaux committed multiple serious violations. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including financial situation, investment experience, and investment objectives. The firm must also determine that options trading is suitable for the customer based on these facts. Kyle fabricated or inflated key data points on Margaret's new account form - listing her income as \$75,000 when it was \$42,000, her liquid net worth as \$600,000 when it was approximately \$395,000, and her risk tolerance and objectives as aggressive/speculation when she explicitly sought conservative income. This constitutes falsification of account records, a standalone violation.

Under FINRA Rule 2360(b)(16)(B), the branch office manager or Registered Options Principal (ROP) who approved the account had an independent duty to review the application for reasonableness. Approving Level 4 (uncovered writing) authorization for a 67-year-old retired teacher with no options experience and modest fixed income, based solely on inflated paperwork, represents a supervisory failure under FINRA Rule 3110.

Under Reg BI's Care Obligation (Rule 15l-1 under the Securities Exchange Act of 1934), Kyle was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of his recommendations and to have a reasonable basis to believe the recommendations were in Margaret's best interest given her actual investment profile. Naked put writing on volatile technology stocks in a retirement account for a risk-averse retiree with no options experience is plainly unsuitable and not in the customer's best interest.

FINRA Regulatory Notice 21-15 specifically reminds firms of their obligations regarding options account approvals, emphasizing that firms must have robust procedures to assess whether customers meet the criteria for the level of options trading approved, particularly in light of increased retail participation. The approval of Level 4 trading for this customer profile represents precisely the type of failure the Notice addresses.

Additionally, the OCC Options Disclosure Document must be provided to customers at or before the time the account is approved. Even if delivered, Margaret's lack of understanding of naked options suggests either it was not provided or not adequately explained, which compounds the disclosure failures.

The likely regulatory outcome includes disciplinary action against Kyle for falsification of records, unsuitable recommendations, and breach of Reg BI. The branch manager faces supervisory violation charges. Remedies would likely include restitution of approximately \$74,000 in losses plus \$6,200 in commissions and fees, potential fines, suspensions, and enhanced supervisory requirements for the firm.

Hypothetical 9

Topic: excessive_churning | Difficulty: hard

Fact Pattern

Margaret Yoon, age 58, is a retired school librarian living in suburban Phoenix, Arizona. She has a fixed

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annual income of \$42,000 from her pension and Social Security, liquid savings of approximately \$310,000 in a brokerage account, and a modest home valued at \$275,000 with no mortgage. Her stated investment objectives on her new account application in January 2023 were income generation and capital preservation, and she indicated a conservative risk tolerance. She had no prior experience trading options or any derivatives product. Her financial advisor, Craig Bowden, who had been in the industry for six years, approved her for a Level 3 options account - permitting spreads, covered calls, cash-secured puts, and multi-leg strategies - after a 20-minute phone call in which he described options as 'a way to squeeze extra income out of your portfolio, like collecting rent.' He did not provide her with the standardized options risk disclosure booklet, nor did he document any discussion of the specific risks of the strategies he intended to employ. Between February 2023 and November 2023, Bowden executed 214 options trades in Margaret's account. The strategies included iron condors on high-volatility meme stocks, short strangles on earnings-week positions, and frequent rolling of losing positions into new contracts. The account generated \$47,600 in total commissions and fees during this ten-month period. Margaret's account experienced a turnover rate of approximately 18.4 on an annualized basis, and the cost-to-equity ratio exceeded 62%. Her account value declined from \$310,000 to \$189,000, a loss of \$121,000, of which nearly 40% was attributable to commissions and transaction costs alone. When Margaret called Bowden in December 2023 to ask why her account had dropped so significantly, he told her the losses were 'temporary paper losses due to market conditions' and recommended she authorize Level 4 trading to 'recover faster with more advanced strategies.' Margaret instead contacted a securities attorney. A subsequent review of the trading records showed that approximately 70% of the positions were closed within five trading days, many at small losses that were compounded by the per-contract commission structure. Bowden's branch manager had approved the Level 3 account application without conducting any independent review of Margaret's financial profile or discussing the account with her directly.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Craig Bowden committed multiple serious violations of applicable regulatory standards. First, under FINRA Rule 2360(b)(19), a member firm must obtain and consider a customer's financial situation, investment experience, and objectives before approving an options account, and must provide the OCC Options Disclosure Document (ODD) before or at the time of account approval. Bowden failed to deliver the ODD, which is an independent procedural violation regardless of suitability. Second, the account approval itself was deficient. FINRA Rule 2360(b)(16) requires a Registered Options Principal (ROP) to approve the account based on an informed assessment of the customer's profile. The branch manager's rubber-stamp approval without independent review of Margaret's conservative profile, limited income, retirement status, and zero options experience constitutes a supervisory failure. A Level 3 account permitting multi-leg strategies such as iron condors and short strangles was facially unsuitable for a 58-year-old retired librarian with conservative objectives and no derivatives experience. Third, the trading activity constitutes excessive trading (churning) under FINRA Rule 2111 and Regulation Best Interest. An annualized turnover rate of 18.4 dramatically exceeds the threshold courts and regulators have consistently treated as presumptively excessive (typically a turnover rate above 6 raises a strong inference of churning). The cost-to-equity ratio of 62% means Margaret's account would have needed to generate over 62% in returns merely to break even after costs - an absurd hurdle for a conservative income-oriented account. Under Reg BI's Care Obligation (17 CFR 240.15l-1), Bowden was required to exercise reasonable diligence, care, and skill, and

to consider reasonably available alternatives, costs, and the customer's profile. Generating \$47,600 in commissions on a \$310,000 account in ten months, through 214 rapid-fire options trades on volatile underlying securities, is antithetical to an income-generation and capital-preservation mandate. Fourth, the recommendation to escalate to Level 4 trading after catastrophic losses is an additional violation demonstrating a pattern of disregard for the customer's interests. FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approval processes and emphasizes that firms must have robust systems to evaluate whether customers meet the criteria for the level of options trading approved, with particular attention to retail investors who lack experience. The likely regulatory outcome includes FINRA enforcement action against both Bowden and his firm, potential disgorgement of commissions, restitution to Margaret, suspension or bar of Bowden, and significant fines against the firm for supervisory failures under FINRA Rules 3110 and 2360(b)(20). Margaret would also have strong grounds for a customer arbitration claim seeking recovery of her \$121,000 in losses plus the \$47,600 in excessive commissions.

Hypothetical 10

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Dunleavy, age 71, is a retired elementary school teacher living in Tallahassee, Florida. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her liquid net worth consists of \$215,000 in a traditional IRA, which represents nearly all of her retirement savings, and \$12,000 in a checking account. She has no other meaningful assets aside from her home, which is paid off. In March 2023, Margaret visited the local branch office of Pinnacle Securities after seeing an advertisement about "generating extra monthly income from your portfolio." She met with financial advisor Derek Hollis, who had been registered for four years. During their initial conversation, Margaret explained she was looking for ways to supplement her pension income by perhaps \$300 to \$500 per month, but emphasized she could not afford to lose her retirement savings because she had no other financial safety net. She described herself as someone who had only ever owned certificates of deposit and a handful of blue-chip mutual funds. Derek had Margaret complete a new account application and options agreement. On the form, Derek marked her investment objective as "speculation" and her risk tolerance as "high," telling Margaret these designations were "just standard form language" needed to "unlock the income strategies" he wanted to use. He told her not to worry about the terminology. He also checked a box indicating she had three years of options trading experience, which Margaret later said was untrue-she had never traded options. The branch's registered options principal, Sandra Voss, approved the account for Level 4 options trading, which permitted uncovered (naked) call and put writing, within 48 hours. Sandra did not speak with Margaret directly and relied solely on the application as filled out by Derek. Over the next five months, Derek executed 47 separate options trades in Margaret's IRA, including selling naked puts on volatile technology and biotech stocks such as Rivian Automotive, Palantir Technologies, and Moderna. Several positions were concentrated, with single naked put positions representing notional exposure exceeding \$40,000. In August 2023, a sharp market pullback resulted in multiple assignments, and Margaret's account value dropped from \$215,000 to \$127,400-a loss of approximately \$87,600, or 40.7% of her retirement savings. Total commissions and fees paid during this period were \$6,280. When Margaret called Derek in a

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panic after receiving her August statement, he told her the losses were "temporary" and recommended she deposit additional funds to meet margin calls. Margaret did not have additional funds. She subsequently filed a written complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Derek Hollis committed multiple serious violations, and the registered options principal Sandra Voss failed in her supervisory obligations.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm and the Registered Options Principal (ROP) must exercise due diligence to ascertain the essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. The ROP must specifically approve the account and the level of options trading permitted. Sandra Voss approved Margaret's account for Level 4 (naked writing) without any direct contact with the customer and based solely on an application that contained materially inaccurate information entered by the advisor. This constitutes a failure of the supervisory obligations under Rule 2360(b)(16)(B), which requires the ROP to make a determination that options trading is appropriate for the customer.

****Falsification of Account Documentation:** Derek marked Margaret's risk tolerance as "high" and her investment objective as "speculation," and fabricated three years of options experience. This misrepresentation of customer information on the options agreement is a violation of FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and undermines the entire account approval framework. FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations when approving options accounts, emphasizing that firms must have reasonable procedures to verify that account information is accurate and that approval decisions are based on a genuine assessment of the customer's profile.

****Suitability and Regulation Best Interest Violations:** Under Regulation BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended securities transaction and have a reasonable basis to believe the recommendation is in the customer's best interest. Naked put writing on volatile technology and biotech stocks is among the highest-risk options strategies, carrying theoretically substantial loss potential. Recommending this strategy for a 71-year-old retiree with limited income, no investment experience, a concentrated and irreplaceable retirement account, and explicitly stated capital preservation needs is a clear violation. Under FINRA Rule 2111 (Suitability), the strategy fails all three components: reasonable-basis suitability (naked puts on volatile stocks for income generation carries extreme risk), customer-specific suitability (Margaret's age, income, net worth, experience, and stated objectives are fundamentally incompatible with speculative naked writing), and quantitative suitability (47 trades in five months generating \$6,280 in commissions suggests excessive activity).

****OCC Options Disclosure Document:** Firms are required to deliver the OCC's Options Disclosure Document (ODD), titled "Characteristics and Risks of Standardized Options," to customers at or before the

time an options account is approved. The ODD explicitly warns about the risks of uncovered writing. There is no indication Margaret was provided with or understood this document, and Derek's characterization of the account form as "standard language" suggests he affirmatively minimized the risk disclosures.

****FINRA RN 21-15 Considerations:**** This Regulatory Notice, issued in 2021, highlighted concerns about firms' options account approval processes, particularly in the context of the rapid growth of retail options trading. It emphasized that firms must have robust procedures for collecting and verifying customer information, that approval processes must involve meaningful review rather than rubber-stamping, and that firms must consider whether complex or risky strategies are appropriate for retail investors with limited experience.

****Likely Regulatory Outcome:**** Derek Hollis faces potential sanctions including a significant fine (likely \$25,000-\$100,000+), suspension or bar from the industry, and obligation to pay restitution. Sandra Voss faces supervisory failure charges under FINRA Rule 3110 for inadequate review of the options account approval. The firm, Pinnacle Securities, faces potential fines, required restitution of approximately \$87,600 plus commissions of \$6,280, and potential systemic remediation requirements for its options approval process. Margaret would also likely prevail in a FINRA arbitration claim for compensatory damages.

Hypothetical 11

Topic: options_unsuitable | Difficulty: hard

Fact Pattern

Marcus Calloway, age 23, works as a barista in Portland, Oregon, earning approximately \$31,000 per year. He has a checking account with \$4,200, a savings account with \$2,800, no retirement accounts, and \$18,000 in student loan debt. In March 2023, Marcus opened a brokerage account online with Trident Securities after seeing social media posts about traders making large profits on same-day expiring S&P 500 index options (commonly called ODTE options). His account application listed his investment experience as 'beginner,' his risk tolerance as 'moderate,' his investment objective as 'growth,' and his liquid net worth as \$7,000. His registered representative, David Nguyen, age 34, reviewed the application and approved Marcus for Level 3 options trading, which at Trident Securities permitted selling uncovered index options and trading complex multi-leg strategies. Nguyen did not speak with Marcus by phone or video, nor did he request any additional documentation or clarification regarding Marcus's stated financial profile. Nguyen later told his branch manager that he approved the higher tier because 'the kid said he watches YouTube videos about options and seemed eager to learn.' Over the next four months, Marcus executed over 340 trades in ODTE SPX options, predominantly selling short strangles and iron condors with notional exposure frequently exceeding \$150,000 per position. Trident's platform did not impose any position-size limits relative to Marcus's account equity. On July 14, 2023, an unexpected mid-day spike in market volatility caused Marcus's short strangle positions to move sharply against him. By the close of trading, his account showed a deficit of \$37,400 - meaning he not only lost his entire \$6,500 account balance but owed the firm an additional \$30,900. Marcus was unable to pay the deficit. He filed a complaint stating he was never informed of the risks of selling uncovered options, was never provided any risk disclosure document for options trading, and did not understand that he could lose more than the money in his account. An

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internal review revealed that Trident's options approval process relied solely on self-reported customer data with no supervisory override or secondary review for customers under age 25 with limited income and assets. David Nguyen had approved 87 other accounts for Level 3 options that quarter, including 14 belonging to customers with liquid net worth under \$10,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Nguyen and Trident Securities committed multiple serious violations. Under FINRA Rule 2360(b)(16), a registered representative and the firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including the customer's financial situation, investment experience, investment objectives, and the nature of the options strategies to be employed. The rule requires that a Registered Options Principal (ROP) or designated supervisory person approve the account specifically for options trading after determining that the customer's profile supports the level of options activity requested. Here, Nguyen approved a 23-year-old with \$7,000 in liquid net worth, \$31,000 in income, beginner-level experience, and significant debt for Level 3 options trading - the highest risk tier permitting uncovered short options - without any meaningful diligence or conversation. This is a textbook failure of the account approval process under Rule 2360(b)(16)(B), which requires a reasonable basis for believing the customer has sufficient knowledge and financial resources for the approved strategies.

Additionally, FINRA Rule 2360(b)(11) requires that every customer approved for options trading receive the OCC Options Disclosure Document (ODD) at or before the time the account is approved. Marcus's complaint states he never received any risk disclosure document, which is a standalone violation even before any trading occurred.

Under Regulation Best Interest, the broker-dealer and associated person owe a duty of care requiring them to have a reasonable basis for believing a recommendation - and here, the approval of a strategy tier - is in the customer's best interest considering the customer's investment profile. Approving a customer with minimal assets, no investment experience, and significant debt for strategies carrying theoretically unlimited loss potential (short strangles) plainly violates this standard. The care obligation under Reg BI requires consideration of reasonably available alternatives and the costs, risks, and rewards of the recommended course of action.

FINRA Regulatory Notice 21-15 specifically addresses concerns about options account opening and approval, emphasizing that firms must have robust supervisory systems for approving options accounts and cannot rely exclusively on unverified self-reported customer data, particularly where the information is internally inconsistent or where the customer profile raises red flags. Trident's system, which imposed no supervisory override for young, low-income, low-asset customers seeking the highest options tier, reflects a systemic supervisory failure under FINRA Rules 3110 and 2360(b)(16)(C).

The volume and notional size of Marcus's trading - 340 trades in four months with notional exposure exceeding \$150,000 per position on a \$6,500 account - also raises quantitative suitability concerns. No reasonable basis exists for believing that a customer with Marcus's profile could sustain losses inherent to these strategies.

The likely regulatory outcome includes significant monetary sanctions against Trident Securities for supervisory failures, potential suspension or bar for Nguyen, mandatory restitution of the \$37,400 deficit to the customer, and possible broader enforcement action given the 87 other similarly approved accounts. FINRA enforcement has increasingly targeted options account approval failures in the wake of the expansion of retail options trading, and this fact pattern - combining a vulnerable young customer, zero diligence, missing disclosure documents, and catastrophic losses - represents an egregious set of violations.

Hypothetical 12

[NON-COMMERCIAL]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

In March 2022, Gerald Hoffman, a 58-year-old high school custodian in suburban Columbus, Ohio, opened an account with Patriot Financial Group through advisor Derek Slattery. Gerald had a household income of approximately \$52,000, a savings account of \$38,000, a small pension, and an IRA rollover of \$127,000 from a previous employer. Gerald told Derek during their initial meeting that he wanted to grow his retirement savings modestly before he planned to retire at 65. He described himself as a cautious investor who had only ever owned a target-date mutual fund through his old 401(k). He had no prior experience with options, futures, or any leveraged products, and his stated risk tolerance on the new account application was 'moderate.' During the account opening process, Derek explained that options could generate 'extra monthly income' on stocks Gerald already liked, and that the strategies were 'low risk, almost like collecting rent.' Derek approved Gerald for Level 3 options trading, which permitted naked put writing and multi-leg spread strategies, without requiring Gerald to complete any options education module or reviewing the options disclosure document with him. The OCC Options Disclosure Document was mailed to Gerald but arrived after the first trades had already been placed. Over the next four months, Derek executed 34 options trades in Gerald's IRA, including 12 naked put positions on volatile technology stocks such as a semiconductor ETF and a cloud computing company, as well as several iron condor positions on an index fund. Gerald did not understand any of the trade confirmations he received and assumed Derek was implementing the conservative income strategy they had discussed. By August 2022, a sharp market selloff resulted in multiple naked puts being assigned, forcing the purchase of shares Gerald could not afford to hold. The account lost approximately \$41,000, representing roughly 32% of Gerald's IRA balance. When Gerald called to ask what happened, Derek told him the losses were 'temporary paper losses' and recommended doubling down by selling additional puts at lower strike prices. Gerald instead filed a complaint with the firm's compliance department. A subsequent internal review found that Derek had approved 14 other clients with similar profiles for Level 3 or higher options trading during the same period, and that none had received the options disclosure document prior to their first trade.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Derek Slattery committed multiple violations across several regulatory frameworks.

****Options Account Approval Failures (FINRA Rule 2360):**** FINRA Rule 2360(b)(16) requires that before approving a customer for options trading, a member firm must exercise due diligence to ascertain the essential facts about the customer, including investment objectives, financial situation, investment experience, and the nature of other investments. The firm must also determine that the customer's options trading level is appropriate given these factors. Derek approved Gerald-a 58-year-old custodian with \$52,000 income, moderate risk tolerance, no options experience, and a conservative growth objective-for Level 3 options trading, which includes naked put writing. This level of approval was plainly inconsistent with Gerald's profile. Naked put writing exposes a customer to substantial loss potential and requires significant market sophistication and financial capacity to absorb potential assignment obligations. The approval was a clear violation of the account approval requirements under Rule 2360.

****Failure to Deliver OCC Options Disclosure Document (FINRA Rule 2360(b)(11)):** The rule requires that each customer receive the current OCC Options Disclosure Document (ODD) at or prior to the time the account is approved for options trading. In Gerald's case, the ODD was mailed after the account was approved and arrived after the first trades were executed. This is a direct procedural violation. The ODD is a critical investor protection document designed to ensure customers understand the characteristics and risks of standardized options before trading commences.

****Reg BI - Care Obligation (17 CFR § 240.15l-1):**** Under Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations to retail customers. The care obligation requires consideration of the potential risks, rewards, and costs of the recommendation in light of the customer's investment profile. Recommending a portfolio of naked put positions on volatile technology stocks to a near-retirement, low-income, unsophisticated customer with moderate risk tolerance fails the care obligation on every dimension. The strategy exposed Gerald to potential losses far exceeding his risk tolerance and financial capacity, and was inconsistent with his stated conservative growth objective.

****FINRA Regulatory Notice 21-15:**** This notice specifically addresses firms' obligations regarding options account opening and approval processes in the wake of increased retail options activity. It emphasizes that firms must establish robust supervisory systems to ensure options approvals are consistent with customers' financial profiles and experience levels, and that firms should not rely solely on self-reported customer information when other indicators suggest an approval is inappropriate. The pattern of 14 other similarly situated clients receiving inappropriate Level 3 approvals suggests a systemic supervisory failure at the firm level.

****Likely Regulatory Outcome:**** Derek Slattery would likely face individual sanctions including a fine, suspension, and potential bar from the industry. The firm, Patriot Financial Group, would likely face enforcement action for supervisory failures under FINRA Rule 3110, given the pattern of inappropriate approvals across multiple customer accounts. Gerald would have strong grounds for recovery through FINRA arbitration, potentially recovering the \$41,000 in losses plus consequential damages. The firm's compliance system for options approvals would likely be subject to a targeted examination, and the firm could face additional fines and a requirement to undertake a comprehensive review of all options accounts opened during the relevant period.

Hypothetical 13

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Hollis, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held primarily in a rollover IRA that she depends on to supplement her monthly expenses, including \$1,800 per month in prescription drug costs for a chronic heart condition. She has no prior experience with options, futures, or any leveraged financial products. On her new account form at Ridgeline Securities, she indicated her investment objective as "income and preservation of capital" and her risk tolerance as "low." Her financial advisor, Craig Dempsey, age 36, had recently completed an internal training module on options strategies and was eager to grow his book of business. In March 2023, Dempsey called Margaret and told her that he had a way to "generate extra monthly income like clockwork" from her IRA. He described a strategy involving selling uncovered (naked) put options on volatile small-cap biotech stocks, telling her the premiums collected would add roughly \$1,200 to \$1,500 per month to her income. He did not provide her with the standardized options risk disclosure document, nor did he explain that selling naked puts could expose her to losses many times the premium collected if the underlying stocks declined sharply. Dempsey submitted an options application on Margaret's behalf, listing her investment experience as "moderate," her risk tolerance as "speculative," and her liquid net worth as \$400,000 - none of which matched the information Margaret had provided on her original account application. The branch manager approved the account for Level 4 options trading (uncovered writing) after a cursory review, noting only that the application appeared complete. Between March and August 2023, Dempsey executed 47 naked put transactions in Margaret's IRA across five biotech names. For the first three months, the strategy generated approximately \$4,100 in net premium income. However, in July 2023, two of the underlying biotech stocks dropped more than 60% after failed clinical trials. Margaret was assigned on multiple contracts, resulting in forced purchases totaling \$112,000 at prices far above the current market value. By August 2023, her IRA had declined from \$185,000 to approximately \$61,000 - a loss of \$124,000, representing 67% of her retirement savings. When Margaret called the branch to inquire about the losses, Dempsey told her the market would "bounce back" and recommended she sell additional puts to "average down" and recover her losses. Margaret's adult daughter, a CPA, intervened and filed a written complaint with the firm. An internal review revealed the discrepancies between Margaret's original new account form and the options application Dempsey had submitted.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Craig Dempsey committed multiple serious violations.

1. ****Options Account Approval and Suitability (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer for options trading, the firm must obtain comprehensive background and financial information and make a determination that options trading is suitable for the customer. Naked put writing on volatile biotech stocks is among the highest-risk options strategies available and is wholly unsuitable for a 78-year-old retiree with \$185,000 in total liquid assets, low risk tolerance, an

income/preservation objective, and zero options experience. The strategy exposed Margaret to theoretically substantial losses on an account she depended on for living and medical expenses.

2. ****Falsification of Account Documents****: Dempsey materially falsified Margaret's options application by inflating her liquid net worth from \$185,000 to \$400,000, changing her risk tolerance from "low" to "speculative," and misrepresenting her investment experience as "moderate." This constitutes a violation of FINRA Rules 2010 (Standards of Commercial Honor and Principles of Trade), 4511 (Books and Records), and potentially federal anti-fraud provisions. Falsifying customer records to obtain options approval is a well-established basis for sanctions including bars from the industry.

3. ****Failure to Deliver OCC Options Disclosure Document****: The OCC's standardized risk disclosure document, "Characteristics and Risks of Standardized Options," must be delivered to the customer at or before the time the account is approved for options trading, per FINRA Rule 2360(b)(11)(A). Dempsey never provided this document to Margaret, depriving her of mandatory risk disclosures.

4. ****Regulation Best Interest (Reg BI) - Care Obligation****: Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile including age, financial situation, needs, objectives, and risk tolerance. Recommending uncovered put writing on speculative biotech stocks to a 78-year-old retiree with low risk tolerance and dependence on her IRA for medical expenses is a textbook violation of the Care Obligation. There is no reasonable basis to conclude this strategy was in Margaret's best interest.

5. ****Reg BI - Disclosure Obligation****: Dempsey failed to disclose the material risks of the strategy, particularly the potential for catastrophic loss, and affirmatively mischaracterized the strategy as safe "clockwork" income.

6. ****Supervisory Failures (FINRA Rule 3110)****: The branch manager's cursory approval of a Level 4 options account for a customer whose original account form was inconsistent with the options application represents a supervisory failure. FINRA RN 21-15 specifically highlighted concerns about firms' options account approval processes, emphasizing that firms must have robust procedures to review options applications for consistency with existing account information and to ensure strategies are suitable. The branch manager's failure to identify the glaring discrepancies between the two documents is a textbook supervisory deficiency.

7. ****Senior Investor Exploitation****: FINRA has identified protection of senior investors as a priority. Margaret's age (78), health conditions, fixed income, and financial dependence on her IRA are all factors that should have heightened the advisor's and the firm's duty of care. Recommending the most aggressive options strategy to one of the most vulnerable customer profiles is an aggravating factor.

8. ****Post-Loss Conduct****: Dempsey's recommendation after the losses that Margaret sell additional naked puts to "average down" further demonstrates disregard for her interests and compounds the original violations.

****Likely Regulatory Outcome**:** Dempsey faces potential industry bar for falsification of records and unsuitable recommendations. The firm faces significant fines for supervisory failures in options account approval. Margaret is likely entitled to full restitution of her \$124,000 in losses. The branch manager may face individual supervisory sanctions. This fact pattern is consistent with enforcement priorities described in FINRA RN 21-15 regarding inadequate options approval processes and the wave of enforcement actions following the expansion of retail options trading.

Hypothetical 14

Topic: *options_unsuitable* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Marcus Ellison, age 24, worked as a barista in Portland, Oregon, earning approximately \$31,000 annually. He had a savings account with \$8,200, no prior investment experience, and approximately \$14,000 in student loan debt. In March 2024, Ellison opened an account online with Apex Edge Securities, a discount brokerage that had recently launched a mobile-first trading platform marketed heavily on social media with slogans like 'Unlock Your Financial Freedom' and 'Trade Like a Pro.' During the account opening process, Ellison completed an online questionnaire in which he indicated his investment objective was 'speculation,' his risk tolerance was 'aggressive,' his annual income was \$31,000, his liquid net worth was \$8,200, and his investment experience was 'none.' The platform's automated approval system granted Ellison Level 3 options trading privileges within minutes, which permitted selling uncovered (naked) calls and puts, as well as complex multi-leg spread strategies. No human at the firm reviewed the application before approval. No one from the firm contacted Ellison to discuss his understanding of options, the risks of naked writing, or whether such strategies aligned with his actual financial situation. The platform did present a hyperlink to the Options Disclosure Document during onboarding, but it was embedded in a scrollable terms-of-service page, and the system did not verify or track whether Ellison opened or read it. Ellison's assigned registered representative, Kevin Orozco, was listed as the supervisory point of contact on the account but never spoke with or communicated with Ellison at any point. Beginning in April 2024, Ellison-guided by tips from an online trading community-began selling naked put options on a volatile biotech stock, GenVara Therapeutics (ticker: GVTX), which was trading around \$45 per share. Over the next six weeks, Ellison sold 15 naked put contracts at various strike prices between \$40 and \$50, collecting approximately \$3,400 in total premiums. In mid-May 2024, GenVara announced a failed Phase III clinical trial, and the stock dropped to \$11 per share overnight. Ellison was assigned on 12 of the 15 contracts, obligating him to purchase 1,200 shares at strike prices averaging \$46, for a total obligation of approximately \$55,200. After accounting for the premiums collected and the market value of the assigned shares, Ellison faced a net loss of approximately \$38,600-more than four times his total liquid net worth. His account went into a margin deficit, and the firm liquidated his positions at a realized loss of \$34,100. Apex Edge Securities subsequently sent Ellison a collections notice for the remaining \$4,500 debit balance. Ellison filed a complaint in August 2024, alleging that he should never have been approved for Level 3 options and that no one at the firm ensured he understood what naked options writing entailed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple violations occurred at both the firm and individual representative level. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including the customer's investment objectives, employment status, estimated annual income, estimated net worth, investment experience, and marital status. The firm must also make a determination that options trading is suitable for the customer based on these facts. Here, Apex Edge Securities' automated system approved a 24-year-old customer with \$31,000 in income, \$8,200 in liquid net worth, no investment experience, and outstanding student debt for Level 3 options privileges-including the ability to sell naked puts and calls, which carry theoretically unlimited risk (naked calls) or substantial risk (naked puts). This approval was facially unreasonable. FINRA Regulatory Notice 21-15 specifically addresses concerns about firms' options account approval processes, warning that automated or algorithm-driven approval systems must still satisfy the substantive requirements of options account approval. The Notice emphasizes that firms cannot rely solely on customer self-reported selections such as 'aggressive' risk tolerance or 'speculation' as investment objective without reconciling those selections against other profile information-here, the customer's minimal income, negligible net worth, and zero experience directly contradicted the suitability of naked writing strategies. The firm was further required under FINRA Rule 2360(b)(16)(B) to furnish the OCC Options Disclosure Document at or before the time the account is approved, in a manner designed to ensure the customer receives and has the opportunity to review it. Burying a hyperlink within a scrollable terms-of-service page, with no mechanism to confirm the customer accessed or reviewed the document, fails to satisfy this delivery obligation. Representative Kevin Orozco, as the registered options principal or supervisory contact assigned to the account, had an independent obligation to review the account application and ensure suitability. His complete failure to contact or communicate with Ellison constitutes a supervisory failure under FINRA Rule 2360(b)(16)(A)(ii) and a violation of Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii), which requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill in making recommendations-or here, in approving an account that would facilitate self-directed trading in strategies with catastrophic loss potential. While Ellison's trades were self-directed, the firm's approval of the account level itself constitutes an implicit recommendation that the customer is suitable for those strategies, and regulators have consistently held that account-level approval decisions carry suitability obligations. The likely regulatory outcome includes: (1) a significant fine against Apex Edge Securities for systemic options approval failures, potentially in the range of \$500,000 to several million dollars depending on how many similarly situated customers were affected; (2) an order to remediate affected customers, including Ellison, potentially including forgiveness of the \$4,500 debit balance and restitution of losses; (3) potential suspension or fine for Orozco for failure to supervise; and (4) potential undertakings requiring the firm to overhaul its automated options approval system to incorporate human review for higher-risk approval levels, particularly for customers with limited income, net worth, or experience.

Hypothetical 15

Topic: *excessive_churning* | Difficulty: *hard*

Fact Pattern

Margaret Coburn, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed

[NON-COM

annual income of \$38,000 from her pension and Social Security, liquid savings of approximately \$185,000 in a brokerage account, and an additional \$60,000 in a savings account that she considers her emergency fund. She has no prior options trading experience and listed her investment objective as 'income and preservation of capital' when she opened her account in January 2022. Her risk tolerance was documented as 'low' on her new account form. Margaret's registered representative, Daniel Voss, age 34, approved her for Level 3 options trading in February 2022, which permitted spreads, covered and uncovered writing, and multi-leg strategies. Voss told Margaret that he could 'generate extra monthly income like clockwork' using options on blue-chip stocks she already owned. Over the following 14 months, Voss executed 347 options transactions in Margaret's account, including iron condors on the S&P 500 ETF, short strangles on individual tech equities, and weekly credit spreads on volatile biotech names. The account generated approximately \$41,200 in total commissions and fees for the firm during that period. Margaret's account value declined from \$185,000 to \$97,400, a loss of \$87,600. The annualized turnover rate in the account was 28.4, and the cost-to-equity ratio was approximately 54%. Many of the short strangles involved undefined-risk positions where theoretical losses were unlimited. On at least 19 occasions, margin calls were triggered in the account, and Voss liquidated positions at losses to meet those calls without prior consultation with Margaret. Margaret stated in a subsequent complaint that she did not understand what an iron condor or a strangle was, that she believed Voss was purchasing 'safe dividend stocks,' and that she only learned of the losses when her February 2023 account statement showed her balance had been cut nearly in half. Voss's branch manager had signed off on the Level 3 options approval despite Margaret's stated low risk tolerance and lack of experience, and no supervisory review of the account's trading activity was conducted until after Margaret filed her complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Voss violated multiple regulatory requirements, and the firm failed in its supervisory obligations. The analysis proceeds on several grounds:

1. ****Options Account Approval Failure (FINRA Rule 2360(b)(16))****: The approval of Margaret Coburn for Level 3 options trading was facially unsuitable. FINRA Rule 2360(b)(16)(B) requires that prior to approving a customer's account for options trading, a Registered Options Principal (ROP) must consider the customer's investment objectives, employment status, estimated annual income, estimated net worth, investment experience, age, and other relevant information. Margaret was a 71-year-old retired teacher with no options experience, low risk tolerance, and a capital preservation objective. Approving her for Level 3, which includes undefined-risk strategies like short strangles, was a clear violation. The OCC Options Disclosure Document, which must be provided at or before account approval, specifically warns about the risks of uncovered writing—risks fundamentally incompatible with Margaret's profile.
2. ****Quantitative Unsuitability / Excessive Trading (FINRA Rule 2111 and Reg BI Care Obligation)****: The trading activity in Margaret's account was excessive by any objective measure. An annualized turnover rate of 28.4 and a cost-to-equity ratio of 54% vastly exceed the thresholds that regulators and arbitration panels have historically considered indicative of churning. Courts and arbitration panels have generally found turnover ratios above 6 and cost-to-equity ratios above 20% to be strong evidence of excessive trading. Voss exercised de facto control over the account—Margaret did not understand the strategies being

employed and relied entirely on Voss's direction, satisfying the control element of a churning claim even in a nominally non-discretionary account.

3. **Qualitative Unsuitability**: Even if the volume of trading had been lower, the individual strategies were unsuitable. Short strangles on volatile biotech stocks carry theoretically unlimited risk and are categorically inappropriate for a 71-year-old retiree with low risk tolerance, limited income, and a preservation-of-capital objective. FINRA Regulatory Notice 21-15 specifically emphasized that firms must have robust controls to ensure options account approvals and ongoing trading activity are consistent with customer profiles, particularly in light of increased retail options activity.

4. **Reg BI Violations**: Under Regulation Best Interest's Care Obligation, Voss was required to exercise reasonable diligence, care, and skill in making each recommendation. Recommending 347 options trades-many involving undefined risk-to an unsophisticated retiree seeking capital preservation fails this standard. The Disclosure Obligation was also likely violated, as Margaret stated she believed safe dividend stocks were being purchased, indicating she was never meaningfully informed about the nature and risks of the strategies.

5. **Supervisory Failures (FINRA Rules 3110 and 2360(b)(20))**: The branch manager approved Level 3 options despite a customer profile that was incompatible with such approval. FINRA Rule 2360(b)(20) requires that a firm's written supervisory procedures include mechanisms for reviewing options account activity to detect and prevent unsuitable trading patterns. No supervisory review was conducted for 14 months despite 347 trades, 19 margin calls, and a near-50% account decline. This represents a systemic supervision failure.

Likely Regulatory Outcome: Voss faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry. The firm faces liability for supervisory failures. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$87,600 in account losses plus \$41,200 in excessive commissions, and potentially punitive damages given the egregious nature of the conduct. The firm could also face a FINRA enforcement action resulting in significant fines and undertakings to revise its options approval and supervisory procedures.

Hypothetical 16

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Marcus Webb, age 22, opened a brokerage account in March 2022 with \$4,800 he had saved from his part-time job at a restaurant while attending community college. Marcus had no prior investment experience and listed his annual income as \$19,000. On the account application, he indicated his investment objective was 'growth' and his risk tolerance was 'moderate.' Marcus had heard from friends and social media influencers that options trading was a fast way to grow a small account. His registered representative, Darren Holt, age 34, approved Marcus for Level 3 options trading within two days of account opening, which permitted uncovered put writing, spreads, and straddles. Darren did not conduct any in-person or

[NON-COM

phone conversation with Marcus to assess his understanding of options; the approval was handled entirely through an online questionnaire where Marcus self-reported two years of options experience and 'extensive' knowledge of derivatives - claims that were inconsistent with his age, education, employment history, and the fact that his account was his first brokerage relationship. Darren's branch manager later acknowledged that the online questionnaire answers were not cross-referenced against other account opening data. Over the following four months, Marcus executed 147 options trades, predominantly selling naked puts on volatile meme stocks and buying short-dated out-of-the-money call options. By July 2022, Marcus had lost \$11,300 - his entire initial deposit plus \$6,500 in margin debt the firm extended after his Level 3 approval. The firm sent Marcus a margin call, and when he could not meet it, liquidated his positions at a realized loss. Marcus filed a complaint alleging the firm should never have approved him for advanced options strategies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Holt and the firm violated multiple applicable standards governing options account approval and suitability. Under FINRA Rule 2360(b)(16), a registered representative and the firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including the customer's investment objectives, employment status, estimated annual income, net worth, investment experience, and liquid net worth. The rule requires specific supervisory approval by a Registered Options Principal (ROP) who must consider whether the customer's financial situation, investment experience, and stated objectives are consistent with the level of options trading being approved. Here, Marcus was a 22-year-old community college student earning \$19,000 per year at a part-time restaurant job, with only \$4,800 in savings and zero verifiable investment experience. Approving him for Level 3 options - which includes uncovered writing and complex multi-leg strategies - was plainly inconsistent with his profile.

FINRA Regulatory Notice 21-15 specifically addresses concerns about firms using digital platforms and automated processes to onboard customers for complex products like options. It reminds firms that they cannot rely solely on customer self-reported information when other information in the firm's possession (such as age, income, employment, and account history) contradicts those representations. Marcus's claim of two years of options experience and 'extensive' derivatives knowledge was facially inconsistent with his age, the fact that this was his first brokerage account, and his limited income. Darren and the branch had an obligation to investigate these inconsistencies before granting approval, and they failed to do so.

The OCC Options Disclosure Document must be delivered to the customer at or before the time the account is approved for options trading. While the fact pattern does not indicate whether this was provided, the substantive failure here goes beyond disclosure: even if the ODD was delivered, delivery alone does not cure an approval that is fundamentally unsuitable.

Under Regulation Best Interest (Reg BI), Darren owed Marcus a duty under the Care Obligation to exercise reasonable diligence, care, and skill in making recommendations and ensuring that the investment strategy involving options was in Marcus's best interest given his profile. Approving a young, inexperienced, low-income investor for the most aggressive tier of options trading - and then extending margin credit that allowed losses to exceed his deposit - fails this standard.

FINRA Rule 2361 further requires firms to have written supervisory procedures specific to options and to designate an ROP responsible for approving accounts. The branch manager's admission that the online questionnaire was not cross-referenced against other data suggests a systemic supervisory failure.

The likely regulatory outcome includes potential disciplinary action against both Darren and the firm, including fines, restitution to the customer, and possible suspension. The firm may also face an enforcement action for supervisory failures in its options approval process, consistent with recent enforcement trends targeting firms that use automated or streamlined approval workflows without adequate safeguards for inexperienced retail investors.

Hypothetical 17

Topic: *options_unsuitable* | Difficulty: *hard*

[NON-COMMERCIAL]

Fact Pattern

Marcus Delgado, age 23, worked as a barista in Portland, Oregon, earning approximately \$31,000 per year. He had \$8,200 in a brokerage account, no other savings, \$14,000 in student loan debt, and no prior investment experience beyond purchasing fractional shares of a few technology stocks over the previous six months. In March 2023, Marcus applied online for options trading through his brokerage firm, Apex Direct Securities. On the electronic application, Marcus listed his investment objective as 'speculation,' his risk tolerance as 'aggressive,' his annual income as \$31,000, his liquid net worth as \$8,200, and his investment experience as 'limited - less than one year.' He indicated zero years of options trading experience. Despite these answers, the firm's automated approval system granted Marcus Level 3 options privileges, which permitted naked call writing, multi-leg spread strategies, and uncovered put selling. No registered options principal personally reviewed the application before approval was granted. The firm's algorithm approved any applicant under age 30 who selected 'aggressive' risk tolerance, regardless of income, net worth, or experience inputs, as the firm's internal product team believed younger clients represented a growth demographic. Within two weeks, Marcus's assigned financial advisor, Jennifer Pruitt, encouraged him to begin selling naked puts on a volatile biotech stock trading at \$85 per share. Jennifer told Marcus this was 'basically free money as long as the stock doesn't crash.' She did not provide him with any options disclosure document before the trades. Over the next 45 days, Marcus sold twelve naked put contracts across three biotech names. When one of the biotech stocks dropped 62% following a failed FDA trial in May 2023, Marcus was assigned on five contracts and faced a margin call of \$27,400 - more than three times his entire account value. He could not meet the call, and the firm liquidated his account at a realized loss of \$19,800. Marcus filed a complaint alleging the firm should never have approved him for that level of options trading and that his advisor pushed him into strategies he did not understand. Jennifer Pruitt had been registered for 14 months at the time and had four other clients under age 25 with similar account profiles and similar naked option positions. The firm had no written supervisory procedures specific to reviewing options account approvals for customers with limited income, limited net worth, or no options experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, both the financial advisor Jennifer Pruitt and the firm Apex Direct Securities committed multiple violations.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that a registered options principal (ROP) specifically approve each options account after reviewing the customer's financial situation, investment objectives, and experience. The rule mandates consideration of the customer's investment objectives, employment status, estimated annual income, estimated net worth, estimated liquid net worth, marital status, age, investment experience, and any other relevant information. Here, Marcus had virtually no investment experience, zero options experience, minimal income (\$31,000), negligible liquid net worth (\$8,200), and significant debt (\$14,000 in student loans). The firm's automated system approved Level 3 options privileges - including naked writing - without any human ROP review, solely because the applicant was young and selected 'aggressive' risk tolerance. This is a clear violation of the requirement that a registered options principal exercise diligence in approving the account and determine that options trading is appropriate for the customer.

2. ****Failure to Deliver the OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), the OCC's Options Disclosure Document (ODD) - 'Characteristics and Risks of Standardized Options' - must be furnished to the customer at or prior to the time the account is approved for options trading. Jennifer Pruitt did not provide this document to Marcus at any point before he began trading. This is a standalone violation.

3. ****Unsuitable Recommendation - Reg BI and FINRA Rule 2111****: Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile including financial situation, needs, objectives, experience, and risk tolerance. Naked put writing is among the highest-risk options strategies, carrying theoretically substantial downside exposure. Recommending naked put sales on volatile biotech stocks to a 23-year-old with \$8,200 in total liquid assets, no options experience, and \$31,000 in annual income is patently unsuitable. The potential obligation from even a modest assignment could (and did) exceed Marcus's entire net worth multiple times over. Jennifer's characterization of naked put selling as 'basically free money' also raises concerns about misleading communications under FINRA Rule 2210.

4. ****Supervisory Failures (FINRA Rules 3110 and 2360(b)(20))****: The firm had no written supervisory procedures addressing options account approval for customers with limited resources or experience. FINRA Rule 2360(b)(20) requires firms to establish and maintain specific written procedures for the review and approval of options accounts. The algorithmic approval system that bypassed ROP review based solely on age and self-selected risk tolerance is a systemic supervisory failure. Additionally, the pattern of four other similarly situated young clients with naked options positions suggests a broader supervisory breakdown.

5. ****FINRA Regulatory Notice 21-15 Considerations****: RN 21-15 specifically addressed concerns arising from the proliferation of options trading by inexperienced retail investors, including through app-based platforms. It reminded firms of their obligations under Rules 2360 and 2361 regarding account approval,

margin requirements, and the need for meaningful human review - particularly for complex or high-risk strategies. The firm's conduct here is precisely the type of practice RN 21-15 targeted.

****Likely Regulatory Outcome**:** The firm would likely face enforcement action for systemic options approval failures, inadequate supervisory procedures, and failure to deliver the ODD. Jennifer Pruitt would likely face individual liability for unsuitable recommendations and failure to deliver disclosure documents. Potential sanctions include fines, disgorgement, restitution to Marcus, suspension or bar for Pruitt, and a requirement that the firm overhaul its options approval process. The pattern involving multiple similarly situated young clients could elevate this to a more significant enforcement matter. Marcus's complaint for \$19,800 in losses, plus the margin deficit, would likely succeed in arbitration.

Hypothetical 18

Topic: senior_investor_exploitation | Difficulty: hard

[NON-COM

Fact Pattern

Margaret Dalton, age 79, is a retired elementary school teacher living in suburban Ohio on a fixed income consisting of a \$2,100 monthly pension and \$1,850 in Social Security benefits. Her total liquid net worth is approximately \$410,000, held primarily in a rollover IRA that represents her entire retirement savings. She has no other significant assets aside from her home, which is fully paid off. Mrs. Dalton's investment experience is limited to owning a handful of blue-chip stocks and a balanced mutual fund for over twenty years; she has never traded options or derivatives of any kind. In March 2023, her long-time advisor retired, and her account was transferred to Kyle Brunner, a 31-year-old registered representative at the same branch office. During their first meeting, Mrs. Dalton explained that her primary goals were capital preservation, modest income generation to supplement her pension, and leaving a portion of her savings to her two grandchildren. She explicitly stated she could not afford to lose principal and described herself as conservative. Brunner told Mrs. Dalton that he could 'significantly boost her monthly income without much risk' by implementing a covered call writing program on individual equities. He submitted an options account application on her behalf, listing her risk tolerance as 'moderate/aggressive,' her investment objective as 'speculation,' her annual income as \$85,000, and her liquid net worth as \$750,000 - all figures that materially overstated her actual financial profile. The branch manager approved the account for Level 3 options trading, which permitted naked put writing and spread strategies, in addition to covered calls. No record exists that the branch manager spoke with Mrs. Dalton or independently verified any of the application information. The OCC Options Disclosure Document was mailed to Mrs. Dalton, but Brunner never discussed its contents with her, and she later stated she did not recall receiving or reading it. Over the next nine months, Brunner executed 147 options trades in Mrs. Dalton's IRA. While the strategy initially involved covered calls on large-cap stocks, it quickly evolved into selling naked puts on volatile technology and biotech names, including positions on stocks trading above \$300 per share with notional exposure exceeding \$180,000 on individual trades. In several instances, puts were assigned and Mrs. Dalton was forced to purchase shares at prices well above the current market value, creating immediate unrealized losses. Rather than closing these losing positions, Brunner sold additional puts at lower strikes to 'average down,' compounding the concentrated exposure. By December 2023, Mrs. Dalton's IRA had declined from \$410,000 to approximately \$191,000 - a loss of roughly \$219,000, or 53% of her retirement savings.

Commissions and fees during the nine-month period totaled \$34,600. When Mrs. Dalton called the branch in January 2024 after receiving her year-end statement, she was confused and distressed. She told the branch receptionist she had 'no idea what any of these trades were' and that she had only authorized 'something simple to get a little extra income.' Brunner did not return her calls for two weeks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brunner committed multiple serious violations, and the branch manager also bears supervisory liability.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** The options account application contained materially false information. Brunner listed Mrs. Dalton's income as \$85,000 (actual: approximately \$47,400), liquid net worth as \$750,000 (actual: \$410,000), risk tolerance as 'moderate/aggressive' (actual: conservative), and investment objective as 'speculation' (actual: capital preservation and income). FINRA Rule 2360(b)(16)(A) requires that member firms exercise due diligence to learn essential facts about each customer before approving an options account. Falsifying customer information on an options application to obtain higher-level approval is a well-established violation.

****Supervisory Failure (FINRA Rule 2360(b)(16)(B) and FINRA Rule 3110):** The branch manager approved Level 3 options trading - which includes naked put writing - for a 79-year-old retired schoolteacher with a conservative profile and limited investment experience, without any independent verification or direct contact with the customer. This represents a failure of the supervisory review process mandated for options account approvals. The branch manager's reliance on the inflated application figures without question was unreasonable given the customer's age and account history.

****OCC Disclosure Document (FINRA Rule 2360(b)(11)):** While the OCC Options Disclosure Document was apparently mailed, FINRA Rule 2360(b)(11)(A) requires that the document be furnished to the customer at or prior to the time the account is approved for options trading. Merely mailing the document without ensuring receipt or any discussion of the risks of the specific strategies to be employed - particularly naked put writing - is insufficient, especially for a senior investor with no options experience.

****Regulation Best Interest / Suitability Violations:** Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill to understand the potential risks and rewards of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Naked put writing on volatile biotech and tech stocks, with notional exposure exceeding \$180,000 per trade, in the IRA of a 79-year-old conservative retiree whose entire retirement savings was at stake, is fundamentally unsuitable and cannot satisfy a best interest standard. FINRA RN 21-15 specifically highlights concerns about firms approving retail customers for complex options strategies without adequate due diligence, and identifies automated or cursory account approval processes as a significant risk area.

****FINRA Rule 2361 (Suitability of Options):** This rule reinforces that no member shall recommend an options transaction unless there is a reasonable basis to believe the customer has the knowledge and

experience to evaluate the risks, the financial ability to bear the risks, and the recommendation is consistent with the customer's investment objectives. Mrs. Dalton met none of these criteria for naked put writing.

****Quantitative Unsuitability:**** The 147 trades in nine months in a retirement account designed for capital preservation strongly suggests excessive trading (churning). The \$34,600 in commissions and fees on an initial account value of \$410,000 represents an annualized cost-to-equity ratio of approximately 11.3%, far exceeding commonly accepted thresholds.

****Likely Regulatory Outcome:**** Brunner faces potential sanctions including fines, disgorgement of commissions, suspension, or a permanent industry bar. The branch manager faces supervisory sanctions. The firm is likely liable for restitution of Mrs. Dalton's losses. The falsification of the options application is an aggravating factor that regulators treat with particular seriousness. Given Mrs. Dalton's age and the magnitude of the losses relative to her total savings, this case also implicates FINRA's heightened scrutiny of senior investor exploitation (FINRA Rule 2165 and related guidance). A customer arbitration claim would likely result in a substantial award.

Hypothetical 19

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, age 68, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$42,000 from her state pension and Social Security. Her total liquid net worth is approximately \$285,000, held primarily in a rollover IRA from her teaching career. She has no prior experience trading options or any leveraged products, and her prior investment history consists solely of holding a target-date retirement fund and a small allocation to municipal bond funds. In March 2023, Margaret visited the branch office of her brokerage firm to discuss ways to generate additional income to help cover rising healthcare costs. Her financial advisor, Kevin Dandridge, age 34, had recently completed an internal training module on options strategies and was eager to implement what he had learned. During the meeting, Margaret expressed that she could not afford to lose any significant portion of her retirement savings and that she simply wanted modest supplemental income. Kevin noted on her new account form that her investment objective was 'income' and her risk tolerance was 'moderate.' He then recommended that Margaret open an options trading account approved for Level 3 trading, which at their firm permitted the sale of uncovered (naked) put options on individual equities. Kevin explained to Margaret that selling puts was 'essentially like getting paid to agree to buy stocks you'd want to own anyway at a discount,' and characterized the strategy as low-risk. He did not provide her with the standardized options disclosure document prior to opening the account, nor did he document any discussion of the risks of naked put writing, including the possibility of substantial losses if the underlying stocks declined sharply. The branch manager approved the Level 3 options account the same day based on the information Kevin submitted, which listed Margaret's net worth and income but did not flag her lack of options experience or her stated inability to absorb significant losses. Over the next five months, Kevin directed Margaret to sell naked puts on several volatile technology and biotech stocks, including positions in companies with market capitalizations under \$2 billion. In September 2023, a broad market selloff caused three of Margaret's short

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put positions to move deep in-the-money. She was assigned on all three, requiring her to purchase the shares at prices well above the current market. The resulting unrealized losses totaled \$74,000 - roughly 26% of her total retirement savings. Margaret was also assessed a margin call of \$31,000, which she could not meet without liquidating portions of her bond fund holdings at a loss. She filed a complaint with the firm in October 2023, stating she never understood she could lose more than the premiums she collected and that Kevin had assured her the strategy was safe for retirees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dandridge committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must deliver the OCC Options Disclosure Document (ODD) to a customer at or before the time the account is approved for options trading. Kevin failed to provide this document to Margaret, depriving her of the standardized risk disclosures that are a prerequisite to informed consent. Second, FINRA Rule 2360(b)(19) requires that a registered options principal (ROP) or branch manager evaluate the customer's investment objectives, financial situation, investment experience, and ability to bear risk before approving an options account and the specific level of trading authority. Margaret had zero options experience, a fixed and modest income, stated she could not afford significant losses, and her sole objective was supplemental income. Approving her for Level 3 - uncovered put writing - was a clear failure of the account approval process. The branch manager's same-day approval without flagging these red flags constitutes a supervisory failure under FINRA Rule 2360(b)(19)(B). Third, under Regulation Best Interest (Reg BI), specifically the Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making recommendations. Naked put selling on small-cap, volatile stocks exposes the seller to losses that can far exceed the premiums received, and the margin requirements can force liquidation of other holdings. This strategy was wholly inconsistent with Margaret's conservative profile, limited income, dependence on her retirement savings, and lack of sophistication. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the need for firms to ensure that approval processes meaningfully consider whether the customer's profile supports the level of options trading granted. The Notice calls out deficiencies where firms rely on customer-submitted data without verifying consistency against known customer attributes - exactly what occurred here when the branch manager approved the account without noting the disconnect between Level 3 authority and Margaret's experience and risk tolerance. Kevin's characterization of naked put writing as 'low-risk' and 'safe for retirees' was materially misleading, violating FINRA Rule 2210 (communications with the public) standards regarding fair and balanced presentation. The likely regulatory outcomes include: (1) disgorgement of commissions earned on the options transactions; (2) restitution to Margaret for her losses; (3) potential suspension or bar for Kevin for recommending an unsuitable strategy and failing to deliver required disclosures; (4) a fine and censure for the firm for supervisory failures in the options account approval process; and (5) potential enhanced supervisory requirements imposed on the branch. The \$74,000 loss representing 26% of a 68-year-old retiree's total liquid net worth from a strategy she did not understand is a textbook case of options unsuitability.

Fact Pattern

Margaret Dawson, age 71, is a retired school librarian living in Tallahassee, Florida, with an annual pension income of \$42,000, a \$280,000 rollover IRA, and \$65,000 in a savings account. She had no prior experience trading options and described her investment objective as capital preservation with modest income supplementation to cover prescription drug costs. Her risk tolerance was documented as "conservative" on her new account form. In March 2022, her financial advisor, Kevin Hurley, at a mid-sized broker-dealer, recommended Mrs. Dawson open an options-enabled brokerage account to "generate extra monthly income through safe strategies." Hurley approved her for Level 3 options trading, which permitted spreads, straddles, and uncovered (naked) put writing. Over the next fourteen months, Hurley executed 347 options trades in Mrs. Dawson's account, primarily involving weekly and bi-weekly expirations on volatile technology stocks including Tesla, NVIDIA, and Amazon. The trading included repeated sequences of buying and selling vertical call spreads and iron condors on the same underlying securities within days, often closing positions at small losses only to re-enter nearly identical positions the same week. The account generated \$61,400 in total commissions and fees during this period. The annualized turnover rate in the account was approximately 38 times, and the cost-to-equity ratio exceeded 74%. Mrs. Dawson's account value declined from \$280,000 to \$149,000 over the fourteen months, a loss of approximately \$131,000, of which \$61,400 was attributable to transaction costs alone. When Mrs. Dawson called Hurley in May 2023 expressing concern about her dwindling account balance, he told her the losses were "temporary market noise" and recommended she deposit an additional \$30,000 from her savings account to "average into better positions." Mrs. Dawson's daughter, a CPA, reviewed the account statements in June 2023 and discovered the volume of trading. Mrs. Dawson stated she had never been provided the standardized options disclosure document prior to her first trade and did not understand the meaning of terms like "iron condor" or "naked put." Hurley's branch manager had signed off on the Level 3 options approval without conducting an independent interview with Mrs. Dawson or documenting any rationale for why the elevated approval level was appropriate for her profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Hurley committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving options trading, including the customer's financial situation, investment experience, and investment objectives. The branch manager's approval of Level 3 options trading - permitting uncovered puts, straddles, and complex spread strategies - for a 71-year-old retired librarian with no options experience, conservative risk tolerance, and a capital preservation objective was a clear account approval failure. FINRA RN 21-15 specifically reminded firms to strengthen their options account approval programs and highlighted concerns about firms granting elevated options approval levels without adequate due diligence, particularly for unsophisticated retail investors. Second, the failure to deliver the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') prior to or at the time of account approval is a direct violation of FINRA Rule 2360(b)(11)(A)(1), which mandates delivery of this document at or before the time the account is approved for options trading. Without this disclosure, Mrs. Dawson could not have made an informed decision about the risks she was undertaking. Third, the trading activity itself constitutes classic

excessive trading (churning) in violation of FINRA Rule 2111 (suitability) and Regulation Best Interest. An annualized turnover rate of 38 and a cost-to-equity ratio of 74% are far beyond the thresholds commonly used to establish churning - courts and arbitration panels have routinely found turnover rates above 6 and cost-to-equity ratios above 20% to be presumptive evidence of excessive trading. The 347 trades in 14 months in weekly expirations on volatile tech stocks in an account belonging to a conservative, elderly, inexperienced investor had no rational investment purpose and served primarily to generate commissions for Hurley. Under Reg BI's Care Obligation (17 CFR 240.15l-1), Hurley was required to exercise reasonable diligence, care, and skill to ensure that the series of recommended transactions was in Mrs. Dawson's best interest and did not place his own financial interests ahead of hers. The massive commission generation relative to account size demonstrates Hurley prioritized his compensation over his client's welfare. Additionally, FINRA Rule 2361 requires firms to have written supervisory procedures specific to options, and the branch manager's rubber-stamp approval without an independent customer interview or documented rationale represents a supervisory failure under FINRA Rules 3110 and 3120. The likely regulatory outcome would include disgorgement of commissions, restitution to Mrs. Dawson, significant fines against both Hurley and the firm, potential suspension or bar of Hurley, and a supervisory deficiency finding against the branch manager.

Hypothetical 21

[NON-COM

Topic: complex_products_unsophisticated_investor | Difficulty: hard

Fact Pattern

Marcus Whitfield, age 22, opened a brokerage account in March 2023 with a registered representative named Todd Brennan at a mid-sized online broker-dealer. Marcus had just started his first full-time job as a warehouse logistics coordinator earning \$41,000 per year. He had \$8,200 in savings, no prior investment experience, and indicated on his new account form that his investment objective was 'growth' and his risk tolerance was 'moderate.' He had never purchased a stock or mutual fund before and told Todd during their initial phone call that he wanted to 'learn how to invest' and had been watching YouTube videos about people making money with options trading.

Todd approved Marcus for Level 3 options trading within two days of account opening, which permitted the purchase of calls and puts, covered call writing, cash-secured puts, spreads, and naked put writing. Todd did not conduct any additional inquiry beyond the new account form, did not ask Marcus whether he understood concepts like implied volatility, theta decay, assignment risk, or margin requirements, and did not provide the Options Disclosure Document before approval. The firm's options approval matrix recommended that Level 3 be limited to customers with at least two years of options trading experience, a minimum liquid net worth of \$50,000, and an investment objective of 'speculation.' Todd overrode these parameters in the system by manually entering that Marcus had '2+ years' of options experience and a liquid net worth of \$55,000, neither of which was accurate.

Between April and September 2023, Todd recommended a series of options strategies to Marcus. In April, Todd recommended Marcus sell cash-secured puts on three volatile biotech stocks-Axion Therapeutics, Genuvex Corp, and NovaPrime Biologics-each with strike prices near the money and 30-day expirations.

Marcus allocated \$6,500 of his \$8,200 in savings to collateralize these positions. In June, after two of the puts were assigned and Marcus found himself holding \$4,800 worth of biotech shares he hadn't intended to own, Todd recommended Marcus sell covered calls against those positions at strike prices well below Marcus's cost basis, effectively locking in losses if the calls were exercised. In August, Todd recommended Marcus enter a series of vertical put spreads on a semiconductor ETF, requiring Marcus to deposit an additional \$3,000 he borrowed from a personal line of credit. Todd was aware Marcus was borrowing money to fund these trades.

By September 2023, Marcus's account had declined from \$8,200 to \$1,740, a loss of approximately 79%. Marcus had also accumulated \$3,000 in personal debt from the credit line. The combined options commissions and fees across all trades totaled \$1,180. Marcus filed a complaint with the firm stating he did not understand the strategies Todd had recommended and that he had never received any written disclosure about options risks. An internal review revealed Todd's manual overrides of the options approval matrix and the absence of any record that the Options Disclosure Document had been delivered to Marcus prior to or at the time of account approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Todd Brennan committed multiple serious violations of applicable regulatory standards.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer for options trading, a registered representative and the firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, employment status, investment experience, and knowledge of options. Todd failed to conduct any meaningful inquiry into Marcus's understanding of options concepts and approved him for Level 3 options—which includes complex strategies like naked put writing and spreads—despite Marcus having zero investment experience, minimal savings, and moderate risk tolerance. The firm's own internal options approval matrix required at least two years of options experience, \$50,000 in liquid net worth, and a speculative investment objective for Level 3 approval. Todd fraudulently overrode these parameters by entering false information (fabricating 2+ years of experience and \$55,000 in net worth), which constitutes falsification of books and records in violation of FINRA Rules 4511 and 2010 (standards of commercial honor and just and equitable principles of trade).

2. ****Failure to Deliver the OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), the OCC Options Disclosure Document (ODD) must be furnished to the customer at or prior to the time the account is approved for options trading. The internal review confirmed no ODD was delivered to Marcus. This is a standalone violation regardless of whether the strategies were otherwise suitable.

3. ****Unsuitable Recommendations Under Reg BI and FINRA Rule 2111****: Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile including financial situation, risk tolerance, and investment experience. Selling cash-secured puts on volatile biotech stocks was wholly unsuitable for a 22-year-old first-time investor with \$8,200 in total savings and moderate risk tolerance. The subsequent covered call strategy that locked in losses and the vertical put

spreads funded by borrowed money further compounded the unsuitability. FINRA Regulatory Notice 21-15 specifically highlights the risks of complex options strategies being offered to inexperienced retail investors and emphasizes heightened supervisory obligations, including robust account approval processes and meaningful assessment of customer knowledge.

4. ****Encouraging Borrowing to Fund Speculative Trading****: Todd's awareness that Marcus was borrowing \$3,000 from a personal credit line to fund additional options trades, combined with his continued recommendations, demonstrates a disregard for Marcus's financial welfare and further supports a finding that the recommendations were not in Marcus's best interest.

5. ****Likely Regulatory Outcome****: Todd faces potential sanctions including fines, suspension, or a bar from the securities industry for falsifying records, failing to deliver the ODD, and making unsuitable recommendations. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect or prevent Todd's manual overrides of the options approval matrix. Marcus would likely prevail in an arbitration claim seeking compensatory damages of approximately \$9,460 (the \$6,460 account loss plus \$3,000 in debt incurred), plus commissions and fees of \$1,180. Enforcement action consistent with precedents in the Robinhood-era enforcement environment-where regulators have specifically targeted inadequate options approval processes for unsophisticated retail customers-is highly probable.

Hypothetical 22

Topic: *options_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Tillman, age 63, is a retired school librarian living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$210,000, held primarily in a rollover IRA and a small taxable brokerage account with \$47,000. She has no prior experience trading options or any derivative instruments. Her stated investment objectives on her new account form are "income" and "preservation of capital," and she marked her risk tolerance as "conservative." In January 2023, Margaret opened an account with Ridgeline Financial Partners after seeing an advertisement promising "strategies to boost your retirement income." Her advisor, Kyle Brunner, age 29, completed the options account approval paperwork on her behalf. On the application, Brunner listed Margaret's investment experience as "intermediate" and her risk tolerance as "moderate/aggressive," which differed from what Margaret had indicated on her original new account form. The branch manager approved the account for Level 3 options trading, which permitted uncovered put writing and multi-leg spread strategies. Over the next five months, Brunner recommended that Margaret execute a series of complex multi-leg options trades - primarily iron condors and short strangles - on high-volatility technology stocks including Tesla, Nvidia, and Amazon, timed around those companies' quarterly earnings announcements. Brunner told Margaret these were "safe income plays" that would generate "steady monthly cash like collecting rent." Between January and June 2023, Margaret executed 34 multi-leg options trades in her taxable account. The aggregate premiums she collected totaled approximately \$6,800, but her realized losses on positions that moved against her totaled \$29,400. Additionally, she paid \$2,100 in commissions and fees. By June 2023, her taxable account had declined from \$47,000 to approximately

\$22,300 - a loss of over 52%. Margaret states she did not understand the risk of the strategies, was never provided with a standardized options risk disclosure booklet, and believed her advisor when he described the trades as conservative income-generating strategies. Brunner's branch manager conducted no independent review of the options trades after the initial account approval despite the rapid losses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brunner violated multiple regulatory requirements regarding options suitability, account approval, and customer protection.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm must exercise due diligence to learn the essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. The branch manager approved Margaret for Level 3 options trading - which includes uncovered writing and complex multi-leg strategies - despite her actual profile as a conservative, income-oriented retiree with zero options experience. The approval was based on falsified information entered by Brunner, who inflated her experience level and risk tolerance on the options application. This constitutes a failure of the account approval process under Rule 2360(b)(16)(B).

****Falsification of Customer Information:** Brunner recorded Margaret's investment experience as "intermediate" and her risk tolerance as "moderate/aggressive" on the options application, directly contradicting the "conservative" risk tolerance and lack of options experience documented on her original new account form. This misrepresentation of customer information to obtain an unsuitable account approval level is a serious violation.

****OCC Options Disclosure Document (ODD):** The Options Clearing Corporation requires, and FINRA Rule 2360(b)(11)(A)(1) mandates, that a copy of the OCC's standardized options disclosure document ("Characteristics and Risks of Standardized Options") be provided to every customer at or before the time the account is approved for options trading. Margaret states she never received this document, which constitutes a clear violation of this delivery requirement.

****Suitability and Regulation Best Interest (Reg BI):** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations to retail customers, considering the customer's investment profile including age, financial situation, risk tolerance, and investment objectives. Short strangles and iron condors on high-volatility technology stocks timed around earnings announcements are among the riskiest options strategies available. Academic research has demonstrated that retail investors trading complex multi-leg options around earnings announcements experience significant average losses (often exceeding -16% over short holding periods) due to overestimation of volatility and the lottery-like payoff structures. Recommending these strategies to a 63-year-old conservative retiree with no options experience, limited liquid assets, and income/preservation objectives is a textbook suitability violation.

****FINRA Regulatory Notice 21-15:** This notice specifically addresses concerns about options account

approvals and complex options trading by retail investors, emphasizing that firms must have robust supervisory systems for options account approval that go beyond rubber-stamping applications. The notice highlights that firms should consider whether customers truly understand the risks of complex options strategies and whether those strategies align with their stated objectives. The branch manager's failure to conduct any post-approval review despite rapid and significant losses further violates supervisory obligations under FINRA Rules 3110 and 2360(b)(16).

****Misrepresentation:**** Brunner's characterization of short strangles and iron condors as "safe income plays" comparable to "collecting rent" constitutes a materially misleading description of strategies that carry substantial and potentially unlimited risk (particularly short strangles). This violates FINRA Rule 2210 (communications with the public) and Reg BI's Disclosure Obligation.

****Likely Regulatory Outcome:**** Brunner faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm faces potential liability for supervisory failures under FINRA Rule 3110. Margaret would likely prevail in a FINRA arbitration claim for damages of approximately \$24,700 (the net loss) plus fees and costs. The branch manager could face individual liability for approving the account on falsified information and for failing to supervise the trading activity.

Hypothetical 23

[NON-COM

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 63, is a retired elementary school teacher living in Dayton, Ohio. She has a pension paying \$3,200 per month, Social Security benefits of \$1,850 per month, a savings account with \$45,000, and a rollover IRA containing \$310,000 invested in a mix of bond funds and a stable value fund. She has no prior experience trading stocks individually and has never used options or derivatives of any kind. Her stated investment objective on her new account application was "income and capital preservation," and she marked her risk tolerance as "conservative." In March 2023, she opened an account with Derek Halloran, a registered representative at a mid-size broker-dealer, after attending a free dinner seminar at a local restaurant. The seminar was titled "Supercharge Your Retirement Income." During her initial meeting, Halloran told Margaret that she could "easily double her monthly income" using a strategy involving selling weekly put options on high-volatility technology stocks such as Tesla, Nvidia, and Amazon. He described the strategy as "collecting rent, just like being a landlord" and told her the premiums she would collect were "practically risk-free income." He did not provide her with a copy of the options disclosure document prior to account approval. Halloran submitted her options account application to his firm's principal, listing her investment experience as "moderate" and her risk tolerance as "aggressive growth," which contradicted the information Margaret had provided. The principal approved the account for Level 3 options trading, which permitted uncovered put writing. Between March and August 2023, Halloran executed 74 short put transactions in Margaret's IRA, generating \$18,400 in premiums but also resulting in assignment losses of \$67,000 when several of the underlying tech stocks dropped sharply during a market pullback in June and July. Margaret's IRA balance fell from \$310,000 to \$224,000, a loss of approximately 27.7%. Halloran earned \$11,200 in commissions on these trades. When Margaret called the firm in August

to complain, she said she had never understood what a "put option" was and believed she was simply earning extra dividends on safe investments. She stated she had never seen or signed any options agreement and did not know her account had been approved for uncovered writing.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halloran committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must obtain approval from a designated Registered Options Principal (ROP) before any customer options account is opened, and the ROP must base the approval on a review of the customer's actual financial situation, investment experience, and investment objectives. Halloran falsified Margaret's application by listing her experience as 'moderate' and her risk tolerance as 'aggressive growth,' directly contradicting the conservative, income-oriented profile she actually provided. This misrepresentation of customer information on an account application is itself a serious violation.

Second, FINRA Rule 2360(b)(11)(a)(i) requires that the current OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') be provided to the customer at or before the time the account is approved for options trading. Margaret was never furnished with this document, depriving her of the mandated risk disclosures about options strategies, including the substantial risks of writing uncovered puts.

Third, under Regulation Best Interest and FINRA Rule 2360's specific suitability provisions, a broker must have a reasonable basis to believe that the recommended options strategy is suitable for the particular customer based on her investment profile. Selling uncovered (naked) puts on high-volatility technology stocks is among the riskiest options strategies available. It exposes the writer to theoretically massive losses if the underlying stock declines significantly. This strategy is fundamentally incompatible with a 63-year-old retired teacher with no options experience, conservative risk tolerance, and stated objectives of income and capital preservation. FINRA Regulatory Notice 21-15 specifically reminds firms that account approval and supervision processes for options must be robust, particularly in light of increased retail participation, and that firms must ensure customers understand the risks before being approved for complex strategies.

Fourth, the ROP who approved the account for Level 3 (uncovered writing) failed in supervisory duties under FINRA Rule 2360(b)(16)(B) by not verifying the accuracy of the application or questioning why a retired teacher with no options experience would be approved for the highest-risk options tier.

The characterization of uncovered put selling as 'practically risk-free' and analogous to 'collecting rent' constitutes a materially misleading representation about the risks of the strategy. The resulting 27.7% loss in a retirement account underscores the unsuitability and harm.

Likely regulatory outcomes include: potential suspension or bar for Halloran; fines and restitution orders against both Halloran and the firm; potential supervisory sanctions against the approving principal; and the firm could face additional sanctions for inadequate supervisory systems related to options account approval under FINRA Rules 2360 and 3110.

Hypothetical 24

Topic: options_unsuitable | Difficulty: hard

Fact Pattern

Margaret Oleska, age 71, is a retired school librarian living in suburban Milwaukee, Wisconsin. She has a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held primarily in a rollover IRA and a taxable brokerage account. She has no prior experience trading options or any leveraged products, and her investment history consists exclusively of certificates of deposit, Treasury bonds, and a single blue-chip equity mutual fund she has held for over fifteen years. In March 2024, Margaret's grandson recommended she open an account with a mid-sized online brokerage firm. During the onboarding process, her assigned advisor, Derek Pallone, age 34, conducted a brief fifteen-minute phone call during which he asked Margaret about her financial goals. Margaret stated that she wanted to generate a little extra monthly income to supplement her pension and Social Security, and that she could not afford to lose any meaningful portion of her savings because she had no other safety net. She described herself as a conservative investor and said she had never used margin or traded anything other than bonds and mutual funds. Despite this conversation, Derek completed Margaret's options account application indicating her investment objective as 'speculation,' her risk tolerance as 'aggressive,' and her investment experience as 'extensive - more than 10 years of options trading.' He approved her for Level 4 options trading, which at this firm permitted uncovered (naked) call and put writing, as well as complex multi-leg spread strategies. Derek told Margaret that selling covered calls on shares of stock she already owned would be a safe way to earn additional income, but he did not explain the other strategies her account authorization would permit. He did not provide or confirm delivery of the standardized options risk disclosure document published by the clearinghouse. Over the following five months, Derek recommended and executed a series of increasingly complex trades in Margaret's taxable account: initially covered calls on 200 shares of a large-cap utility stock she owned, but quickly escalating to iron condors on the S&P 500 index, short strangles on high-volatility biotech equities, and ultimately naked put writing on a leveraged semiconductor ETF. Margaret did not understand the mechanics of any of these strategies and relied entirely on Derek's assurances that they were 'basically the same thing as collecting rent on a property.' By August 2024, a sudden market correction caused her naked put positions to move deeply in the money. She received a margin call of \$47,000, which she was unable to meet. The firm liquidated her positions at a realized loss of \$61,200 - roughly one-third of her total life savings. Margaret's account records show she generated approximately \$3,400 in net premium income before the losses, and Derek's firm collected \$8,900 in commissions and fees across 43 options transactions during the five-month period. An internal compliance review later revealed that the firm's options principal had batch-approved 114 new Level 4 options accounts during a single afternoon in March 2024, spending an average of forty-five seconds per application, and had not flagged any inconsistencies between Margaret's stated profile during the phone call and the information Derek entered on the application.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pallone committed multiple serious violations of applicable regulatory standards, and the firm's

supervisory infrastructure failed at every level.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Before approving a customer for options trading, member firms must exercise due diligence to ascertain the essential facts about the customer - including investment objectives, financial situation, investment experience, and risk tolerance. The registered options principal (ROP) is required to review and individually approve each options account, confirming that the level of authorization is appropriate for the customer's profile. Here, the ROP batch-approved 114 accounts in a single afternoon at approximately 45 seconds per application, which is facially inadequate and constitutes a wholesale failure of supervisory review under FINRA Rules 2360(b)(16)(B) and 3110.

****Falsification of Customer Information:** Derek recorded Margaret's investment objective as 'speculation,' her risk tolerance as 'aggressive,' and her options experience as 'extensive - more than 10 years,' all of which directly contradicted what she communicated during the intake call. Entering false customer information to obtain a higher options approval level is a violation of FINRA Rule 2360(b)(16)(A)(i)-(ii) and constitutes a violation of just and equitable principles of trade under FINRA Rule 2010. This is consistent with the pattern of account-opening deficiencies described in FINRA Regulatory Notice 21-15, which specifically warned firms about the dangers of approving customers for options strategies inconsistent with their actual profiles.

****Failure to Deliver the OCC Options Disclosure Document:** FINRA Rule 2360(b)(11) requires that the current Options Clearing Corporation (OCC) Options Disclosure Document ('Characteristics and Risks of Standardized Options') be furnished to each customer at or prior to the time the account is approved for options trading. Derek did not provide or confirm delivery of this document to Margaret. This is a standalone violation and also deprived Margaret of material information about the risks of the strategies executed in her account.

****Regulation Best Interest Violations:** Under SEC Regulation BI (17 CFR § 240.15l-1), a broker-dealer must act in the retail customer's best interest at the time of a recommendation and may not place its own interests ahead of the customer's. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. Naked put writing and short strangles on high-volatility biotech names are among the most aggressive strategies available and carry theoretically unlimited or extremely large loss potential. These strategies are categorically unsuitable for a 71-year-old retired librarian with \$185,000 in total savings, no options experience, conservative risk tolerance, an income-generation objective, and no capacity to absorb margin calls. The escalation from covered calls to naked puts and short strangles, generating \$8,900 in commissions against only \$3,400 in net premium income, further evidences that Derek's recommendations were driven by revenue generation rather than the customer's interest, implicating the Conflict of Interest Obligation under Reg BI.

****FINRA Rule 2360(b)(19) - Suitability of Options Transactions:** This rule independently requires that every options recommendation be suitable for the particular customer, with specific attention to the customer's financial situation, investment experience, and investment objectives. Level 4 strategies such as uncovered writing are explicitly designated for only the most experienced, well-capitalized, and risk-tolerant

customers. Margaret met none of these criteria.

****Likely Regulatory Outcome:**** Derek faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm faces potential action for supervisory failures under FINRA Rules 3110 and 3120, including the ROP's deficient account approval process. Margaret would likely prevail in a customer arbitration claim for the \$61,200 in realized losses plus commissions paid, and possibly consequential damages. This fact pattern closely mirrors the types of options-related failures that led to FINRA's heightened enforcement focus in the post-2020 retail trading surge, as detailed in Regulatory Notice 21-15.

Hypothetical 25

[NON-COM

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Marcus Brennan, a registered representative at Coastal Securities in Tampa, Florida, opened an options trading account in March 2022 for Dolores Vega, a 71-year-old retired school librarian. Mrs. Vega had a fixed annual income of \$34,000 from Social Security and a small pension, liquid savings of approximately \$185,000 in a money market account and CDs, and no prior experience trading securities of any kind. She visited Brennan's office after seeing an advertisement promising 'income-enhancing strategies for retirees.' During their initial meeting, which lasted approximately 25 minutes, Brennan asked Mrs. Vega to complete an account application. Mrs. Vega indicated on the form that her investment objective was 'income' and her risk tolerance was 'conservative.' She told Brennan she wanted to earn a little more interest than her CDs were paying but could not afford to lose her savings, as they represented her emergency fund and supplemental retirement cushion. Brennan noted on the options account application that Mrs. Vega had '2 years options experience' and an 'aggressive' risk tolerance, which contradicted what she had stated verbally and on her general brokerage application. He approved her for Level 3 options trading, which permitted uncovered put writing and spread strategies. Brennan did not provide Mrs. Vega with the standardized options risk disclosure booklet prior to or at the time of account approval. Over the following four months, Brennan executed 37 options trades in Mrs. Vega's account, including selling uncovered puts on volatile technology stocks such as Shopify and Roku. By August 2022, a series of put assignments resulted in Mrs. Vega being forced to purchase shares she could not afford to hold. Her account declined from \$185,000 to \$97,400, a loss of \$87,600. When Mrs. Vega called the firm to complain, she told the branch manager she had never heard of a 'naked put' and did not understand what had happened to her money. A subsequent internal review revealed that no updated financial profile had been obtained after the initial meeting, no options disclosure document delivery was documented, and the options approval form contained information inconsistent with Mrs. Vega's general new account form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Brennan committed multiple serious violations related to options account approval, customer knowledge, and suitability. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to

ascertain the essential facts about every customer prior to approving an options account, including the customer's investment objectives, financial situation, investment experience, and the nature of other investments. Brennan failed to accurately capture Mrs. Vega's profile: she verbally stated and documented on her general account application that she was conservative with an income objective and had no securities experience, yet Brennan's options application falsely recorded 2 years of options experience and an aggressive risk tolerance. This falsification of customer information is a direct violation of the know-your-customer requirements embedded in FINRA Rules 2360 and 2090.

Further, FINRA Rule 2360(b)(16)(B) and the OCC Options Disclosure Document (ODD) delivery requirements mandate that a copy of the current ODD be provided to every customer at or before the time the account is approved for options trading. The internal review confirmed no ODD delivery was documented, which constitutes an independent violation.

Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), Brennan had a duty to exercise reasonable diligence, care, and skill in recommending options strategies, and to have a reasonable basis to believe that the recommendations were in Mrs. Vega's best interest based on her actual profile. Level 3 options authorization-permitting uncovered put writing is categorically unsuitable for a 71-year-old conservative retiree with limited income, no investment experience, and savings that represent her financial safety net. Naked put selling carries substantial risk of loss, including the obligation to purchase shares at prices far above market value, which is exactly what occurred here.

FINRA Regulatory Notice 21-15 specifically addressed heightened concerns regarding options account approvals, emphasizing that firms must have robust supervisory systems to evaluate whether options approval levels are consistent with customer profiles and that approval should not be automated or rubber-stamped without meaningful review. The inconsistency between Vega's general account form and her options application should have been caught by supervisory review.

The likely regulatory outcome includes disgorgement of commissions, restitution to Mrs. Vega for the \$87,600 in losses, a fine against both Brennan and the firm, a potential suspension or bar for Brennan based on the falsification of customer records, and heightened supervisory requirements imposed on the firm. The firm itself faces liability under FINRA Rule 2360(b)(16)(C) for failing to supervise the options approval process and for failing to detect the conflicting account documentation.

Hypothetical 26

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

Margaret Colvin, age 71, is a retired elementary school teacher in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security, liquid savings of \$185,000 in a money market account, and an IRA valued at \$310,000 invested primarily in Treasury bonds and investment-grade municipal bond funds. She has no prior experience trading options or any leveraged products. In March 2023, Margaret visited the branch office of her brokerage firm to discuss ways to generate a modest

[NON-COM

amount of additional income from her IRA without jeopardizing her principal. Her advisor, Kevin Hartwell, age 34, suggested that selling cash-secured put options on large-cap stocks would be a conservative way to collect premium income. Kevin completed Margaret's new options account application, listing her risk tolerance as 'moderate' and her investment objective as 'speculation,' even though Margaret told him she was conservative and simply wanted income. Kevin approved her account for Level 3 options trading, which at the firm permitted naked put writing, spreads, and straddles. He did not provide Margaret with the standardized options disclosure document before her first trade. Over the next five months, Kevin executed 47 short put option trades in Margaret's IRA on volatile technology and biotech stocks, including positions on companies like a mid-cap semiconductor firm and an early-stage pharmaceutical company. Many of the puts were written at strike prices close to the money with expirations of one to two weeks. In August 2023, several positions were assigned during a market downturn, forcing Margaret's account to purchase approximately \$127,000 worth of stock in three speculative companies. By October 2023, those stock positions had declined in value by 41%, resulting in unrealized losses of approximately \$52,000. Margaret's total IRA value fell from \$310,000 to \$244,000. Margaret states she never understood what a put option was, was never told she could be forced to buy stock, and believed Kevin was simply placing conservative income trades.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Hartwell committed multiple serious violations across several regulatory frameworks.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Before approving a customer for options trading, a registered representative and a Registered Options Principal (ROP) must exercise due diligence to learn the essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. Kevin deliberately mischaracterized Margaret's risk tolerance as 'moderate' and her investment objective as 'speculation' when she explicitly stated she was conservative and sought income. Approving a 71-year-old retired teacher with no options experience for Level 3 options trading - which includes naked put writing - is a clear failure of the account approval process. The firm's supervisory system also failed if an ROP reviewed and approved this application without flagging the inconsistencies.

****Failure to Deliver the OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the OCC's 'Characteristics and Risks of Standardized Options' disclosure document must be provided to the customer at or before the time the account is approved for options trading. Kevin did not provide this document to Margaret before her first trade, depriving her of the opportunity to understand the fundamental risks, including assignment risk.

****Suitability and Reg BI Violations (FINRA Rule 2111; Regulation Best Interest):** Under Reg BI's Care Obligation, an advisor must have a reasonable basis to believe that a recommendation is in the customer's best interest based on the customer's investment profile. Writing short puts on volatile technology and biotech stocks is an aggressive, speculative strategy wholly inconsistent with Margaret's conservative risk tolerance, her fixed-income investment history, her age, her limited liquid net worth, and her complete lack of options experience. Even cash-secured puts on speculative underlying securities carry the risk of forced

stock acquisition at unfavorable prices, which is exactly what occurred. The 47 trades in five months also raise concerns about excessive trading (quantitative suitability).

****FINRA Regulatory Notice 21-15 Considerations:**** This notice specifically highlighted concerns about options account approvals in the wake of increased retail participation, emphasizing that firms must have robust systems to evaluate whether customers truly understand options risks and whether approved trading levels are appropriate for the customer's profile. Margaret's case is a textbook example of the deficiencies the notice was designed to address.

****Likely Regulatory Outcome:**** Kevin faces potential sanctions including fines, suspension, or a bar from the industry. The firm faces potential fines for supervisory failures under FINRA Rules 3110 and 2360(b)(20). Margaret would likely prevail in an arbitration claim for compensatory damages of approximately \$66,000 (the decline from \$310,000 to \$244,000), plus potential fees and costs. The case closely mirrors recent enforcement actions in the post-Robinhood era targeting inadequate options account approvals and unsuitable options recommendations to inexperienced retail investors.

Hypothetical 27

Topic: excessive_churning | Difficulty: hard

[NON-COM

Fact Pattern

Gerald Whitfield, age 58, is a semi-retired mechanical engineer who transitioned to part-time consulting in 2021. He has an annual income of approximately \$95,000, a brokerage account valued at \$340,000, a 401(k) worth \$620,000, and a home valued at \$475,000 with no mortgage. Gerald's stated investment objectives on his new account form were income generation and capital preservation, and he indicated a moderate risk tolerance. He had limited prior experience with options—he had sold a handful of covered calls on stock positions at a previous brokerage over a five-year period. His advisor, Marcus Daly, at a mid-sized broker-dealer, approved Gerald for Level 3 options trading, which permitted spreads, straddles, and uncovered writing, after a 15-minute phone conversation in which Marcus described options as 'a great way to boost your retirement income.' Gerald signed the options agreement and acknowledged receiving the options disclosure document electronically, though he later stated he never opened the PDF.

Between March 2022 and February 2023, Marcus executed 287 options trades in Gerald's account, predominantly short-dated weekly SPX and SPY options including iron condors, strangles, and butterfly spreads. The average holding period for positions was 2.3 days. Total commissions and fees generated during this twelve-month period were \$47,200, representing approximately 13.9% of the account's average equity. Gerald's account experienced a net loss of \$61,400 during this period. Many positions were closed and immediately replaced with nearly identical strategies at slightly different strike prices—sometimes on the same trading day. Marcus's internal notes characterized the activity as 'active income generation per client request,' but the firm's trade blotter showed that Gerald initiated contact on only 14 occasions during the year, while Marcus placed trades on 193 separate trading days. Gerald's quarterly statements showed the cumulative losses, but Marcus reassured Gerald during their periodic calls that 'the strategy needs time to work' and that 'drawdowns are normal with income strategies.' In March 2023, Gerald reviewed his annual

tax documents and discovered the extent of his losses and the commissions paid. He filed a complaint with the firm, which was denied after an internal review that lasted two weeks. Gerald subsequently retained an attorney.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Daly violated multiple regulatory standards governing options suitability, account approval, and excessive trading (churning).

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** The approval of Gerald for Level 3 options trading—which includes uncovered writing and complex multi-leg strategies—was inappropriate given his limited options experience (only basic covered calls), his moderate risk tolerance, and his stated objectives of income generation and capital preservation. FINRA Rule 2360 requires that a member firm exercise due diligence to learn the essential facts about a customer before approving options trading, including investment experience, financial situation, and investment objectives. A 15-minute phone call was insufficient due diligence for approving a customer with Gerald's profile for advanced options strategies. The OCC Options Disclosure Document must be provided and its receipt confirmed before options trading begins; while it was sent electronically, the advisor made no effort to ensure Gerald understood its contents.

****Excessive Trading/Churning:** The 287 trades over 12 months, with a turnover rate and cost-to-equity ratio of approximately 13.9%, strongly indicate churning. Under FINRA Rule 2111 (quantitative suitability) and Regulation Best Interest's care obligation, an advisor must have a reasonable basis that the frequency and volume of transactions are suitable and in the customer's best interest. A cost-to-equity ratio above 6-8% has historically been viewed by FINRA and courts as presumptive evidence of excessive trading, and 13.9% far exceeds that threshold. The 2.3-day average holding period, the pattern of closing and immediately reopening nearly identical positions, and the fact that Marcus—not Gerald—initiated the vast majority of trading activity all point to churning.

****FINRA Regulatory Notice 21-15 Concerns:** RN 21-15 specifically addresses options account opening and approval, emphasizing that firms must have robust supervisory systems to evaluate whether complex options strategies are appropriate for retail customers. The firm's approval of Level 3 options for a customer with Gerald's profile, combined with a cursory approval process, reflects a failure of the supervisory framework contemplated by RN 21-15.

****Reg BI Violations:** Under Regulation Best Interest, Marcus had a care obligation to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives. The strategy employed—frequent short-dated complex options trades generating nearly \$47,200 in commissions against an account averaging roughly \$340,000—was not in Gerald's best interest. The cost component alone made it virtually impossible for the strategy to achieve Gerald's stated objectives of income and capital preservation.

****Likely Regulatory Outcome:** Marcus faces potential sanctions including fines, disgorgement of

commissions, suspension, or barment. The firm faces supervisory failure charges under FINRA Rules 3110 and 2360 for inadequate oversight of both the account approval and the trading activity. Gerald would likely prevail in a FINRA arbitration claim for churning and unsuitability, with potential recovery of losses (\$61,400) plus commissions (\$47,200), and potentially consequential damages.

Hypothetical 28

[NON-COM

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in Dayton, Ohio, on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has a total liquid net worth of \$185,000, nearly all of which is held in a traditional IRA that she relies on for supplemental income to cover medical expenses and property taxes. She has no prior experience trading options or any leveraged products, and her investment history consists solely of holding a target-date retirement fund and a certificate of deposit at her local bank. In March 2023, Mrs. Kowalski met with Kevin Braddock, a registered representative at Meridian Financial Partners, after attending a free dinner seminar titled "Boosting Your Retirement Income in Uncertain Times." During the seminar and the subsequent one-on-one meeting, Braddock told Mrs. Kowalski that she could safely generate an extra \$800 to \$1,200 per month in income by selling weekly put options on high-volatility technology stocks such as Tesla and Nvidia inside her IRA. Braddock described the strategy as "basically like collecting rent" and compared it to owning dividend-paying stocks. He did not provide her with the Options Disclosure Document or discuss the risk of assignment, and he characterized the maximum loss as "very unlikely." On the new account application, Braddock listed Mrs. Kowalski's risk tolerance as "aggressive," her investment objective as "speculation," her annual income as \$65,000 (more than double her actual income), and her liquid net worth as \$400,000. He approved her for Level 3 options trading, which permitted uncovered put writing. Mrs. Kowalski signed the forms without fully understanding them, trusting Braddock's characterization. Over the next four months, Braddock executed 47 short put trades in her IRA. Initially, she collected approximately \$4,600 in premiums. However, in late June and July 2023, several positions moved sharply against her. She was assigned on five contracts in Tesla during a week when the stock dropped 12%, forcing purchases totaling \$87,500 in her \$185,000 account. Unable to hold the assigned shares and needing liquidity, the positions were closed at a realized loss of \$23,400. By August 2023, Mrs. Kowalski's IRA had declined from \$185,000 to \$146,200, a loss of nearly \$38,800, or 21% of her retirement savings. She contacted the branch manager after receiving her quarterly statement and expressed shock at the losses, stating she had never agreed to speculative trading and did not understand what a put option was.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including the customer's financial situation, investment experience, and investment objectives. Braddock materially falsified Mrs. Kowalski's account application by inflating her

income from approximately \$38,400 to \$65,000 and her liquid net worth from \$185,000 to \$400,000, and by listing her risk tolerance as 'aggressive' and objective as 'speculation' when she was a conservative, income-dependent retiree with no options experience. This constitutes a failure in the account approval process and potentially a separate violation for falsifying records.

Second, under OCC rules and industry practice codified through FINRA Rule 2360(b)(11), the Options Disclosure Document (ODD) must be provided to the customer at or before the time the account is approved for options trading. Braddock's failure to deliver the ODD deprived Mrs. Kowalski of the standardized risk disclosures she was entitled to receive, a standalone violation.

Third, the strategy itself-selling weekly uncovered puts on highly volatile technology stocks in the IRA of a 71-year-old retired teacher with no options experience, limited income, and moderate savings-is patently unsuitable under FINRA Rule 2360(b)(19) and Regulation Best Interest's care obligation. The strategy exposed her to substantial downside risk (theoretically the full value of the underlying stock less the premium received) in an account that constituted essentially all of her investable assets and that she depended on for living expenses. FINRA Regulatory Notice 21-15 specifically highlights concerns about firms approving customers for complex options strategies without adequate due diligence into their actual financial profiles and experience levels, and warns against the gamification and oversimplification of options risk-exactly what Braddock did by comparing short put selling to 'collecting rent.'

Fourth, the volume of trading (47 trades in four months) in a small retirement account further supports a finding of unsuitability and potentially excessive trading.

The likely regulatory outcome would include disgorgement of commissions, restitution of losses to the customer, a fine against both Braddock and the supervising firm, potential suspension or bar of Braddock, and heightened supervisory requirements imposed on Meridian Financial Partners for its failure to supervise the options account approval process. The branch manager and/or registered options principal who approved the account could also face individual liability for failing to meaningfully review the application against available customer information.

Hypothetical 29

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Halloran, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA that she accumulated over 35 years of teaching. She has no other significant assets besides her home, which is paid off, and she lists her investment objective as 'preservation of capital and income generation.' On her new account form at Ridgeline Securities, she indicated 'limited' investment experience, having only ever owned mutual funds and certificates of deposit. Her stated risk tolerance was 'low,' and she noted that she could not afford to lose more than 10% of her portfolio without material impact to her standard of living.

[NON-COM]

In March 2023, her financial advisor, Derek Simmons (age 34, three years of experience), recommended that Margaret apply for Level 3 options trading approval on her IRA account, which would permit strategies including selling uncovered (naked) put options and multi-leg spread strategies. Simmons told Margaret that selling put options on 'quality blue-chip stocks' was essentially 'like getting paid to wait to buy stocks you'd want to own anyway' and described it as a 'conservative income strategy.' He told her it was 'safer than owning the stock outright.' He did not provide her with the Options Disclosure Document prior to or at the time of account approval.

The branch manager, Patricia Yuen, approved Margaret's Level 3 options application within two hours of submission, despite the account paperwork clearly reflecting Margaret's low risk tolerance, limited experience, preservation-of-capital objective, and advanced age. There is no documentation in the file reflecting any supervisory analysis of why Level 3 approval was appropriate for this customer profile, and no record that the branch conducted a follow-up conversation with Margaret.

Between April and September 2023, Simmons executed 47 short put transactions in Margaret's IRA, primarily on technology and biotech stocks including positions in Nvidia, Tesla, and several small-cap biotech companies. Many of the puts were written at strike prices close to the current market price (at-the-money), requiring substantial margin or cash reserves. In August 2023, a sharp pullback in technology stocks resulted in multiple assignments, forcing Margaret's account to purchase over \$185,000 worth of volatile tech and biotech shares. By October 2023, the account had declined to \$204,000 - a loss of approximately \$136,000, or 40% of her liquid net worth. Margaret discovered the losses when she attempted to take her annual required minimum distribution and found her account balance dramatically reduced.

Simmons generated approximately \$14,200 in commissions from the options activity during this six-month period. Margaret filed a written complaint with the firm in November 2023, stating she never understood what options were, was never given any disclosure document, and believed her money was being invested conservatively in 'income-producing accounts.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, this fact pattern presents multiple serious violations by both the financial advisor and the supervising branch manager.

****Options Account Approval Failures:****

Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn essential facts about a customer before approving an options account, including investment objectives, financial situation, investment experience, and the nature of the account (here, a retirement IRA). The branch manager, Patricia Yuen, approved Level 3 options trading - which includes uncovered put writing - for a 79-year-old retiree with limited investment experience, low risk tolerance, a preservation-of-capital objective, and complete financial dependence on her portfolio and fixed income. Level 3 approval for this customer profile is facially unreasonable, and the absence of any documented supervisory rationale for the approval

constitutes a supervisory failure under FINRA Rule 2360(b)(16)(B), which requires a designated registered options principal (ROP) to approve accounts based on specific due diligence criteria.

****Failure to Deliver OCC Options Disclosure Document:****

FINRA Rule 2360(b)(11)(A) requires that the current Options Disclosure Document (ODD), published by the Options Clearing Corporation, be provided to the customer at or prior to the time the account is approved for options trading. Simmons failed to deliver the ODD to Margaret, depriving her of the standardized risk disclosures mandated by regulation. This is an independent violation.

****Suitability and Reg BI Violations:****

Under FINRA Rule 2360(b)(19) and Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1), the advisor must have a reasonable basis for believing that options recommendations are suitable for the specific customer. Selling short puts - particularly at-the-money puts on volatile technology and biotech stocks - in the IRA of a 79-year-old retiree with low risk tolerance and a preservation-of-capital objective is patently unsuitable. The strategy exposed Margaret to the obligation to purchase volatile equities at prices near market highs, which is antithetical to capital preservation. The Reg BI Care Obligation required Simmons to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and to have a reasonable basis for believing the recommendations were in the customer's best interest. This standard was clearly violated.

FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account opening, approval, and supervision, emphasizing that the surge in retail options trading (the so-called 'Robinhood era') required heightened attention to customer profiles, particularly for complex strategies. The Notice highlighted that firms must not approve options strategies that are inconsistent with the customer's stated objectives and risk tolerance.

****Senior Investor Exploitation:****

Margaret's age, limited sophistication, and financial vulnerability place this squarely within the category of senior investor exploitation that regulators have prioritized. The concentration of activity (47 trades in six months), the generation of \$14,200 in commissions, and the ultimate 40% loss of liquid net worth in a retirement account for a 79-year-old on fixed income are aggravating factors.

****Likely Regulatory Outcome:****

Simmons would likely face significant sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The branch manager, Yuen, would likely face supervisory failure charges under FINRA Rules 3110 and 2360(b)(16)(B) for rubber-stamping an obviously inappropriate options approval. The firm, Ridgeline Securities, could face fines, restitution orders, and enhanced supervisory requirements. Margaret would likely be awarded restitution through arbitration or a regulatory proceeding. This is a textbook example of an unsuitable options recommendation combined with a supervisory approval failure and a failure to deliver required disclosure documents.

Hypothetical 30

Topic: *options_unsuitable* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Kowalski, age 67, is a retired elementary school teacher living in suburban Cleveland, Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,900 per month, and a rollover IRA valued at \$410,000 that represents her primary liquid savings. She also maintains a checking account with approximately \$12,000. Mrs. Kowalski has no mortgage but carries \$4,500 in credit card debt. Her investment experience consists solely of owning a target-date mutual fund through her former employer's 403(b) plan and a certificate of deposit at her local bank. She has never traded individual stocks or any derivative products. On her new account form at Ridgeline Financial Services, she indicated her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' and her time horizon as '5-10 years.' She told her advisor, Derek Simmons, that she wanted her IRA to generate some additional monthly income to help cover rising healthcare costs and occasional travel to visit her grandchildren.

In March 2023, Simmons recommended that Mrs. Kowalski open an options trading account. He told her that selling options was 'basically like collecting rent on stocks you already own or want to own' and that it was a safe way to boost her monthly income by \$800 to \$1,200. Without providing her with the standardized options disclosure document or waiting for her to review it, Simmons had her sign the options agreement and immediately upgraded her account to Level 3 options approval, which permitted naked put writing, spreads, and straddles. His branch manager approved the options application the same day without conducting an independent review or speaking with Mrs. Kowalski.

Over the following five months, Simmons executed 47 options trades in her IRA. Initially, he sold covered calls on blue-chip stocks he purchased for her account. However, by May 2023, he had transitioned to selling naked puts on volatile technology and biotech stocks, including positions on three companies with market capitalizations under \$2 billion. In July 2023, he began placing short straddles on earnings announcements. On August 14, 2023, a biotech company whose stock Mrs. Kowalski had sold naked puts on announced a failed drug trial, and the stock dropped 62% overnight. She was assigned on the puts and forced to purchase 500 shares at \$85 per share when the market price was \$32.30. The total loss on that single position was \$26,350. By September 2023, Mrs. Kowalski's IRA had declined from \$410,000 to \$298,000, a loss of approximately \$112,000 or 27.3%. Commissions and fees on the options trades totaled \$6,400. When Mrs. Kowalski called Simmons in distress after receiving her September statement, he told her the losses were 'temporary' and recommended she sell additional naked puts to 'recover the losses faster.' She subsequently filed a written complaint with Ridgeline's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations of applicable regulatory standards.

****Options Account Approval Failures:****

Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account. The firm must consider the customer's investment objectives, financial situation, investment experience, and other relevant information. Approving Mrs. Kowalski for Level 3 options trading - which includes naked put writing and straddles - was wholly inappropriate given her conservative risk tolerance, income-and-preservation objectives, lack of any options

or individual stock experience, and dependence on the IRA as her primary liquid asset. The branch manager's same-day approval without independent review or customer contact represents a failure of the supervisory approval process required under FINRA Rule 2360(b)(16)(B).

****Failure to Deliver the OCC Options Disclosure Document:****

FINRA Rule 2360(b)(11)(A)(1) requires that the current Options Clearing Corporation Disclosure Document ('Characteristics and Risks of Standardized Options') be furnished to each customer at or prior to the time the account is approved for options trading. Simmons failed to provide this document to Mrs. Kowalski, depriving her of the standardized risk disclosures she was entitled to before trading commenced.

****Suitability and Regulation Best Interest Violations:****

Under Regulation Best Interest's Care Obligation and FINRA Rule 2111, a broker-dealer and its associated persons must have a reasonable basis for believing that a recommendation is in the customer's best interest based on the customer's investment profile. Naked put writing on volatile small-cap biotech and technology stocks and short straddles around earnings announcements are among the highest-risk options strategies available. These strategies expose the customer to substantial or theoretically unlimited losses. Recommending these strategies to a 67-year-old retired teacher with conservative risk tolerance, no options experience, an income objective, and reliance on this account for retirement healthcare expenses fails both the reasonable-basis and customer-specific suitability requirements.

****FINRA Regulatory Notice 21-15 Considerations:****

FINRA RN 21-15 specifically reminded member firms of their obligations regarding options account opening, approval, and supervision, particularly in the context of the expansion of self-directed and digital account approval processes. The notice emphasized that firms must have robust supervisory systems to prevent approval of complex options strategies for customers whose profiles do not support such trading. The perfunctory same-day approval without meaningful review is precisely the type of deficiency the notice targeted.

****Quantitative Unsuitability:****

The 47 options trades over five months in a \$410,000 retirement account, generating \$6,400 in commissions and fees, raises additional concerns about excessive trading under FINRA Rule 2111.05(c).

****Post-Loss Recommendation:****

Simmons's recommendation to sell additional naked puts to 'recover losses faster' after Mrs. Kowalski had already lost \$112,000 compounds the suitability violations and reflects a disregard for the customer's interests.

****Likely Regulatory Outcome:****

Simmons would likely face significant sanctions including fines, disgorgement of commissions, suspension or bar from the industry. The firm, Ridgeline Financial Services, faces liability for supervisory failures under FINRA Rules 3110 and 3120 and potential customer restitution. Mrs. Kowalski would likely prevail in arbitration seeking recovery of her approximately \$112,000 in losses plus commissions.

Hypothetical 31

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Dunleavy, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$410,000, held primarily in a rollover IRA that she has relied on to supplement her retirement income. She has no prior experience trading options or any leveraged products, and her account application from 2018 listed her investment objective as 'income and preservation of capital' with a 'conservative' risk tolerance. She is a widow and lists her 54-year-old daughter as her sole beneficiary.

In February 2023, Margaret's longtime financial advisor, Kevin Braddock, age 36, transferred to a new broker-dealer. Margaret followed him. At the new firm, Braddock recommended that Margaret apply for options trading approval, telling her it would allow him to 'generate extra monthly income on her existing stock positions using a very safe strategy.' He helped her complete the new account paperwork, but on the options application he listed her investment experience as '5+ years of options trading,' her risk tolerance as 'aggressive,' and her annual income as \$85,000 - none of which was accurate. The options application was approved for Level 3 trading, which permits spreads and uncovered writing.

Between March and September 2023, Braddock executed 74 options trades in Margaret's IRA. While some early trades were covered call writes on blue-chip stocks she already held, he quickly escalated to selling cash-secured puts on volatile biotech and tech stocks, then to selling naked put spreads and short strangles on meme stocks and leveraged ETFs. Margaret's account generated \$47,200 in premiums over the period but suffered realized and unrealized losses of \$138,000. Commissions and fees totaled \$11,400. Margaret's IRA balance dropped from \$410,000 to approximately \$262,000 - a 36% decline.

Margaret states she did not understand the options confirmation statements she received and trusted Braddock entirely. She says she never told anyone she had options experience and did not know her application listed her income at \$85,000. She called Braddock in August 2023 after noticing her account value had declined significantly, and he told her the positions would 'bounce back by year-end.' In October 2023, a compliance surveillance review at the firm flagged the account due to the volume of options activity relative to Margaret's age and stated account profile. The firm restricted the account and placed Braddock on heightened supervision.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock committed multiple serious violations involving options suitability, account approval, and senior investor exploitation.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm and the registered representative must exercise due diligence to ascertain the essential facts about the customer, including financial situation,

investment objectives, investment experience, and risk tolerance. Braddock falsified Margaret's options application by inflating her income from \$34,000 to \$85,000, fabricating 5+ years of options experience when she had none, and changing her risk tolerance from conservative to aggressive. These misrepresentations directly led to an inappropriate Level 3 options approval that permitted uncovered writing - one of the highest-risk strategies available. The OCC Options Disclosure Document, which must be provided to customers before options approval, is designed to ensure customers understand options risks; there is no indication Margaret was given or understood this document.

****Suitability Violations (FINRA Rule 2111 and Regulation Best Interest):**** Under Reg BI's Care Obligation, a broker must have a reasonable basis to believe that a recommendation is in the customer's best interest based on the customer's actual investment profile. Margaret's true profile - a 79-year-old widow with \$34,000 in fixed income, conservative risk tolerance, no options experience, and a preservation-of-capital objective - made her categorically unsuitable for Level 3 options strategies. Even covered calls, while relatively conservative, required careful evaluation. The escalation to naked put spreads and short strangles on meme stocks and leveraged ETFs was egregiously unsuitable. FINRA Regulatory Notice 21-15 specifically addresses concerns about options account opening and supervision, emphasizing that firms must ensure that options approval levels correspond to customers' actual experience, knowledge, and financial capacity to absorb losses.

****Quantitative Unsuitability:**** The 74 trades in seven months in a retirement account for a 79-year-old conservative investor demonstrates excessive trading. The \$11,400 in commissions and fees relative to the account size, combined with the \$138,000 in losses against only \$47,200 in premiums collected, shows the strategy was a net loser that primarily generated commissions.

****Senior Investor Exploitation:**** Margaret's age, cognitive reliance on her advisor, and the fact that her IRA represented substantially all of her liquid assets beyond Social Security make this a textbook case of senior investor exploitation. FINRA has repeatedly emphasized heightened scrutiny for recommendations to senior investors.

****Falsification of Records:**** Braddock's fabrication of client information on the options application constitutes a separate violation under FINRA Rule 2010 (standards of commercial honor) and potentially FINRA Rule 4511 (books and records).

****Supervisory Failures (FINRA Rules 3110, 2360(b)(20)):**** The firm's supervisory system failed to catch the discrepancies between Margaret's original 2018 account profile (conservative, income-oriented) and the 2023 options application (aggressive, experienced). FINRA Rule 2360(b)(20) requires a Registered Options Principal to review and approve options accounts, and this approval was based on falsified information. The fact that the firm's surveillance system did not flag the account until October 2023 - seven months and 74 trades later - suggests inadequate supervisory procedures.

****Likely Regulatory Outcome:**** Braddock faces potential sanctions including a bar from the industry, disgorgement, and substantial fines. The firm faces potential fines and restitution orders for supervisory failures. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$148,000 (the \$138,000 in losses plus \$11,400 in unnecessary commissions, offset by the

premium income only to the extent it was not already netted). Punitive damages may also be available given the intentional falsification of records.

Hypothetical 32

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Dawson, age 78, is a retired school librarian living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held primarily in a money market account and a conservative balanced mutual fund. She lists her investment objective as 'preservation of capital' and her risk tolerance as 'low.' She has no prior experience trading options or any leveraged products, and her investment knowledge is described on her new account form as 'limited.' In February 2024, Margaret's grandson mentioned that he had been making quick profits trading options that expire the same day on the S&P 500 index. Intrigued, Margaret contacted her financial advisor, Kevin Briscoe, age 34, at a mid-sized brokerage firm. She told Kevin she wanted to 'try what my grandson is doing' and asked about same-day expiring options. Kevin, who had recently completed an internal training module on zero-days-to-expiration (ODTE) options, saw an opportunity to generate commissions. He approved Margaret for Level 3 options trading, which permitted buying and writing spreads, without conducting any meaningful assessment of her financial situation beyond what was already on file. He did not provide her with the standardized options risk disclosure booklet, nor did he explain the mechanics of theta decay, assignment risk, or the potential for total loss of premium in ODTE trades. Over the next three months, Kevin executed 47 separate ODTE trades in Margaret's account, primarily buying short-dated call and put spreads on the SPX index. The average trade size was \$3,200 in premium outlay. Margaret's account generated \$8,400 in commissions for Kevin's firm during this period. By May 2024, Margaret had lost \$61,300 - approximately 33% of her liquid net worth. When Margaret called Kevin in distress after receiving her April statement, he told her the losses were 'normal volatility' and recommended she deposit an additional \$25,000 from her savings account to 'average down' on new ODTE positions. Margaret complied, transferring \$25,000, and lost an additional \$17,500 over the next two weeks. Her total losses reached \$78,800. Margaret's daughter eventually intervened, contacted the firm's compliance department, and filed a written complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Briscoe committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered options principal (ROP) must approve each customer's account for options trading based on a thorough review of the customer's financial situation, investment objectives, and experience. Margaret's profile - a 78-year-old retiree with limited investment knowledge, low risk tolerance, a preservation-of-capital objective, and modest liquid net worth - was fundamentally incompatible with Level 3 options approval, let alone active ODTE trading. The account approval itself was deficient. Second, FINRA Rule 2360(b)(11)(a) requires delivery of the OCC Options Disclosure Document (ODD) at or before the time the account is approved for options trading. Kevin failed to provide this document, depriving Margaret of standardized risk

disclosures she was entitled to receive before any options activity commenced. Third, under Regulation Best Interest (Reg BI), specifically the Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill to understand the risks of the recommended ODTE strategy and to have a reasonable basis to believe the recommendations were in Margaret's best interest given her specific profile. ODTE options are among the most speculative instruments available - premiums decay to zero within hours, and total loss of invested capital is a frequent outcome. Recommending 47 such trades to a 78-year-old retiree with a capital preservation objective is a textbook violation of the care obligation. Fourth, FINRA Regulatory Notice 21-15 specifically highlighted concerns about options account approval processes and the need for firms to strengthen supervisory systems around options suitability, particularly given the surge in retail options trading. The notice emphasized that firms must not approve customers for options strategies that are inconsistent with their stated objectives and financial profiles. Kevin's conduct runs directly contrary to these supervisory expectations. Fifth, Kevin's recommendation that Margaret deposit additional funds to 'average down' after already losing 33% of her liquid net worth constitutes further exploitation and demonstrates a disregard for her financial well-being. Under FINRA Rule 2361, the firm's written supervisory procedures for options must include meaningful review mechanisms - the fact that 47 trades generating \$8,400 in commissions in a senior's account with a preservation objective went undetected suggests systemic supervisory failures as well. The likely regulatory outcome includes potential sanctions against Kevin (suspension, fine, disgorgement of commissions), potential firm-level sanctions for supervisory failures, and Margaret would have strong grounds for recovery through arbitration. This case also implicates senior investor protection priorities that FINRA has designated as a key examination focus area.

Hypothetical 33

[NON-COM

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

In March 2023, Gerald Whitfield, a 71-year-old retired postal worker living in Tampa, Florida, opened a brokerage account with Coastal Ridge Financial. Gerald had a fixed income of \$2,800 per month from his pension and Social Security combined, a savings account with \$42,000, and a traditional IRA worth \$185,000 that represented essentially his entire retirement nest egg. On his new account form, Gerald indicated his investment objective was 'income and capital preservation,' his risk tolerance was 'conservative,' and his investment experience was limited to certificates of deposit and a money market account he had held for fifteen years. Gerald told his advisor, Marcus Tran, that he wanted to generate a little extra monthly income to help cover rising prescription drug costs, estimating he needed roughly \$300 to \$400 more per month. Marcus suggested that Gerald could achieve this by selling options on stocks, describing it as a way to 'collect rent' on investments. Marcus upgraded Gerald's account application to reflect 'moderate-aggressive' risk tolerance and 'speculation' as a secondary investment objective, without discussing these changes with Gerald. Marcus then approved Gerald for Level 3 options trading, which permitted uncovered (naked) call and put writing. Over the following four months, Marcus directed Gerald to sell naked put options on volatile technology and biotech stocks including a small-cap pharmaceutical company and a recently-IPO'd electric vehicle manufacturer. Initially, Gerald collected approximately \$1,200 in premiums. However, in June 2023, the pharmaceutical stock dropped 40% after a failed clinical

trial, and Gerald was assigned on five naked put contracts, obligating him to purchase 500 shares at the strike price. The resulting loss was \$31,500. A second assignment on the EV stock in July cost Gerald an additional \$18,700. In total, Gerald suffered realized losses of approximately \$50,200 in his IRA - roughly 27% of his retirement savings - within five months. Gerald later told a branch manager that he never understood what 'naked puts' meant and believed he was simply earning small premiums with minimal risk, similar to interest on a CD. Gerald also stated he was never provided with any options disclosure booklet before or at the time his account was approved for options trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Tran committed multiple serious violations relating to options account approval and suitability.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Before approving any customer for options trading, a registered representative and the firm must conduct a thorough review of the customer's financial situation, investment experience, and investment objectives. FINRA Rule 2360(b)(16)(A) requires that a firm obtain specific background and financial information - including income, net worth, investment experience, investment objectives, and other relevant data - and that a Registered Options Principal (ROP) approve the account for options trading based on that information. Here, Gerald's genuine profile - conservative risk tolerance, income/preservation objectives, no experience with equities or derivatives, and reliance on a fixed pension - clearly did not support approval for Level 3 options trading that included uncovered writing. Marcus's alteration of the account documents to reflect 'moderate-aggressive' risk tolerance and 'speculation' as an objective, without Gerald's knowledge or agreement, constitutes falsification of account records, a violation of FINRA Rule 2360 and FINRA Rule 4511 (books and records).

****Failure to Deliver OCC Options Disclosure Document:** The OCC's "Characteristics and Risks of Standardized Options" disclosure document must be provided to every customer at or before the time the account is approved for options trading. Gerald's statement that he never received this document, if substantiated, represents a clear violation of FINRA Rule 2360(b)(11)(A)(1) and the OCC disclosure requirements.

****Suitability and Reg BI Violations:** Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest at the time of a recommendation, considering the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approval processes and emphasizes that firms must have robust systems to evaluate whether options strategies are suitable for each customer. Naked put writing on volatile small-cap and recently-IPO'd stocks is among the highest-risk options strategies available. For a 71-year-old retiree with no equities experience, conservative objectives, limited income, and a modest retirement account, this strategy is patently unsuitable. The mismatch between Gerald's actual profile and the approved strategy is extreme.

****FINRA Rule 2361 (Suitability of Options):** This rule requires that every options recommendation be suitable based on the customer's stated objectives, financial situation, and needs. Naked put writing exposes the seller to losses many multiples of the premium received, which is fundamentally inconsistent

with an income and capital preservation objective.

****Likely Regulatory Outcome:**** Marcus Tran would likely face individual sanctions including fines, disgorgement of commissions, a suspension or bar from the industry, and potential restitution to Gerald. The firm, Coastal Ridge Financial, would face supervisory failure charges under FINRA Rules 3110 and 3120 for inadequate supervision of the options approval process and failure to detect the falsified account documents. Gerald's losses of \$50,200 would likely be subject to a restitution order. This fact pattern closely mirrors enforcement themes highlighted in FINRA RN 21-15, which warned firms about deficient options approval practices, particularly in the context of retail investors being approved for complex strategies without adequate assessment of their knowledge, experience, and risk capacity.

Hypothetical 34

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COMMERCIAL]

Fact Pattern

Margaret Delvecchio, age 79, is a retired elementary school teacher living in Scottsdale, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her total liquid net worth is approximately \$410,000, held primarily in a traditional IRA rollover account and a small taxable brokerage account. She has no prior experience trading options and described her investment objective on her new account form as 'income and preservation of capital.' Her risk tolerance was marked as 'conservative.' In March 2023, her financial advisor, Keith Branford, age 34, at a mid-size independent broker-dealer, recommended that Mrs. Delvecchio open an options trading account. Branford told her that selling covered calls on blue-chip stocks she already owned would generate 'safe, guaranteed monthly income like a second pension.' He submitted the options account application listing her investment experience as 'extensive' and her risk tolerance as 'aggressive,' neither of which Mrs. Delvecchio reviewed or approved. The firm's options principal approved the account for Level 3 trading, which permitted naked put writing and spread strategies, within 48 hours and without contacting Mrs. Delvecchio directly. Over the next seven months, Branford executed 94 options trades in her accounts, including 31 naked put sales on volatile technology and biotech stocks such as a semiconductor manufacturer and a clinical-stage pharmaceutical company. He also executed multiple complex multi-leg spread strategies. By October 2023, Mrs. Delvecchio had realized losses of approximately \$137,000 - roughly one-third of her life savings. She also owed \$22,000 in short-term capital gains taxes on winning trades that had been offset by larger losses. The commissions and fees generated across all the options trades totaled \$18,600. When Mrs. Delvecchio called the firm in November 2023 after receiving her quarterly statement, she told a compliance officer she had 'no idea what any of these trades were' and that she had only ever agreed to 'something safe with my AT&T and Johnson & Johnson shares.' Branford had not provided her with the standardized options risk disclosure booklet at or before the time the account was approved. He also never discussed the specific risks of naked put writing, margin requirements, or the potential for losses exceeding her original investment. The firm's supervisory system flagged her account twice for unusually high options volume relative to account size, but the branch manager acknowledged the alerts without taking any investigative action.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Keith Branford committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must have a reasonable basis to believe that a customer has sufficient knowledge and experience in financial matters to be reasonably expected to be capable of evaluating the risks of the recommended options transactions. Mrs. Delvecchio, a 79-year-old retired teacher with no options experience, conservative risk tolerance, and income/preservation objectives, was manifestly unsuitable for Level 3 options trading involving naked puts and complex spreads. Second, FINRA Rule 2360(b)(16)(B) requires that prior to the initial options transaction, the customer must be furnished with the OCC Options Disclosure Document (ODD, also known as 'Characteristics and Risks of Standardized Options'). Branford never provided this document. Third, Branford falsified the options account application by listing Mrs. Delvecchio's experience as 'extensive' and her risk tolerance as 'aggressive,' directly contradicting the information she provided on her underlying brokerage account form. This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially securities fraud. Fourth, under FINRA Rule 2360(b)(16)(A), the branch office manager or designated options principal must approve the account based on a diligent review of the customer's financial background, trading experience, and investment objectives. The options principal approved Level 3 trading for a 79-year-old conservative investor without any direct contact, which represents a supervisory failure under FINRA Rules 2360(b)(16) and 3110. The branch manager's failure to investigate two supervisory alerts further compounds the supervisory breakdown. Fifth, under Regulation Best Interest (Reg BI), the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including age, financial situation, risk tolerance, and objectives. Recommending naked put writing on volatile biotech and tech stocks to a 79-year-old retiree with conservative objectives and limited income flagrantly violates this standard. FINRA Regulatory Notice 21-15, which specifically addresses options account opening and approval, emphasizes heightened scrutiny for accounts where the customer profile does not align with the approved options level, and warns firms about rubber-stamping approvals. The pattern here - 94 trades in seven months generating \$18,600 in commissions - also raises concerns about excessive trading (quantitative unsuitability) under FINRA Rule 2111 and the Reg BI Care Obligation. The likely regulatory outcome includes significant monetary sanctions against the firm and Branford personally, potential suspension or bar for Branford due to the falsification of account documents and exploitation of a senior investor, restitution to Mrs. Delvecchio, and possible enhanced sanctions under FINRA's policies regarding the exploitation of senior investors. The firm faces additional liability for its supervisory failures in both account approval and ongoing monitoring.

Hypothetical 35

Topic: *senior_investor_exploitation* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension, with total liquid savings of approximately \$185,000 held in a brokerage account that represents virtually all of her investable assets outside of her home. She has no prior experience trading options or any leveraged products. Her account

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application, completed in January 2023, lists her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' and her investment experience as 'limited - mutual funds and CDs only.' Her annual income is \$28,800 and her estimated net worth, excluding her home, is \$190,000.

Her financial advisor, Derek Simmons, age 34, has been registered for six years and works at a mid-size independent broker-dealer. In February 2023, Simmons recommended that Mrs. Holloway apply for options trading approval, telling her that 'selling covered calls on dividend stocks is basically free money with no real risk.' He submitted the options account application on her behalf, but on the application he listed her investment experience as 'extensive - stocks, bonds, and options for 10+ years,' changed her risk tolerance to 'moderate-high,' and listed her investment objective as 'growth and speculation.' He also inflated her annual income to \$75,000 and her liquid net worth to \$450,000. The firm's options principal approved the account for Level 3 options trading, which permits naked put writing and spread strategies, based on the information in the application.

Over the next eight months, Simmons placed Mrs. Holloway in a series of increasingly aggressive strategies. Initially he sold covered calls on blue-chip stocks he had purchased in her account, generating modest premiums. By April 2023, however, he began writing naked puts on volatile technology and biotech stocks, collecting premium income but exposing her account to significant downside risk. He also executed bull call spreads and bear put spreads, often holding multiple open positions simultaneously. Mrs. Holloway later stated she did not understand what a 'naked put' was and believed her advisor was simply buying stocks for her.

By October 2023, several naked put positions were assigned during a market downturn, obligating Mrs. Holloway's account to purchase shares of three different stocks at prices well above market value. Her account suffered realized losses of approximately \$61,000 - roughly one-third of her life savings. She was also charged over \$4,200 in commissions and options contract fees during the eight-month period. Simmons did not provide her with the standardized options risk disclosure document prior to her first options trade, and at no point did he discuss the specific risks of naked put writing or explain the maximum potential loss on any position. Mrs. Holloway's daughter discovered the losses when helping her mother review year-end account statements in December 2023 and filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations of applicable regulatory standards.

****Falsification of Account Information (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that options account applications accurately reflect the customer's financial situation, investment experience, and investment objectives. Simmons deliberately falsified Mrs. Holloway's income (inflating it from \$28,800 to \$75,000), liquid net worth (from \$190,000 to \$450,000), risk tolerance (from low to moderate-high), investment experience (from limited to extensive), and investment objectives (from income/preservation to growth/speculation). This is a direct violation of the account approval requirements and constitutes fraud.

****Failure to Deliver the OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11), a copy of the

OCC's Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be furnished to the customer at or prior to the time the account is approved for options trading. Simmons never provided this document to Mrs. Holloway, depriving her of fundamental risk disclosures.

****Supervisory Failure in Options Account Approval (FINRA Rule 2360(b)(16)(B)):** The firm's Registered Options Principal (ROP) approved Level 3 options trading - including naked put writing - based on fabricated customer information. FINRA RN 21-15 specifically emphasizes that firms must exercise heightened diligence in the options account approval process, and that approvals should not be rubber-stamped. The ROP's failure to verify the information, particularly given Mrs. Holloway's age and the dramatic inconsistency between Level 3 approval and a 78-year-old retired teacher, represents a supervisory failure.

****Unsuitable Recommendations (FINRA Rule 2111 / Regulation BI):** Under Regulation BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the customer's best interest. Naked put writing on volatile technology and biotech stocks is among the most aggressive options strategies, exposing the writer to potentially catastrophic losses. For a 78-year-old retiree with limited income, low risk tolerance, no options experience, and savings that represent essentially her entire financial safety net, these strategies are categorically unsuitable. Even the initial covered call strategy, while less risky, was predicated on a fraudulently approved account.

****Senior Investor Exploitation:** FINRA has repeatedly emphasized through regulatory notices (including RN 07-43 and RN 21-15) that firms owe heightened duties when dealing with senior investors. Mrs. Holloway's age, cognitive profile, dependency on fixed income, and lack of sophistication all demanded greater care. Instead, Simmons exploited her trust to generate commissions.

****Likely Regulatory Outcome:** Simmons faces potential sanctions including a bar from the industry, disgorgement of commissions, restitution to Mrs. Holloway, and civil or criminal fraud charges related to the falsified account documents. The firm faces potential fines and sanctions for supervisory failures in the options approval process. Mrs. Holloway would likely recover her \$61,000 in losses plus the \$4,200 in fees through arbitration or regulatory restitution, and potentially additional damages.

Hypothetical 36

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Dayton, Ohio, with a fixed annual income of \$38,000 from Social Security and a modest pension. He has a savings account with \$62,000, a traditional IRA worth \$185,000 invested in certificates of deposit and a balanced mutual fund, and no other liquid assets. His home is paid off and valued at approximately \$165,000. Gerald has no prior experience trading options or any securities beyond the mutual fund in his IRA, which was selected for him by a previous advisor years ago. He visited the branch office of Ridgeline Financial Services in March 2023 after seeing a television advertisement promising 'strategies to boost your retirement income.' He met with Kevin Sorrell, a

[NON-COM

registered representative who had been with the firm for four years. During the initial meeting, Gerald explained that he was worried about keeping up with rising grocery and utility costs and wanted to find a safe way to earn a little extra income without putting his retirement savings at risk. He stated clearly that he could not afford to lose money and that the IRA represented essentially his entire financial safety net. Kevin told Gerald that he had 'the perfect solution' and recommended that Gerald open an options trading account and begin selling uncovered (naked) put options on high-volatility technology stocks, explaining that Gerald would collect premiums that would serve as 'extra monthly income like a paycheck.' Kevin filled out the new account application himself, checking boxes indicating that Gerald had '5+ years' of options trading experience, 'speculative' investment objectives, 'aggressive' risk tolerance, and an annual income of \$85,000. Kevin did not show Gerald the completed application or ask him to verify the information. Gerald signed the signature page without reviewing the document, trusting Kevin's guidance. Kevin also did not provide Gerald with any options disclosure document before opening the account. The firm's options principal, Dana Chen, approved the account for the highest level of options trading-Level 4, which included uncovered writing-based solely on the application as submitted, without conducting any independent verification or speaking with Gerald. Over the next five months, Kevin executed 47 naked put transactions in Gerald's IRA on stocks including a semiconductor company and two speculative biotech firms. Gerald collected approximately \$14,200 in premiums. However, in August 2023, a broad market selloff caused significant losses. Gerald was assigned on multiple positions and the account suffered realized losses of \$93,400. Gerald's IRA balance dropped from \$185,000 to approximately \$91,600. When Gerald called the branch in a panic, Kevin told him the losses were 'part of the process' and recommended doubling down by selling additional puts at lower strike prices. Gerald instead contacted his daughter, a CPA, who reviewed the account statements and the original application and discovered the false information Kevin had entered.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Sorrell committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must exercise due diligence to learn the essential facts about a customer before recommending options transactions. This 'know your customer' obligation requires accurately documenting the customer's financial situation, investment experience, investment objectives, risk tolerance, and other relevant information. Kevin fabricated Gerald's options experience (listing 5+ years when Gerald had none), inflated his income from \$38,000 to \$85,000, and misrepresented his investment objectives as 'speculative' and risk tolerance as 'aggressive' when Gerald clearly stated he wanted safety and could not afford losses. These false entries on the new account form constitute a fundamental failure to know the customer and a falsification of books and records.

Second, FINRA Rule 2360(b)(16)(B) requires that the Options Disclosure Document (ODD), published by the OCC, must be furnished to every customer at or prior to the time the account is approved for options trading. Kevin never provided Gerald with this document, denying him material information about the characteristics and risks of standardized options.

Third, the recommendation of naked put selling on high-volatility technology and biotech stocks to a 71-year-old retiree with limited income, no options experience, conservative objectives, and an inability to absorb losses is patently unsuitable under both FINRA Rule 2360's options suitability requirements and

Regulation Best Interest's care obligation. Naked put writing exposes the seller to substantial downside risk-potentially the full strike price minus premium received-which is wholly incompatible with Gerald's stated needs and financial profile.

Fourth, the firm's options principal, Dana Chen, failed in her supervisory responsibilities under FINRA Rule 2360(b)(16)(C) by approving Level 4 options trading without independently verifying the customer information or making any direct contact with Gerald. FINRA Regulatory Notice 21-15 specifically reminds firms that options account approval processes must include meaningful review and that firms should not rely solely on application data that may be inaccurate or inconsistent with other known customer information.

The likely regulatory outcome includes disciplinary action against Kevin Sorrell for falsification of customer account records, unsuitable recommendations, and failure to deliver the ODD. Dana Chen and Ridgeline Financial Services face supervisory failure charges. Potential sanctions include fines, suspensions or bars for Kevin, supervisory sanctions for Dana Chen, and firm-level fines along with required restitution to Gerald of approximately \$93,400 in losses plus interest. Gerald also has a strong claim in FINRA arbitration.

Hypothetical 37

[NON-COM

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Kowolski, age 63, is a retired elementary school teacher living in Dayton, Ohio, with an annual pension income of \$48,000 and total liquid savings of approximately \$310,000, nearly all of which is held in a rollover IRA. She has no prior experience trading options or any derivative instruments. Her investment objectives, as documented on her new account form, are "income" and "preservation of capital," and her stated risk tolerance is "conservative." In February 2023, Margaret opened a brokerage account with Pinnacle Financial Services after seeing a television advertisement. Her assigned advisor, Derek Holcomb, age 34, conducted a 20-minute phone call during which Margaret explained she wanted safe investments that could supplement her pension. Derek noted on his internal worksheet that Margaret had "limited" investment knowledge and had previously only held certificates of deposit and a balanced mutual fund through her employer's retirement plan.

Despite this profile, Derek recommended that Margaret apply for Level 3 options trading approval, which would permit her to sell uncovered (naked) puts and calls, as well as trade spreads. On the options account application, Derek listed Margaret's investment experience as "5+ years" in equities and "1-3 years" in options, and characterized her risk tolerance as "aggressive growth." Margaret later stated she did not recall being asked detailed questions about options experience and trusted Derek to fill out the paperwork accurately. The branch manager, Lisa Fontaine, approved the options application the same day without conducting any independent verification of the information or speaking with Margaret directly.

Over the following four months, Derek executed 47 options trades in Margaret's IRA, including selling naked puts on volatile technology stocks such as Tesla and Nvidia, as well as multi-leg iron condor

strategies on the S&P 500 index. Margaret testified that she did not understand what these trades were and that Derek told her they were "income strategies, like collecting rent." She was never provided with, nor asked to acknowledge receipt of, the standardized options risk disclosure booklet that brokerages are required to deliver prior to options trading. Account statements show that Margaret's account declined from \$310,000 to \$187,000 over this period, a loss of approximately \$123,000, driven primarily by assignment on naked put positions during a market downturn in April 2023. Commissions and fees on the options trades totaled \$8,400. When Margaret called to complain in July 2023, Derek told her the losses were "just part of the market" and recommended she sell additional puts to "make back the money." Margaret filed a written complaint with Pinnacle's compliance department in August 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holcomb committed multiple serious violations of applicable regulatory standards, and the firm's supervisory failures compounded the misconduct.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must consider the customer's investment objectives, financial situation, investment experience, and the nature of the options strategies to be employed. The branch manager, Lisa Fontaine, approved Level 3 options authority - which includes naked writing - for a 63-year-old retired teacher with no options experience, conservative risk tolerance, and income/preservation objectives. This approval was facially unreasonable and represents a failure of the ROP's gatekeeper function. The application contained materially inaccurate information (fabricated options experience, inflated risk tolerance), and the ROP conducted no independent verification or customer contact.
2. ****Falsification of Account Documents****: Derek listed Margaret's options experience as "1-3 years" and her risk tolerance as "aggressive growth" despite knowing she had zero options experience and conservative objectives. Falsifying customer account records violates FINRA Rule 4511 (books and records) and FINRA Rule 2010 (standards of commercial honor and just and equitable principles of trade). This is an independently actionable violation regardless of the trading outcome.
3. ****Failure to Deliver the OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), member firms must furnish each customer a copy of the OCC's "Characteristics and Risks of Standardized Options" disclosure document at or prior to the time the account is approved for options trading. Margaret was never provided this document, nor was any acknowledgment obtained. This is a foundational investor protection requirement, and the failure to deliver it is a per se violation.
4. ****Unsuitable Recommendations (FINRA Rule 2111 / Regulation Best Interest)****: Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and have a reasonable basis to believe it is in the retail customer's best interest given the customer's investment profile. Naked put writing on volatile technology stocks exposes the seller to substantial downside risk - potentially the full strike price minus premium received. This strategy is categorically unsuitable for a conservative, retired,

income-oriented investor with limited assets and no options knowledge. Iron condor strategies, while theoretically defined-risk, are complex multi-leg structures inappropriate for someone with Margaret's documented profile. The 47 trades in four months also raise concerns about excessive trading.

5. **FINRA Regulatory Notice 21-15 Considerations**: FINRA RN 21-15 specifically addressed options account opening and supervision, reminding firms that they must establish robust procedures for collecting and verifying customer information, and that account approval processes must be meaningful - not rubber-stamp exercises. The notice was issued in the wake of concerns about expanded retail options access (the "Robinhood era") and emphasized that firms cannot rely solely on self-reported information when approving complex options strategies, particularly where red flags exist. Margaret's profile presented obvious red flags that both the advisor and the ROP ignored.

6. **Supervisory Failures (FINRA Rule 3110)**: The firm failed to establish and maintain a supervisory system reasonably designed to ensure compliance with options suitability and account approval requirements. The same-day approval without independent review, the failure to detect fabricated application information, and the absence of any post-approval trade surveillance all constitute supervisory deficiencies.

Likely Regulatory Outcome: Derek Holcomb faces potential sanctions including a bar or lengthy suspension, disgorgement of commissions, and monetary fines. Lisa Fontaine, as the approving ROP, faces suspension and fines for supervisory failures. Pinnacle Financial Services faces firm-level fines, potential restitution obligations to Margaret (\$123,000 in losses plus \$8,400 in commissions), and required remediation of its options account approval and supervision procedures. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages.

Hypothetical 38

Topic: senior_investor_exploitation | Difficulty: hard

[NON-COM]

Fact Pattern

Margaret Ostrowski, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$215,000, held primarily in a rollover IRA that she has relied on to supplement her retirement income. She has no other significant assets aside from her paid-off home. Margaret's investment experience is limited to certificates of deposit and a target-date mutual fund that was selected for her by a previous advisor years ago. She has described her investment objective as 'capital preservation' and her risk tolerance as 'conservative' on every account form she has signed.

In March 2023, Margaret's new financial advisor, Derek Pallone, age 31, took over her account after her prior advisor retired from the firm. Derek had been with the firm for three years and had recently completed his options principal qualification. During their first meeting, Derek told Margaret that interest rates on CDs were 'barely keeping up with inflation' and that there were 'safe strategies using options that could generate much better monthly income with very little risk.' He described selling covered calls and cash-secured puts

as producing 'almost guaranteed income, like collecting rent.'

Over the following two weeks, Derek submitted an options account application for Margaret, listing her risk tolerance as 'moderate' and her investment objective as 'speculation/trading,' which contradicted every prior form on file. He approved her for Level 3 options trading, which permitted spreads, naked puts, and other complex strategies. Margaret later said she signed papers Derek brought to her home but did not understand what options trading involved and was never given a booklet explaining options risks.

Between April and September 2023, Derek executed 147 options trades in Margaret's IRA, including short strangles on high-volatility tech stocks, naked puts on meme stocks, and 0-DTE (zero days to expiration) SPX options, which he traded almost daily. The 0-DTE trades alone accounted for 68 transactions. Commissions and fees over this period totaled \$11,400. By October 2023, Margaret's IRA had declined from \$215,000 to \$119,000, a loss of approximately \$96,000, or nearly 45% of her retirement savings. Margaret only became aware of the magnitude of the losses when she attempted to make her usual quarterly withdrawal and was told her account balance was significantly lower than expected.

When Margaret called Derek in distress, he told her the losses were 'temporary' and recommended she 'double down' by selling additional naked puts to recoup the losses. Margaret's adult daughter intervened, contacted the firm's compliance department, and filed a complaint. An internal review found that Derek had not documented any rationale for changing Margaret's risk profile, had not provided the required options disclosure document, and had recommended strategies wholly inconsistent with her documented financial situation, age, and stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pallone committed multiple serious violations across several regulatory frameworks.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: Before approving a customer for options trading, a registered representative and the firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, investment experience, and risk tolerance, and must determine that options trading is appropriate. Derek changed Margaret's risk tolerance from 'conservative' to 'moderate' and her objective from 'capital preservation' to 'speculation/trading' without any documented basis. A 78-year-old retired teacher with \$215,000 in total liquid assets, limited investment experience, and a stated conservative risk profile should never have been approved for Level 3 options trading.
2. ****Failure to Deliver OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), a copy of the OCC's Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be provided to the customer at or before the time the account is approved for options trading. Margaret stated she was never given this document, and the internal review confirmed this failure. This is a foundational investor protection requirement.
3. ****Unsuitable Options Strategies (FINRA Rule 2360, Reg BI Care Obligation)****: The strategies employed - short strangles on volatile tech stocks, naked puts on meme stocks, and daily 0-DTE SPX options trading

- are among the highest-risk options strategies available. These are categorically unsuitable for a 78-year-old conservative investor whose primary objective is capital preservation and who depends on her IRA for retirement income. Under Regulation Best Interest's Care Obligation, the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. No reasonable advisor could conclude these strategies served Margaret's best interest.

4. ****Quantitative Unsuitability / Excessive Trading****: 147 options trades in six months in a retiree's IRA generating \$11,400 in fees is strongly indicative of churning or excessive trading. FINRA Rule 2111 (suitability) and Reg BI both encompass quantitative suitability. The turnover rate and cost-to-equity ratio in this account would almost certainly exceed accepted thresholds.

5. ****Senior Investor Exploitation (FINRA RN 21-15)****: FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the risks of complex options strategies being recommended to unsophisticated investors. Margaret's age, cognitive vulnerability, dependence on her IRA for living expenses, and lack of investment sophistication place her squarely within the population this guidance was designed to protect. Derek's conduct - visiting her home with documents, verbally minimizing risk, and altering her profile information - raises additional concerns about potential financial exploitation of a senior investor.

6. ****Failure to Supervise (FINRA Rule 3110)****: The firm bears responsibility for failing to detect the discrepancy between Margaret's longstanding conservative profile and the sudden change to speculative trading, the high volume of complex options trades in a senior retiree's IRA, and the absence of the OCC disclosure document from the file.

****Likely Regulatory Outcome****: Derek faces potential sanctions including a substantial fine, disgorgement of commissions, suspension, or a permanent bar from the securities industry. The firm likely faces supervisory failure charges. Margaret would have strong grounds for recovery through FINRA arbitration for the full \$96,000 loss plus fees and costs. Given the senior exploitation dimension, regulators may pursue enhanced penalties and the matter could be referred for review under state elder financial exploitation statutes.

Hypothetical 39

Topic: excessive_churning | Difficulty: hard

Fact Pattern

Margaret Kowalski, age 71, is a retired schoolteacher living in suburban Cleveland, Ohio. She has a fixed annual income of \$38,000 from her pension and Social Security combined, a \$410,000 IRA rollover account, and a separate \$95,000 taxable brokerage account. She has no prior options trading experience and described her investment objectives as "income and capital preservation" when she opened her account in January 2022 with advisor Derek Hollis at a mid-size independent broker-dealer. On the new account form, her risk tolerance was marked as "moderate," and her liquid net worth was listed at

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\$505,000. Her time horizon was listed as 5-10 years.

In February 2022, Hollis recommended that Margaret apply for options trading approval, telling her that a "conservative covered call strategy" on blue-chip stocks she already owned would generate monthly income to supplement her pension. Margaret was approved for Level 2 options trading (covered calls and cash-secured puts). Over the next four months, Hollis executed 14 covered call trades in her IRA, generating roughly \$6,200 in premium income but also incurring \$2,100 in commissions.

Beginning in June 2022, however, Hollis began escalating the strategy significantly. He requested-and received-an upgrade to Level 3 options approval (spreads) for Margaret's account, citing her "growing familiarity" with options. Between June 2022 and March 2023, Hollis executed 187 options trades in Margaret's IRA, including vertical spreads, calendar spreads, iron condors, and short put positions on volatile technology and biotech stocks such as Nvidia, Tesla, Moderna, and Palantir. Many positions were opened and closed within days, sometimes hours. The annualized turnover rate in the IRA exceeded 28, and the cost-to-equity ratio reached 47%. Total commissions and fees over this ten-month period amounted to \$61,400. Margaret's IRA account value declined from \$410,000 to \$289,000-a net loss of \$121,000-while Hollis earned over \$63,500 in total commissions across both the initial and escalated periods.

Margaret later stated that she did not understand the strategies Hollis was employing, that she never requested the account upgrade, and that Hollis told her the frequent trading was necessary to "stay ahead of the market" and "protect her portfolio from downside risk." She also stated she was never provided with the standardized options disclosure document at the time of the account upgrade. Hollis's branch manager approved the Level 3 upgrade after a cursory review of the account application, noting only that "client has been trading options since February" without conducting any independent verification of Margaret's understanding of multi-leg strategies or her changed risk profile. Internal surveillance reports flagged the account for excessive trading in October 2022 and again in January 2023, but no action was taken by the branch until Margaret filed a written complaint in April 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple serious violations of applicable regulatory standards, and supervisory personnel at his firm also failed in their obligations.

****Excessive Trading / Churning (FINRA Rule 2111 Quantitative Suitability):**** Under FINRA Rule 2111's quantitative suitability component (now supplemented by Regulation Best Interest's care obligation under Reg BI for retail customers), a broker who exercises de facto control over a customer account must not engage in trading that is excessive in light of the customer's investment profile. Here, the annualized turnover rate of 28 and cost-to-equity ratio of 47% are dramatically above the thresholds commonly used to establish churning (turnover rates above 6 and cost-to-equity ratios above 20% are widely considered presumptive evidence of excessive trading). Margaret's profile-a 71-year-old retiree with income and capital preservation objectives, moderate risk tolerance, and no options experience-makes this level of trading activity patently unsuitable. Hollis exercised de facto control over the account, as Margaret did not understand the strategies and relied entirely on his recommendations.

****Options Suitability (FINRA Rule 2360):**** FINRA Rule 2360(b)(19) requires that before approving an account for options trading, and before approving any upgrade in options trading level, the firm must have a reasonable basis for believing that the customer has sufficient knowledge and experience in financial matters to be reasonably expected to evaluate the risks of the recommended options transactions. Approving Margaret for Level 3 options trading (multi-leg spreads, iron condors) was wholly inappropriate given her lack of experience, her stated conservative objectives, and her age and income profile. The branch manager's approval was perfunctory and failed to meet the supervisory requirements under FINRA Rule 2360(b)(19)(B), which requires a designated Registered Options Principal (ROP) to approve accounts based on a diligent review.

****Failure to Deliver OCC Disclosure Document:**** Under FINRA Rule 2360(b)(11), the OCC's "Characteristics and Risks of Standardized Options" disclosure document must be furnished to the customer at or before the time the account is approved for options trading. Margaret's assertion that she was never provided the disclosure at the time of the Level 3 upgrade is a separate documentary violation.

****Regulation Best Interest (Reg BI) Violations:**** Under Reg BI's Care Obligation (17 CFR 240.15l-1), Hollis was required to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and understanding the risks and costs of recommended transactions. The 187 trades in complex multi-leg options strategies on volatile tech and biotech names for a 71-year-old conservative retiree fail every prong of this analysis. The cost component alone—\$61,400 in commissions consuming roughly 15% of the starting account value—demonstrates that Hollis placed his own financial interest ahead of the customer's.

****FINRA Regulatory Notice 21-15:**** This notice specifically highlighted concerns about options account approval and supervision, emphasizing that firms must strengthen their options approval processes, particularly in light of new, less-experienced investors entering the options market. The notice stressed that firms must ensure options approval levels correspond to the customer's actual knowledge, experience, and financial situation—not merely the passage of time or nominal exposure. The branch manager's rationale that Margaret had "been trading options since February" without any independent assessment of her comprehension of spread strategies directly contravenes the expectations articulated in RN 21-15.

****Supervisory Failures (FINRA Rules 3110, 3120):**** The firm's failure to act on two separate internal surveillance flags (October 2022 and January 2023) for excessive trading constitutes a supervisory violation under FINRA Rule 3110. The branch manager's inadequate review of the Level 3 upgrade application also represents a failure of the firm's supervisory system.

****Likely Regulatory Outcome:**** Hollis faces potential sanctions including disgorgement of commissions, restitution to the customer, fines, suspension, or a permanent bar from the industry. The firm faces potential fines, censure, and required remediation of its options account approval and surveillance procedures. Margaret would likely prevail in a FINRA arbitration claim for churning, unsuitable recommendations, breach of fiduciary duty (if applicable under state law), and negligent supervision, with damages likely in the range of \$121,000 in net losses plus commissions of \$63,500.

Hypothetical 40

Topic: *excessive_churning* | Difficulty: *hard*

Fact Pattern

Margaret Dalton, age 71, is a retired elementary school teacher living in Tucson, Arizona, with a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a rollover IRA. She described her investment objectives as 'income and preservation of capital' when she opened her brokerage account in January 2020 with advisor Kevin Briggs at Ridgeline Securities. She indicated on her new account form that she had 'limited' investment experience and had never traded options before. Despite this profile, Briggs recommended that Margaret apply for options trading, telling her that selling covered calls on dividend-paying stocks would be a 'safe way to generate extra monthly income like a second pension check.' The branch manager approved her for Level 2 options trading (covered calls and cash-secured puts) without conducting an independent review of her account documentation or speaking with her directly.

Over the next 18 months, from February 2020 through July 2021, Briggs executed 247 options trades in Margaret's IRA. While the account started with covered calls on blue-chip equities, by April 2020 Briggs had begun writing cash-secured puts on volatile small-cap biotech and technology stocks. By August 2020, he was regularly rolling losing put positions into new short puts at lower strikes, generating fresh commissions on each transaction. He also began executing vertical spreads and iron condors - strategies Margaret was never approved for - by splitting orders across her Level 2 account in a way that individually appeared permissible but collectively constituted complex multi-leg strategies. The account's annualized turnover rate was 34.2, and the cost-to-equity ratio reached 61%. Margaret paid \$48,700 in total commissions and fees during this period. The account's net value declined from \$310,000 to \$187,000, a loss of \$123,000, of which nearly 40% was attributable to transaction costs alone.

Margaret only became aware of the extent of trading when her grandson, a finance major in college, reviewed her account statements over Thanksgiving 2021. Briggs had told Margaret throughout the period that the account was 'performing about as expected given the pandemic volatility' and discouraged her from reviewing detailed statements, saying they were 'confusing and don't tell the real story.' When Margaret called to complain, Briggs told her the losses were 'market-driven' and that 'options always carry some risk.' The branch manager's quarterly supervision reports noted no red flags despite the extraordinary volume of trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Briggs committed multiple serious violations in his handling of Margaret Dalton's account.

****Excessive Trading/Churning:**** Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI), a broker must have a reasonable basis for recommending a transaction or series of transactions. Quantitative suitability, codified in FINRA Rule 2111.05(c), specifically addresses churning. An annualized turnover rate of 34.2 is dramatically above the threshold of 6, which is widely used by FINRA as a

presumptive indicator of excessive trading. The cost-to-equity ratio of 61% means Margaret's account needed to generate a 61% return simply to break even - an absurd expectation for any account, let alone one with stated objectives of income and capital preservation. These metrics establish a strong presumption of churning. Briggs exercised de facto control over the account, as Margaret had no options experience, relied entirely on his recommendations, and was actively discouraged from reviewing her own statements.

****Options Suitability Violations:**** Under FINRA Rule 2360(b)(16), a broker-dealer and its registered options principal must approve each customer's account for options trading based on the customer's investment objectives, financial situation, investment experience, and stated needs. Margaret's profile - age 71, limited investment experience, income/preservation objectives, moderate liquid net worth, no options experience - was unsuitable for anything beyond the most conservative covered call writing on stable, large-cap holdings. The progression to cash-secured puts on volatile small-cap stocks, and the circumvention of her Level 2 approval to effectively execute complex multi-leg strategies, violated both the letter and spirit of the options approval framework.

****Failure of Options Supervision:**** FINRA Rule 2360(b)(17) requires that a Registered Options Principal (ROP) review and approve options accounts and conduct ongoing supervision. The branch manager approved Margaret's account without independent review or customer contact, and quarterly supervision reports flagged no issues despite extreme turnover and losses. This represents a systemic supervisory failure under both FINRA Rules 2360 and 3110.

****OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11), the OCC Options Disclosure Document must be provided to the customer at or before account approval. While the record is unclear on delivery, Briggs's active discouragement of Margaret from understanding her own statements suggests a broader pattern of inadequate disclosure.

****Reg BI Violations:**** Effective June 30, 2020, Reg BI's Care Obligation required Briggs to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the costs of the recommended transactions. The excessive commissions, unsuitable strategy escalation, and failure to consider less costly alternatives (e.g., simple dividend reinvestment, bond laddering) are clear violations. The Disclosure Obligation and Conflict of Interest Obligation were also likely violated, as the commission-driven motivation was never disclosed and was in fact concealed.

****FINRA Regulatory Notice 21-15:**** This notice specifically highlighted concerns about options account approvals in the context of increased retail participation, emphasizing that firms must ensure robust processes for evaluating whether customers qualify for options trading and must not rely on automated or perfunctory approvals. The branch manager's rubber-stamp approval is precisely the type of failure the notice addressed.

****Likely Regulatory Outcome:**** Briggs faces potential sanctions including a substantial fine, disgorgement of commissions, restitution to the customer, and a bar from the securities industry. Ridgeline Securities faces supervisory violation charges and potential fines. Margaret Dalton would have strong grounds for recovery in FINRA arbitration, likely recovering the full \$123,000 in losses plus commissions, given the

overwhelming quantitative evidence of churning and the clear unsuitability of the trading activity for her profile.

Hypothetical 41

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Marcus Webb, age 24, opened an online brokerage account in January 2022 with an initial deposit of \$8,500, which represented nearly all of his savings. Marcus worked as a restaurant server earning approximately \$31,000 per year. On his new account application, he indicated his investment objective was "growth," his risk tolerance was "moderate," and his investment experience consisted of owning shares of two ETFs for approximately five months. He had no prior options trading experience and listed his liquid net worth as \$9,200. Within three days of opening the account, Marcus applied for options trading through the firm's online portal. The firm's automated approval system, which relied primarily on self-reported data, approved Marcus for Level 3 options trading - a tier that permitted selling uncovered (naked) calls and puts in addition to spreads and covered strategies. The system did not flag the inconsistency between Marcus's limited experience, modest income, and low liquid net worth and the risks associated with Level 3 strategies. No registered options principal personally reviewed the application before approval was granted. Over the next four months, Marcus executed 47 options trades, including 12 naked put sales on volatile technology stocks. In May 2022, a sharp market decline resulted in assignment on several of his short put positions, generating losses of \$34,600 - far exceeding his original account balance. Marcus's account went into a margin deficit of \$26,100, and the firm issued a margin call he could not meet. The firm liquidated his remaining positions at a loss and sent the deficit balance to collections. Marcus filed a complaint stating he did not fully understand what "uncovered" options meant and had never received or been directed to review any options risk disclosure document before being approved.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple violations occurred at both the firm and supervisory levels.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer for options trading, a registered options principal (ROP) must review the account and make an affirmative determination that options trading is appropriate for the customer based on the customer's financial situation, investment objectives, and experience. Here, the firm's automated system approved Marcus for the highest retail options tier - Level 3, including naked options - without any human review by an ROP. Marcus's profile (age 24, \$31,000 income, \$9,200 liquid net worth, five months of basic ETF experience, zero options experience, moderate risk tolerance) was fundamentally incompatible with naked option writing, which carries theoretically unlimited loss potential.

****Failure to Deliver the OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), members must furnish the Options Clearing Corporation's Options Disclosure Document (ODD), titled "Characteristics

and Risks of Standardized Options," to each customer at or before the time the account is approved for options trading. Marcus's complaint that he never received or was directed to this document indicates a clear violation of this requirement.

****Supervisory Deficiencies (FINRA Rule 2360(b)(20) and FINRA RN 21-15):**** FINRA Regulatory Notice 21-15 specifically reminded firms - particularly those with automated approval systems - that they must perform meaningful due diligence on customers seeking options approval, regardless of whether the account is self-directed. The notice emphasized that self-reported information must be evaluated for internal consistency and reasonableness. The firm here failed to flag glaring inconsistencies: a customer with minimal income, negligible liquid net worth, no options experience, and moderate risk tolerance should not have been approved for uncovered options. The automated system lacked any meaningful logic to catch these red flags.

****Regulation Best Interest (Reg BI):**** Even in a self-directed context, the firm's approval of Level 3 options constitutes an implicit determination that such trading is appropriate for the customer. Under Reg BI's Care Obligation (17 CFR 240.15l-1), when a broker-dealer makes such a determination, it must exercise reasonable diligence, care, and skill. Approving a financially unsophisticated, low-income, low-net-worth customer for unlimited-risk strategies fails this standard.

****Likely Regulatory Outcome:**** The firm faces potential enforcement action for failure to supervise options account approvals, failure to deliver the ODD, and failure to maintain a reasonable system for evaluating options approval applications. Potential sanctions include fines, required restitution to Marcus, and mandated overhaul of the firm's automated options approval process. Individual supervisory liability may also attach to the firm's chief compliance officer or designated ROP for failing to implement adequate review procedures. This fact pattern closely mirrors the concerns raised in FINRA's enforcement actions during the 2020-2022 period targeting firms with purely automated, self-certification-based options approval systems.

Hypothetical 42

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Gerald Huang, age 24, works as a barista in Portland, Oregon, earning approximately \$32,000 per year. He has a savings account with \$11,500 and no prior investment experience beyond a small Roth IRA holding a target-date fund with \$3,200. In March 2023, Gerald opened a brokerage account with Trident Financial Services after seeing social media posts about traders turning small accounts into large profits using options. His new account application listed his investment objective as "speculation," risk tolerance as "aggressive," annual income as \$32,000, liquid net worth of \$14,700, and investment experience as "limited - less than one year." His registered representative, Dana Whitfield, age 38, approved Gerald for Level 3 options trading, which permitted naked call writing, multi-leg spreads, and short strangles, within two days of account opening without conducting any follow-up conversation about Gerald's actual understanding of options mechanics or the specific risks of uncovered positions. Dana had recently been encouraged by her

[NON-COM

branch manager to increase options account approvals to boost commission revenue for the quarter. Over the following six weeks, Dana recommended that Gerald execute a series of short strangle positions on three volatile technology stocks. She explained that the strategy would "generate steady income from premiums" and described the risk as "manageable if you keep an eye on things." She did not provide Gerald with the Options Disclosure Document at or before the time his account was approved. Gerald initially collected \$2,400 in premiums but by mid-May 2023, sharp upward moves in two of the underlying stocks triggered margin calls totaling \$19,300 - more than Gerald's entire liquid net worth. Unable to meet the margin calls, Gerald's positions were liquidated at a loss of \$14,800. Gerald filed a complaint in July 2023, stating he did not understand the unlimited risk exposure of naked options and was never given any risk disclosure document.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple regulatory requirements. First, under FINRA Rule 2360(b)(16), a member firm must furnish the OCC Options Disclosure Document (ODD) to each customer at or before the time the account is approved for options trading. Dana Whitfield and Trident Financial Services failed to deliver the ODD to Gerald Huang at any point, depriving him of the standardized risk disclosures he was entitled to receive before engaging in options transactions. Second, FINRA Rule 2360(b)(19) requires that a Registered Options Principal (ROP) or designated supervisor must approve each options account based on a diligent review of the customer's financial situation, investment objectives, and trading experience. The approval of a 24-year-old barista with \$14,700 in liquid net worth, no meaningful investment experience, and \$32,000 in annual income for Level 3 options - including naked call writing and short strangles carrying theoretically unlimited loss potential - reflects a fundamental failure in the account approval process. The two-day turnaround with no follow-up inquiry into Gerald's actual comprehension of options risks is inconsistent with the due diligence mandated by the rule. Third, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and ensuring the recommendation is in the customer's best interest without placing the financial interest of the firm ahead of the customer. Recommending short strangles on volatile technology stocks to an unsophisticated, low-income customer with minimal net worth is facially unsuitable and plainly not in Gerald's best interest, particularly given the branch manager's pressure to increase options approvals for revenue purposes, which implicates the Conflict of Interest Obligation under Reg BI. FINRA Regulatory Notice 21-15 specifically reminds member firms of their obligations regarding options account opening, supervision, and approval, emphasizing the need for heightened scrutiny when approving complex options strategies for inexperienced retail investors. The notice was issued in the wake of incidents involving young, inexperienced retail traders suffering catastrophic losses in options - a pattern directly mirrored here. The likely regulatory outcome includes potential sanctions against Dana Whitfield (fine, suspension, or bar), supervisory deficiency findings against the branch manager and Trident Financial Services for inadequate options supervision, restitution to Gerald Huang for losses sustained, and potential additional fines for the firm's failure to deliver the ODD. The fact pattern also raises concerns under FINRA Rule 2361, which governs the suitability of options recommendations and requires that recommendations have a reasonable basis given the customer's financial situation and needs.

Hypothetical 43

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Cleveland, Ohio. She has a fixed annual income of \$38,000, consisting of a pension and Social Security benefits. Her total liquid net worth is approximately \$215,000, held primarily in a rollover IRA and a small taxable brokerage account. She has no prior experience trading options or any leveraged products. Her stated investment objective on her new account application is "income and capital preservation," and she described her risk tolerance as "low" during her initial meeting with her advisor, Craig Dempsey, at Ridgeline Financial Services in March 2023. Margaret explained that the IRA represented the bulk of her retirement savings and that she could not afford significant losses. During the account opening process, Dempsey completed the options account approval form, listing Margaret's investment experience as "extensive" and her risk tolerance as "aggressive speculative." He told her that he was setting up her account to allow certain "income-enhancing strategies" that would boost her monthly cash flow. Margaret signed the application without reading the disclosures carefully, trusting Dempsey's guidance. Dempsey's branch manager approved the options account at the highest tier - Level 4, permitting uncovered options writing, spreads, and speculative strategies. No follow-up conversation with Margaret was conducted by the branch manager. Within the first four months, Dempsey placed the following trades in Margaret's IRA: sold 15 naked put contracts on a volatile biotech stock (XenoCure Inc., trading at \$42/share), purchased out-of-the-money call options on three different meme stocks, and initiated multiple short straddles on a semiconductor ETF. By August 2023, XenoCure's stock dropped to \$18/share after a failed FDA trial, and Margaret was assigned on the naked puts, resulting in a \$36,000 realized loss. The meme stock calls expired worthless, costing her \$8,400 in premiums. The short straddles generated modest initial income of \$2,100 but ultimately produced a net loss of \$5,200 when the semiconductor ETF moved sharply in one direction. In total, Margaret suffered approximately \$47,500 in losses within five months - roughly 22% of her liquid net worth. When Margaret contacted Dempsey in September 2023, alarmed by her account statements, he told her the losses were "part of the strategy" and that the positions would "recover over time." He did not discuss closing positions or adjusting the strategy. Margaret's daughter, a CPA, reviewed the account in October 2023 and immediately recognized the mismatch between her mother's profile and the trading activity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dempsey committed multiple serious violations in connection with Margaret Kowalski's options account.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a member firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, investment experience, and ability to bear risk. Dempsey falsified Margaret's options application by listing her experience as "extensive" and her risk tolerance as "aggressive speculative" when she explicitly communicated low risk tolerance,

income/preservation objectives, and zero options experience. This constitutes a falsification of account records and a failure of the account approval process. The branch manager's approval of Level 4 options privileges - including uncovered writing - without any independent verification or customer contact further compounds the supervisory failure.

****OCC Options Disclosure Document:**** Firms are required to furnish the OCC's "Characteristics and Risks of Standardized Options" disclosure document to customers at or before the time the account is approved for options trading. Even if technically delivered, the evidence suggests Margaret did not understand the risks, and Dempsey characterized the strategies misleadingly as "income-enhancing," undermining the purpose of the disclosure.

****FINRA Regulatory Notice 21-15:**** This notice specifically reminds firms of their obligations regarding options account approval and supervision, emphasizing the need for reasonable diligence in evaluating whether options trading is appropriate for a customer. It was issued in the wake of high-profile incidents involving retail investors being approved for complex options strategies without adequate vetting. Margaret's case is precisely the type of scenario this notice targeted - a vulnerable, inexperienced retiree approved for the most speculative options tier.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, Dempsey was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of each recommended strategy and to have a reasonable basis to believe that each recommendation was in Margaret's best interest, considering her specific investment profile. Naked puts on volatile biotech stocks, speculative meme stock calls, and short straddles are wholly inconsistent with the income and capital preservation objectives of a 71-year-old retiree with limited assets and no options experience. Additionally, the Disclosure Obligation under Reg BI required full and fair disclosure of material facts, including risks - which Dempsey failed to provide by mischaracterizing the nature of the strategy.

****FINRA Rule 2361 (Suitability of Options):**** This rule reinforces that recommendations involving options must be suitable based on the customer's financial situation, investment objectives, and experience. There is no reasonable basis upon which selling naked puts and engaging in speculative multi-leg strategies could be deemed suitable for Margaret.

****Likely Regulatory Outcome:**** Dempsey faces potential sanctions including fines, suspension, or a bar from the industry for falsifying customer records and recommending grossly unsuitable options strategies. Ridgeline Financial Services faces supervisory failure charges for the branch manager's rubber-stamp approval of a Level 4 options account for a clearly unsuitable customer. Margaret would likely prevail in a customer arbitration claim for full restitution of her approximately \$47,500 in losses. The firm could also face enhanced supervisory obligations or additional fines under a broader examination of its options approval practices.

Hypothetical 44

Topic: excessive_churning | Difficulty: hard

[NON-COM

Fact Pattern

Margaret Olsen, age 71, is a retired school librarian living in Duluth, Minnesota. She has a fixed income of \$2,800 per month from Social Security and a small pension. Her total liquid net worth is approximately \$340,000, held primarily in an IRA rollover account at Ridgepoint Financial Services. She indicated on her new account form that her investment objectives were "income" and "preservation of capital," and her risk tolerance was marked as "moderate." She had no prior experience trading options and told her advisor, Derek Hale, age 34, that she wanted her retirement savings to "last through her lifetime" and generate supplemental monthly income.

In March 2021, Hale recommended that Margaret apply for options trading approval, telling her that selling covered calls on blue-chip stocks she already owned would be a conservative way to boost her monthly income by \$400-\$600. Margaret agreed, and Hale submitted her application with an options experience level noted as "1-2 years" and her risk tolerance upgraded to "speculative" without informing her. She was approved for Level 3 options trading, which permitted spreads, naked puts, and other complex multi-leg strategies. Margaret later stated she was never provided the Options Disclosure Document and did not understand the difference between approval levels.

Over the following 14 months (March 2021 through May 2022), Hale executed 387 options transactions in Margaret's IRA account. While roughly 40 of these were covered call writes consistent with the original discussion, the remaining 347 transactions involved short put positions on volatile technology and biotech stocks, bull call spreads, iron condors, and calendar spreads. Many positions were opened and closed within days. The account's annualized turnover rate was 31.2, and the cost-to-equity ratio reached 58.4%. Margaret paid approximately \$47,600 in commissions and fees during this period. The account declined in value from \$340,000 to \$218,000, a loss of \$122,000 or roughly 35.9%.

Hale earned \$39,200 in personal commissions from Margaret's account during this period, making it his single highest revenue-producing account. Internal compliance at Ridgepoint flagged the account in November 2021 after the turnover rate exceeded 20, but the branch manager, who was also Hale's father-in-law, reviewed the flag and cleared it with a notation that the client was "an active trader who directs her own trades." Margaret stated in a subsequent complaint that she never directed any individual trade, rarely understood the confirmation statements she received, and trusted Hale to manage her money prudently. She said she called Hale's office on three occasions expressing concern about losses and was told each time that the strategy "needs time to work" and that she should "stay the course." She filed a complaint in July 2022 after receiving her mid-year statement showing the account value had dropped below \$220,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hale committed multiple serious violations.

****Excessive Trading / Churning:**** Under FINRA Rule 2111 (Suitability) and Regulation Best Interest, a broker must have a reasonable basis to believe that a series of recommended transactions, even if individually suitable, is not excessive when taken together. The quantitative indicators here are extreme. A

turnover rate of 31.2 far exceeds the threshold of 6.0 that FINRA and courts have traditionally considered presumptively excessive. A cost-to-equity ratio of 58.4% means Margaret's account needed to generate returns exceeding 58% annually just to break even after costs - a virtually impossible hurdle, especially for a retiree seeking income and capital preservation. Under Reg BI's Care Obligation (17 CFR 240.15l-1), Hale was required to exercise reasonable diligence, care, and skill, and was specifically obligated to consider costs and reasonably available alternatives. The pattern of 387 trades in 14 months in a 71-year-old retiree's IRA is classic churning.

****Options Account Approval Failures:**** Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn essential facts about each customer before approving options trading and must ensure the customer's options level is appropriate for their financial situation, investment objectives, and experience. Hale falsified Margaret's application by inflating her risk tolerance to "speculative" and overstating her experience. Approval at Level 3 - permitting naked puts, spreads, and complex multi-leg strategies - was wholly inappropriate for a 71-year-old retiree with no options experience, limited income, and stated objectives of income and capital preservation.

****Failure to Deliver the OCC Options Disclosure Document:**** FINRA Rule 2360(b)(11) requires that the current OCC Options Disclosure Document ("Characteristics and Risks of Standardized Options") be provided to the customer at or before the time the account is approved for options trading. Margaret's statement that she never received this document represents a separate violation.

****Unsuitable Options Strategies:**** Under FINRA Regulatory Notice 21-15, firms must have reasonably designed processes to assess whether complex options strategies - including multi-leg strategies like iron condors and calendar spreads - are suitable for retail investors. Naked short puts on volatile biotech stocks in a retiree's IRA are profoundly inconsistent with income and preservation objectives. Even under the more permissive suitability framework, these strategies would fail customer-specific suitability analysis.

****Supervisory Failures:**** Under FINRA Rules 3110 and 3120, the firm and its supervisors must establish and maintain a supervisory system reasonably designed to detect and prevent violations. The branch manager's dismissal of the compliance flag - particularly given his familial relationship with Hale - represents a supervisory failure. The false notation that Margaret was directing her own trades, contradicted by her own statements, compounds the problem.

****Likely Regulatory Outcome:**** Hale faces potential sanctions including disgorgement of commissions, fines, suspension, or a permanent bar. The firm faces potential fines, restitution orders, and supervisory deficiency findings. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages (the \$122,000 loss plus the \$47,600 in excessive commissions), and the falsification of account documents could support a claim for punitive damages. The branch manager's role raises independent liability for failure to supervise under FINRA Rule 3110.

Hypothetical 45

Topic: senior_investor_exploitation | Difficulty: hard

[NON-COM

Fact Pattern

Margaret Dalton, age 79, is a retired schoolteacher living in Scottsdale, Arizona. She has a fixed annual income of \$42,000 from Social Security and a modest pension. Her total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover account and a small taxable brokerage account. She has no prior experience trading options and listed her investment objective as "income and preservation of capital" on her new account form. Her risk tolerance was marked as "conservative." In March 2023, Margaret's financial advisor, Kevin Pratt, age 34, at a mid-sized broker-dealer, recommended she apply for options trading approval. During a phone call, Pratt explained that "selling covered calls on blue-chip stocks is basically free money" and that it would supplement her retirement income. Margaret agreed, and Pratt submitted her options application. On the application, Pratt listed her investment experience as "5+ years with options," her risk tolerance as "moderate-aggressive," her liquid net worth as \$600,000, and her annual income as \$85,000 - none of which matched her actual profile. The branch manager approved the account for Level 3 options trading, which permitted naked put writing and spread strategies, without conducting any independent verification or speaking with Margaret directly. Over the next seven months, Pratt executed 47 options trades in Margaret's IRA account, including naked put sales on volatile technology stocks such as a semiconductor company and a meme-stock-adjacent electric vehicle manufacturer. He also executed several bull call spreads and iron condors. By October 2023, Margaret's account had declined from \$265,000 (the IRA portion) to \$141,000, a loss of approximately \$124,000, or 47%. Commissions and fees on the options trades totaled \$11,200. Margaret did not understand the trade confirmations she received and trusted Pratt's assurances that "temporary dips are normal." When Margaret's daughter reviewed the account statements during Thanksgiving 2023, she discovered the losses and filed a complaint with the firm. An internal review revealed that Pratt had similarly inflated financial profiles on options applications for six other clients over age 70. The firm had no automated system to flag discrepancies between new account forms and options applications, and its supervisory procedures for senior investors consisted of a single annual account review rather than heightened real-time monitoring.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations, and the firm's supervisory failures compounded the harm.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer for options trading, the broker-dealer must obtain essential background and financial information - including the customer's investment objectives, employment status, estimated annual income, net worth, investment experience, and liquid net worth - and must determine that options trading is appropriate for the customer. The registered options principal (ROP) who approved the account is required to make an independent judgment. Here, the branch manager approved Level 3 options authority (including naked put writing) for a 79-year-old retiree with \$42,000 in income, \$310,000 in net worth, no options experience, and a conservative risk tolerance without verifying the application's accuracy against the existing new account form. This is a clear violation of the account approval requirements under Rule 2360(b)(16)(B).

****Falsification of Account Documents:** Pratt inflated Margaret's income from \$42,000 to \$85,000, nearly

doubled her net worth from \$310,000 to \$600,000, changed her risk tolerance from conservative to moderate-aggressive, and fabricated five or more years of options experience. This constitutes falsification of books and records, violating FINRA Rules 4511 (books and records) and 2010 (standards of commercial honor and just and equitable principles of trade). The pattern across six other senior clients suggests willful misconduct.

****Reg BI - Care Obligation Violation:**** Under Regulation Best Interest, Pratt was required to exercise reasonable diligence, care, and skill in recommending options trading and specific options strategies. Naked put writing on volatile technology and meme-adjacent stocks is among the highest-risk options strategies and is categorically unsuitable for a 79-year-old conservative retiree whose objective is income and capital preservation. Pratt failed to consider Margaret's actual financial situation, investment objectives, and risk tolerance. The recommendation to open an options account - and the subsequent trading - violated the Care Obligation of Reg BI.

****OCC Options Disclosure Document:**** The OCC's "Characteristics and Risks of Standardized Options" document must be delivered to customers at or before the time the account is approved for options trading. Given the falsified application and rubber-stamp approval, it is highly likely that either the ODD was not delivered or, if delivered, no effort was made to ensure Margaret understood the risks of the specific strategies being employed in her account.

****FINRA RN 21-15 (Options Account Opening and Supervision):**** FINRA Regulatory Notice 21-15, issued in response to the surge in retail options trading (the so-called Robinhood era), specifically reminded firms of their obligations to have robust options account approval processes, including verifying customer information and ensuring that approval levels match the customer's actual profile. The notice emphasized that firms should not rely solely on customer self-reported data when approving accounts for complex options strategies. The firm here had no automated system to cross-check options applications against existing new account data - a gap RN 21-15 was designed to address.

****Senior Investor Exploitation (FINRA Rule 2165 and Rule 4512):**** FINRA Rule 2165 provides tools for member firms to place temporary holds when there is reasonable belief of financial exploitation of senior investors. FINRA Rule 4512 requires firms to make reasonable efforts to obtain a trusted contact person for customers age 65 and older. The firm's supervisory procedures for senior investors - limited to a single annual account review - fell far below industry standards and did not incorporate the heightened scrutiny that regulators expect for accounts belonging to investors over age 65.

****Supervisory Failures (FINRA Rules 3110 and 3120):**** The firm failed to establish and maintain a supervisory system reasonably designed to detect and prevent the misconduct at issue. The lack of any automated cross-referencing between new account forms and options applications, combined with the absence of meaningful real-time surveillance for senior accounts engaging in high-risk options strategies, constitutes a violation of FINRA Rule 3110.

****Likely Regulatory Outcome:**** Pratt faces potential sanctions including a substantial fine, disgorgement of commissions, a lengthy suspension, or a permanent bar from the securities industry given the pattern of falsification across multiple senior accounts. The firm faces significant fines, potential restitution orders, and

mandated remediation of its supervisory systems. Margaret and other affected senior clients would likely receive restitution through FINRA arbitration or a regulatory settlement. The branch manager who approved the account without verification faces individual liability as the responsible ROP. This fact pattern closely mirrors enforcement priorities highlighted in the post-2020 era of increased retail options participation.

Hypothetical 46

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Kowolski, age 63, is a retired school librarian in suburban Milwaukee, Wisconsin. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her liquid net worth consists of \$215,000 in a rollover IRA and \$42,000 in a savings account. She has no prior experience trading options or any securities beyond the target-date mutual fund in her former employer retirement plan. In March 2023, Margaret opened a brokerage account with Lakeside Financial Partners after attending a free dinner seminar hosted by advisor Derek Fabian, who promised strategies to 'generate extra monthly income without touching your principal.' During the account opening process, Fabian completed the options account application on Margaret's behalf. On the application, he listed her investment objective as 'speculation,' her risk tolerance as 'aggressive,' and her investment experience as 'extensive - 10+ years of options trading.' Margaret later stated in a complaint that Fabian never explained the application to her and she simply signed where he pointed. Within two weeks of account opening, Fabian was approved to trade Level 4 options in Margaret's IRA, which permitted uncovered (naked) call writing and multi-leg spread strategies. Between April and September 2023, Fabian executed 47 options trades in Margaret's account, including naked calls on volatile semiconductor stocks and short strangles on meme stocks with elevated implied volatility. Margaret's account suffered realized losses of \$74,300 - approximately 34.5% of her IRA balance - in six months. Commissions and fees on the options trades totaled \$6,800. Margaret only became aware of the magnitude of her losses when she received her September quarterly statement and called Lakeside's main office. She stated she had never heard the terms 'naked call' or 'short strangle' before reviewing the statement with her nephew, who works in finance. Lakeside's supervisory records show that the branch manager approved the Level 4 options authorization after reviewing only the application Fabian submitted, without conducting an independent interview with Margaret or verifying any of the information on the form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fabian committed multiple serious violations of options suitability and account approval requirements.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm must exercise due diligence to ascertain the essential facts about the customer, including investment objectives, financial situation, investment experience, and the nature of other investments. The rule specifically requires a Registered Options

Principal (ROP) to approve the account after reviewing this background information. The branch manager approved Level 4 options authority - the most permissive and risky tier - based solely on the falsified application without conducting any independent verification or customer interview. This is a clear supervisory failure.

****Falsification of Account Documents:**** By entering false information on the options application - listing Margaret's risk tolerance as 'aggressive,' her objective as 'speculation,' and fabricating 10+ years of options experience - Fabian violated FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and potentially FINRA Rule 4511 regarding books and records. The falsification was done to obtain an approval level that Margaret's true profile would never support.

****Reg BI / Suitability Violations:**** Under Regulation Best Interest, a broker-dealer must act in the retail customer's best interest and cannot place its own financial interest ahead of the customer. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations and must have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's actual investment profile. A 63-year-old retired librarian with \$38,000 in fixed income, \$215,000 in retirement savings, no options experience, and a stated desire for income preservation is categorically unsuitable for Level 4 options strategies including naked calls and short strangles. These are among the highest-risk strategies available, carrying theoretically unlimited loss potential (naked calls) and substantial margin risk.

****OCC Options Disclosure Document:**** The OCC's Characteristics and Risks of Standardized Options document must be provided to the customer before or at the time of account approval. There is no indication Margaret received or understood this document, further undermining the validity of her consent.

****FINRA Regulatory Notice 21-15:**** This notice specifically addresses options account opening and supervision, emphasizing that firms must have robust procedures to verify customer information, that account approval processes must go beyond rubber-stamping applications, and that firms must consider whether customers actually understand the risks of the options strategies they are approved to trade. Lakeside's process clearly failed all of these standards.

****Likely Regulatory Outcome:**** Fabian faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. Lakeside Financial Partners faces supervisory failure charges. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of at least \$74,300 in losses plus the \$6,800 in commissions. This fact pattern closely mirrors the type of enforcement cases that arose during the 2020-2023 era of expanded retail options access, where firms were cited for inadequate options approval processes and advisors placed unsophisticated investors in highly speculative strategies.

Hypothetical 47

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

[NON-COM

Fact Pattern

Marcus Delgado, age 23, worked as a delivery driver earning approximately \$34,000 per year. He had a checking account with \$4,200 and no prior investment experience beyond depositing money into a savings account. In March 2023, Marcus opened a brokerage account online with Trident Securities after seeing social media posts about traders making large profits from options. His account application listed his net worth as \$6,500, his annual income as \$34,000, his investment experience as 'none,' his risk tolerance as 'moderate,' and his investment objective as 'growth.' Despite these responses, the firm's automated account approval system granted Marcus Level 3 options trading privileges, which included the ability to sell uncovered (naked) calls and puts, as well as trade complex multi-leg strategies such as iron condors and strangles. The firm did not require Marcus to speak with any representative, did not verify that he understood the mechanics or risks of options trading, and did not furnish him with the standardized options risk disclosure document before approving the account. No supervisory principal reviewed the application before the elevated options level was granted. Within six weeks, Marcus began selling naked put options on a volatile biotech stock, collecting \$1,800 in premiums. When the stock dropped 40% following a failed clinical trial, Marcus was assigned on the puts and faced losses of \$27,500 - more than six times his stated net worth. His account went into a margin deficit of \$21,300, and the firm liquidated his positions at a loss and pursued him for the remaining debit balance. Marcus filed a complaint stating he did not understand what 'naked puts' meant and was never told he could lose more than the money in his account. An internal review revealed that Trident Securities had approved over 12,000 accounts for Level 3 options access in the first quarter of 2023 using the same automated process, with no principal review or options-specific education requirement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple serious violations occurred here involving the firm's options account approval process, delivery of required disclosures, and the suitability of the options strategy for this customer.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must review and approve the account based on the customer's financial background, investment objectives, experience, and knowledge of options. The rule specifically mandates that a designated ROP - not merely an automated system - approve each account. Trident Securities failed to have any principal review Marcus's application. The automated approval of Level 3 options privileges (including naked/uncovered writing) for a 23-year-old delivery driver with no investment experience, \$6,500 net worth, and \$34,000 income is a textbook approval failure. FINRA Regulatory Notice 21-15 specifically warned firms about deficiencies in options account approval processes, noting that automated systems granting elevated options levels without meaningful supervisory review are inconsistent with member firms' obligations.

2. ****Failure to Deliver OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), a member firm must furnish a customer with the current Options Clearing Corporation (OCC) Options Disclosure Document (commonly known as 'Characteristics and Risks of Standardized Options') at or before the time the account is approved for options trading. The firm failed to provide this document to Marcus, depriving him of standardized risk disclosures that would have explained, among other things, that selling uncovered

options carries theoretically unlimited risk.

3. ****Suitability / Regulation Best Interest Violation:**** Under Regulation Best Interest (Reg BI), the broker-dealer and its associated persons owe a duty of care requiring them to have a reasonable basis for recommending a particular securities strategy. Even if the firm characterizes the account as 'self-directed,' the act of approving an unsophisticated, low-net-worth customer for the most aggressive level of options trading - including uncovered option writing - without any education, disclosure, or meaningful diligence constitutes a failure of the care obligation. Naked put selling on volatile biotech stocks is categorically unsuitable for a customer with Marcus's profile. FINRA Rule 2360(b)(19) also requires that the firm have reasonable grounds for believing the customer can meet the margin and financial commitments of options transactions.

4. ****Supervisory Failures (FINRA Rule 3110):**** The firm's systemic failure - auto-approving 12,000+ accounts at Level 3 without principal review - reflects a wholesale supervisory breakdown. FINRA Rule 3110 requires firms to establish and maintain written supervisory procedures reasonably designed to achieve compliance with applicable rules, including those governing options account approval.

****Likely Regulatory Outcome:**** The firm would face significant enforcement action, potentially including substantial fines, a requirement to overhaul its options approval system, restitution to affected customers, and possible suspensions for responsible supervisory personnel. This fact pattern mirrors the types of deficiencies highlighted in FINRA's enforcement actions against firms in the post-2020 'Robinhood era,' where mass auto-approval of complex trading privileges to inexperienced retail investors led to catastrophic customer losses and regulatory sanctions. Marcus would likely prevail in arbitration for his losses.

Hypothetical 48

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Hollis, age 64, is a retired elementary school teacher in Tucson, Arizona, with an annual pension income of \$42,000 and total liquid savings of approximately \$185,000, most of which is held in a rollover IRA that represents her primary retirement nest egg. She has no prior experience trading options or any derivative products, and her investment history consists solely of owning a target-date mutual fund through her former employer's 403(b) plan. In September 2023, Margaret opened a brokerage account with Ridgeway Financial Services after attending a free dinner seminar where advisor Kyle Pennington described strategies to 'generate extra monthly income in retirement.' During the account opening process, Kyle marked Margaret's risk tolerance as 'moderate' and her investment objective as 'income.' He assisted her in completing the options account application, listing her investment experience as 'limited' and her liquid net worth as \$185,000. Kyle checked the box requesting approval for Level 3 options trading, which permits uncovered (naked) put writing and spread strategies. The firm's options principal approved the Level 3 designation the same day without contacting Margaret or requesting additional information. Kyle recommended that Margaret allocate \$90,000 of her IRA to a strategy involving selling naked puts on three volatile technology stocks - a cloud computing company, a semiconductor manufacturer, and a social

[NON-COMPLIANT]

media firm - each trading between \$150 and \$280 per share. Kyle told Margaret this was a 'conservative income strategy' that would generate approximately \$2,800 per month in premium income. He did not provide her with the standardized options risk disclosure document at or before the time the account was approved. Over the following four months, several of the naked put positions moved sharply against Margaret as tech stocks declined during a broader market selloff. By January 2024, Margaret had realized losses of \$47,300 and faced additional margin calls totaling \$22,000. She liquidated a substantial portion of her remaining IRA holdings to meet the margin calls, leaving her retirement account with a balance of approximately \$115,700 - a loss of more than 37% of her original savings in under five months. Margaret filed a complaint stating she never understood the risks of the strategy and believed she was simply collecting 'a little extra income like a dividend.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing options account approval and suitability. The analysis proceeds on several grounds:

1. ****Failure to Deliver the OCC Options Disclosure Document (ODD):**** Under FINRA Rule 2360(b)(11)(A), a member firm must furnish the OCC's Options Disclosure Document ("Characteristics and Risks of Standardized Options") to each customer at or before the time the customer's account is approved for options trading. Kyle Pennington failed to provide this document to Margaret Hollis. This is a threshold procedural violation that independently constitutes a rule breach, as the ODD is specifically designed to ensure customers understand the unique risks of options before they begin trading.
2. ****Inadequate Options Account Approval and Supervisory Failure:**** FINRA Rule 2360(b)(16) requires that a Registered Options Principal (ROP) approve each options account based on an assessment of the customer's financial situation, investment experience, and investment objectives. The firm's options principal approved Margaret for Level 3 options trading - which includes naked put writing - on the same day the application was submitted, without any independent contact with the customer and despite the application itself indicating 'limited' investment experience. A 64-year-old retiree with no options experience, a moderate risk tolerance, an income objective, and a liquid net worth consisting almost entirely of retirement savings is plainly unsuitable for uncovered options writing. The ROP's failure to exercise meaningful diligence in the approval process violates FINRA Rule 2360(b)(16) and its supervisory obligations under FINRA Rule 3110.
3. ****Unsuitable Recommendation - Reg BI and FINRA Rule 2111:**** Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. The Care Obligation component of Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe it is in the customer's best interest given her specific investment profile. Naked put writing on volatile technology stocks exposes the seller to substantial downside risk - potentially requiring the purchase of shares at the strike price far above market value. This strategy is categorically inappropriate for a retired, income-seeking investor with limited experience, moderate risk tolerance, and a concentrated retirement

account representing her primary financial resource. FINRA Regulatory Notice 21-15 further emphasizes that firms must take particular care when approving complex options strategies for customers and must consider whether customers genuinely understand the products and strategies being recommended.

4. **Mischaracterization of Strategy Risk:** Kyle described naked put writing as a 'conservative income strategy' comparable to collecting dividends. This materially misrepresents the risk profile of uncovered options writing, which carries theoretically substantial loss potential. This misrepresentation violates FINRA Rule 2210 (communications with the public) standards requiring that communications be fair, balanced, and not misleading, and also undermines the informed consent necessary under both Reg BI's Disclosure Obligation and FINRA Rule 2360.

5. **Likely Regulatory Outcome:** The advisor and the firm face significant exposure. The failure to deliver the ODD, the deficient account approval process, the unsuitable recommendation, and the misleading characterization of risk collectively constitute serious violations. Likely outcomes include monetary sanctions against the firm, suspension or bar of the advisor, disgorgement of commissions, and restitution to the customer. In a customer arbitration, Margaret would have strong claims for the \$69,300 in losses (realized losses plus margin call liquidations) plus consequential damages. The firm's supervisory failures - particularly the rubber-stamp Level 3 approval by the options principal - expose the firm to additional supervisory violation charges under FINRA Rules 3110 and 2360(b)(16).

Hypothetical 49

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Hoffman, age 78, is a retired elementary school teacher living in suburban Ohio. She has a fixed income consisting of a \$2,400/month pension and \$1,850/month in Social Security benefits. Her total liquid net worth is approximately \$340,000, held primarily in a traditional IRA rollover account and a small taxable brokerage account. She has no prior experience trading options or any leveraged products. Her stated investment objectives on her new account form, completed in March 2023, listed 'income' and 'preservation of capital,' and her risk tolerance was marked as 'conservative.' She indicated a 3-to-5-year time horizon and noted that her investments represented substantially all of her retirement savings.

Her financial advisor, Derek Claiborne, age 34, had been with his broker-dealer for two years and previously worked at a fintech brokerage startup. In April 2023, Claiborne recommended that Mrs. Hoffman open an options account, telling her that 'covered call writing is basically free money' and that it would 'supercharge her income without any real downside.' He submitted an options approval application on her behalf requesting Level 3 options privileges, which included uncovered put writing and spread strategies, despite having only discussed covered calls with her. The firm's options principal approved the application the same day it was submitted, without conducting any independent review of Mrs. Hoffman's customer profile or contacting her directly.

Over the following five months, Claiborne executed 47 options trades in Mrs. Hoffman's IRA, including 12

naked put positions on volatile technology and biotech stocks, 8 bull call spreads, and various short strangles. Commissions and fees totaled \$11,200. By September 2023, the account had lost approximately \$94,000-roughly 28% of her total liquid net worth. Mrs. Hoffman later told a branch manager that she did not understand what a 'naked put' was and believed she was only selling covered calls on blue-chip dividend stocks. She said Claiborne never provided her with any options disclosure document and never explained the risks of the strategies being employed. Claiborne's notes in the CRM system contained only a single generic entry dated April 2023 stating 'Client interested in options income strategies, approved for Level 3.' The firm had no record of delivering the standardized options disclosure document to Mrs. Hoffman prior to or at the time of account approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Claiborne and the firm committed multiple serious violations.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must review the customer's financial situation, investment objectives, trading experience, and risk tolerance to determine that options trading is appropriate. Here, the ROP approved Level 3 options privileges-including uncovered writing-for a 78-year-old retired teacher with no options experience, conservative risk tolerance, income and capital preservation objectives, and a portfolio representing virtually all her retirement savings. The same-day approval without independent review or customer contact constitutes a failure of the firm's supervisory obligations under Rule 2360(b)(16)(B).

****Failure to Deliver OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the OCC's "Characteristics and Risks of Standardized Options" disclosure document must be furnished to the customer at or prior to the time the account is approved for options trading. The firm has no record of delivery, and Mrs. Hoffman confirmed she never received it. This is a standalone violation.

****Suitability and Reg BI Violations:** Under Regulation Best Interest (Reg BI), the care obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. Naked put writing on volatile biotech and technology stocks, short strangles, and aggressive spread strategies are categorically unsuitable for a 78-year-old conservative investor whose objectives are income and capital preservation. The recommendation of Level 3 strategies violated both the care and disclosure obligations of Reg BI. Additionally, under FINRA Rule 2360(b)(19), the advisor must have a reasonable basis for believing the customer has sufficient knowledge and experience to evaluate the risks of recommended options transactions.

****FINRA Regulatory Notice 21-15 Considerations:** RN 21-15 specifically addresses concerns about options account approval processes, emphasizing that firms must have robust procedures to evaluate whether options trading-and the specific level of approval-aligns with a customer's profile. The notice warns against rubber-stamping approvals and highlights the risk of harm to inexperienced investors who are granted excessive trading authority. The instant facts-an inexperienced senior investor granted Level 3 access with no meaningful review-exemplify the exact failures RN 21-15 was designed to address.

****Senior Investor Exploitation:**** FINRA Rule 2165 and related guidance on senior investor protections are also implicated. The pattern of 47 trades generating \$11,200 in commissions in a conservative retiree's IRA, resulting in a 28% loss of her total liquid net worth, raises additional concerns about potential churning and quantitative unsuitability under FINRA Rule 2111 (to the extent it applies alongside Reg BI).

****Likely Regulatory Outcome:**** Claiborne faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry. The firm faces liability for supervisory failures under FINRA Rules 3110 and 2360, including the ROP's deficient approval. Mrs. Hoffman would have strong grounds for a FINRA arbitration claim seeking recovery of her \$94,000 in losses plus commissions. The firm could also face enhanced scrutiny of its entire options approval process.

Hypothetical 50

Topic: *failure_to_know_customer* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Gerald Hutchins, a 58-year-old municipal bus driver in Toledo, Ohio, earned \$52,000 annually and had accumulated \$135,000 in a rollover IRA from a previous employer's 401(k). He had no other retirement savings and planned to retire at age 62. In March 2022, Gerald walked into the branch office of Ridgemont Securities after seeing an advertisement about 'growing your retirement faster.' He met with registered representative Danielle Okafor, who had him fill out a new account form. Gerald indicated on the form that his investment objective was 'growth,' his risk tolerance was 'moderate,' his liquid net worth was \$18,000 (a savings account), and his investment experience consisted solely of the target-date mutual fund that had been in his 401(k). He had never traded individual stocks, bonds, or any derivatives. He checked 'no' on the question asking whether he had any prior options trading experience. Danielle reviewed the form but did not conduct any additional conversation with Gerald about his understanding of options, his financial situation beyond what was on the form, or his actual retirement income needs. She approved Gerald for a Level 3 options account, which permitted spread trading, uncovered put writing, and combination strategies. She told Gerald that 'options are how sophisticated investors protect and grow their money' and that she would 'handle the complexity.' Over the next four months, Danielle executed 47 options trades in Gerald's IRA, including selling uncovered puts on volatile small-cap biotech stocks, constructing iron condors on meme stocks, and purchasing deep out-of-the-money weekly call options on leveraged ETFs. By July 2022, Gerald's account had declined from \$135,000 to \$41,200. Commissions and fees totaled \$8,700. When Gerald called to express alarm, Danielle told him the market was 'going through a rough patch' and recommended doubling down by selling additional uncovered puts to 'collect premium and recover losses.' Gerald followed her advice, and by October 2022, his account balance was \$12,400. Gerald filed a complaint with the firm, stating he never understood what options were, was never given any disclosure document explaining options risks, and believed Danielle was investing his retirement money in mutual funds similar to what he previously held.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Okafor committed multiple serious violations. First, under FINRA Rule 2360(b)(16), before approving a customer for options trading, the firm and the registered options principal (ROP) must exercise due diligence to learn essential facts about the customer, including investment objectives, financial situation, employment status, investment experience, and the specific types of options transactions the customer intends to employ. Danielle failed to conduct any meaningful inquiry beyond a cursory review of the new account form. Gerald had zero options experience, zero derivatives knowledge, moderate risk tolerance, and his entire retirement savings were at stake - yet he was approved for Level 3, which includes highly speculative strategies like uncovered put writing. This represents a fundamental failure to know the customer.

Second, FINRA Rule 2360(b)(16)(B) requires that the OCC Options Disclosure Document (ODD) be provided to the customer at or before the time the account is approved for options trading. Gerald stated he never received this document, which is a standalone violation.

Third, under Regulation Best Interest (Reg BI), Danielle had a care obligation requiring her to exercise reasonable diligence, care, and skill in making recommendations. She was required to understand the potential risks, rewards, and costs of the recommended strategies and have a reasonable basis for believing they were in Gerald's best interest given his specific profile. A 58-year-old bus driver with no options experience, no other retirement savings, a \$52,000 income, only \$18,000 in liquid net worth, moderate risk tolerance, and a four-year retirement horizon is categorically unsuitable for Level 3 options trading involving uncovered puts on volatile biotech stocks, iron condors on meme stocks, and speculative weekly options on leveraged ETFs. These are among the most aggressive and risky strategies available to retail investors.

Fourth, FINRA Regulatory Notice 21-15 specifically addressed concerns about options account approvals in the wake of the Robinhood era, emphasizing that firms must have robust supervisory systems to evaluate whether customers meet the criteria for the options approval levels granted and that automated or rubber-stamp approvals are insufficient. The approval of Gerald for Level 3 without any supplemental inquiry or meaningful supervisory review is precisely the type of conduct this notice targeted.

Fifth, the recommendation to 'double down' by selling more uncovered puts after catastrophic losses compounded the violations, demonstrating a continued disregard for Gerald's financial welfare.

The account also generated \$8,700 in commissions on a \$135,000 account over roughly seven months, and the combination of frequent trading in high-risk instruments suggests potential quantitative unsuitability as well.

The likely regulatory outcome would include significant monetary sanctions against both Danielle and Ridgemont Securities, potential suspension or bar for Danielle, restitution to Gerald for his losses, and potential supervisory deficiency findings against the firm's ROP who approved or failed to review the account approval. Under FINRA Rule 2361, the ROP bears responsibility for approving options accounts and ensuring ongoing supervision of options activity. The total loss of approximately \$122,600 from Gerald's sole retirement account makes this an egregious case with likely enhanced sanctions.

Hypothetical 51

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Holloway, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small state pension of \$1,100 per month. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA that she accumulated over 35 years of teaching. She has no other significant assets aside from her home, which is paid off and valued at approximately \$185,000. Mrs. Holloway's stated investment objectives on her account documents are "preservation of capital" and "income generation." Her risk tolerance is listed as "conservative." She has no prior experience trading options or any leveraged financial products; her investment history consists entirely of certificates of deposit, Treasury bonds, and a balanced mutual fund.

In March 2022, Mrs. Holloway's financial advisor, Kevin Ridgeway, age 34, transferred to a new broker-dealer and moved Mrs. Holloway's account with him. During an in-person meeting at her home, Ridgeway told Mrs. Holloway that interest rates were too low for her CDs and bond holdings to keep up with inflation, and that he could generate significantly more income for her using an "enhanced income strategy" involving options. He described the strategy as "low risk" and "like collecting rent on stocks you already own." He recommended she liquidate \$280,000 of her Treasury holdings and balanced mutual fund and use the proceeds to purchase individual large-cap equity positions in eight stocks, then sell covered calls on those positions to generate monthly premium income. Mrs. Holloway agreed, trusting her advisor of six years.

Within the first two months, the covered call strategy generated approximately \$4,200 in premium income. However, beginning in May 2022, Ridgeway began modifying the strategy without clearly explaining the changes to Mrs. Holloway. He started selling cash-secured puts on additional equities, including two mid-cap technology stocks and a biotech company, telling her these were "basically the same thing as covered calls." By July 2022, Ridgeway had further escalated the strategy: he began writing naked puts on three volatile small-cap stocks and initiated several bull put spreads. Mrs. Holloway's account was approved only for Level 2 options trading (covered calls and cash-secured puts), but Ridgeway submitted a request to elevate her account to Level 4 (spreads and uncovered writing), listing her risk tolerance as "aggressive," her annual income as \$95,000 (her actual annual income was approximately \$42,000), her liquid net worth as \$600,000, and her investment experience as "10+ years trading options." The firm's options principal approved the upgrade the same day without contacting Mrs. Holloway.

By October 2022, a sharp decline in the technology and biotech sectors resulted in significant assignment losses on the naked puts. Mrs. Holloway's account value dropped from \$340,000 to approximately \$171,000 - a loss of nearly 50%. The total commissions and fees generated by the options activity over the seven-month period were approximately \$23,400. When Mrs. Holloway's daughter reviewed the account statements in November 2022, she discovered the losses and the nature of the trading. Mrs. Holloway stated she never understood what naked puts or spreads were, never agreed to change her risk tolerance, and believed she was only selling covered calls for income. Ridgeway's notes in the CRM system contained no documentation of any conversation with Mrs. Holloway about the strategy changes, the increased risk, or the account upgrade.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Ridgeway committed multiple serious violations of applicable regulatory standards governing options suitability and account approval.

****FINRA Rule 2360 (Options) - Account Approval and Suitability:****

FINRA Rule 2360(b)(16) requires that before approving a customer's account for options trading, the broker-dealer must obtain essential background information including the customer's investment objectives, financial situation, employment status, estimated annual income, net worth, investment experience, and age. The registered options principal (ROP) must then approve the account at a level appropriate for the customer's profile. Here, the initial Level 2 approval (covered calls/cash-secured puts) was arguably at the outer edge of appropriateness given Mrs. Holloway's conservative profile, age, and limited income. However, the escalation to Level 4 was a clear violation: Ridgeway falsified the customer's income (\$95,000 vs. actual \$42,000), liquid net worth (\$600,000 vs. actual \$340,000), risk tolerance ("aggressive" vs. "conservative"), and investment experience ("10+ years" vs. none). Fabricating customer information on an options account application is a serious violation of Rule 2360(b)(16)(B) and constitutes fraud.

****FINRA Rule 2360(b)(16)(C) - Registered Options Principal Supervisory Failure:****

The firm's options principal approved the Level 4 upgrade on the same day without contacting Mrs. Holloway to verify the dramatic changes to her profile - a 78-year-old retired schoolteacher suddenly listed as aggressive with \$95,000 income and 10+ years of options experience. This represents a failure of the supervisory obligations imposed on the ROP under Rule 2360(b)(16)(C), which requires diligent review and reasonable grounds for approval.

****FINRA Rule 2361 - Suitability of Options Recommendations:****

Rule 2361 requires that every options recommendation must be suitable based on the customer's financial situation, investment objectives, and sophistication. Naked put writing on volatile small-cap stocks and bull put spreads are categorically unsuitable for a 78-year-old conservative investor living on \$42,000 per year with her entire liquid net worth in a single retirement account. Even the initial covered call strategy, which required liquidating safe Treasury holdings to purchase concentrated equity positions, raised suitability concerns for this customer.

****Regulation Best Interest (Reg BI):****

Under Reg BI's Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and must have a reasonable basis to believe the recommendation is in the customer's best interest. The progression from covered calls to naked puts on speculative stocks for a 78-year-old retiree with no options experience fails every element of the Care Obligation. Additionally, Reg BI's Disclosure Obligation required clear disclosure of material risks, which Ridgeway failed to provide.

****OCC Options Disclosure Document:****

The OCC's Characteristics and Risks of Standardized Options document must be provided to customers

before or at the time of account approval. Even if delivered, the escalation to uncovered options strategies required additional disclosure and customer understanding. Mrs. Holloway's testimony that she never understood naked puts or spreads, combined with the absence of any CRM documentation of risk discussions, suggests a complete failure to ensure customer comprehension.

****FINRA Regulatory Notice 21-15 (Options Account Opening and Supervision):****

RN 21-15, issued in April 2021, specifically reminds firms of their obligations to have robust procedures for approving options accounts and to ensure that account approvals reflect actual customer profiles rather than manipulated data. The notice emphasizes that firms must verify and assess customer information - particularly for complex strategies - and that automated or cursory approvals without meaningful review are deficient. The same-day rubber-stamp approval of Mrs. Holloway's Level 4 upgrade directly contravenes the guidance in RN 21-15.

****Senior Investor Considerations:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, including through Rule 2165 (financial exploitation of specified adults) and Regulatory Notice 07-43. While Ridgeway's conduct may not constitute traditional "financial exploitation" under Rule 2165 (which addresses diminished capacity and third-party exploitation), the falsification of her records, the unsuitable strategy escalation, and the excessive commissions (\$23,400 on a \$340,000 account over seven months - an annualized cost ratio of approximately 11.7%) collectively represent a pattern of exploitation of a vulnerable senior client.

****Likely Regulatory Outcome:****

Ridgeway faces potential sanctions including disgorgement of commissions, restitution to Mrs. Holloway, a substantial fine (potentially \$100,000+), and a bar from the securities industry for falsification of account documents and unsuitable options recommendations. The firm and the approving ROP face supervisory violation charges under Rules 2360 and 3110. The falsification of customer records could also trigger referral for potential fraud charges. Mrs. Holloway would likely recover full restitution through arbitration, and the firm could face additional punitive damages given the egregiousness of the conduct.

Hypothetical 52

Topic: inappropriate_risk_profile | Difficulty: hard

Fact Pattern

Gerald Whitfield, age 71, is a retired high school principal living in suburban Indianapolis. He has a fixed annual income of \$54,000 from his state pension and Social Security. His liquid net worth consists of approximately \$385,000 in a traditional IRA, \$42,000 in a savings account, and a paid-off home valued at \$210,000. Gerald has no prior experience trading options or any leveraged products. His stated investment objectives on his new account application at Meridian Wealth Partners were "income and preservation of capital," and he self-identified his risk tolerance as "conservative." Gerald's advisor, Kyle Rennick, age 29, had been with the firm for 14 months. During a March 2023 meeting, Rennick explained to Gerald that "there's a way to generate quick weekly income using same-day expiration options on the S&P 500 index."

[NON-COM]

Rennick described the strategy as similar to "collecting small premiums like rent checks" and told Gerald that the risk was "limited and manageable." Rennick submitted an options account application on Gerald's behalf, listing Gerald's investment experience as "moderate" and his risk tolerance as "aggressive growth," which contradicted Gerald's original new account form. The branch manager approved the options application within two hours without speaking to Gerald or cross-referencing the original account profile. Over the next four months, Rennick executed 147 zero-days-to-expiration (0-DTE) SPX options trades in Gerald's IRA, primarily selling naked put spreads and occasionally selling uncovered calls. The average position size was approximately \$18,000 in notional exposure per trade. While the account generated \$11,400 in collected premiums over the first two months, a sharp intraday market decline on June 14, 2023, resulted in a single-day loss of \$67,200 - roughly 17.5% of Gerald's total IRA value. By the end of July 2023, the cumulative net loss in the account was \$94,300, and the account had generated \$8,750 in commissions and fees paid to the firm. Gerald first learned the full extent of his losses when he received his quarterly statement in August 2023. He immediately called the branch office and was told by Rennick that "markets go up and down" and that they could "make it back with the same strategy." Gerald subsequently filed a written complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Kyle Rennick committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including the customer's investment objectives, financial situation, investment experience, and risk tolerance. Rennick falsified Gerald's options application by changing his risk tolerance from 'conservative' to 'aggressive growth' and inflating his experience level from none to 'moderate.' This is a clear violation of the account approval requirements and potentially constitutes falsification of records.

Second, under FINRA Rule 2360(b)(16)(B), a branch manager or Registered Options Principal (ROP) must approve options accounts only after reviewing the customer's background and financial profile. The branch manager's approval within two hours, without contacting Gerald or reconciling the conflicting information between the original account application and the options application, represents a supervisory failure under FINRA Rule 2360(b)(16) and FINRA Rule 3110 (supervision).

Third, the strategy itself - selling naked puts and uncovered calls using 0-DTE SPX options - is among the highest-risk options strategies available and is categorically unsuitable for a 71-year-old retired conservative investor whose objectives are income and capital preservation. Under Regulation Best Interest, the advisor had an obligation to act in Gerald's best interest at the time the recommendations were made. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations and must consider the customer's investment profile. Recommending 147 highly speculative 0-DTE options trades with substantial notional exposure in a retirement account for a conservative, inexperienced retiree is a textbook violation.

Fourth, FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approval processes, including the risks of digital or streamlined approvals that fail to adequately assess customer

profiles. The near-instantaneous approval here without meaningful review exemplifies the deficiencies flagged in that notice.

Fifth, the OCC Options Disclosure Document, which must be provided to customers before options trading is approved, describes the significant risks of options trading, including the risk of total loss. There is no indication Gerald was provided or understood this document.

The cumulative net loss of \$94,300 - roughly 24.5% of Gerald's IRA - combined with \$8,750 in commissions, the falsification of his account profile, and the complete mismatch between the strategy and his documented objectives, would likely result in significant sanctions including fines, disgorgement of commissions, restitution to the customer, suspension or bar of the advisor, and potential fines against the firm and supervising principal. This case presents aggravating factors including a vulnerable senior investor, falsified documents, and a failure to escalate or remediate after the initial complaint.

Hypothetical 53

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM]

Fact Pattern

In March 2023, Gerald Hoffman, a 61-year-old semi-retired school bus driver in Omaha, Nebraska, opened a brokerage account with Pinnacle Securities LLC. Hoffman reported annual income of \$38,000, liquid net worth of \$95,000 (consisting primarily of a savings account and a small IRA rollover), and total net worth of \$210,000 including his home equity. On the new account form, his investment objective was listed as "income" and his risk tolerance was marked as "moderate." He had no prior options trading experience and told his advisor, Ryan Delacroix, that he wanted to generate a little extra monthly income to supplement his part-time earnings before fully retiring at 65. Delacroix suggested that Hoffman could earn attractive monthly premiums through options trading and recommended that the firm approve Hoffman for Level 3 options privileges, which permitted uncovered (naked) put and call writing. On the options account application, Delacroix listed Hoffman's investment experience as "5+ years" in options and changed his risk tolerance to "aggressive" and his investment objective to "speculation," despite Hoffman having told Delacroix he had never traded options and did not understand what "writing naked calls" meant. Hoffman signed the application without reading it carefully. The firm's options principal approved the application the same day without contacting Hoffman or conducting any independent verification. Between April and August 2023, Delacroix directed Hoffman into a strategy of selling uncovered calls on volatile technology stocks including a semiconductor company and a cloud computing firm. In June 2023, after a strong earnings report caused one of the underlying stocks to surge 28%, Hoffman faced a margin call of \$47,000. Unable to meet the margin call from his existing assets without liquidating his IRA, Hoffman was forced to sell his IRA holdings at a loss and deposit the proceeds. By September 2023, Hoffman had realized total losses of \$63,200 - approximately 66% of his liquid net worth. During this period, Delacroix earned \$8,400 in commissions. Hoffman filed a complaint with the firm stating he never understood the risks involved and that his advisor told him options income was "basically like collecting rent."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Ryan Delacroix committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative and the firm's options principal must exercise due diligence to learn the essential facts about a customer before approving an options account, including the customer's financial situation, investment objectives, investment experience, and risk tolerance. Delacroix falsified Hoffman's options application by listing 5+ years of options experience when Hoffman had none, changing the risk tolerance from moderate to aggressive, and changing the investment objective from income to speculation. This constitutes falsification of account records and a violation of FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade), as well as FINRA Rule 4511 regarding books and records.

Second, under FINRA Rule 2360(b)(16)(B), the branch office manager or options principal who approves an options account must have a reasonable basis for believing the customer's account is suitable for options trading at the approved level. Approving Level 3 options privileges - including uncovered call and put writing - for a 61-year-old semi-retired individual with \$95,000 in liquid net worth, no options experience, moderate risk tolerance, and an income objective is facially unsuitable. The options principal's same-day approval without any customer contact or independent verification of the information on the application represents a failure of supervisory obligations under FINRA Rule 3110.

Third, under Regulation Best Interest's Care Obligation, a broker-dealer must have a reasonable basis to believe that any recommendation is in the retail customer's best interest based on that customer's investment profile. Naked call writing on volatile technology stocks exposes the writer to theoretically unlimited losses - a risk wholly incompatible with Hoffman's conservative profile, limited liquid assets, and income-oriented objectives. FINRA Regulatory Notice 21-15 specifically highlights concerns about firms approving customers for complex options strategies without adequate due diligence and emphasizes that account approval processes must be reasonably designed to comply with options-related rules.

Additionally, the OCC Options Disclosure Document, which must be provided to customers at or before account approval under FINRA Rule 2360(b)(11), clearly describes the unlimited risk characteristics of uncovered call writing. Delacroix's characterization of options income as "basically like collecting rent" is materially misleading and fails to disclose the substantial risks, violating the disclosure requirements.

The losses of \$63,200, representing 66% of Hoffman's liquid net worth and forcing liquidation of retirement assets, demonstrate the real-world harm of these violations. Likely regulatory outcomes include: (1) disgorgement of commissions, (2) fines against both Delacroix and the firm, (3) potential suspension or bar of Delacroix for falsification of records, (4) potential supervisory sanctions against the approving options principal, and (5) customer restitution. The firm may also face sanctions for failing to maintain a reasonably designed options account approval system as described in FINRA RN 21-15.

Hypothetical 54

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM

Fact Pattern

Marcus Bellingham, age 24, worked as a barista in Portland, Oregon, earning approximately \$31,000 per year. He had a savings account with \$8,200, no prior investment experience, and no formal financial education. In March 2023, Bellingham opened a brokerage account with Pinnacle Securities after seeing social media posts about generating income through options trading. His new account application, completed with the help of registered representative Danielle Ferro, listed his investment objective as 'speculation,' his risk tolerance as 'aggressive,' his annual income as \$75,000, and his liquid net worth as \$150,000. Ferro did not ask Bellingham to provide documentation supporting these figures. In a recorded onboarding call, Bellingham mentioned he was 'just getting started' and had 'watched some YouTube videos about selling puts.' Despite this, Ferro approved Bellingham for Level 4 options trading, which permitted uncovered put writing and multi-leg spread strategies. Over the next four months, Ferro suggested Bellingham focus on selling naked puts on high-volatility meme stocks, including a biotech company awaiting FDA approval and a heavily shorted electric vehicle manufacturer. Bellingham sold 15 naked put contracts on the biotech stock at a \$40 strike price when shares were trading at \$44, collecting \$3,750 in premium. When the FDA rejected the company's drug application in June 2023, the stock plummeted to \$11 per share. Bellingham faced an assignment obligation of approximately \$60,000 and had insufficient funds to cover the position. His account was liquidated at a net loss of \$43,500. Bellingham filed a complaint stating that Ferro never explained the risks of naked options, never verified his actual financial situation, and inflated his application data to qualify him for advanced options approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Ferro committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative and the firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including the customer's financial situation, investment experience, and investment objectives. Ferro failed this fundamental 'know your customer' obligation by not verifying Bellingham's actual income, net worth, or experience level. The account application contained fabricated financial data-listing income at \$75,000 when the customer earned \$31,000, and liquid net worth at \$150,000 when he had \$8,200-which Ferro either knowingly inflated or recklessly failed to verify.

Second, FINRA Rule 2360(b)(16)(B) requires that a Registered Options Principal (or supervisory designee) approve the account for options trading based on accurate customer information, and that the level of options trading approved be appropriate for the customer's profile. Approving a 24-year-old barista with no investment experience and minimal savings for Level 4 uncovered options writing is facially unsuitable. The OCC Options Disclosure Document, which must be provided to the customer at or before account approval, explicitly warns that naked option writing carries theoretically unlimited risk and is appropriate only for experienced, well-capitalized investors.

Third, under Regulation Best Interest, Ferro had an obligation under the Care Obligation (17 CFR 240.15I-1) to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the recommended strategy and having a reasonable basis to believe the recommendation was in the customer's best interest given his actual financial profile. Recommending naked put writing on high-volatility, event-driven stocks to a novice investor with \$8,200 in

savings is a clear violation of this standard.

FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approvals in the context of newer, often younger retail investors entering the options market through app-based platforms. It reminds firms that they must maintain robust account approval processes and cannot rely on customer self-reported data when red flags suggest the information is inaccurate-such as a customer describing himself as a beginner.

The likely regulatory outcome includes significant monetary sanctions against both Ferro and Pinnacle Securities, potential suspension or bar for Ferro, customer restitution of the \$43,500 loss plus potential consequential damages, and enhanced supervisory requirements imposed on the firm. The inflated application data may also give rise to a separate fraud or falsification of records charge under FINRA Rule 2010 (Standards of Commercial Honor).

Hypothetical 55

Topic: senior_investor_exploitation | Difficulty: hard

[NON-COMMERCIAL]

Fact Pattern

Margaret Ellison, age 78, is a retired elementary school teacher living in Sarasota, Florida. Her husband passed away in March 2022, leaving her as the sole beneficiary of his \$620,000 IRA rollover and a \$185,000 joint brokerage account that transferred into her name alone. Margaret's annual income consists of \$2,400/month from Social Security and a small state pension of \$1,100/month. She has no other sources of income. Her home is paid off and valued at approximately \$310,000. Margaret has no prior experience trading options or any leveraged products; her investment history consists entirely of certificates of deposit, Treasury bonds, and a small allocation to a balanced mutual fund her late husband selected in 2015. On her new account documents completed in April 2022, she indicated her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '1-5 years,' and her liquid net worth as approximately \$805,000.

Her financial advisor, Dean Prescott, age 34, had been with Coastal Wealth Partners for two years. In May 2022, during an in-person meeting, Prescott told Margaret that 'in this interest rate environment, there are smarter ways to generate income than sitting in Treasuries.' He recommended that Margaret begin selling uncovered (naked) put options on individual equities, including Tesla, Amazon, and Nvidia, explaining that she would 'collect premium income every month like clockwork' and that it was 'essentially the same as getting paid rent on stocks you'd be happy to own.' He did not explain the substantial downside risk of naked put writing, nor did he provide her with the Options Disclosure Document prior to her first trade. Prescott upgraded her account approval level to 'Level 4 - Uncovered Writing' by listing her investment experience as '5+ years in options' and her risk tolerance as 'aggressive/speculative' on the options account application, which did not match the information on her primary new account form completed just weeks earlier.

Between May and November 2022, Prescott executed 47 uncovered put option trades in Margaret's IRA

account. During a period of significant market volatility in September and October 2022, several of the short puts on Tesla and Nvidia moved deep in-the-money, and Margaret was assigned on multiple contracts. The resulting stock purchases and subsequent liquidation at losses, combined with ongoing margin-like obligations in the IRA, produced realized losses of approximately \$214,000 - roughly 26.6% of her total liquid net worth. Margaret was also charged \$11,300 in total commissions and fees across the 47 transactions. Margaret's account value fell from \$620,000 to approximately \$406,000 by December 2022. When Margaret called the firm in November to ask why her account balance had dropped so significantly, she was told by Prescott that 'markets go up and down' and that 'you'll make it back in premium over the next year.' No corrective action was taken, and Prescott continued selling puts in her account through January 2023.

A branch manager reviewed the account in February 2023 after a routine audit flagged the discrepancy between the new account form and the options application. The branch manager noted in an internal email that 'the options approval level does not appear consistent with the customer profile,' but no trades were reversed, and the account was not downgraded or restricted until Margaret filed a written complaint in April 2023 after her nephew, a CPA, reviewed her statements.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dean Prescott committed multiple serious violations across several regulatory frameworks.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer for options trading, the firm and registered representative must obtain detailed background and financial information, exercise due diligence to determine that the customer's options trading level is appropriate given their financial situation, investment objectives, and experience. Prescott falsified the options application by listing Margaret's experience as '5+ years in options' and her risk tolerance as 'aggressive/speculative,' which directly contradicted the information on her new account form completed weeks earlier showing conservative risk tolerance, income/preservation objectives, and no options experience. This constitutes a fabrication of account records and a failure of the options approval process.

****Failure to Deliver OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be provided to the customer at or before the time the account is approved for options trading. Prescott did not provide this document before the first trade, depriving Margaret of the required risk disclosures.

****Suitability / Reg BI Violations:** Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including age, financial situation, risk tolerance, and objectives. Selling uncovered puts - a strategy with theoretically substantial downside risk - to a 78-year-old recently widowed retiree with no options experience, conservative risk tolerance, income/preservation

objectives, and a limited time horizon is fundamentally unsuitable and clearly not in Margaret's best interest. This also violates FINRA Rule 2111 (suitability), which requires reasonable-basis, customer-specific, and quantitative suitability.

****FINRA RN 21-15 (Options Account Opening and Supervision):**** Regulatory Notice 21-15 specifically reminded firms of their obligations to have robust options account approval processes, to ensure consistency between customer profile information and approval levels, and to supervise options activity - particularly in the context of increased retail options trading. The discrepancy between Margaret's new account form and her options application is precisely the type of red flag that RN 21-15 warned firms to detect and address. The branch manager identified the inconsistency but failed to take prompt corrective action, representing a supervision failure under FINRA Rules 3110 and 2360(b)(20).

****Senior Investor Concerns:**** Margaret's age (78), recent widowhood, fixed income, reliance on the IRA as her primary retirement asset, and complete lack of options experience make her a particularly vulnerable investor. FINRA has emphasized heightened scrutiny of recommendations to senior investors, and the exploitation of a bereaved senior through falsified paperwork and aggressive trading compounds the severity of the violations.

****Quantitative Suitability / Churning Indicators:**** The execution of 47 uncovered put trades in roughly 8 months in a conservative retiree's IRA, generating \$11,300 in commissions and \$214,000 in losses, raises additional concerns about excessive trading.

****Likely Regulatory Outcome:**** Prescott faces potential sanctions including suspension or bar, disgorgement of commissions, restitution to the customer, and fines. The firm faces liability for supervisory failures, particularly the branch manager's delayed response. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages including the approximately \$214,000 in losses and \$11,300 in commissions, with potential punitive damages given the falsification of documents and exploitation of a senior investor.

Hypothetical 56

Topic: *failure_to_know_customer* | Difficulty: *hard*

Fact Pattern

Marcus Whitfield, age 24, works as a barista in Portland, Oregon, earning \$31,000 per year. He has \$8,200 in a savings account, no prior investment experience, and \$14,000 in student loan debt. In March 2023, Whitfield opened a brokerage account online with Apex Digital Securities after seeing social media posts about traders making large profits from zero-days-to-expiration (ODTE) options on the S&P 500 index. During the online account opening process, the firm's digital questionnaire asked Whitfield about his investment experience, objectives, and financial situation. Whitfield accurately reported that he had no options trading experience, that his investment objective was 'growth,' that his annual income was \$31,000, that his liquid net worth was \$8,200, and that his risk tolerance was 'moderate.' The platform's algorithm, however, auto-approved Whitfield for Level 3 options trading - which at Apex included the ability to buy and

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sell uncovered index options, trade complex multi-leg spreads, and trade ODTE contracts - without any human review or follow-up. No registered options principal reviewed Whitfield's application. The firm's system generated a generic confirmation email that included a hyperlink to the Options Disclosure Document, but no acknowledgment of receipt was required, and there was no verification that Whitfield read or understood the document. Within two weeks, Whitfield deposited his entire \$8,200 savings and began trading ODTE options on the S&P 500. Over the following six weeks, he executed 174 trades, the vast majority of which were purchases of far out-of-the-money ODTE puts and calls with notional exposure frequently exceeding \$200,000 per position. His account lost \$7,450 - approximately 91% of his deposit - in that period. During this time, the firm's compliance system generated three alerts flagging the account for concentrated short-dated options activity in a thinly funded account, but no compliance officer took action or contacted Whitfield. After losing nearly all his money, Whitfield filed a complaint alleging the firm should never have approved him for advanced options trading and failed to gather meaningful information about his knowledge and financial circumstances before granting such access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple serious violations occurred here, primarily by the firm rather than an individual advisor, but the regulatory framework treats the firm and its supervisory apparatus as responsible parties.

1. ****Failure to Know the Customer and Approve Options Account Appropriately (FINRA Rule 2360(b)(16))****: Under FINRA Rule 2360, before approving a customer for options trading, a registered options principal (ROP) must review the customer's account application and make an affirmative determination that the customer is suitable for the level of options trading requested. This review must consider the customer's investment objectives, financial situation, employment status, investment experience, age, and other relevant factors. Here, no ROP reviewed Whitfield's application. The firm relied entirely on an algorithm that auto-approved a 24-year-old with no investment experience, \$31,000 in income, \$8,200 in liquid assets, and \$14,000 in debt for Level 3 options access - a level that includes uncovered index options and complex strategies. This is a textbook failure of the account approval process.
2. ****Inadequate Delivery and Acknowledgment of OCC Options Disclosure Document****: The OCC Options Disclosure Document must be provided to the customer at or prior to the time the account is approved for options trading. Simply embedding a hyperlink in a confirmation email, without requiring acknowledgment of receipt or any confirmation of understanding, likely fails to meet the delivery requirements. FINRA Regulatory Notice 21-15 specifically raised concerns about firms using digital platforms that fail to ensure meaningful delivery of required disclosures.
3. ****Violation of Regulation Best Interest (Reg BI)****: Under Reg BI's Care Obligation (17 CFR § 240.15l-1), the broker-dealer and its associated persons must exercise reasonable diligence, care, and skill to understand the potential risks and rewards of a recommended securities transaction or investment strategy, and to have a reasonable basis to believe the recommendation is in the customer's best interest. While Whitfield self-directed his trades, the firm's decision to grant Level 3 options access is itself an implicit recommendation that such strategies are appropriate for the customer. Approving a financially unsophisticated, low-income customer with no experience for uncovered index options and ODTE trading

cannot be reconciled with the customer's best interest.

4. ****Supervisory Failures (FINRA Rules 3110, 3120)**:** The firm's compliance system generated three alerts on Whitfield's account, but no action was taken. This represents a failure of the firm's supervisory system under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of associated persons and to follow up on red flags.

5. ****FINRA RN 21-15 Considerations**:** FINRA's Regulatory Notice 21-15 specifically warned firms about the risks posed by mobile-app-based platforms that use gamification and simplified interfaces to encourage trading by inexperienced investors. The Notice emphasized firms' obligations to perform meaningful options account reviews, deliver disclosures effectively, and supervise accounts - particularly for young, inexperienced customers trading complex products. Apex Digital Securities' conduct appears to exemplify the exact failures the Notice targeted.

****Likely Regulatory Outcome**:** The firm faces potential enforcement action for systemic options account approval failures, inadequate supervision, and failure to comply with Reg BI. Remedies could include fines, restitution to affected customers, mandated overhaul of the options approval process to require human ROP review, and potential suspension of the firm's ability to open new options accounts until corrective measures are verified. Whitfield's individual complaint would likely be resolved in his favor through arbitration, with restitution of losses plus interest.

Hypothetical 57

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Gerald Whitman, age 71, is a retired postal worker living in Dayton, Ohio. He receives \$2,400 per month in Social Security and a modest pension of \$1,100 per month. His total liquid net worth is approximately \$185,000, held in a rollover IRA that represents virtually all of his retirement savings. Gerald has no prior experience trading options or any leveraged products. He has owned a handful of blue-chip stocks and Treasury bonds over the past 20 years and describes his investment objective as preserving his capital to fund living expenses through retirement. On his new account application at Trident Wealth Partners, Gerald indicated his risk tolerance as 'conservative' and his investment time horizon as '5-10 years.' His registered representative, Kyle Andersen, age 34, had been with the firm for three years. In February 2023, Kyle recommended that Gerald apply for options trading approval. Kyle told Gerald that selling covered calls on dividend-paying stocks would be 'basically free money' and 'no different than collecting extra dividends.' Kyle submitted the options account application but changed Gerald's risk tolerance to 'aggressive' and his investment experience to '5+ years of options trading' without Gerald's knowledge or consent. The firm's options principal approved the account at the highest tier - Level 4 - which permitted naked call writing, spreads, and uncovered put selling. Within the first four months, Kyle executed 37 options trades in Gerald's IRA, including 14 uncovered put sales on volatile technology stocks such as a semiconductor ETF and a meme-stock-adjacent EV manufacturer. In June 2023, a sharp market pullback triggered assignment on six of the uncovered puts, resulting in Gerald being forced to purchase approximately \$94,000 worth of

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shares at prices well above the market. By September 2023, Gerald's account had declined from \$185,000 to \$107,000 - a loss of \$78,000, or approximately 42% of his retirement savings. Gerald only discovered the extent of the losses when he attempted to withdraw funds to pay for a dental procedure and found his account value significantly lower than expected. When Gerald confronted Kyle, Kyle told him the market would recover and encouraged him to 'double down' by selling additional puts at lower strike prices.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Andersen committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must exercise due diligence to ascertain the essential facts about a customer before recommending options strategies, including age, financial situation, investment experience, investment objectives, and risk tolerance. Kyle's recommendation that a 71-year-old conservative retiree with no options experience engage in uncovered put selling - one of the highest-risk options strategies - was patently unsuitable on every dimension.

Second, Kyle falsified Gerald's options account application by changing his risk tolerance from 'conservative' to 'aggressive' and fabricating five or more years of options experience. This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially FINRA Rule 4511 (Books and Records), as well as securities fraud. Falsifying customer account documents to obtain options approval is one of the most frequently sanctioned violations in FINRA enforcement.

Third, under FINRA Rule 2360(b)(16)(B), the branch office manager or options principal (the Registered Options Principal, or ROP) who approved the account at Level 4 failed in their supervisory obligations. The application on its face - even as falsified - should have raised red flags given Gerald's age and the fact that all assets were in a rollover IRA. Under FINRA Rule 3110 and the options supervisory requirements, the ROP must review the account application and make an independent determination that options trading at the approved level is appropriate. The firm's supervisory system failed.

Fourth, under Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1), Kyle had a duty under the Care Obligation to exercise reasonable diligence, care, and skill in making recommendations. A reasonable advisor would never recommend Level 4 naked options strategies to a conservative 71-year-old retiree whose entire retirement savings was at stake. The recommendation failed every element of the care analysis: it did not match the customer's risk tolerance, investment objectives, time horizon, or experience level.

Fifth, FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account opening and supervision, particularly in the context of increased retail options trading. The Notice emphasized that firms must have robust procedures for verifying customer information, that options approval levels must correspond to actual customer profiles, and that supervisory systems must be designed to detect falsified applications.

The OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') is required to

be delivered to customers before options trading approval is granted. It is unclear from the facts whether Gerald received and reviewed this document, but even if he did, delivery alone does not cure the underlying suitability and falsification violations.

The likely regulatory outcome would include: (1) FINRA enforcement action against Kyle Andersen, potentially resulting in a bar from the securities industry for falsifying records and recommending grossly unsuitable strategies; (2) a fine and possible suspension for the supervising ROP; (3) a supervisory failure action against Trident Wealth Partners under FINRA Rules 3110 and 3120; (4) restitution of approximately \$78,000 to Gerald; and (5) potential referral to the SEC or state regulators for securities fraud related to the falsified application. Gerald would also have a strong FINRA arbitration claim for damages.

Hypothetical 58

Topic: *excessive_churning* | Difficulty: *hard*

[NON-COMMERCIAL]

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,800 per month, a traditional IRA worth \$285,000, and a taxable brokerage account with \$140,000 in savings accumulated over decades. She has no prior options trading experience. Her stated investment objectives on her new account application were income generation and capital preservation, and she marked her risk tolerance as 'conservative.' In March 2022, her financial advisor, Derek Stanton, age 34, who had been with his broker-dealer for three years, recommended that Margaret open an options trading account. Stanton told Margaret that selling covered calls on blue-chip stocks she already owned would be a safe way to generate 'extra retirement income like collecting rent on a house you already own.' Margaret agreed and was approved for Level 2 options trading, which at the firm permitted covered call writing and cash-secured put selling. Over the next 18 months, however, Stanton's activity in Margaret's accounts escalated significantly. Between March 2022 and September 2023, Stanton executed 487 options transactions across Margaret's taxable account and IRA. He moved well beyond covered calls, placing numerous short put spreads, long straddles, and iron condors in both accounts. Many positions were opened and closed within days. In multiple instances, Stanton rolled losing short put positions into further-out-of-the-money puts at lower strikes, generating additional commissions each time without meaningfully reducing Margaret's risk exposure. The account records show a turnover rate of 14.2 in the taxable account and 11.8 in the IRA over the 18-month period. Total commissions and options contract fees generated across both accounts were \$47,300. Margaret's taxable account declined from \$140,000 to \$91,400, and her IRA fell from \$285,000 to \$224,000, representing combined losses of approximately \$109,600. The cost-to-equity ratio across the accounts exceeded 33%. Margaret only became aware of the extent of the trading when her grandson, a finance major in college, reviewed her statements during a Thanksgiving visit in November 2023. Margaret stated in her subsequent complaint that she did not understand what straddles or iron condors were, had never requested or authorized complex multi-leg strategies, and believed Stanton was only writing covered calls as originally discussed. Stanton's supervisor had signed off on the initial options account approval but never conducted a subsequent review of the account activity or the escalation in strategy complexity. The firm's options principal reviewed and approved the original application based solely on the information in the new account

form and a brief phone call with Margaret in which she confirmed she wanted to 'try options for extra income.' No updated account documentation was completed when Stanton began executing Level 3 and Level 4 strategies, despite the firm's written procedures requiring re-approval for strategy upgrades.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Stanton committed multiple serious violations. First, the trading activity in Margaret Holloway's accounts constitutes classic excessive trading (churning) under FINRA Rule 2111 (Suitability) and Regulation Best Interest. The turnover rates of 14.2 and 11.8 far exceed the threshold of 6.0 that courts and regulators have long treated as presumptively excessive. The cost-to-equity ratio exceeding 33% further confirms that the accounts needed to generate extraordinary returns merely to break even after commissions, which is inconsistent with any reasonable investment strategy for a conservative retired client.

Second, Stanton violated FINRA Rule 2360 (Options), which requires that options recommendations be suitable for the specific customer based on their financial situation, investment objectives, and experience. Margaret's conservative risk tolerance, income-generation objective, lack of options experience, age (71), and reliance on retirement savings made complex multi-leg strategies such as straddles, iron condors, and short put spreads patently unsuitable. FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approvals and emphasizes that firms must exercise due diligence in approving customers for options trading levels commensurate with their experience, knowledge, and financial capacity.

Third, the firm's options principal failed in supervisory obligations under FINRA Rules 2360(b)(5) and 3110. The initial approval was perfunctory, and no subsequent review was conducted when Stanton escalated strategy complexity well beyond the approved Level 2 trading. The OCC Options Disclosure Document is required to be delivered to customers before options trading is approved, and its purpose is to ensure informed consent-Margaret's statements suggest she never understood the strategies being employed, raising questions about whether adequate disclosure occurred.

Fourth, under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), Stanton was required to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and not place his own financial interest ahead of the customer's. The pattern of rolling losing positions to generate additional commissions, the dramatic escalation from covered calls to complex multi-leg strategies, and the 487 transactions in 18 months for a conservative 71-year-old retiree demonstrate that Stanton prioritized commission generation over Margaret's interests.

The likely regulatory outcome would include disgorgement of commissions, restitution to the customer, a substantial fine, a lengthy suspension or permanent bar for Stanton, and potential supervisory failure charges against the firm and the options principal who failed to conduct ongoing oversight. Margaret would also have strong grounds for a customer arbitration claim seeking full compensatory damages of approximately \$109,600 plus the \$47,300 in excessive commissions.

Hypothetical 59*Topic: options_unsuitable | Difficulty: medium***Fact Pattern**

Margaret Kowalski, age 62, is a retired elementary school teacher in Toledo, Ohio, with an annual pension income of \$48,000. She has \$310,000 in a traditional IRA, \$85,000 in a savings account, and owns her home outright. In March 2023, she opened a brokerage account with Ridgeline Financial Services to invest \$120,000 of her IRA rollover proceeds. On her new account form, she indicated her investment objective was "income and capital preservation," her risk tolerance was "low," and her investment experience was limited to certificates of deposit and one balanced mutual fund she had held for twelve years. She had no prior options experience. Her registered representative, David Fontaine, age 34, recommended that Margaret apply for options trading to "generate extra monthly income." Fontaine completed the options account application on her behalf, listing her investment experience as "moderate" and her risk tolerance as "moderate/aggressive." He told Margaret the strategy was "like collecting rent on stocks you already own." The branch manager approved the account for Level 3 options trading, which permitted covered calls, cash-secured puts, spreads, and uncovered put writing. Within the first four months, Fontaine executed 47 options trades in Margaret's account. While he initially wrote covered calls on blue-chip holdings he had purchased for her, by May 2023 he transitioned to selling naked puts on volatile technology and biotech stocks, including short puts on a meme stock that had experienced 300% price swings over the prior six months. In June 2023, several of these short puts were assigned when the underlying stocks dropped sharply. Margaret was forced to purchase 800 shares of a biotech company at \$38 per share-stock that was then trading at \$19. Her account lost \$41,200 in realized and unrealized losses over the four-month period, representing roughly 34% of the assets she had invested. When Margaret called Fontaine in distress, he told her to "hold on" and sold additional puts to "average down and recover." Margaret was not provided the Options Disclosure Document at the time her account was approved, and the branch manager who approved the options authorization did not speak with Margaret or review her original new account form, relying solely on the options application Fontaine had submitted.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Fontaine and Ridgeline Financial Services committed multiple violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including investment objectives, financial situation, investment experience, and risk tolerance. Fontaine falsified Margaret's options application by upgrading her self-reported low risk tolerance to 'moderate/aggressive' and overstating her investment experience, which is a separate violation involving falsification of account records. Second, FINRA Rule 2360(b)(16)(B) requires that the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') be provided to the customer at or before the time the account is approved for options trading. Margaret never received this document, depriving her of mandated risk disclosures. Third, the branch manager (Registered Options Principal or ROP) who approved the account failed to fulfill the supervisory obligations under FINRA Rule 2360(b)(16)(C), which requires the ROP to review the customer's background and financial information-not merely the options application prepared by the representative-before granting

approval. Approving a 62-year-old retiree with no options experience and a stated low risk tolerance for Level 3 trading (including uncovered put writing) without independent review is a clear supervisory failure. Fourth, under Regulation Best Interest and FINRA Rule 2111, the recommendations themselves were unsuitable. Selling naked puts on highly volatile meme stocks and biotech companies exposed a conservative, income-oriented retiree to substantial downside risk wholly inconsistent with her stated objectives of income and capital preservation. FINRA Regulatory Notice 21-15 specifically highlighted concerns about options account approvals at firms that use digital or streamlined processes, emphasizing that firms must have robust systems to ensure options trading is appropriate for each customer regardless of how the application is submitted. The frequency of trading (47 trades in four months) in a previously inexperienced investor's account also raises concerns about excessive trading. The strategy of selling additional puts after significant losses to 'average down' compounded the unsuitability by increasing Margaret's exposure to the same risks that had already caused material harm. Likely regulatory outcomes include disgorgement, restitution to the customer, fines against both the representative and the firm, a suspension or bar for Fontaine for falsifying records and making unsuitable recommendations, and potential sanctions against the branch manager for supervisory failures under FINRA Rules 3110 and 2360.

Hypothetical 60

[NON-COM

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Kowalski, age 78, is a retired elementary school teacher living in Dayton, Ohio. She has a fixed annual income of \$34,000, consisting of Social Security benefits and a small pension. Her total liquid net worth is approximately \$285,000, held primarily in a rollover IRA that she accumulated over her 35-year teaching career. She has no prior experience trading options or any securities beyond holding a target-date retirement fund inside her employer plan. Her stated investment objectives on her new account form are "preservation of capital" and "income," and she self-identified her risk tolerance as "conservative." She opened an account with Bradley Fenwick, a registered representative at Ridgeline Securities, in March 2022 after attending a free dinner seminar at a local restaurant where Fenwick discussed ways to "generate extra monthly income from your retirement savings." During the seminar, Fenwick presented a strategy he called the "Monthly Paycheck Plan," which he described as a low-risk way to earn consistent returns of 2-3% per month. Within two weeks of opening her account, Fenwick submitted an options account application on Margaret's behalf. On the application, Fenwick listed her investment experience as "5+ years trading equities and options," her risk tolerance as "aggressive," her annual income as \$85,000, and her liquid net worth as \$600,000 - all of which materially differed from the information Margaret had provided on her new account form just days earlier. The branch manager, Lisa Chen, approved the options application the same day it was submitted without conducting any independent verification or reconciling the conflicting information across the two forms. Fenwick was granted Level 4 options approval for the account, which permitted uncovered (naked) call and put writing as well as multi-leg spread strategies. Between April 2022 and January 2023, Fenwick executed over 140 options trades in Margaret's IRA, including selling naked puts on volatile technology stocks like Tesla, Nvidia, and Amazon. He also executed iron condor spreads on the S&P 500 index and sold uncovered calls on individual equities. Margaret did not understand the trades and relied entirely on Fenwick's representations that the strategy was safe. She was never provided

with the standardized options risk disclosure booklet, "Characteristics and Risks of Standardized Options." By February 2023, following a sharp market downturn, Margaret's account had lost approximately \$168,000 - roughly 59% of her retirement savings. Commissions and fees generated across the 140 trades totaled \$27,400. When Margaret called the branch to inquire about her losses, Fenwick told her the losses were "temporary" and urged her to deposit additional funds to meet margin calls. Margaret's daughter, a CPA, reviewed the account statements and filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Bradley Fenwick committed multiple serious violations, and branch manager Lisa Chen failed in her supervisory duties.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must review the customer's financial background, investment objectives, trading experience, and risk tolerance to determine whether options trading is appropriate. The ROP must also reconcile any inconsistent information. Here, Lisa Chen approved the account the same day without reconciling the glaring discrepancies between Margaret's new account form (conservative risk tolerance, \$34,000 income, \$285,000 net worth, no options experience) and the options application (aggressive risk tolerance, \$85,000 income, \$600,000 net worth, 5+ years of experience). This constitutes a failure of the account approval process under Rule 2360(b)(16)(B).

****Falsification of Customer Information:** Fenwick materially inflated Margaret's income, net worth, experience, and risk tolerance on the options application to secure an approval level that would never have been granted based on her actual profile. This is a separate violation implicating FINRA Rules 2010 (Standards of Commercial Honor) and 4511 (Books and Records), as well as potential fraud.

****Failure to Deliver OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the OCC's "Characteristics and Risks of Standardized Options" booklet must be provided to the customer at or before the time the account is approved for options trading. Margaret was never given this document, depriving her of the standardized risk disclosures she was entitled to receive.

****Unsuitable Options Strategy (FINRA Rule 2360 and Reg BI):** Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. Selling naked puts on volatile technology stocks and uncovered calls are among the highest-risk options strategies available. These strategies expose the account holder to theoretically unlimited losses (in the case of uncovered calls) and substantial losses (naked puts). These strategies are fundamentally incompatible with a 78-year-old retiree with conservative risk tolerance, limited income, no options experience, and capital preservation objectives. FINRA Regulatory Notice 21-15 specifically reminds firms of their obligations regarding options account approval and supervision, emphasizing that firms must have robust processes to evaluate whether options trading - particularly complex strategies - is suitable for each customer.

****Senior Investor Exploitation:** Margaret's age, cognitive reliance on Fenwick's representations, and the

fact that the account represented virtually all of her retirement savings heighten the severity of these violations. FINRA has repeatedly emphasized enhanced protections for senior investors.

****Supervisory Failures (FINRA Rules 3110 and 2360(b)(16)):** Lisa Chen, as the branch manager and presumably the ROP, failed to establish and maintain a supervisory system reasonably designed to detect the discrepancies in customer information and the unsuitability of the trading activity. The rubber-stamp same-day approval with no reconciliation is a textbook supervisory failure.

****Likely Regulatory Outcome:** Fenwick faces potential sanctions including bars, fines, and disgorgement. Chen faces supervisory violation charges. The firm, Ridgeline Securities, faces potential fines, restitution orders, and enhanced supervisory undertakings. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$168,000 in losses plus \$27,400 in commissions, with potential punitive damages given the falsification of records and exploitation of a senior investor.

Hypothetical 61

Topic: *options_unsuitable* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Marcus Webb, age 23, opened an account with GreenLine Securities in March 2022 through its mobile trading platform. Marcus had recently graduated from college with a degree in marketing and was working as a junior account coordinator at an advertising firm earning \$42,000 per year. His liquid net worth was approximately \$11,500, consisting of savings from part-time jobs during college and a small monetary graduation gift. He listed his investment experience as 'limited-bought a few shares of tech stocks in 2021' and described his investment objective as 'growth' with a 'moderate' risk tolerance. He had no prior options trading experience of any kind. During the online account opening process, Marcus checked a box requesting options trading approval. The platform's automated system approved him for Level 3 options privileges within minutes, which included uncovered (naked) call writing, uncovered put writing, and complex multi-leg spread strategies. No human representative contacted Marcus to discuss his financial situation, investment knowledge, or the specific risks of Level 3 strategies. The platform did present the Options Disclosure Document in a clickthrough format, which Marcus acknowledged by clicking 'I agree' without reading the 107-page document. His assigned registered representative, Dana Kowalski, age 34, had supervisory responsibility over the account but never reviewed the approval or reached out to Marcus. Over the next five months, Marcus-relying on social media trading tips and short tutorial videos-executed 47 trades involving naked put sales on volatile biotech and meme stocks, including selling uncovered puts on a pharmaceutical company during a clinical trial announcement. In August 2022, a series of adverse price moves triggered margin calls totaling \$38,400-more than three times his total liquid net worth. Unable to meet the margin calls, his positions were liquidated at a realized loss of \$29,700. Marcus also owed GreenLine an additional \$6,200 in margin debt after liquidation. When Marcus called the firm to dispute the losses, Dana Kowalski acknowledged she had never reviewed his account application or options approval and was unaware of his trading activity until the margin call event. An internal review later revealed that GreenLine's automated options approval algorithm did not incorporate income thresholds, net worth floors, or experience requirements for Level 3 approval, and that the firm had approved over 14,000 accounts for

Level 3 options in the prior 12 months with an average applicant age of 26 and average liquid net worth of \$9,800.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple violations occurred at both the individual representative level and the firm supervisory level. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn essential facts about a customer before approving options trading, including the customer's investment objectives, financial situation, employment status, investment experience (particularly with options), and ability to bear the risks of the proposed strategies. The rule specifically requires that a Registered Options Principal (ROP) or designated supervisor approve the account for options trading at the appropriate level, and that the approval decision be based on a reasonable determination that the customer has adequate knowledge and financial capacity for the requested level. Here, GreenLine's fully automated approval system granted Level 3 privileges-including naked writing, one of the highest-risk strategies available-to a 23-year-old with \$42,000 in income, \$11,500 in liquid net worth, no options experience, and self-described 'moderate' risk tolerance. Naked put writing exposes the seller to losses that can vastly exceed the premium received and is categorically unsuitable for inexperienced, low-net-worth investors with moderate risk tolerance. The automated system's failure to incorporate any meaningful financial thresholds or experience filters constitutes a systemic failure to comply with FINRA Rule 2360's account approval requirements.

Additionally, under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations or approving trading capabilities, considering the customer's investment profile, the potential risks, and the customer's ability to absorb losses. Granting Level 3 options approval is effectively a recommendation to engage in those strategies, and doing so without any human review for a customer of this profile fails the Care Obligation.

FINRA Regulatory Notice 21-15 specifically addressed concerns arising from the proliferation of mobile-platform options trading, warning firms that automated account approval processes must still satisfy all existing options suitability requirements and that firms cannot rely on clickthrough disclosures (such as the OCC Options Disclosure Document) as a substitute for meaningful due diligence. The OCC Disclosure Document itself is intended to inform but does not relieve firms of their independent obligation to assess suitability.

Dana Kowalski, as the registered representative assigned to the account, had a duty under FINRA Rule 2360(b)(16)(B) and the firm's supervisory obligations under FINRA Rule 3110 to review account activity and ensure the options approval was appropriate. Her admission that she never reviewed the application or monitored the account demonstrates a supervision failure.

The firm-wide pattern-14,000 Level 3 approvals with an average age of 26 and average liquid net worth of \$9,800-suggests a systemic supervisory deficiency reminiscent of the enforcement actions taken against firms in the 'Robinhood era' for mass-approving retail customers for high-risk options strategies without adequate review.

Likely regulatory outcomes include: (1) FINRA enforcement action against GreenLine for systemic violations of Rules 2360 and 3110, potentially resulting in significant fines and mandated remediation of approval processes; (2) individual sanctions against Dana Kowalski for failure to supervise; (3) potential customer restitution for Marcus's losses of \$29,700 plus the \$6,200 margin debt; and (4) possible SEC action under Reg BI for the firm's failure to satisfy the Care and Compliance Obligations at an institutional level.

Hypothetical 62

Topic: *senior_investor_exploitation* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Hollis, age 78, is a retired schoolteacher living in Tampa, Florida. She has a fixed annual income of \$42,000 from Social Security and a small pension. Her total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover and a savings account. She has no prior experience trading options or any securities beyond holding a few blue-chip stocks and certificates of deposit over the years. Her stated investment objectives on her new account application are income and capital preservation, and she self-identifies her risk tolerance as conservative. In March 2023, Mrs. Hollis opened a brokerage account with Coastal Wealth Partners after being referred by a friend at her church. Her advisor, Derek Sanchez, age 34, suggested that Mrs. Hollis could significantly boost her monthly income by selling options. During their second meeting, Sanchez recommended that she apply for Level 3 options approval, which would permit uncovered (naked) call and put writing. On the options account approval form, Sanchez listed Mrs. Hollis's investment experience as "10+ years with options and equities," her risk tolerance as "aggressive," her annual income as "\$95,000," and her liquid net worth as "\$750,000." Mrs. Hollis later stated she did not review the form carefully and trusted Sanchez to fill it out accurately. She was not provided with or asked to acknowledge receipt of any options disclosure document before trading commenced. Between April and September 2023, Sanchez executed over 60 trades in Mrs. Hollis's IRA, primarily consisting of naked put sales on volatile technology and biotech stocks including Nvidia, Tesla, and Moderna. He also placed several short strangles on earnings announcements for Amazon and Meta. The account generated approximately \$18,400 in premiums collected during this period but also sustained realized losses of \$87,000 when several positions were assigned during market selloffs in August and September 2023. Commissions and fees totaled \$6,200. Mrs. Hollis's IRA declined from \$265,000 to \$171,800 in six months—a loss of approximately 35%. Mrs. Hollis first became aware of the extent of her losses when she received her September 2023 quarterly statement and called Sanchez, who told her the positions would "come back" and recommended doubling down by selling more puts at lower strike prices. When Mrs. Hollis expressed concern and asked to stop trading options, Sanchez delayed liquidating the remaining open positions for two additional weeks, during which time the account lost another \$11,000. She filed a written complaint with the firm in November 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sanchez committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a

registered options principal (ROP) must approve each options account based on accurate information about the customer's financial situation, investment experience, and investment objectives. Sanchez falsified Mrs. Hollis's account application by inflating her income from \$42,000 to \$95,000, her liquid net worth from \$310,000 to \$750,000, her risk tolerance from conservative to aggressive, and fabricating 10+ years of options experience. This constitutes a fraudulent misrepresentation on the account opening documents and a violation of the account approval process under Rule 2360. Second, the firm was required under FINRA Rule 2360(b)(11) to deliver the OCC Options Disclosure Document (ODD) to Mrs. Hollis at or before the time her account was approved for options trading. Mrs. Hollis's statement that she never received or acknowledged this document suggests a delivery failure. Third, the recommended strategies-naked put writing on volatile tech/biotech stocks and short strangles on earnings announcements-are among the highest-risk options strategies available and are wholly unsuitable for a 78-year-old retired schoolteacher with conservative risk tolerance, limited income, no options experience, and objectives of income and capital preservation. Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. These strategies exposed Mrs. Hollis to theoretically unlimited loss (on the naked calls within the strangles) and substantial loss on the naked puts, which is incompatible with her profile. FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account opening, supervision, and approval, and emphasized that firms must have reasonable procedures to assess whether options trading is appropriate for the customer. Fourth, Sanchez's recommendation to 'double down' after significant losses and his delay in liquidating positions after the customer requested cessation of trading further demonstrates a disregard for the customer's interests and likely constitutes a separate violation of the duty of care. The supervisory failures here are also notable: the firm's ROP should have flagged the account as inconsistent given the customer's age, stated occupation as a retired teacher, and the aggressive options level requested. Likely regulatory outcomes include disgorgement of commissions, restitution to Mrs. Hollis, a fine against the firm for supervisory failures, and individual sanctions against Sanchez including potential suspension or bar from the industry for falsifying customer documents and recommending unsuitable strategies to a senior investor.

Hypothetical 63

[NON-COM

Topic: *options_unsuitable* | Difficulty: *medium*

Fact Pattern

In March 2023, Gerald Hoffman, a 58-year-old high school teacher in suburban Phoenix, opened a brokerage account with Trident Wealth Partners. Gerald reported an annual salary of \$67,000, liquid savings of approximately \$140,000 (most of which sat in a savings account and a small bond fund), no prior options trading experience, a conservative risk tolerance, and a primary investment objective of capital preservation ahead of his planned retirement at age 62. His account application noted that he had no margin experience and limited familiarity with equities beyond owning a few blue-chip stocks through a 403(b) plan. His registered representative, Dana Prescott, age 31, had been with the firm for two years and had recently completed an internal training module on options strategies. In early April 2023, after a single 20-minute phone call in which Dana described options as 'a way to generate extra monthly income like

collecting rent on stocks you already own,' she upgraded Gerald's account to Level 3 options approval, which permitted multi-leg spread strategies, naked put writing, and straddles. The firm's options account approval form listed Gerald's experience as 'limited' and his risk profile as 'moderate-aggressive'-a characterization Gerald later said he never agreed to and that contradicted his original new-account form. Dana did not provide Gerald with the standardized options risk disclosure booklet at the time of account opening or at any point before trading commenced. Over the next five months, Dana executed 47 options trades in Gerald's account. Twenty-two of these were short put positions on volatile technology and biotech stocks, including three naked puts on a meme-stock company whose shares had swung between \$8 and \$45 within six months. Several positions were sized so that the maximum potential loss on a single naked put exceeded \$12,000-roughly 8.5% of Gerald's total liquid net worth per trade. Gerald also entered into iron condors and bull call spreads on leveraged ETFs tied to semiconductor indexes. Commissions and fees across all options trades totaled approximately \$6,800 over the five-month period. By September 2023, a sharp sell-off in technology shares caused Gerald's account to lose \$52,300, reducing his liquid savings by more than 37%. When Gerald called Dana to express alarm, she encouraged him to 'roll' expiring positions into later-dated puts at even lower strike prices, further extending his exposure. Gerald ultimately closed the account in November 2023 after receiving a margin call for \$14,500 that he could not meet without tapping his emergency savings. He filed a written complaint with the firm's compliance department in December 2023, stating he had never been told he could lose more than his initial premium on any trade and that he believed he was only going to be writing covered calls on stocks he already owned.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dana Prescott violated multiple regulatory requirements governing options suitability and account approval.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: Before approving a customer for options trading, the firm and the registered representative must conduct a thorough review of the customer's financial situation, investment objectives, trading experience, and risk tolerance. Gerald's original new-account form clearly indicated conservative risk tolerance, capital preservation objectives, no options experience, and limited equity knowledge. Despite this, Dana secured Level 3 approval-permitting naked puts, multi-leg spreads, and other advanced strategies-after a single 20-minute phone conversation. The options approval form was altered to reflect a 'moderate-aggressive' risk profile that contradicted Gerald's own stated preferences, raising serious questions about falsification of account records.
2. ****Failure to Deliver the OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), a copy of the OCC's standardized options risk disclosure booklet ("Characteristics and Risks of Standardized Options") must be provided to the customer at or before the time the account is approved for options trading. Dana never furnished this document. This is a standalone violation regardless of any suitability analysis.
3. ****Unsuitable Recommendations (FINRA Rule 2360; Regulation Best Interest)****: Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to

ensure that a recommendation is in the customer's best interest, considering the customer's investment profile. Naked put writing on volatile meme stocks and biotech shares is among the highest-risk strategies available and is plainly unsuitable for a 58-year-old conservative investor with modest income, limited liquid assets, no options experience, and a capital preservation objective approaching retirement. Individual trade risk exposures of 8.5% of total liquid net worth compounded this unsuitability.

4. **Quantitative Unsuitability and Excessive Trading**: Forty-seven options trades over five months in a \$140,000 account belonging to a novice, conservative investor suggests excessive activity. The \$6,800 in commissions represented nearly 5% of his liquid savings in less than half a year, and the rapid turnover of positions was inconsistent with his stated objectives.

5. **FINRA Regulatory Notice 21-15 Considerations**: FINRA RN 21-15 specifically reminds firms to review their options account approval processes to ensure they do not grant trading privileges that are inconsistent with customers' profiles, particularly in the context of increased retail participation and gamification of trading. The facts here—mass-market approval upgrades, meme-stock exposure, and failure to provide risk disclosures—are precisely the conduct patterns the notice targets.

6. **Supervisory Failures (FINRA Rules 3110, 2360(b)(16)(B))**: The firm's branch office manager or registered options principal (ROP) is required to approve each options account and review the consistency between the customer's stated profile and the level of trading authority granted. Approving Level 3 access for a customer whose original paperwork reflects conservative objectives and no experience constitutes a supervisory failure.

Likely Regulatory Outcome: Dana faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. The firm faces liability for supervisory failures and could be ordered to pay restitution of Gerald's losses. In a FINRA arbitration, Gerald would likely recover a substantial portion of the \$52,300 loss plus the \$6,800 in commissions, and potentially consequential damages related to the margin call and forced liquidation of emergency savings.

Hypothetical 64

Topic: *options_unsuitable* | Difficulty: *medium*

Fact Pattern

In March 2023, Gerald Hoffman, a 71-year-old retired postal worker in Dayton, Ohio, opened a brokerage account with Pinnacle Securities. Gerald had a fixed income of \$2,800 per month from his pension and Social Security, total liquid savings of approximately \$185,000 in a rollover IRA, and no prior experience trading options or any securities beyond certificates of deposit. On his new account form, Gerald indicated his investment objective was "income and capital preservation," his risk tolerance was "conservative," and his investment time horizon was "5-10 years." His annual income was listed as \$33,600, and his estimated net worth excluding his home was \$210,000. Gerald's registered representative, Marcus Leland, age 34, had been with Pinnacle for two years and had recently completed a training seminar on options income strategies. During their second meeting in April 2023, Marcus recommended that Gerald apply for options

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trading approval at Level 3, which would permit covered calls, cash-secured puts, spreads, and naked put writing. Marcus told Gerald that selling put options on blue-chip stocks was "basically like getting paid to place a limit order" and described the strategy as "low-risk income generation, better than a CD." Marcus assisted Gerald in completing the options account application, and on the form, Gerald's investment experience was marked as "5+ years" in equities and "1-3 years" in options, and his risk tolerance was changed to "moderate-aggressive." The branch manager, who was responsible for reviewing and approving options accounts, approved the application the same day without contacting Gerald or comparing the options application to the information on file in Gerald's original new account form. Over the next four months, Marcus directed Gerald to sell naked puts on several technology and biotech stocks, including positions in companies like a mid-cap semiconductor firm and a clinical-stage pharmaceutical company. In August 2023, a sharp market correction caused significant losses. Gerald was assigned on multiple put contracts, resulting in the forced purchase of approximately \$127,000 worth of shares that quickly declined further in value. By October 2023, Gerald's account had lost \$74,000, representing roughly 40% of his retirement savings. Gerald filed a complaint stating he never understood the risks, never had options experience, and believed he was simply earning extra income on safe investments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple serious violations occurred in this scenario.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: The branch manager failed to adequately supervise the options account approval process. Under FINRA Rule 2360, a Registered Options Principal (ROP) must approve each options account after reviewing the customer's financial background, investment objectives, and trading experience. The ROP is required to verify that options trading is appropriate for the customer. Here, the branch manager approved the Level 3 options application on the same day without reconciling it against Gerald's original new account form, which clearly showed conservative risk tolerance, income/preservation objectives, and no securities experience. This constitutes a supervisory failure under FINRA Rules 2360(b)(16) and 3110.
2. ****Falsification of Account Information****: The options application listed Gerald as having 5+ years of equity experience and 1-3 years of options experience, and changed his risk tolerance from conservative to moderate-aggressive. Gerald's actual profile showed no investment experience whatsoever. Marcus Leland either falsified these entries or induced Gerald to provide inaccurate information. This violates FINRA Rules 2010 (Standards of Commercial Honor) and 4511 (Books and Records), and potentially constitutes fraud.
3. ****Unsuitable Options Strategy (FINRA Rule 2360(b)(19) and Regulation BI)****: Under Regulation BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest. Naked put writing on volatile mid-cap semiconductor and clinical-stage biotech stocks is an aggressive, high-risk strategy wholly inconsistent with a 71-year-old retired customer with conservative objectives, limited income, no experience, and retirement savings as his primary asset. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account opening and approval processes, emphasizing that firms must have robust systems to evaluate whether options trading-particularly complex strategies-are appropriate for the customer. Selling naked puts

exposed Gerald to substantial downside risk, which materialized in the form of \$74,000 in losses (40% of retirement savings).

4. ****Failure to Deliver OCC Options Disclosure Document****: There is no indication Gerald received the OCC's "Characteristics and Risks of Standardized Options" document prior to or at the time of account approval, as required by FINRA Rule 2360(b)(11). This document is essential for ensuring customers understand the risks of options trading.

5. ****Misrepresentation of Risk****: Marcus described naked put selling as "basically like getting paid to place a limit order" and "low-risk income generation, better than a CD." These characterizations are materially misleading given the substantial risk of loss inherent in naked put writing, particularly on volatile securities. This violates FINRA Rule 2210 (Communications with the Public) and Regulation BI's Disclosure Obligation.

****Likely Regulatory Outcome****: Marcus Leland would likely face suspension, fines, and potential bar from the industry for falsifying records and making unsuitable recommendations. The branch manager could face sanctions for supervisory failures. Pinnacle Securities would likely face fines and be required to pay restitution to Gerald. In a customer arbitration, Gerald would have strong claims for the full \$74,000 in losses plus interest and costs.

Hypothetical 65

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Dunleavy, age 63, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$42,000 per year, Social Security income of \$21,600 per year, a 403(b) retirement account worth \$285,000, and a savings account with \$47,000. She has no mortgage but carries \$8,200 in credit card debt. Her stated investment objective on her account application is "income and capital preservation," and her risk tolerance is marked as "low." She has no prior experience trading options, futures, or any derivatives, and her investment history consists solely of target-date mutual funds held within her 403(b).

In February 2024, Margaret opened a brokerage account with Ridgeline Wealth Services after attending a free dinner seminar hosted by financial advisor Kyle Bonner, age 34. Bonner told Margaret that she could "safely generate an extra \$1,500 to \$2,000 a month" to supplement her retirement income by using options strategies. Over the next two weeks, Bonner helped Margaret roll \$180,000 from her 403(b) into a new IRA at Ridgeline and applied for options trading approval at the highest level, which authorized Margaret for uncovered (naked) options writing, spreads, and speculative purchases of puts and calls. On the options account application, Bonner listed Margaret's investment experience as "10+ years" in equities and "3-5 years" in options, her risk tolerance as "aggressive," her liquid net worth as \$500,000, and her annual income as \$120,000 - none of which matched her actual profile. Margaret later stated in a written complaint that she signed the forms electronically on a tablet in Bonner's office and was told they were "standard

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paperwork."

Between March and August 2024, Bonner executed over 140 options trades in Margaret's IRA. The strategies included selling naked puts on volatile technology and biotech stocks such as Nvidia, Palantir, and Moderna, as well as buying short-dated out-of-the-money call options expiring within one to two weeks. Margaret was never provided with the Options Clearing Corporation's disclosure document (the "Characteristics and Risks of Standardized Options" booklet, including the updated June 2024 version) at or before the time her account was approved for options trading. Bonner communicated trade updates via text message and rarely discussed the specific risks of any position.

By September 2024, Margaret's IRA had declined from \$180,000 to \$61,400 - a loss of approximately \$118,600, or 65.9% of her rollover amount. Commissions and fees on the options transactions totaled \$14,300. Margaret filed a complaint with Ridgeline's compliance department in October 2024 after her granddaughter, a finance major in college, reviewed the account statements and realized what had occurred. Ridgeline's internal review found that the branch manager had approved Margaret's options application without conducting an independent background review or verifying the information Bonner had submitted.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kyle Bonner committed multiple serious violations of applicable regulatory standards, and Ridgeline Wealth Services bears supervisory liability.

****1. Options Account Approval and Falsified Application (FINRA Rule 2360(b)(16)):****

FINRA Rule 2360(b)(16) requires that before approving a customer's account for options trading, the member firm must obtain essential background and financial information - including investment experience, income, net worth, investment objectives, and risk tolerance - and make a determination that options trading is appropriate for the customer. Bonner fabricated Margaret's financial profile on the options application, listing her experience as '10+ years' in equities and '3-5 years' in options (she had none), inflating her income from approximately \$63,600 to \$120,000, inflating her liquid net worth from roughly \$332,000 to \$500,000, and changing her risk tolerance from 'low' to 'aggressive.' This constitutes falsification of account records, which independently violates FINRA Rules 4511 (books and records) and 2010 (standards of commercial honor).

The approval for the highest level of options trading - including uncovered writing - was wholly inconsistent with Margaret's actual profile as a 63-year-old retired teacher with low risk tolerance, modest assets, and zero derivatives experience.

****2. Failure to Deliver the Options Disclosure Document (FINRA Rule 2360(b)(11)):****

FINRA Rule 2360(b)(11)(i) requires that a current OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') be furnished to every customer at or before the time the account is approved for options trading. Margaret was never provided with this document, including the updated June 2024 version. This is a standalone violation regardless of suitability considerations.

****3. Unsuitable Recommendations (FINRA Rule 2360(b)(19) and Regulation Best Interest):****

Under FINRA Rule 2360(b)(19), no member may recommend an options transaction unless there is a reasonable basis to believe the recommendation is suitable based on the customer's financial situation, investment objectives, and experience. Under Regulation Best Interest (17 CFR § 240.15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile including risk tolerance, financial situation, and needs.

Selling naked puts on highly volatile technology and biotech stocks and purchasing short-dated out-of-the-money calls are speculative, high-risk strategies entirely inconsistent with Margaret's actual objectives of income and capital preservation, her low risk tolerance, her age (63, retired), her limited assets, and her complete lack of options experience. These strategies exposed Margaret to potentially unlimited losses (naked puts) and near-certain premium decay (short-dated OTM calls). The 140+ trades in approximately six months also suggest excessive trading (churning), generating \$14,300 in commissions on an account that started at \$180,000.

****4. Supervisory Failures (FINRA Rules 3110 and 2360(b)(16)(C)):**

FINRA Rule 2360(b)(16)(C) requires that a Registered Options Principal (ROP) or branch manager independently review and approve options account applications. FINRA Rule 3110 broadly requires firms to establish and maintain supervisory systems. The branch manager approved Margaret's options application without independently verifying the information submitted - a clear supervisory failure. The firm's system failed to flag obvious discrepancies between the options application and Margaret's existing account profile.

****5. FINRA Regulatory Notice 21-15:**

FINRA RN 21-15 specifically warned member firms about deficiencies in options account approval processes, emphasizing the need for reasonable diligence in evaluating whether customers meet the criteria for various options approval levels, particularly in light of the surge in retail options trading. The notice highlighted concerns about auto-approval processes and insufficient verification - exactly the failures present here.

****Likely Regulatory Outcome:****

Bonner faces potential sanctions including a substantial fine, disgorgement of commissions, a lengthy suspension or permanent bar from the securities industry, and potential referral for fraud. Ridgeline faces fines, restitution obligations, and potential sanctions against the branch manager. Margaret would likely recover damages through FINRA arbitration, including the approximately \$118,600 in losses plus the \$14,300 in commissions, with potential punitive damages given the falsification of records.

Hypothetical 66

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

[NON-COMMERCIAL]

Margaret Kowalski, age 63, is a retired public school teacher in suburban Cleveland, Ohio. She has a pension providing \$42,000 annually, Social Security income of \$21,600 per year, a savings account with \$38,000, and a rollover IRA worth \$310,000 that she accumulated over 32 years of teaching. She has no prior investment experience beyond her pension fund and a certificate of deposit she held at her local credit union. Her stated investment objective on her new account application was capital preservation and income generation to supplement her retirement. She indicated a low risk tolerance on the new account form and noted she had zero experience with options, futures, or margin trading.

In March 2023, Margaret opened a brokerage account with Ridgeline Financial Services after attending a free dinner seminar hosted by Brian Delacroix, a registered representative at the firm. During the seminar, Brian presented a strategy he called the "Retirement Income Accelerator," which he described as a safe way for retirees to generate monthly income from their existing portfolios. He told attendees the strategy involved "collecting premiums" that would act like an extra paycheck.

After the seminar, Margaret met with Brian at his office. He recommended she transfer her \$310,000 IRA to Ridgeline and begin selling weekly naked put options on high-beta technology stocks including Tesla, Nvidia, and Amazon. Brian approved Margaret for the highest level of options trading (Level 4) on her account, which permitted uncovered option writing. The options account approval form listed Margaret's investment experience as "5+ years" in options trading, her risk tolerance as "aggressive," and her annual income as \$120,000 - none of which matched her actual profile. Margaret later stated she did not recall reviewing or being asked about these details and trusted Brian to fill out the paperwork correctly.

Between March and August 2023, Brian executed approximately 190 short put option trades in Margaret's IRA. During a period of tech sector volatility in June and July, several of the naked puts were assigned, forcing Margaret's account to purchase shares of Tesla and Nvidia at prices significantly above market value. By mid-August, the account had declined from \$310,000 to \$141,000 - a loss of approximately \$169,000, or 54.5% of the account value. Margaret also incurred \$14,200 in total commissions and fees from the high-frequency trading.

When Margaret called the firm to complain in September 2023, a branch manager reviewed the account and discovered the discrepancies between Margaret's actual profile and the information on the options approval forms. Brian was placed on heightened supervision but continued to manage other client accounts. Margaret filed a written complaint seeking recovery of her losses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Delacroix committed multiple serious violations of applicable regulatory standards.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** Before approving a customer for options trading, a registered representative and the firm must diligently obtain essential facts about the customer, including financial situation, investment experience, investment objectives, and risk tolerance. The firm must determine that the customer's account is suitable for the level of options trading approved. Here, Brian approved Margaret for Level 4 options trading (uncovered writing) despite her having zero

options experience, low risk tolerance, a capital preservation objective, modest fixed income, and no liquid assets beyond her retirement savings. Level 4 approval for naked option writing is the highest and most dangerous tier and is categorically unsuitable for an unsophisticated, risk-averse retiree.

****Falsification of Account Documents:**** The options account approval form listed Margaret's experience as "5+ years" in options, her risk tolerance as "aggressive," and her income as \$120,000 - all materially false. Falsifying customer account records violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), FINRA Rule 4511 (Books and Records), and potentially constitutes fraud. Under FINRA RN 21-15, firms are reminded of their heightened obligations to ensure options account approvals accurately reflect customer information and that the strategy recommended is consistent with the customer's actual profile.

****OCC Options Disclosure Document:**** Firms are required to deliver the OCC Options Disclosure Document ("Characteristics and Risks of Standardized Options") to customers at or before the time the account is approved for options trading. There is no indication this document was provided to Margaret, and her lack of understanding of the strategy suggests she was never meaningfully informed of the risks.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest given her investment profile. Selling weekly naked puts on volatile technology stocks in a retiree's IRA - her sole source of non-pension wealth - with no options experience is a clear violation of the Care Obligation. The Disclosure Obligation was also likely violated, as Brian characterized naked put selling as a "safe" income strategy without disclosing the substantial risk of assignment and catastrophic loss.

****FINRA Rule 2361 (Suitability of Options):**** This rule specifically requires that recommended options strategies be suitable for the particular customer. Naked put writing on high-beta equities is among the most aggressive strategies available and is fundamentally incompatible with a low-risk-tolerance, capital-preservation-oriented retired investor.

****Supervisory Failures (FINRA Rule 3110):**** The firm's branch manager or designated options principal (ROP/CROP) should have reviewed the options approval application and recognized the obvious inconsistencies or the unsuitability of Level 4 approval for a 63-year-old retired teacher with no options experience. The failure to catch the falsified application and the unsuitable trading for approximately five months represents a significant supervisory failure.

****Likely Regulatory Outcome:**** Brian faces potential sanctions including a bar from the industry, disgorgement of commissions, and a substantial fine. The firm faces liability for supervisory failures and restitution to Margaret. In recent enforcement actions following the wave of retail options trading (often referenced as "Robinhood-era" enforcement), regulators have imposed significant penalties on firms that failed to properly vet options account approvals and allowed inexperienced investors to engage in complex options strategies. Margaret's arbitration claim for the \$169,000 in losses plus the \$14,200 in commissions is strong, and she may also seek punitive damages based on the falsification of records.

Hypothetical 67

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Marcus Webb, age 24, works as a barista in Portland, Oregon, earning approximately \$31,000 per year. He has \$8,200 in a savings account and no prior investment experience beyond a small Roth IRA holding a target-date fund with a balance of \$2,400. In January 2023, Marcus opened a brokerage account with Apex Digital Brokerage after seeing social media posts about traders making large profits from options trading around earnings announcements. His new account application listed his investment objective as 'speculation,' his risk tolerance as 'aggressive,' his annual income as \$31,000, his liquid net worth as \$10,600, and his investment experience as 'limited - less than one year, stocks only.' Despite these responses, the firm's automated system approved Marcus for Level 3 options trading, which permitted multi-leg complex strategies including iron condors, strangles, and butterfly spreads. No one from the firm contacted Marcus to discuss his experience, financial situation, or understanding of options mechanics. He was not provided with an options disclosure document at or before the time of account approval. His assigned advisor, Rachel Simmons, age 34 and registered for three years, received an alert that a new Level 3 options account had been opened but took no action to review the approval or reach out to the client. Over the next four months, Marcus executed 47 multi-leg options trades, predominantly short strangles and iron butterflies timed around earnings announcements for high-profile technology stocks. By May 2023, Marcus had lost \$6,750 - approximately 82% of his initial deposit of \$8,200. His average holding period was two to three days, and 31 of his 47 trades resulted in losses. Rachel Simmons had access to trade confirmations and account activity during this period but never contacted Marcus to discuss the pattern of losses, the risks of the strategies he was employing, or whether his account approval level was appropriate for his profile. In June 2023, Marcus filed a complaint with the firm alleging that he should never have been approved for complex options trading and that no one explained the risks to him.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple violations occurred at both the firm and individual advisor level. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account. The firm must consider the customer's investment objectives, employment status, estimated annual income, estimated net worth, investment experience, and any other information used or considered to be reasonable in approving the account. Here, the firm's automated approval system granted Level 3 complex options privileges to a 24-year-old with \$31,000 in annual income, only \$10,600 in liquid net worth, and virtually no investment experience. The application itself disclosed 'limited - less than one year, stocks only,' which is plainly insufficient to support approval for multi-leg strategies such as short strangles and iron butterflies that carry significant risk of loss. The approval process failed to include any meaningful human review, which is inconsistent with the due diligence obligations under Rule 2360.

Additionally, the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be provided to the customer at or before the time the account is approved for options trading. Marcus

was never provided this document, constituting a separate violation.

FINRA Regulatory Notice 21-15 specifically addresses concerns about firms' options account approval programs, emphasizing that firms must have reasonable procedures to assess whether options trading - particularly complex options - is appropriate given a customer's profile. The Notice highlights the risks of automated approval systems that fail to incorporate adequate safeguards, exactly the situation here.

Regarding Rachel Simmons individually, under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the best interest of the retail customer when making or facilitating recommendations. While Marcus may have self-directed some trades, Rachel had an ongoing obligation under the Care Obligation of Reg BI to ensure the account approval was suitable and to take action when she observed a pattern of mounting losses in complex strategies by an unsophisticated customer. Her failure to review the account approval, contact the client, or escalate concerns despite having access to trading activity constitutes a failure of reasonable diligence.

The pattern of trading - 47 multi-leg options trades over four months, concentrated around earnings announcements, with an 82% loss rate - is consistent with the academic research showing that retail investors systematically lose money on complex options strategies, particularly those timed around earnings due to overestimation of implied volatility. This pattern should have triggered supervisory review.

Likely regulatory outcomes include: (1) the firm facing sanctions for inadequate options account approval procedures and failure to deliver the OCC disclosure document; (2) Rachel Simmons facing individual liability for failure to supervise and failure to act in the customer's best interest; (3) potential customer restitution for the \$6,750 in losses; and (4) enhanced supervisory requirements imposed on the firm's options approval process.

Hypothetical 68

Topic: excessive_churning | Difficulty: hard

Fact Pattern

Marcus Delgado, age 58, is a recently retired postal worker living in Tucson, Arizona. He has a pension paying \$3,200 per month and a \$410,000 rollover IRA that represents essentially all of his liquid retirement savings. His account application, completed in January 2023 with his advisor Brian Kessler at Ridgeline Securities, lists his risk tolerance as 'moderate,' his investment objective as 'income and preservation of capital,' his annual income as \$38,400, his liquid net worth as \$425,000, and his investment experience as 'limited - mutual funds only.' Despite this profile, Kessler recommended and obtained approval for Delgado to trade options at Level 3, which includes selling uncovered puts and trading spreads. Kessler told Delgado that he could 'generate extra income like collecting rent' by selling weekly put options on volatile technology and biotech stocks, including companies like Palantir, Rivian, and Moderna. Between February 2023 and November 2023, Kessler executed 347 options trades in Delgado's IRA account. The account had an annualized turnover rate of 41.2 and a cost-to-equity ratio of 68%. Commission and fee charges over this ten-month period totaled \$87,400. Many positions were opened and closed within one to three

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days, and on 23 occasions, Kessler rolled losing short put positions into new short puts at lower strikes for additional premium, which generated further commissions each time. Delgado's account value declined from \$410,000 to \$219,000 during this period. When Delgado called in September 2023 expressing concern about his shrinking balance, Kessler reassured him that the 'strategy takes time to work' and that the losses were 'just paper losses from market volatility.' Kessler's branch manager had approved the Level 3 options authorization after a cursory review of the new account form without conducting any follow-up conversation with Delgado. Internal surveillance reports flagged the account for high turnover in June 2023, but the branch manager cleared the exception with a note reading 'client is aware of active strategy.' Delgado was never provided the Options Disclosure Document at or before the time his account was approved for options trading, and his signed acknowledgment of receipt was dated three months after his first options trade.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Kessler and Ridgeline Securities committed multiple serious violations across several regulatory frameworks.

****Excessive Churning / Quantitative Unsuitability:**** Under FINRA Rule 2111 (Suitability) and Regulation Best Interest, a broker must have a reasonable basis to believe that the number and frequency of transactions are suitable and in the customer's best interest. A cost-to-equity ratio of 68% and an annualized turnover rate of 41.2 are dramatically above the thresholds that regulators and arbitration panels have historically used to establish presumptive churning. Courts and FINRA panels have commonly found churning where the annualized turnover rate exceeds 6 and the cost-to-equity ratio exceeds 20%. Here, both metrics are extreme. The 347 trades in ten months in a \$410,000 retirement account with an income/preservation objective is textbook excessive trading.

****Options Suitability / Account Approval Failure:**** Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving options trading, and must determine that options trading is appropriate given the customer's financial situation, investment objectives, and experience. Delgado had limited investment experience (mutual funds only), moderate risk tolerance, an income and preservation objective, and relatively modest liquid net worth concentrated entirely in his retirement account. Approving Level 3 options authority - including uncovered put writing on volatile biotech and tech stocks - was plainly unsuitable. The branch manager's cursory approval without any direct contact with the customer violated the supervisory obligations under FINRA Rules 2360(b)(16)(B) and 3110.

****Failure to Deliver the OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11)(A)(1), a copy of the OCC's Options Disclosure Document (ODD) must be furnished to each customer at or prior to the time the account is approved for options trading. Delgado's signed acknowledgment was dated three months after his first options trade, indicating a clear violation of this delivery requirement.

****Reg BI Violations:**** Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), Kessler was required to exercise reasonable diligence, care, and skill in making recommendations, considering the

customer's investment profile and the costs of the recommended transactions. Recommending a hyper-active weekly options selling strategy in volatile single-name stocks to a 58-year-old retiree with limited experience and a preservation objective fails the Care Obligation. The cost structure - \$87,400 in commissions against a \$410,000 account - also triggers the Reg BI requirement to consider reasonably available alternatives with lower costs.

****Supervisory Failures:**** Under FINRA Rule 3110 and the options-specific supervisory requirements in Rule 2360(b)(16)(B), the branch manager failed to conduct meaningful supervision. Clearing the surveillance exception with a perfunctory note without verifying with the customer constitutes a supervisory failure. FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account opening, supervision, and approval, emphasizing that firms must establish robust systems to assess whether options strategies are appropriate for customers and must not rely on automated or cursory approvals.

****Likely Regulatory Outcome:**** Kessler faces potential sanctions including a substantial fine, disgorgement of commissions, restitution to Delgado, and a suspension or bar from the industry. Ridgeline Securities faces firm-level fines for supervisory failures and ODD delivery violations. Delgado would likely prevail in a FINRA arbitration claim for churning, unsuitability, and failure to supervise, with damages potentially measured by the net out-of-pocket losses (approximately \$191,000 plus the \$87,400 in excessive commissions) or by a well-managed account comparison.

Hypothetical 69

Topic: options_unsuitable | Difficulty: hard

Fact Pattern

Marcus Yellen, age 24, works as a barista at a coffee chain in Portland, Oregon, earning approximately \$34,000 per year. He has a savings account with \$11,500 and no prior investment experience. In February 2024, Marcus opened a brokerage account with Apex Digital Securities after seeing social media posts about traders making large profits from same-day options trades. His registered representative, Danielle Kowalski, age 29, conducted a brief phone intake and recorded Marcus's investment objective as 'speculation' and his risk tolerance as 'aggressive' based on his verbal statements during the call. Danielle did not probe further into Marcus's actual financial situation beyond what he volunteered, nor did she ask about his monthly expenses, debt obligations, or emergency fund needs. Marcus had \$8,200 in outstanding student loan debt and \$3,100 in credit card balances. Danielle approved Marcus for the firm's highest options trading tier, which permitted naked call writing, multi-leg spreads, and zero-days-to-expiration (0-DTE) options trading. The firm's options approval form contained a single checkbox for 'customer acknowledges risks of options trading,' which Marcus checked electronically. No copy of the standardized options risk disclosure booklet was provided or confirmed delivered prior to his first trade. Within the first three weeks, Danielle actively suggested that Marcus concentrate on 0-DTE options on the S&P 500 index, explaining that the low premium costs made them 'perfect for smaller accounts.' She recommended he allocate \$9,000 of his \$11,500 savings into the account and execute daily 0-DTE trades using short strangles - simultaneously selling out-of-the-money puts and calls expiring the same day - to collect

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premium income. Danielle told Marcus this was 'basically free money as long as the market doesn't move too much.' Over the next six weeks, Marcus executed 47 short strangle trades on 0-DTE SPX options. On March 14, 2024, an unexpected Federal Reserve policy announcement caused the S&P 500 to move sharply intraday. Marcus's short strangle positions resulted in assignment losses totaling \$41,300, far exceeding his account value. After margin calls, Marcus owed the firm \$33,800 in addition to losing his entire \$9,000 deposit. Danielle had not discussed with Marcus the possibility of unlimited loss on naked call positions, the amplified gamma risk inherent in 0-DTE options, or the potential for losses exceeding his account balance. The firm's supervisory principal, Robert Cheng, had approved Marcus's options tier elevation without independently reviewing Marcus's income, net worth, or experience, relying solely on Danielle's submitted intake form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple serious violations occurred at both the representative and supervisory levels.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer for options trading, a registered options principal (ROP) must review and approve the account based on specific due diligence into the customer's financial situation, investment experience, and investment objectives. The ROP, Robert Cheng, approved Marcus for the highest options tier - including naked writing and 0-DTE trading - without independently verifying Marcus's income (\$34,000/year), minimal savings (\$11,500), zero investment experience, and existing debt obligations (\$11,300 combined). This constitutes a clear failure of supervisory approval obligations under Rule 2360(b)(16)(B).
2. ****OCC Options Disclosure Document (ODD) Delivery Failure****: Under FINRA Rule 2360(b)(11), member firms must furnish the OCC's standardized Options Disclosure Document to customers at or before the time the account is approved for options trading. Marcus was never provided or confirmed to have received this document. The firm's single-checkbox acknowledgment does not satisfy the delivery requirement, particularly when the customer has no prior options experience.
3. ****Unsuitable Strategy Recommendation (FINRA Rule 2360(b)(19) and Regulation Best Interest)****: Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. Recommending naked short strangles on 0-DTE SPX options to a 24-year-old with \$34,000 income, \$11,500 in total savings, no investment experience, and \$11,300 in existing debt is patently unsuitable. Short strangles involve theoretically unlimited risk on the call side and substantial risk on the put side. 0-DTE options carry extreme gamma risk, meaning positions can move against the holder catastrophically within minutes. Danielle's characterization of this strategy as 'basically free money' constitutes a materially misleading statement.
4. ****Concentration Risk****: Danielle recommended Marcus place approximately 78% of his total liquid savings (\$9,000 of \$11,500) into a single speculative strategy with unlimited downside. This is unsuitable for any customer with this financial profile, regardless of stated risk tolerance. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals that rely on self-reported customer

information without meaningful due diligence, particularly in digital/app-based environments.

5. ****Failure to Disclose Material Risks****: Danielle failed to explain unlimited loss potential, gamma risk on 0-DTE options, or the possibility of owing more than the account balance. This violates both the disclosure component of Reg BI and the general obligation under FINRA rules to ensure customers understand the risks of recommended strategies.

****Likely Regulatory Outcome****: Danielle Kowalski faces potential sanctions including fines, suspension, and disgorgement. Robert Cheng faces supervisory failure charges under FINRA Rule 3110. The firm, Apex Digital Securities, faces potential enforcement action for systemic failures in options account approval procedures, inadequate risk disclosure, and failure to deliver the ODD. Restitution of Marcus's losses (\$42,800 total) is likely, along with substantial firm-level fines. This fact pattern mirrors concerns raised in recent enforcement actions against firms that lowered options approval barriers during the retail trading surge of 2020-2024.

Hypothetical 70

[NON-COM]

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Dawson, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000, consisting of Social Security and a small state pension. Her total liquid net worth is approximately \$215,000, held primarily in a traditional IRA and a savings account. She has no prior experience trading options or any leveraged financial products. Her stated investment objectives on her new account application are "preservation of capital" and "income generation," and she marked her risk tolerance as "conservative." In March 2023, Margaret's grandson introduced her to a financial advisor named Derek Paulson at a local brokerage office. During their initial meeting, Margaret explained she wanted to generate a modest supplement to her pension income without risking her retirement savings, which she described as "all I have left." Derek reviewed her application and, during a second meeting two weeks later, recommended that Margaret apply for Level 3 options approval, which would allow her to sell uncovered (naked) puts and calls. Derek told Margaret that selling options was "like collecting rent" and that it was a "safe, passive income strategy used by sophisticated investors everywhere." He did not provide Margaret with the Options Disclosure Document before she signed the options agreement, nor did he explain the risk of assignment, margin calls, or the theoretically unlimited loss potential of selling uncovered calls. Derek's branch manager approved Margaret's options application the same day without conducting an independent review of her financial profile or questioning the appropriateness of Level 3 approval for a 78-year-old retiree with conservative objectives. Over the following five months, Derek placed 23 uncovered put trades and 11 uncovered call trades in Margaret's IRA, generating approximately \$8,400 in premium income but also resulting in \$47,200 in realized losses after several positions moved sharply against her during the regional banking volatility of spring 2023. Margaret's account value declined from \$215,000 to approximately \$161,000. When Margaret called Derek in August 2023 to ask why her account had dropped so significantly, he told her the losses were "temporary" and recommended she continue selling options to "earn back" what was lost. Margaret's daughter, a CPA, reviewed the account statements in October 2023

and immediately filed a complaint with the brokerage firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson committed multiple serious violations related to options suitability, account approval, and his obligations to a senior retail investor.

****Options Account Approval Failures:****

Under FINRA Rule 2360(b)(16), a registered options principal (ROP) must approve each options account and make a determination that the customer's financial situation, investment objectives, and experience are consistent with the level of options trading approved. Margaret's profile - a 78-year-old retiree with \$215,000 in total liquid assets, \$34,000 in fixed income, conservative risk tolerance, capital preservation objectives, and zero options experience - is fundamentally incompatible with Level 3 options approval permitting uncovered (naked) options writing. The branch manager's same-day approval without independent review of Margaret's profile constitutes a supervisory failure under FINRA Rule 2360(b)(16)(B), which requires the ROP to specifically approve the account based on documented due diligence.

****Failure to Deliver the OCC Options Disclosure Document:****

The OCC Options Disclosure Document (ODD), titled 'Characteristics and Risks of Standardized Options,' must be provided to a customer at or before the time the account is approved for options trading. Derek's failure to furnish this document to Margaret before she signed the options agreement is a clear procedural violation under FINRA Rule 2360(b)(11). This document is specifically designed to inform investors about the significant risks of options strategies, including the unlimited loss potential of uncovered calls.

****Substantive Suitability and Reg BI Violations:****

Under Regulation Best Interest (Reg BI), Derek had a care obligation requiring him to exercise reasonable diligence, care, and skill in making recommendations. Recommending uncovered options strategies - which expose the investor to theoretically unlimited losses - to a 78-year-old conservative retiree with limited assets and no options experience is a textbook violation of the care obligation. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the need for firms to have robust procedures ensuring that customers are not approved for options strategies inconsistent with their profiles. The notice was issued in direct response to the proliferation of retail options trading and the risks posed to inexperienced investors.

FINRA Rule 2360(b)(19) requires that uncovered options writing only be approved for customers whose accounts meet specific financial thresholds and who possess the experience and knowledge to understand the risks. Margaret met none of these criteria.

****Senior Investor Exploitation:****

The pattern of conduct - mischaracterizing risk ('like collecting rent'), failing to disclose material risks, continuing to recommend the same losing strategy after significant losses, and telling Margaret the losses were 'temporary' - reflects exploitation of a senior investor who placed trust in her advisor. FINRA has identified the protection of senior investors as a regulatory priority, and this fact pattern implicates both the

advisor's individual misconduct and the firm's supervisory failures.

****Likely Regulatory Outcome:****

Derek Paulson would likely face a FINRA enforcement action resulting in a fine, disgorgement of commissions, suspension or bar from the industry, and a restitution order. The branch manager and firm would face supervisory failure charges under FINRA Rules 3110 and 2360(b)(16). The firm would likely be required to pay restitution of at least the \$54,000 loss (the \$47,200 in realized losses plus any additional unrealized losses), and could face additional fines for the failure to deliver the ODD and the inadequate options account approval process. The customer's arbitration claim would have strong grounds for recovery.

Hypothetical 71

Topic: *failure_to_know_customer* | Difficulty: *medium*

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Fact Pattern

Marcus Delgado, age 24, opened a brokerage account in March 2022 with registered representative Brian Holt at Trident Securities LLC. Marcus had recently graduated from college with a degree in graphic design and was working as a freelance designer earning approximately \$38,000 per year. He had \$6,200 in his brokerage account, \$1,400 in a savings account, and \$27,000 in outstanding student loan debt. He listed his investment experience as 'beginner' on his new account form, noting he had bought a few shares of tech stocks through a mobile app over the prior year but had never traded options or derivatives. His stated investment objective was 'growth,' and his risk tolerance was marked as 'moderate.' Marcus told Brian during their initial phone call that he wanted to 'learn how to make money faster' and had seen social media influencers promoting options trading as a way to generate significant returns. Brian, eager to grow his book of business, submitted an options account approval request on Marcus's behalf, checking the boxes for Level 3 options authorization, which at Trident permitted uncovered (naked) call writing, cash-secured and naked put writing, and multi-leg spread strategies. On the approval form, Brian listed Marcus's annual income as \$75,000, his net worth as \$120,000, and his investment experience as '3-5 years with options and equities.' Brian did not verify any of this information with Marcus or request supporting documentation. The branch manager approved the application the same day without conducting an independent review or contacting Marcus. Within six weeks of account opening, Brian recommended that Marcus sell five naked call contracts on a volatile biotech stock trading at \$48 per share. Marcus did not fully understand the risk of unlimited loss exposure. In late April 2022, the biotech stock surged to \$91 per share following positive clinical trial results. Marcus received a margin call of \$21,500, which exceeded his total liquid assets. Unable to meet the call, his positions were liquidated at a loss of \$19,300. Marcus also owed an additional margin deficit of \$4,700 to the firm. Marcus filed a complaint in June 2022 alleging that Brian never explained the risks associated with naked options, fabricated his financial profile, and that the firm failed to properly supervise the account approval process.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Holt committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including financial situation, investment experience, and investment objectives. Brian fabricated Marcus's income (\$75,000 vs. actual \$38,000), net worth (\$120,000 vs. effectively negative given \$27,000 in student debt against roughly \$7,600 in total assets), and investment experience (3-5 years vs. beginner with no options experience). This constitutes a fundamental failure to know the customer and is also a falsification of account records, potentially violating FINRA Rule 4511 (books and records) and FINRA Rule 2010 (standards of commercial honor).

Second, under FINRA Rule 2360(b)(16)(B), the branch manager or registered options principal (ROP) has an independent obligation to review and approve each options account based on the customer's actual financial background, investment experience, and objectives. The branch manager approved the Level 3 options application the same day without any independent verification or customer contact, constituting a supervisory failure under FINRA Rule 3110.

Third, under Regulation Best Interest (Reg BI), Brian had an obligation under the Care Obligation to exercise reasonable diligence, care, and skill in making recommendations. Recommending naked call writing - a strategy with theoretically unlimited loss potential - to a 24-year-old freelance designer with \$6,200 in investable assets, no options experience, and significant student debt is patently unsuitable regardless of stated risk tolerance. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals where firms fail to conduct meaningful due diligence on customers' financial profiles and experience, and where approval processes are automated or cursory.

Fourth, the OCC Options Disclosure Document (ODD) must be provided to a customer at or before the time the account is approved for options trading. While the fact pattern does not specify whether Marcus received the ODD, Brian's failure to explain the unlimited risk of naked calls suggests inadequate disclosure overall.

The likely regulatory outcome includes potential sanctions against Brian for falsification of records, unsuitable recommendations, and failure to know the customer. The firm faces liability for supervisory failures in the options approval process. Marcus would likely prevail in arbitration for his losses of approximately \$24,000 (realized loss plus margin deficit). Brian could face a suspension or bar, fines, and disgorgement. The firm could face significant fines and be required to enhance its options approval procedures.

Hypothetical 72

Topic: options_unsuitable | Difficulty: hard

Fact Pattern

Gerald Whitfield, age 72, is a retired postal worker living in Tallahassee, Florida. He receives \$2,400 per month in Social Security and a \$1,100 monthly pension. His total liquid net worth is approximately \$185,000, held primarily in a rollover IRA from his federal employment. Gerald has no prior experience

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trading options or any securities beyond a stable value fund and a target-date retirement fund he held during his working years. His stated investment objective on his new account application is "income and preservation of capital," and his risk tolerance is marked as "conservative." Gerald opened an account in March 2022 with advisor Danielle Prescott at Ridgeline Securities after attending a free dinner seminar titled "Generate Monthly Income in Any Market." During the seminar, Prescott presented a strategy she called the "Income Accelerator," which involved selling short put spreads on high-volatility technology stocks and collecting the net premium as monthly income. Prescott told Gerald the strategy was "basically like collecting rent" and that his maximum risk was "defined and limited." When Gerald opened his account, Prescott approved him for Level 3 options trading, which at Ridgeline permits short spreads, short puts, and short calls. The account application's options experience section was filled in by Prescott and listed Gerald as having "2 years" of options experience with "good" knowledge, despite Gerald later stating in a complaint that he had never traded an option in his life and did not understand what a "put" was. Prescott did not provide Gerald with the standardized options risk disclosure booklet at or before the time the account was approved. Between April 2022 and November 2022, Prescott executed 47 short put spread trades in Gerald's IRA, primarily on stocks like Tesla, Nvidia, and Amazon. The trades initially generated approximately \$8,200 in net premium income. However, during the market downturn in September and October 2022, several spreads were assigned, resulting in realized losses of \$41,600. Gerald's IRA balance dropped from \$185,000 to approximately \$131,000—a 29% decline. In December 2022, Gerald's daughter, a CPA, reviewed his statements and filed a complaint with Ridgeline. An internal review revealed that Prescott had approved 14 other retirees from the same dinner seminar series for Level 3 options trading, 11 of whom had conservative risk profiles and no prior options experience. Prescott earned \$23,500 in commissions from options activity in these accounts over the eight-month period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Prescott committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered options principal (ROP) or the firm must exercise due diligence in approving a customer's account for options trading. The approval must consider the customer's investment objectives, financial situation, investment experience, and knowledge of options. Approving Gerald—a 72-year-old conservative retiree with zero options experience—for Level 3 options trading that includes short spreads and naked short positions was a clear failure of the account approval process. Prescott falsified Gerald's options experience on the application by listing '2 years' when he had none, which constitutes a separate violation involving falsification of customer records.

Second, under FINRA Rule 2360(b)(11)(a)(i), the Options Disclosure Document (ODD) published by the OCC must be furnished to every customer at or before the time the account is approved for options trading. Prescott's failure to provide this document is a standalone procedural violation that deprived Gerald of material risk disclosures he was entitled to receive before any options trading commenced.

Third, under Regulation Best Interest (Reg BI), specifically the Care Obligation, Prescott was required to exercise reasonable diligence, care, and skill in making recommendations. Recommending a strategy involving short put spreads on high-volatility technology stocks to a 72-year-old conservative retiree whose objective was income and capital preservation, who had no options knowledge, and whose entire liquid net

worth was in a single IRA, fails the Care Obligation on every dimension. The strategy exposed Gerald to meaningful assignment risk and potential for significant capital loss, which is fundamentally incompatible with his stated objectives and profile.

Fourth, FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approval processes in the modern era, emphasizing that firms must have robust systems to evaluate whether options trading-and the specific level of options approval-is appropriate for each customer. The pattern of approving 14 retirees from dinner seminars for Level 3 options with conservative profiles suggests a systemic supervisory failure at Ridgeline Securities as well.

The likely regulatory outcome includes potential sanctions against Prescott personally (suspension, fines, disgorgement of commissions), enforcement action against Ridgeline for supervisory failures under FINRA Rule 3110, and restitution to Gerald and similarly situated customers. The falsification of the options experience on the application could also support a cause of action for fraud or forgery. Gerald's \$54,000 in net losses (\$41,600 realized losses minus \$8,200 in premium income, plus additional unrealized depreciation) would likely be subject to a restitution or arbitration award.

Hypothetical 73

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Donnelly, age 63, is a retired elementary school teacher living in suburban Milwaukee. She has a state pension providing \$42,000 per year, Social Security income of \$21,600 per year, a 403(b) account worth \$185,000, and a savings account with \$34,000. She has no mortgage but carries \$6,200 in credit card debt. Her total liquid net worth is approximately \$219,000. Margaret has never invested in anything beyond her 403(b), which is allocated entirely to a target-date retirement fund. She has no prior experience with equities, options, margin accounts, or any form of derivatives trading. On her new account application, she indicated her investment objective as 'income' and her risk tolerance as 'conservative.' She told her advisor, Kevin Brashear of Patriot Financial Group, that she wanted to 'maybe do a little better than the bank CD rate' with a portion of her savings. Kevin, who had recently attended a wholesaler presentation on income-generating options strategies, suggested Margaret open an options-enabled brokerage account. He told her that selling covered calls would be 'just like collecting extra dividends' and that it was 'basically risk-free if you already own the stock.' He helped her complete the options account application, listing her investment experience as 'limited stocks and options-1 to 3 years,' her risk tolerance as 'moderate,' and her investment objective as 'growth and income,' none of which matched what Margaret had stated verbally or on her original new account form. Kevin's branch manager approved the options account the same day without speaking to Margaret or reviewing the discrepancies between the two applications. Kevin then used \$28,000 of Margaret's savings to purchase 400 shares of a mid-cap technology company trading at \$70 per share and immediately sold four near-term covered call contracts with a \$75 strike, collecting \$480 in premium. Over the next four months, Kevin repeated this pattern across three different equity positions, generating approximately \$1,900 in total option premium but exposing Margaret's account to significant equity market risk. When the technology stock declined 22% during a market correction, Margaret's account

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lost over \$6,100 in unrealized value, far exceeding the premium income collected. Margaret called Kevin upset, saying she had never been told she could lose money on the underlying shares. Kevin told her to 'hold tight' and that the market would recover. Margaret subsequently complained to the branch manager, who acknowledged he had never provided Margaret with the Options Disclosure Document before the account was approved and had not conducted any independent verification of the information Kevin entered on the options application.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brashear and the firm committed multiple violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about each customer before approving an options account, including the customer's investment objectives, employment status, estimated annual income, estimated net worth, investment experience, and age. Kevin materially falsified Margaret's options application by listing investment experience she did not have ('limited stocks and options-1 to 3 years') and changing her risk tolerance from 'conservative' to 'moderate' and her objective from 'income' to 'growth and income.' This constitutes a serious violation of the information-gathering and account approval requirements.

Second, FINRA Rule 2360(b)(16)(B) requires that a Registered Options Principal (ROP) or branch manager approve each options account after reviewing the customer's background and financial information and determining that the customer is suitable for the level of options trading requested. The branch manager approved the account on the same day without speaking to Margaret or reconciling the obvious discrepancies between her original new account form and her options application. This constitutes a supervisory failure under both Rule 2360 and FINRA Rule 3110.

Third, the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be provided to the customer at or before the time the account is approved for options trading, as mandated by FINRA Rule 2360(b)(11). The branch manager admitted this was never provided to Margaret. This is a standalone disclosure violation.

Fourth, under Regulation Best Interest and FINRA Rule 2111 (suitability), the recommendation to engage in options-based equity strategies was unsuitable for a 63-year-old retired investor with conservative risk tolerance, no prior equity or options experience, limited liquid assets, and an income-oriented investment objective. Covered call writing, while sometimes characterized as conservative relative to other options strategies, still requires the customer to hold individual equity positions subject to full downside risk. Margaret's profile indicated she could not bear and did not understand this risk.

Fifth, FINRA Regulatory Notice 21-15 specifically addresses concerns about firms failing to exercise adequate due diligence in approving customers for options trading, including the use of automated or perfunctory approval processes that fail to account for the customer's actual experience and financial situation. The same-day, no-contact approval here is precisely the type of deficient process the Notice targets.

The likely regulatory outcome includes potential fines against the firm for supervisory and disclosure failures, potential suspension or additional sanctions against Kevin for falsifying the options application and making an unsuitable recommendation, potential restitution to Margaret for realized and unrealized losses, and possible enhanced supervisory requirements imposed on the branch.

Hypothetical 74

[NON-COM]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Dunleavy, age 63, is a retired elementary school teacher in suburban Ohio with an annual pension income of \$48,000 and total liquid savings of approximately \$215,000, most of which represents her life savings accumulated over a 35-year teaching career. She has no prior experience trading securities beyond owning a few shares of a local utility company and contributing to a state-managed retirement plan. In March 2022, Margaret visited the branch office of Ridgemont Financial Partners after seeing a television advertisement promoting 'income-enhancing strategies for retirees.' She met with Derek Halpern, a registered representative with six years of experience. During their initial meeting, Margaret explained that she wanted to generate modest supplemental income without putting her savings at significant risk. She described herself as a conservative investor and said she could not afford to lose more than a small fraction of her nest egg because she had no other financial safety net beyond her pension. Derek completed a new account form listing Margaret's investment objective as 'income' and her risk tolerance as 'moderate,' though Margaret later stated she never described herself as a moderate-risk investor and believed she had communicated a conservative posture. Derek recommended Margaret open an options trading account and begin selling uncovered (naked) put options on mid-cap technology stocks, explaining that the strategy would allow her to 'collect premiums like rent checks.' He told her the approach was 'basically the same as owning dividend stocks, just more efficient.' Margaret signed the options agreement and the account was approved at the firm's highest options trading tier-Level 4, which permits uncovered writing of puts and calls-without any additional supervisory review beyond Derek's initial recommendation. The firm's branch manager, Tricia Yuen, approved the options application the same day it was submitted, noting only that the customer had 'adequate net worth.' No documentation reflected any assessment of Margaret's understanding of options mechanics, margin requirements, or the theoretical risk of naked put writing. Over the following five months, Derek executed 37 separate naked put transactions in Margaret's account, concentrating in volatile technology names. When several of the underlying stocks dropped sharply during a broad market selloff in June 2022, Margaret was assigned on multiple contracts and faced margin calls totaling \$74,000. Unable to meet the margin calls, her positions were liquidated at a realized loss of \$61,300-roughly 28% of her total liquid savings. Margaret filed a complaint with the firm in September 2022, stating she never understood she could lose more than the premiums she collected and that Derek never explained the risks of assignment or margin calls.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halpern and Ridgemont Financial Partners committed multiple violations across several

regulatory frameworks.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, investment experience, and knowledge of options. The firm must determine that options trading is appropriate for the customer. Here, Margaret had no prior options experience, no knowledge of options mechanics, a conservative investment objective, and limited liquid savings that represented her entire financial safety net. Approving her account at Level 4-the highest tier permitting uncovered writing-was a clear failure of the account approval process. Branch manager Tricia Yuen's cursory review noting only 'adequate net worth' fell far short of the diligence required.

2. ****Delivery of OCC Options Disclosure Document:** The OCC's 'Characteristics and Risks of Standardized Options' document must be provided to customers at or before the time the account is approved for options trading. The fact pattern contains no indication Margaret received or reviewed this document, nor that the risks of naked put writing-including assignment risk and theoretically substantial losses-were explained to her.

3. ****Suitability and Regulation Best Interest (Reg BI):** Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when recommending a strategy to a retail customer. Naked put writing on volatile mid-cap technology stocks is among the highest-risk options strategies, carrying the potential for losses far exceeding premiums collected. For a 63-year-old retired teacher with \$215,000 in life savings, conservative objectives, and zero options experience, this strategy was profoundly unsuitable. Derek's analogy comparing naked puts to dividend stocks was materially misleading and demonstrates a failure to adequately disclose material risks.

4. ****FINRA Regulatory Notice 21-15:** This Notice reminded firms of their obligations regarding options account opening, approval, and supervision, particularly in light of the surge in retail options trading. It emphasized that firms must have robust supervisory systems for options accounts and must not approve customers for options strategies that are inconsistent with their profile. The same-day, cursory approval with no documentation of any assessment of Margaret's options knowledge directly contravenes the expectations outlined in RN 21-15.

5. ****Supervisory Failures (FINRA Rule 2360(b)(17) and FINRA Rule 3110):** The firm's supervision was deficient. Tricia Yuen approved a Level 4 options account for a novice retiree without any meaningful review. There is no evidence the firm had reasonable supervisory procedures to flag the mismatch between Margaret's profile and the approved trading level, nor that anyone reviewed the concentration of 37 naked put trades in volatile technology names in an account flagged for 'income.'

****Likely Regulatory Outcome:** Derek Halpern would likely face sanctions including fines, disgorgement of commissions earned on the 37 transactions, and a potential suspension or bar. The firm would face fines and restitution orders for supervisory failures and the flawed account approval process. Tricia Yuen could face individual supervisory sanctions. Margaret would likely prevail in an arbitration claim seeking recovery of her \$61,300 in losses plus associated costs. Enforcement precedent in the post-Robinhood era, including actions against firms for inadequate options approval processes, supports significant sanctions in

cases involving unsophisticated retail investors approved for the most complex and risky options strategies.

Hypothetical 75

[NON-COMPLIANT]

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Dawson, age 78, is a retired elementary school teacher living in Sarasota, Florida. She has a fixed income consisting of a state pension of \$2,800 per month and Social Security benefits of \$1,950 per month, totaling \$4,750 per month. Her liquid net worth consists of \$410,000 in a brokerage account, \$85,000 in a savings account, and a \$45,000 CD. She also owns her home outright, valued at approximately \$280,000. Her stated investment objective on her account application, completed in 2018, was "income and preservation of capital," and her risk tolerance was marked as "conservative." She has no prior experience trading options or any leveraged products, and her investment history consists entirely of Treasury bonds, CDs, and a handful of blue-chip dividend-paying stocks she has held for over fifteen years.

In March 2023, Margaret's longtime financial advisor retired, and her account was transferred to Kevin Briley, age 34, a registered representative at the same branch office. Over the following four months, Briley called Margaret approximately two to three times per week. During these calls, he explained that interest rates were making her bond portfolio less attractive and that she could "generate much more monthly income" by selling options on her existing stock positions and on broad market index ETFs. He described the strategy as "very conservative" and "essentially like collecting rent on stocks you already own."

In April 2023, Briley submitted a request to upgrade Margaret's account to the highest options approval level - Level 4, which permitted uncovered (naked) index option writing, spreads, and all other options strategies. On the options account application, Briley listed Margaret's risk tolerance as "aggressive," her investment objective as "speculation," her annual income as \$95,000 (rather than her actual \$57,000), and her liquid net worth as \$750,000. Margaret later stated in a complaint that Briley told her the new paperwork was "just a formality to let us do covered calls" and that she signed where he indicated without understanding the significance of the changes. The branch manager approved the options upgrade the same day it was submitted, without contacting Margaret or conducting any independent review.

Between May and October 2023, Briley executed 147 options transactions in Margaret's account. While approximately 30 of these were covered calls on her existing stock holdings, the remaining 117 transactions involved selling uncovered put options on the S&P 500 index ETF (SPY) and the Nasdaq-100 ETF (QQQ), as well as multi-leg iron condor and butterfly spread strategies. During the August 2023 market pullback, several of Margaret's naked put positions moved sharply against her, resulting in margin calls totaling \$62,000. To meet the margin calls, Briley liquidated a significant portion of her blue-chip dividend stock holdings - shares of Johnson & Johnson, Procter & Gamble, and Coca-Cola that she had held since 2007 - without first speaking with her. By the time Margaret became aware of the situation in September 2023 after receiving her monthly statement, her account had declined from \$410,000 to approximately \$271,000, a loss of \$139,000 or roughly 34%. The commissions and fees generated by the 147 options transactions totaled \$23,400.

Margaret's granddaughter, an attorney, helped her file a complaint with the firm in October 2023. Margaret stated she never understood what uncovered puts or iron condors were, that she never wanted to speculate, and that she believed Briley was only going to help her write covered calls on stocks she already owned.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Briley committed multiple serious violations of applicable regulatory standards, and the branch manager who approved the options upgrade also bears significant responsibility.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):****

FINRA Rule 2360 requires that before approving a customer for options trading, the firm and the registered representative must exercise due diligence to ascertain the customer's investment objectives, financial situation, investment experience, and other relevant information. The options account must be approved by a designated Registered Options Principal (ROP) who must consider whether the requested approval level is appropriate for the customer. Here, Briley falsified Margaret's account information - inflating her income from \$57,000 to \$95,000, inflating her liquid net worth from approximately \$540,000 to \$750,000, and changing her risk tolerance from "conservative" to "aggressive" and her objective from "income and preservation of capital" to "speculation." These material misrepresentations on the options application constitute a clear violation of FINRA Rule 2360(b)(16)(A) and potentially fraud.

The branch manager's same-day approval of a Level 4 (uncovered writing) options account for a 78-year-old retired schoolteacher with no options experience and a conservative profile - without any independent verification or customer contact - represents a failure of supervisory obligations under FINRA Rule 2360(b)(16)(B) and FINRA Rule 3110.

****OCC Options Disclosure Document:****

The OCC's Characteristics and Risks of Standardized Options document must be provided to customers at or before the time the account is approved for options trading. While it is unclear from the facts whether this document was delivered, the misrepresentation of the account's purpose strongly suggests that any risk disclosure provided was inadequate, and Margaret's statements indicate she did not understand the risks of the strategies being employed.

****Suitability and Regulation Best Interest Violations:****

Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the best interest of the retail customer when making a recommendation, which includes satisfying the Care Obligation, the Disclosure Obligation, the Conflict of Interest Obligation, and the Compliance Obligation. Under the Care Obligation, the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's.

Selling uncovered (naked) puts on broad market index ETFs and executing complex multi-leg spread strategies (iron condors, butterflies) are among the highest-risk options strategies available. These

strategies expose the account to substantial and potentially unlimited losses. Recommending these strategies to a 78-year-old retired investor with no options experience, conservative risk tolerance, income/preservation objectives, and limited fixed income is patently unsuitable and fails the Care Obligation under Reg BI. Even the quantitative aspect is concerning: 147 transactions in six months in an account that previously had minimal turnover suggests excessive trading.

FINRA Regulatory Notice 21-15 specifically addresses firms' obligations when approving customers for options trading, emphasizing the need for robust account approval processes, meaningful supervisory review, and ensuring that approved strategies align with the customer's actual profile. The Notice was issued in direct response to concerns about inadequate options account approval processes - precisely the failures demonstrated here.

****Additional Violations:****

- ****Unauthorized Trading:**** Liquidating Margaret's long-held blue-chip positions to meet margin calls without her authorization constitutes unauthorized trading in violation of FINRA Rule 2010 (Standards of Commercial Honor).
- ****Falsification of Records:**** Misrepresenting customer information on the options application violates FINRA Rule 2010 and potentially SEC Rule 17a-3 regarding books and records.
- ****Senior Investor Exploitation:**** FINRA has identified the protection of senior investors as a regulatory priority. Margaret's age, cognitive vulnerability to high-pressure sales tactics, reliance on fixed income, and inability to recover losses make this a particularly egregious case of senior exploitation.

****Likely Regulatory Outcome:****

Briley faces potential sanctions including a substantial fine, disgorgement of commissions (\$23,400), restitution to Margaret, a lengthy suspension, or a permanent bar from the industry. The falsification of account documents alone could warrant a bar. The branch manager faces supervisory failure charges and potential fines and suspension. The firm faces potential liability for the full \$139,000 in losses plus consequential damages, as well as fines for systemic supervisory failures in its options approval process. In FINRA arbitration, Margaret would likely recover a significant portion, if not all, of her losses.

Hypothetical 76

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Dawson, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$285,000, held primarily in a traditional IRA and a savings account. She has no prior experience trading options or any leveraged financial products. Her stated investment objectives on her new account application, completed in February 2023, were "income" and "preservation of capital," and she marked her risk tolerance as "conservative." She told her financial advisor, Kevin Marsh, age 34, that she needed her savings to cover potential assisted living costs and to leave something behind for her two grandchildren.

[NON-COM]

Marsh, who had been with his broker-dealer for three years and had recently completed an internal training module on options, recommended that Mrs. Dawson open a margin-enabled options account. He told her that selling naked put options on blue-chip stocks like Johnson & Johnson and Procter & Gamble was "basically the same as earning extra dividends" and "practically risk-free for companies that never go down." He filled out the options account application on her behalf, listing her investment experience as "moderate," her risk tolerance as "moderate/aggressive," and her investment objective as "speculation." Mrs. Dawson signed the forms but later stated she did not understand what the different categories meant and trusted Marsh to handle the paperwork correctly.

The firm's options principal, Lisa Chow, approved the account for Level 4 options trading - which included uncovered put and call writing - within 48 hours. Chow did not speak with Mrs. Dawson, did not review the discrepancies between the original new account form and the options application, and did not verify whether Mrs. Dawson had received or reviewed the standardized options risk disclosure booklet. No record existed showing the booklet had been delivered to Mrs. Dawson.

Between March and August 2023, Marsh executed 47 naked put trades in Mrs. Dawson's IRA. During a sharp market pullback in late July, several puts were assigned, resulting in Mrs. Dawson being forced to purchase approximately \$190,000 worth of stock she could not afford to hold. Her account value dropped from \$285,000 to \$141,000 - a loss of roughly \$144,000, representing over 50% of her life savings. When Mrs. Dawson called the firm in distress, she said she had "no idea" she could lose money this way and believed she was earning "safe income" from her investments. Marsh had earned approximately \$11,200 in commissions from the options trades over the six-month period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, this fact pattern involves multiple serious violations by both the financial advisor Kevin Marsh and the options principal Lisa Chow.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):****

FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must make a determination that options trading is appropriate for the customer based on the customer's financial situation, investment objectives, and experience. Lisa Chow, as the ROP, approved Mrs. Dawson for Level 4 options trading - which includes uncovered (naked) writing, the highest risk category - without conducting any meaningful review. She failed to identify glaring discrepancies between Mrs. Dawson's new account form (conservative risk tolerance, income/preservation objectives, no options experience) and the options application (moderate/aggressive risk tolerance, speculation objective, moderate experience). This is a textbook failure of the supervisory and approval obligations under Rule 2360(b)(16)(B) and (C).

****OCC Options Disclosure Document (ODD):****

The OCC's standardized risk disclosure booklet - "Characteristics and Risks of Standardized Options" - must be delivered to the customer at or before the time the account is approved for options trading. No record existed showing Mrs. Dawson received the ODD. This is a fundamental procedural violation that

deprived the customer of the opportunity to understand the risks she was undertaking.

****Falsification of Account Documents:****

Marsh materially misrepresented Mrs. Dawson's investment experience, risk tolerance, and objectives on the options application to secure approval for a level of trading that would never have been approved based on her true profile. Falsifying customer account records violates FINRA Rules 2010 (standards of commercial honor), 4511 (books and records), and potentially constitutes fraud.

****Suitability and Regulation Best Interest (Reg BI) Violations:****

Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer and associated person must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest and does not place the financial professional's interest ahead of the customer's. Naked put writing is among the most aggressive options strategies available, carrying theoretically substantial downside risk. Recommending this strategy to a 78-year-old retiree with conservative objectives, limited income, no options experience, and a need for capital preservation is a clear violation of the Care Obligation. FINRA Regulatory Notice 21-15 specifically highlights concerns about complex options strategies being recommended to customers without sufficient experience or understanding, and emphasizes the need for firms to have robust approval processes.

****FINRA Rule 2361 - Suitability of Options:****

Rule 2361 independently requires that options recommendations be suitable based on the customer's financial situation and needs. Writing naked puts in a retirement account for a senior investor whose primary goals are income and capital preservation is patently unsuitable.

****Senior Investor Exploitation:****

The facts strongly suggest exploitation of a vulnerable senior investor. Mrs. Dawson's trust in her advisor, her lack of understanding of the products, the falsified paperwork, and the resulting loss of over 50% of her life savings all point to a pattern of conduct that regulators treat with particular severity. FINRA has consistently prioritized senior investor protection, and the combination of unsuitable recommendations, falsified documents, and inadequate supervision would likely result in significant sanctions.

****Likely Regulatory Outcome:****

Marsh would likely face a lengthy suspension or permanent bar from the industry, substantial fines, and an order to pay restitution. Chow would likely face supervisory failure charges resulting in suspension and fines. The firm would face significant fines for supervisory failures, failure to deliver the ODD, and failure to maintain adequate options approval procedures. Full restitution of Mrs. Dawson's \$144,000 loss would be expected. In arbitration, punitive damages could also be awarded given the egregious nature of the misconduct.

Hypothetical 77

Topic: *excessive_churning* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Marcus Webb, age 34, is a warehouse supervisor in Memphis, Tennessee, earning \$52,000 annually. He has approximately \$38,000 in savings, no prior investment experience, and opened a brokerage account in January 2023 after seeing social media influencers discuss options trading. His new account application listed his investment objective as 'growth,' his risk tolerance as 'moderate,' and his liquid net worth as \$38,000. His registered representative, Derek Stoll, age 29, approved Marcus for Level 3 options trading - including spreads, straddles, and naked puts - within two weeks of account opening, despite Marcus having zero prior options experience and no formal financial education. Derek told Marcus that options were 'the fastest way to build wealth' and began recommending frequent short-term trades in weekly SPY options, QQQ straddles, and individual equity calls on volatile tech stocks. Between January 2023 and September 2023, Derek executed 347 options transactions in Marcus's account. The account generated \$41,200 in total commissions and fees over this nine-month period. Marcus's average account equity during this period was approximately \$29,000, producing an annualized cost-to-equity ratio of approximately 189%. The turnover rate was roughly 52 times annualized. Many positions were held for less than 48 hours. Marcus's account value declined from \$38,000 to \$6,100 over the period - a loss of \$31,900 - while Derek earned \$41,200 in commissions. When Marcus called in August 2023 to ask why his account was shrinking, Derek reassured him that 'volatility works both ways' and encouraged him to deposit additional funds to 'average down on premium costs.' Marcus deposited another \$5,000 in August, which was also largely consumed by trading losses and commissions by late September. Derek's branch manager had access to monthly account activity reports but did not flag or review the account despite the extraordinary volume and cost metrics. No updated options agreement or risk disclosure was provided after the initial account opening.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Stoll committed multiple serious violations. First, under FINRA Rule 2360(b)(19), member firms must exercise due diligence to ascertain a customer's investment profile - including financial situation, investment experience, investment objectives, and risk tolerance - before approving options trading. Approving a customer with zero options experience, moderate risk tolerance, and limited liquid net worth (\$38,000) for Level 3 options privileges (including naked puts and complex multi-leg strategies) is a clear account approval failure. The OCC Options Disclosure Document, which must be provided to customers at or before the time of account approval, emphasizes that options involve substantial risk and are not appropriate for all investors. There is no indication Marcus understood the risks of the strategies being employed.

Second, the trading activity constitutes classic excessive trading (churning) under FINRA Rule 2111 and Regulation Best Interest. With 347 trades in nine months, an annualized cost-to-equity ratio of approximately 189%, and an annualized turnover rate of approximately 52x, the quantitative indicators of churning are overwhelming. FINRA guidance and case law have consistently found that cost-to-equity ratios above 20% and turnover rates above 6x are presumptive evidence of excessive trading. Derek's metrics vastly exceed these thresholds.

Third, under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile.

Derek's recommendations of frequent short-duration trades in weekly options and volatile equity calls were wholly inconsistent with Marcus's moderate risk tolerance, growth objective, limited income, and complete lack of experience. The commissions generated (\$41,200) exceeded the customer's entire original investment, a hallmark of placing the advisor's interest ahead of the customer's.

Fourth, FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approvals in the context of newer, less experienced investors - the so-called 'Robinhood-era' cohort - and reinforces that firms must have robust supervisory systems for options approval and ongoing monitoring. The branch manager's failure to flag or review the account despite readily available activity reports constitutes a supervisory failure under FINRA Rules 3110 and 2360(b)(20), which require ongoing review of options accounts for suitability.

Derek's reassurance that Marcus should deposit more money, rather than honestly disclosing the account's trajectory, further compounds the violation. Likely regulatory outcomes include disgorgement of commissions, restitution to the customer, significant fines, suspension or bar for the representative, and supervisory sanctions against the branch manager and firm.

Hypothetical 78

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Olsen, age 78, was a retired elementary school teacher living in Tucson, Arizona. She had a fixed annual income of \$34,000 from Social Security and a small pension, liquid savings of approximately \$285,000 in a brokerage account, and owned her home outright. She had no prior experience trading options or any derivatives. Her account application from 2019 listed her investment objective as 'income and preservation of capital,' her risk tolerance as 'low,' and her investment experience as limited to certificates of deposit and a handful of blue-chip stocks she had held for over twenty years. Her net worth excluding her home was approximately \$310,000.

In March 2023, Margaret's long-time financial advisor, Kevin Driscoll, age 41, transferred to a new firm. Margaret followed him. At the new firm, Driscoll told Margaret that interest rates were likely to decline and that she could 'safely generate extra monthly income' by selling options on stocks she already owned. He described the strategy as 'extremely conservative' and compared it to 'collecting rent on a house.' He recommended she begin selling covered calls on her existing stock positions, which she agreed to after a brief phone conversation.

However, within two months, Driscoll had upgraded Margaret's options approval level from Level 1 (covered calls only) to Level 3 (which permitted spreads, uncovered puts, and more complex multi-leg strategies). On the new account application submitted to the firm's options principal, Margaret's risk tolerance was changed to 'moderate-aggressive,' her investment objective was changed to 'speculation,' and her liquid net worth was listed as \$585,000 - roughly double her actual figure. Margaret later stated she never saw or signed the updated application and was unaware her account had been upgraded.

Between May and November 2023, Driscoll executed 147 options transactions in Margaret's account. These included naked (uncovered) put sales on volatile technology and biotech stocks such as a semiconductor manufacturer and a clinical-stage pharmaceutical company, as well as iron condors and short strangles on broad market ETFs timed around Federal Reserve announcements. Margaret was not informed about the risk of assignment or the potentially unlimited losses associated with naked positions. During this period, the account generated \$41,200 in premiums but suffered \$138,500 in realized losses when several short put positions were assigned during a market sell-off in October 2023. Commissions and fees totaled \$14,800.

By December 2023, Margaret's account value had declined from \$285,000 to approximately \$131,700 - a loss of more than 53%. Margaret only became aware of the extent of the damage when she received her year-end account statement and called the firm's compliance department. She reported that Driscoll had told her the account was 'doing fine' as recently as November and that she had never authorized speculative trading. Driscoll's branch manager, who also served as the firm's registered options principal, had approved the Level 3 upgrade after reviewing the falsified application without contacting Margaret directly or comparing the new application information against the prior account records on file.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll committed multiple serious violations, and the firm's supervisory failures compounded the harm.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must review the customer's financial background, investment objectives, and trading experience. The ROP must determine that options trading is appropriate for the customer. Here, the ROP approved a Level 3 upgrade - permitting uncovered writing and complex strategies - based on a falsified application. Margaret's actual profile (age 78, low risk tolerance, \$285,000 in savings, no options experience, income/preservation objective) was fundamentally incompatible with Level 3 options approval. The ROP failed to compare the new application against existing account records, which would have immediately revealed the discrepancies in net worth, risk tolerance, and investment objectives. This constitutes a failure of the supervisory obligations under FINRA Rule 2360(b)(16)(B) and (C).

****OCC Options Disclosure Document:** The OCC's "Characteristics and Risks of Standardized Options" document must be provided to a customer at or before the time the account is approved for options trading. Given that Margaret states she was unaware of the account upgrade, there is a strong inference that she was not provided the updated ODD or any meaningful disclosure regarding the risks of uncovered writing, assignment risk, or multi-leg strategies.

****Regulation Best Interest (Reg BI) - Care Obligation:** Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended securities transaction, consider whether it is in the customer's best

interest, and not place the financial interest of the broker ahead of the customer's interest. Naked put sales on volatile biotech and semiconductor stocks, iron condors, and short strangles timed around macroeconomic events are speculative strategies entirely inconsistent with Margaret's documented profile. No reasonable advisor could conclude these strategies served the best interest of a 78-year-old retiree with low risk tolerance, limited income, modest savings, and no derivatives experience. The \$14,800 in commissions and fees generated further evidences that Driscoll's own financial interest drove the activity.

****Reg BI - Disclosure Obligation:**** Driscoll failed to disclose the true nature and risks of the strategies being employed. He characterized covered call writing as conservative, then escalated to naked and multi-leg strategies without informing Margaret of the change in risk profile or obtaining her informed consent.

****FINRA Rule 2360(b)(5) - Diligence in Opening Accounts:**** The rule requires that the advisor exercise due diligence to learn the essential facts about the customer. Driscoll either fabricated or caused to be fabricated the financial information on the updated application, which constitutes a violation of the diligence requirement and likely constitutes falsification of books and records (a violation of FINRA Rule 4511 and Section 17(a) of the Securities Exchange Act of 1934).

****FINRA Regulatory Notice 21-15:**** This notice specifically reminded firms of their obligations regarding options account opening, approval, and supervision in the wake of increased retail options trading. It emphasized the importance of verifying customer information, ensuring account approval levels are appropriate, and conducting meaningful supervisory review. The firm and its ROP failed on all three counts.

****Quantitative Unsuitability:**** The 147 transactions in approximately seven months in an account of this size, for a customer with this profile, raises additional concerns about excessive trading under FINRA Rule 2111.05(c) and Reg BI's Care Obligation.

****Senior Investor Exploitation:**** Margaret's age (78) triggers heightened scrutiny. FINRA Rule 2165 permits firms to place temporary holds on disbursements when financial exploitation of seniors is suspected. While not directly applicable to trading losses, the broader regulatory framework - including FINRA's emphasis in its Annual Regulatory Oversight Reports - treats senior investor exploitation as a priority. The falsification of documents and unsuitable trading in a senior's account will attract enhanced enforcement attention.

****Likely Regulatory Outcome:**** Driscoll faces potential suspension or bar from the industry for falsifying account documents and recommending grossly unsuitable options strategies to a vulnerable senior client. The firm faces significant fines for supervisory failures, particularly the ROP's perfunctory approval of the Level 3 upgrade. Margaret would likely recover full compensatory damages in a FINRA arbitration proceeding, plus potential punitive damages given the egregious nature of the misconduct. The firm may also face an enforcement action for failure to supervise under FINRA Rules 3110 and 3120.

Hypothetical 79

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM

Fact Pattern

Gerald Hawkins, age 58, is a retired postal worker living in Tulsa, Oklahoma. He receives a fixed pension of \$3,200 per month and has \$185,000 in a rollover IRA, which represents his entire liquid net worth. Gerald has no prior investment experience beyond the stable value and target-date funds offered through his former employer's retirement plan. He walks into a branch office of Ridgeline Financial Services in March 2023 after seeing an advertisement about 'making your retirement savings work harder.' He meets with Brandon Cole, a registered representative with Ridgeline who has been in the business for four years. During their first meeting, Gerald explains that he wants to generate a little extra monthly income to supplement his pension and that he cannot afford to lose his retirement savings. He tells Brandon he is 'very conservative' and that he has never traded individual stocks. Brandon has Gerald fill out a new account application. On the form, Gerald lists his annual income as \$38,400, his liquid net worth as \$185,000, his investment experience as 'none,' his risk tolerance as 'conservative,' and his investment objective as 'income.' Brandon submits a separate options account application on Gerald's behalf that same day, checking boxes indicating Gerald has '1-2 years' of options experience and a 'moderate' risk tolerance, and requesting approval for Level 3 options trading, which permits spreads and uncovered put writing. Brandon does not discuss the discrepancies between the two forms with Gerald and does not provide him with the Options Disclosure Document. The branch manager, Patricia Layton, reviews the options application and approves it within 24 hours without contacting Gerald or reconciling the conflicting information on the two applications. Over the next five months, Brandon executes 47 options trades in Gerald's IRA, including multiple short put positions on volatile technology stocks such as a major electric vehicle manufacturer and a semiconductor company. In August 2023, a sharp market pullback results in several of Gerald's short puts being assigned, forcing the purchase of shares at prices well above market value. By September 2023, Gerald's IRA has declined to \$114,000 - a loss of \$71,000, or approximately 38% of his retirement savings. Gerald contacts Ridgeline's compliance department after receiving his quarterly statement and says he never understood what options were and never told anyone he had options experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brandon Cole violated multiple regulatory requirements, and the firm bears supervisory liability as well.

****Failure to Know the Customer (FINRA Rule 2090):**** A fundamental obligation of every registered representative is to use reasonable diligence to know the essential facts concerning each customer. Brandon failed this duty by not reconciling the conflicting information between Gerald's general new account form (which listed no investment experience, conservative risk tolerance, and income as an objective) and the options application (which falsely listed 1-2 years of options experience and moderate risk tolerance). The discrepancies strongly suggest that Brandon either fabricated the options application information or pressured Gerald to provide inaccurate answers. Either way, Brandon did not exercise reasonable diligence to ascertain Gerald's true financial profile.

****Options Account Approval Failures (FINRA Rule 2360):**** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm must obtain specific background and financial information - including investment experience, knowledge, financial situation, and investment objectives -

and make a determination that options trading is appropriate. The rule further requires that the registered options principal (ROP) or branch manager review and approve the account, specifically verifying that the information supports the level of options trading requested. Patricia Layton, as branch manager, approved Level 3 options authority within 24 hours without contacting Gerald or addressing the glaring contradictions between the two applications. This constitutes a supervisory failure under FINRA Rules 3110 and 2360(b)(16).

****Failure to Deliver the OCC Options Disclosure Document:**** FINRA Rule 2360(b)(11) and OCC rules require that the Options Disclosure Document (ODD) - titled 'Characteristics and Risks of Standardized Options' - be provided to every customer at or before the time the account is approved for options trading. Brandon never provided this document to Gerald, depriving him of essential risk disclosures.

****Suitability and Regulation Best Interest Violations:**** Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest given the customer's investment profile. Writing uncovered puts on volatile technology stocks is an aggressive, speculative strategy wholly inconsistent with Gerald's stated conservative risk tolerance, limited income, lack of investment experience, and dependence on his IRA for retirement security. Even under the former suitability standard of FINRA Rule 2111, these trades would have been unsuitable at the customer-specific, reasonable-basis, and quantitative levels.

****FINRA Regulatory Notice 21-15 Considerations:**** RN 21-15 specifically reminded firms of their obligations when approving options accounts, emphasizing the need for robust account approval processes, meaningful assessment of customer investment profiles, and supervisory systems designed to prevent approval of complex options strategies for customers who lack the requisite experience and financial capacity. Ridgeline's process - rubber-stamping a Level 3 options application with contradictory information in under 24 hours - is precisely the type of deficiency the notice targeted.

****Likely Regulatory Outcome:**** Brandon Cole would likely face an enforcement action for falsifying or causing to be falsified customer account information, unsuitable recommendations, and failure to deliver the ODD. Potential sanctions include fines, disgorgement, suspension, or a bar from the industry. Patricia Layton would face supervisory failure charges. Ridgeline Financial Services would likely be cited for systemic supervisory deficiencies in its options account approval process, resulting in firm-level fines, required remediation, and potential restitution to Gerald of approximately \$71,000.

Hypothetical 80

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Holloway, age 78, is a retired elementary school teacher living in Boca Raton, Florida, on a fixed

[NON-COM

income consisting of a \$2,400 monthly pension and \$1,850 monthly Social Security payment. Her total liquid net worth is approximately \$410,000, held primarily in a rollover IRA that she accumulated over 35 years of teaching. She has no other significant assets besides her home, which is paid off and valued at \$285,000. Mrs. Holloway has no prior experience trading options or any derivative instruments. Her prior investment history consists entirely of certificates of deposit, a balanced mutual fund held through her school district's retirement plan, and a small position in a blue-chip dividend ETF that a previous advisor recommended in 2016. She describes her investment objective as 'preserving what I have and generating a little extra income to help with medical expenses.' Her risk tolerance, as documented on her original account application in 2019, was listed as 'conservative.'

In January 2023, Mrs. Holloway's new financial advisor, Derek Callahan, age 34, at a mid-sized independent broker-dealer, suggested that she could significantly boost her monthly income by implementing an options strategy in her IRA. Callahan told her that selling weekly put options on high-beta technology stocks like Tesla, Nvidia, and Amazon was 'basically like collecting rent' and carried 'very little downside risk because these companies always bounce back.' He described the strategy as 'conservative income generation.' Callahan submitted an options account application on Mrs. Holloway's behalf that listed her investment experience as 'moderate,' her risk tolerance as 'aggressive growth,' her annual income as \$95,000 (rather than her actual \$51,000), and her liquid net worth as \$750,000. The application was approved for Level 3 options trading, which permitted uncovered put writing.

Between February and August 2023, Callahan executed 147 short put option trades in Mrs. Holloway's IRA. While some trades were profitable, a sharp pullback in technology stocks in late July and August 2023 resulted in multiple put options being assigned. Mrs. Holloway was forced to purchase shares of Tesla at prices well above the market value, and her account suffered unrealized losses of approximately \$138,000 within six weeks. By September 2023, her IRA had declined from \$410,000 to approximately \$247,000. Callahan generated approximately \$23,400 in commissions from the options trades during this period. When Mrs. Holloway called Callahan in a panic after receiving her August statement, he told her to 'sit tight' and that 'the market always recovers.' He did not discuss closing the positions, adjusting the strategy, or the possibility of further losses. Mrs. Holloway's granddaughter, who holds a CPA license, reviewed the account in October 2023 and immediately contacted the broker-dealer's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Callahan committed multiple serious violations of applicable regulatory requirements.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** The options account application contained materially false information. Callahan inflated Mrs. Holloway's income from \$51,000 to \$95,000, increased her listed liquid net worth from \$410,000 to \$750,000, mischaracterized her risk tolerance as 'aggressive growth' when it was documented as 'conservative,' and listed her investment experience as 'moderate' when she had zero options experience. Under FINRA Rule 2360(b)(16), a member firm must obtain specific background and financial information from a customer before approving options trading, and must exercise due diligence to ascertain the essential facts about the customer. Falsifying application information to secure a higher approval level is a direct violation. The firm's registered options principal

(ROP) who approved Level 3 trading for a 78-year-old retiree with stated conservative objectives also bears responsibility for inadequate supervisory review.

****OCC Options Disclosure Document:**** There is no indication that Mrs. Holloway was provided with or acknowledged receipt of the OCC Options Disclosure Document ("Characteristics and Risks of Standardized Options") prior to the commencement of trading, as required before any options trading is approved.

****Suitability and Regulation Best Interest Violations (FINRA Rule 2111, Reg BI):**** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest. Selling uncovered weekly puts on high-beta technology stocks is an aggressive, high-risk strategy wholly inconsistent with a 78-year-old retired teacher's conservative risk profile, limited fixed income, dependence on her IRA for supplemental income, and zero options experience. This violates the customer-specific suitability component of Rule 2111 and the Care Obligation under Reg BI.

****FINRA Regulatory Notice 21-15 Considerations:**** This Notice specifically highlights concerns about options account approvals, including the adequacy of account approval processes, particularly for complex options strategies. It emphasizes that firms must have reasonable policies to assess whether a customer's options trading is appropriate given their profile, and that automated or cursory approval processes that fail to identify red flags (such as a senior investor with no experience being approved for uncovered writing) are deficient.

****Quantitative Unsuitability/Excessive Trading:**** The execution of 147 short put trades over approximately seven months in a \$410,000 IRA, generating \$23,400 in commissions, raises significant concerns about excessive trading. The commission-to-equity ratio and turnover rate would likely indicate churning under both FINRA Rule 2111 and Reg BI.

****Senior Investor Exploitation:**** Mrs. Holloway's age (78), cognitive vulnerability, financial dependence on her retirement savings, and lack of sophistication make this a textbook case of senior investor exploitation. FINRA has made protection of senior investors a regulatory priority, and the combination of falsified paperwork, unsuitable strategy, and high commissions significantly aggravates the violation.

****Likely Regulatory Outcome:**** Callahan faces potential sanctions including a substantial fine, disgorgement of commissions (\$23,400+), restitution to Mrs. Holloway for losses attributable to the unsuitable strategy (potentially up to \$163,000), a lengthy suspension or permanent bar from the securities industry, and possible referral for criminal prosecution given the falsification of account documents. The broker-dealer faces supervisory failure charges for the ROP's inadequate review of the options application and failure to detect the falsified information and ongoing unsuitable trading activity.

Hypothetical 81

Topic: *excessive_churning* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Dawson, age 71, is a retired school librarian living in Tallahassee, Florida. She has a fixed annual income of \$38,000 from Social Security and a small state pension. Her liquid net worth consists of approximately \$310,000 in a brokerage account, which represents the vast majority of her life savings aside from her modest home. When she opened her account with registered representative Kyle Brannigan at Prestige Securities in March 2021, she indicated on her new account form that her investment objective was "income and preservation of capital," her risk tolerance was "low to moderate," and her investment experience was limited to certificates of deposit and a few blue-chip stocks held for decades. She had no prior experience with options trading.

Brannigan, age 29, had been with the firm for two years and had recently completed options principal training. He told Margaret that in the current low-interest-rate environment, she could generate far better income by "selling covered calls" on dividend-paying stocks and that the strategy was "practically risk-free." He assisted her in completing an options agreement application, checking the boxes for Level 3 options approval, which permitted spread trading, uncovered put writing, and covered call writing. The firm's options principal approved the application the same day without contacting Margaret or conducting any independent verification of her stated experience or financial situation.

Between April 2021 and February 2023, Brannigan executed 487 options transactions in Margaret's account. While the first two months consisted of covered calls on blue-chip holdings, by June 2021 Brannigan had shifted the account heavily into short put positions on volatile technology and meme stocks, including companies like AMC Entertainment, GameStop, Palantir, and Rivian. He frequently opened and closed positions within days, sometimes opening multiple new positions in a single day. Many of the short puts were on stocks trading at elevated implied volatility levels, meaning the premiums collected were high but the downside risk was substantial.

Over the 23-month period, the account generated \$74,200 in commissions and fees for Brannigan and Prestige Securities. The annualized turnover rate in the account was approximately 28, and the cost-to-equity ratio exceeded 61%. Margaret's account suffered net realized and unrealized losses of approximately \$142,000, reducing her portfolio from \$310,000 to roughly \$168,000. At several points, margin calls were triggered on the short put positions, and Brannigan liquidated Margaret's legacy blue-chip stock holdings - including 500 shares of Johnson & Johnson and 300 shares of Procter & Gamble that she had held for over 15 years - to meet those margin calls, without clearly explaining to her what was happening. Margaret believed the frequent trading was necessary to "keep the income strategy working" based on what Brannigan had told her.

Margaret's daughter, a CPA, reviewed the account statements in March 2023 and discovered the extent of the losses and trading activity. She noted that her mother had never understood what a "short put" was, believed she was only doing covered calls, and had no idea she had been approved for Level 3 options. Margaret filed a complaint with Prestige Securities, which was forwarded to the firm's compliance department. An internal review revealed that the options principal who approved Margaret's account had approved 94% of all Level 3 applications submitted in 2021 with an average review time of less than four minutes per application.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brannigan and Prestige Securities committed multiple serious violations.

****Excessive Churning / Quantitative Unsuitability:****

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI), a broker must have a reasonable basis to believe that a recommended series of transactions is not excessive in light of the customer's profile. The quantitative indicators here are overwhelming. An annualized turnover rate of 28 far exceeds the threshold of 6 that is widely recognized by FINRA arbitration panels and courts as presumptive evidence of churning. A cost-to-equity ratio of 61% means Margaret's account needed to generate a 61% annual return simply to break even after costs - an absurd standard for any account, let alone one belonging to a 71-year-old retiree with low-to-moderate risk tolerance and income/preservation objectives. The 487 transactions over 23 months, generating \$74,200 in commissions on a \$310,000 account, constitute classic excessive trading. Brannigan exercised de facto control over the account, as Margaret did not understand the strategies being employed and relied entirely on his recommendations.

****Options Suitability Violations:****

FINRA Rule 2360(b)(19) requires that prior to approving a customer's account for options trading, the firm must make a determination that options trading is appropriate for the customer based on the customer's financial situation, investment objectives, and experience. Margaret had no options experience, a low-to-moderate risk tolerance, income and preservation objectives, and limited liquid assets. Approving her for Level 3 options - which includes uncovered put writing, one of the riskiest strategies available to retail investors - was plainly unsuitable. The OCC Options Disclosure Document, which must be provided to customers before approval, specifically warns that options involve significant risks and may not be appropriate for all investors. Writing uncovered puts on volatile meme stocks for a 71-year-old retiree dependent on her savings is categorically unsuitable.

****Supervisory Failures:****

The options principal's approval of Margaret's Level 3 application the same day, without customer contact, and the broader pattern of approving 94% of Level 3 applications with less than four minutes of review each, constitutes a failure of supervision under FINRA Rules 3110 and 2360(b)(19)(B). FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations to exercise diligence in approving options accounts, particularly given the surge of retail options activity. The firm failed to establish reasonable supervisory procedures to ensure options accounts were reviewed with appropriate rigor.

****Reg BI Violations:****

Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), Brannigan was required to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and ensuring that a series of recommended transactions was not excessive. The shift from covered calls to short puts on meme stocks, the massive volume of trading, and the liquidation of long-held blue-chip positions to meet margin calls all violated this standard. The Disclosure Obligation was also violated, as Margaret was not informed that she had been approved for Level 3, did not understand the

strategies being executed, and was not told about the risks of short put writing.

****Likely Regulatory Outcome:****

Brannigan faces potential sanctions including a substantial fine, disgorgement of commissions, a lengthy suspension or permanent bar from the industry. Prestige Securities faces liability for supervisory failures, potential restitution to Margaret, fines, and a required overhaul of its options approval procedures. Margaret would likely prevail in a FINRA arbitration claim for the approximately \$142,000 in losses plus the \$74,200 in excessive commissions, potentially with attorneys' fees. The options principal may also face individual liability for rubber-stamping the approval.

Hypothetical 82

[NON-COMPLIANT]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Okonkwo, age 62, is a retired elementary school teacher living in suburban Atlanta. She receives a monthly pension of \$3,400 and Social Security payments of \$1,850, giving her a total fixed annual income of approximately \$63,000. Her liquid savings consist of \$185,000 in a traditional IRA rollover from her 403(b) plan and \$42,000 in a savings account. She has no other investment accounts and owns her home outright, valued at approximately \$280,000. Margaret has never purchased individual stocks, bonds, or any derivative instruments; her 403(b) was invested entirely in a target-date retirement fund selected by her school district's plan administrator. On her new account application at Ridgeway Financial Group in March 2023, Margaret indicated her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' and her investment experience as 'limited.' She noted on the form that she had no experience with options, futures, or margin accounts. Her stated time horizon was 5-10 years, and she expressed concern about outliving her savings. Her advisor, Derek Langston, age 34 and registered for three years, had recently attended an internal training session at Ridgeway on generating revenue through options strategies. In April 2023, Langston recommended that Margaret open a Tier 3 options account (which at Ridgeway permitted selling uncovered puts, spreads, and covered calls) and transfer her entire \$185,000 IRA into a self-directed brokerage IRA to implement what he described as an 'income enhancement strategy.' He told Margaret the approach would 'generate monthly income like a second pension' and was 'essentially risk-free if done correctly.' Langston did not provide Margaret with the standardized options disclosure document prior to executing the first trade. He placed the first trade-selling ten uncovered put contracts on Tesla (TSLA) with a strike price of \$180, expiring in 45 days-on April 18, 2023, collecting \$6,200 in premium. He also sold five uncovered put contracts on NVIDIA (NVDA) at a \$260 strike, collecting \$4,100 in premium. Over the next four months, Langston executed 47 options transactions in Margaret's IRA, including naked puts on volatile technology and meme stocks such as AMC Entertainment and Palantir Technologies, as well as short strangles on earnings-week expirations. Margaret was not contacted before most of these trades; Langston had obtained limited trading authorization on her account. In August 2023, a sharp market pullback resulted in assignment on several naked put positions. Margaret's IRA declined from \$185,000 to \$97,400-a loss of approximately \$87,600, or 47% of her retirement savings. When Margaret called Langston in a panic, he told her to 'hold tight' and that he would 'sell more premium to make it back.' Margaret's daughter, a CPA, reviewed the account

statements in September 2023 and immediately filed a complaint with Ridgeway's compliance department. An internal review revealed that Langston's branch manager had approved Margaret's Tier 3 options application after a cursory review, noting only that the account met the firm's minimum equity requirement of \$50,000 and checking a box labeled 'client verbally confirmed understanding of risks.' There was no documentation that anyone at the firm had evaluated whether Margaret's age, income, net worth, experience, or objectives were consistent with the approved options level. Ridgeway's written supervisory procedures required a registered options principal to conduct an independent suitability assessment before approving any account above Tier 1 (covered calls and long options only), but the branch manager who approved Margaret's account was not registered as an options principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston and Ridgeway Financial Group committed multiple serious violations.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Under FINRA Rule 2360, before approving a customer's account for options trading, a registered options principal (ROP) must review and approve the account based on relevant facts about the customer, including investment objectives, financial situation, investment experience, and the types of options strategies requested. Here, Margaret's Tier 3 options account-permitting uncovered put writing and complex spread strategies-was approved by a branch manager who was not a registered options principal, directly violating the rule's requirement that a specifically qualified ROP conduct the approval. Furthermore, there was no documented independent suitability assessment. Margaret's profile-a 62-year-old retiree with no options or active trading experience, conservative risk tolerance, income/preservation objectives, and retirement savings constituting essentially her entire liquid net worth-was fundamentally inconsistent with Tier 3 options authorization.

****Failure to Deliver OCC Options Disclosure Document:** FINRA Rule 2360(b)(11) requires that the current Options Clearing Corporation (OCC) Options Disclosure Document (ODD), titled 'Characteristics and Risks of Standardized Options,' be furnished to the customer at or before the time the account is approved for options trading. Langston never provided this document to Margaret. This is a standalone violation regardless of any suitability analysis.

****Unsuitable Recommendations (FINRA Rule 2111 / Reg BI):** Under Regulation Best Interest (Reg BI), a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of recommended securities and strategies and have a reasonable basis to believe the recommendation is in the customer's best interest given her specific investment profile. Selling uncovered (naked) puts on highly volatile technology and meme stocks in the IRA of a 62-year-old conservative retiree with no options experience is per se unsuitable. Naked put writing carries theoretically substantial downside risk (the stock can decline to zero), and the premium income does not compensate for the magnitude of potential losses relative to Margaret's financial situation and stated objectives. Short strangles on earnings-week expirations are among the highest-risk options strategies available and are wholly inappropriate for a customer with Margaret's profile.

FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approvals in the modern brokerage environment, emphasizing that firms must have robust procedures to evaluate whether options trading-particularly complex strategies-is appropriate for each customer. The Notice warns against over-reliance on minimum equity thresholds or checkbox acknowledgments as substitutes for genuine suitability evaluation.

****Misrepresentation:**** Langston's characterization of naked options selling as 'essentially risk-free' and comparable to 'a second pension' constitutes a material misrepresentation of the risks involved, violating FINRA Rule 2210 (communications with the public) and potentially FINRA Rule 2020 (use of manipulative, deceptive, or other fraudulent devices).

****Supervisory Failures (FINRA Rule 3110):**** Ridgeway's failure to enforce its own written supervisory procedures-specifically the requirement for ROP review before Tier 3 approval-constitutes a supervisory violation. The branch manager's perfunctory review, without evaluating the obvious mismatch between Margaret's profile and the requested options level, reflects a systemic failure.

****Likely Regulatory Outcome:**** Langston faces potential suspension or bar, disgorgement of commissions, and fines. Ridgeway faces potential fines, restitution to the customer (approximately \$87,600 in losses plus consequential damages), and required remediation of its options approval procedures. The firm's failure to enforce its own WSPs and the branch manager's unauthorized approval as a non-ROP are aggravating factors. Given the egregiousness-complete mismatch between customer profile and strategy, failure to deliver the ODD, misrepresentations about risk, and supervisory breakdown-this case would likely result in significant sanctions in a FINRA enforcement action and would present strong grounds for customer arbitration recovery.

Hypothetical 83

Topic: excessive_churning | Difficulty: hard

Fact Pattern

Margaret Olsen, age 71, is a retired school librarian living in Boise, Idaho, with an annual pension income of \$38,000 and a total liquid net worth of approximately \$310,000. She had no prior options trading experience and described her investment objectives as capital preservation and modest income generation to supplement her pension. Her stated risk tolerance was conservative. In March 2022, she opened a brokerage account with Cedar Point Financial Services and was assigned to advisor Derek Boland, who had been registered for four years. During the account opening process, Boland recommended that Olsen apply for options trading approval, telling her that selling covered calls on blue-chip stocks would be a safe way to generate extra monthly income, similar to collecting rent on property she already owned. Olsen signed the options agreement and was approved for Level 2 options trading, which permitted covered call writing and cash-secured put selling. Over the next fourteen months, from April 2022 through May 2023, Boland executed 247 options transactions in Olsen's account. While many of the initial trades were covered calls on positions of AT&T, Coca-Cola, and Procter & Gamble, by July 2022 Boland began a pattern of

[NON-COM

rapidly opening and closing short put positions on more volatile names including Tesla, Nvidia, and Amazon. He would sell weekly cash-secured puts, close them within one to three days at a small profit, then immediately open new positions at different strikes. He also began rolling covered call positions every few days rather than letting them expire, each roll generating a new commission. The account's annualized turnover rate was 34.2, and the cost-to-equity ratio reached 48.7%. Total commissions and options-related fees paid during the fourteen-month period amounted to \$61,400 against an average account equity of approximately \$126,000. The account's net value declined from \$310,000 to \$219,000 by the end of May 2023, a loss of \$91,000, of which \$61,400 was attributable to transaction costs. Olsen only became aware of the scope of the trading when her grandson, a finance graduate, reviewed her statements during a visit in June 2023. Boland's supervisor, branch manager Linda Tsao, had approved the options account but had not conducted any subsequent review of the trading activity or frequency despite the firm's internal procedures requiring quarterly options account reviews for customers over age 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Boland violated multiple regulatory standards, and the firm bears supervisory liability as well.

****Excessive Trading / Churning Analysis:****

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest, a broker must have a reasonable basis for believing that the number and frequency of transactions are suitable and in the customer's best interest. Churning occurs when a broker exercises control over an account and engages in excessive trading to generate commissions rather than to benefit the customer. The key quantitative indicators here are overwhelming:

- ****Turnover Rate:**** An annualized turnover rate of 34.2 is extraordinarily high. FINRA and the SEC have historically considered turnover rates above 6 as presumptive evidence of excessive trading, and rates above 4 as raising serious concerns. A rate of 34.2 in a conservative retiree's account is egregious.
- ****Cost-to-Equity Ratio:**** A cost-to-equity ratio of 48.7% means the account needed to generate nearly 49% in returns just to break even after transaction costs. Courts and regulators generally consider cost-to-equity ratios above 20% as indicative of churning.
- ****247 transactions in 14 months**** for a 71-year-old conservative investor with no options experience further demonstrates the excessive nature of the trading.

****Options Suitability under FINRA Rule 2360:****

FINRA Rule 2360(b)(19) requires that before approving an options account, the firm must make a determination that options trading is suitable for the customer based on their financial situation, investment objectives, and experience. While covered call writing may have been initially appropriate for a conservative income-seeking retiree, the rapid migration to short puts on highly volatile technology stocks (Tesla, Nvidia, Amazon) was wholly inconsistent with Olsen's stated conservative risk tolerance and capital preservation objectives. The weekly put selling and rapid rolling strategy transformed what was approved as a conservative income overlay into a speculative short-term trading operation.

****Regulation Best Interest (Reg BI) - Care Obligation:****

Under the Care Obligation of Reg BI, Boland was required to exercise reasonable diligence, care, and skill to ensure that each recommendation, and the series of recommendations taken together, was in Olsen's best interest. The pattern of rolling positions every few days, the migration to volatile underliers, and the massive commission generation clearly fail this standard. Reg BI explicitly requires consideration of costs, and the \$61,400 in costs against \$126,000 average equity demonstrates that the trading pattern served Boland's economic interests, not Olsen's.

****FINRA RN 21-15 Considerations:****

FINRA Regulatory Notice 21-15 specifically addressed concerns about options account approvals and ongoing supervision, emphasizing that firms must have robust systems for monitoring options trading activity, particularly for less sophisticated and elderly customers. The failure to conduct required quarterly reviews is directly relevant.

****Supervisory Failures:****

Branch manager Linda Tsao failed to conduct the firm's required quarterly options account reviews for customers over age 65, violating FINRA Rules 3110 and 3120 regarding supervisory obligations. The OCC Options Disclosure Document requires delivery and comprehension, but more importantly, FINRA Rule 2360(b)(19)(B) requires ongoing supervision of options accounts. The complete absence of supervisory review over fourteen months, during which a 71-year-old retiree's account generated 247 transactions, constitutes a serious supervisory failure.

****Likely Regulatory Outcome:****

Boland faces potential sanctions including disgorgement of commissions, restitution to the customer, fines, suspension, or a bar from the industry. The firm faces liability for supervisory failures, potential restitution obligations, and fines. Olsen would have strong claims in a FINRA arbitration proceeding for churning, unsuitability, breach of fiduciary duty, and negligent supervision. The quantitative evidence (turnover ratio and cost-to-equity ratio) alone would likely be sufficient to establish churning, and the qualitative factors (elderly retiree, conservative objectives, no options experience, escalation to volatile underliers) further strengthen the case.

Hypothetical 84

Topic: excessive_churning | Difficulty: hard

[NON-COM]

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tucson, Arizona. He has a pension of \$3,200 per month, Social Security income of \$1,800 per month, and a total liquid net worth of approximately \$410,000, most of which is held in an IRA rollover account. Gerald has no prior experience trading options and described his investment objectives as capital preservation and modest income generation to supplement his pension. He indicated a conservative risk tolerance on his new account forms when he opened a brokerage account with Desert Valley Financial in March 2022. His registered representative, Kevin Dao, age 34, recommended that Gerald apply for options trading approval, telling Gerald that selling covered calls on blue-chip stocks would generate 'safe, steady income like collecting rent on a house you

already own.' Gerald signed the options agreement and was approved for Level 3 options trading, which permitted spreads, uncovered puts, and other complex strategies. Between April 2022 and November 2023, Kevin executed 387 options transactions in Gerald's IRA, predominantly short-dated weekly options on volatile technology and biotech stocks including NVDA, TSLA, MARA, and SAVA. The strategies used included short strangles, iron condors, naked puts, and frequent rolling of positions - often multiple times per week on the same underlying security. The account's annualized turnover rate was 48.2, and the cost-to-equity ratio reached 67%. Gerald paid approximately \$94,000 in commissions and fees over the 20-month period. The account's value declined from \$410,000 to \$187,000. Gerald later told a neighbor, a retired securities attorney, that he had never understood the trade confirmations and assumed Kevin was implementing the conservative covered call strategy they had originally discussed. Kevin's internal production records showed that Gerald's account represented 31% of Kevin's total commission revenue during this period. The firm's options principal had approved the initial Level 3 designation based on the application, which listed Gerald's investment experience as '20+ years in equities' and risk tolerance as 'aggressive' - information that contradicted Gerald's signed new account form and the notes from his initial meeting with Kevin.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dao committed multiple serious violations. First, the options account approval process was fundamentally flawed. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn essential facts about a customer before approving options trading, including investment objectives, financial situation, investment experience, and risk tolerance. The options application contained materially false information - listing Gerald as having 20+ years of equity experience and an aggressive risk tolerance - which directly contradicted the new account form Gerald signed and the meeting notes from his initial consultation. This constitutes a failure of the account approval process and raises serious concerns about whether Kevin falsified the application to obtain an inappropriately high level of options approval.

Second, the trading activity constitutes textbook excessive trading (churning). Under FINRA Rule 2111 (suitability) and Regulation Best Interest, recommendations must be suitable and in the customer's best interest. An annualized turnover rate of 48.2 is astronomically high - courts and regulators have consistently found turnover rates above 6 to be presumptive evidence of churning. The cost-to-equity ratio of 67% means Gerald's account needed to generate a 67% return simply to break even after costs, which is virtually impossible on a sustained basis and wholly inconsistent with a conservative income objective. The 387 transactions in 20 months in an IRA for a 71-year-old retiree with a conservative profile is per se excessive.

Third, the strategies employed - short strangles, naked puts on volatile biotech and tech stocks - were categorically unsuitable for a 71-year-old conservative retiree whose stated objective was capital preservation and income. These are high-risk, complex strategies that expose the investor to potentially unlimited losses. Under FINRA Regulatory Notice 21-15, firms must take reasonable steps to ensure options accounts are not approved at levels that are inconsistent with a customer's profile, and must supervise options trading to prevent unsuitable activity.

Fourth, the OCC Options Disclosure Document, which Gerald should have received and had explained to him, details the risks of each strategy type. Gerald's statement that he never understood the confirmations and believed he was in a covered call strategy suggests a profound failure in disclosure and communication.

Fifth, the firm's supervisory system failed. Under FINRA Rule 2360(b)(17), the options principal (ROP) is responsible for reviewing and approving accounts and monitoring trading activity. The ROP approved Level 3 trading based on an application that contradicted the firm's own records. The fact that Gerald's account represented 31% of Kevin's production should have triggered heightened supervisory review.

The likely regulatory outcome includes significant monetary sanctions against both Kevin and the firm, disgorgement of commissions, restitution to Gerald, potential suspension or bar of Kevin, and supervisory failure charges against the firm and the ROP. In a customer arbitration, Gerald would likely recover the full amount of his losses plus costs, given the overwhelming evidence of churning, unsuitability, and falsified account documents.

Hypothetical 85

Topic: excessive_churning | Difficulty: hard

[NON-COM

Fact Pattern

Margaret Hollins, age 71, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,800 per month, a \$410,000 IRA rollover from her 403(b), and a \$95,000 taxable brokerage account. Her stated investment objectives on her new account form are income and preservation of capital, and her risk tolerance is marked as 'moderate.' She has no prior options trading experience and told her advisor, Kevin Stull, that she wanted 'something a little more aggressive than CDs but not too risky' after her previous advisor retired.

In March 2022, Stull recommended that Hollins apply for options trading approval. He listed her investment experience as '5+ years' in equities and '1-2 years' in options on the options agreement, despite Hollins having never traded options. The branch manager approved the account for Level 3 options trading, which permits spreads and uncovered put writing, without conducting an independent interview with Hollins.

Between April 2022 and February 2024, Stull executed 347 options transactions in Hollins' taxable account. The trading consisted primarily of short-dated weekly options on high-volatility tech stocks-buying calls and puts with 5-10 day expirations, frequently opening and closing positions within 1-3 days. Many positions were also vertical spreads on companies like Tesla, Nvidia, and Amazon. The account's annualized turnover rate was 48.2, and the cost-to-equity ratio was 67%. Total commissions and fees generated over the 23-month period were \$61,400 on an account that began with \$95,000. The account's value declined to \$29,600 by the end of the period.

Hollins received monthly statements but testified she did not understand the options symbols or the profit-and-loss summaries. She said Stull told her he was 'managing the account actively to generate extra

income' and that the strategy was 'like collecting small insurance premiums.' She never received or signed an acknowledgment for the options risk disclosure document. When Hollins called in January 2024 to ask why her balance had dropped so significantly, Stull told her the market had been 'very volatile' and that he would 'make it back.' He recommended she deposit an additional \$30,000 from her IRA to 'average down on some positions,' which she did. That \$30,000 was largely depleted within six weeks through continued short-dated options trades.

Stull earned approximately \$61,400 in commissions from Hollins' account during this period, making her his third-largest commission-generating client. His supervisor reviewed the account in a quarterly audit in October 2023 but took no action, noting only that the account was 'active options trading, client approved for Level 3.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Stull committed multiple serious violations across several regulatory frameworks.

****Excessive Trading/Churning:**** Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, an advisor must have a reasonable basis for believing that the number and frequency of transactions are not excessive in light of the customer's profile. The quantitative indicators here are overwhelming. A turnover rate of 48.2 and a cost-to-equity ratio of 67% far exceed the thresholds courts and regulators have historically used to establish churning (turnover rates above 6 and cost-to-equity ratios above 20% are generally considered presumptive evidence of excessive trading). Stull exercised de facto control over the account, as Hollins did not understand the trading activity, relied entirely on Stull's recommendations, and routinely approved his suggestions without independent judgment.

****Options Account Approval Failures:**** Under FINRA Rule 2360(b)(16), a firm must obtain background and financial information from an options customer and make a determination that options trading is appropriate before approving an account. The branch manager approved Level 3 options authority-permitting uncovered put writing and spreads-for a 71-year-old retiree with no options experience, income/preservation objectives, and moderate risk tolerance. This approval was facially unreasonable. FINRA Regulatory Notice 21-15 specifically reminds firms of their obligation to exercise due diligence in approving options accounts and highlights concerns about approving complex or risky options strategies for inexperienced retail investors. Furthermore, Stull falsified Hollins' experience level on the application, listing '1-2 years' of options experience when she had none, which constitutes a separate violation involving falsification of account records.

****Failure to Deliver OCC Options Disclosure Document:**** The OCC Options Disclosure Document (ODD), titled 'Characteristics and Risks of Standardized Options,' must be provided to every customer at or before the time the account is approved for options trading, as required under FINRA Rule 2360(b)(11). Hollins testified she never received this document and never signed an acknowledgment of receipt. This is a standalone violation.

****Reg BI Care Obligation Violations:**** Under Reg BI's Care Obligation, a broker-dealer must exercise

reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile. Recommending hundreds of short-dated speculative options trades on high-volatility stocks to a 71-year-old retired teacher seeking income and capital preservation is a clear violation of the care obligation. The recommendation to deposit an additional \$30,000 from her IRA to 'average down' further compounded the harm and demonstrated prioritization of the advisor's commission interest over the customer's best interest.

****Supervisory Failures:**** Under FINRA Rules 3110 and 3120, the firm and the branch manager had an obligation to supervise Stull's trading activity. The branch manager's cursory review in October 2023-noting only that the account was 'active options trading, client approved for Level 3'-despite a turnover rate and commission levels that should have triggered immediate intervention, constitutes a supervisory failure. The firm could face separate sanctions.

****Likely Regulatory Outcome:**** Stull faces potential sanctions including a substantial fine, disgorgement of commissions (\$61,400+), restitution to the customer, and a lengthy suspension or permanent bar from the industry. The firm faces potential fines for supervisory failures and options account approval deficiencies. Hollins would likely prevail in a FINRA arbitration claim for churning, unsuitability, breach of fiduciary duty, negligent supervision, and fraud, with compensatory damages likely exceeding \$95,000 (the original account value plus the \$30,000 IRA transfer).

Hypothetical 86

Topic: senior_investor_exploitation | Difficulty: hard

[NON-COM

Fact Pattern

Margaret Hensley, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$410,000, held primarily in a rollover IRA that she accumulated over her 35-year teaching career. She has no other significant assets aside from her home, which is fully paid off. Mrs. Hensley has no prior experience trading options or any leveraged products; her investment history consists entirely of certificates of deposit and a target-date retirement fund offered through her employer's 403(b) plan. She described her investment objective as "preserving what I have so I can cover medical bills and leave something for my grandchildren." She rated her own risk tolerance as "low" on her new account application, and she indicated she had a 3- to 5-year investment time horizon.

In March 2023, Mrs. Hensley opened an account with Kevin Driscoll, a registered representative at Ridgeline Securities, after her previous advisor retired. During their first meeting, Driscoll told Mrs. Hensley that "interest rates are killing your CD returns" and that he could "generate safe monthly income" using options strategies. Over the following two weeks, Driscoll submitted an options account application on her behalf, listing her investment experience as "moderate," her risk tolerance as "speculative," and her annual income as \$65,000-all of which contradicted the information Mrs. Hensley had provided on her initial new account form. Driscoll approved her for Level 4 options trading, which permitted uncovered (naked) call and put writing.

Between April and September 2023, Driscoll executed 47 options transactions in Mrs. Hensley's IRA. The strategies included selling naked puts on volatile technology and biotech stocks such as a mid-cap semiconductor company and a clinical-stage pharmaceutical firm, as well as short strangles on an inverse-leveraged ETF. The notional exposure of her uncovered positions at various points exceeded \$600,000—well beyond her total account value. In June 2023, a sharp decline in the semiconductor stock resulted in assignment on five naked put contracts, forcing the purchase of \$87,500 worth of shares in her account. The position was liquidated at a loss of \$23,400. By September 2023, Mrs. Hensley's IRA had declined from \$410,000 to approximately \$289,000—a loss of roughly \$121,000, or nearly 30% of her retirement savings. Total commissions and fees on the options transactions amounted to \$9,370.

Mrs. Hensley stated she did not understand the positions Driscoll placed, was never provided any disclosure document explaining the characteristics and risks of standardized options, and believed she was investing in "something like covered bonds." Driscoll's branch manager, Lisa Farrow, signed off on the Level 4 options approval without conducting an independent review or speaking with Mrs. Hensley directly. Internal records show no evidence that the firm's options principal reviewed the discrepancy between Mrs. Hensley's new account form and the options application, and no record that the OCC Options Disclosure Document was delivered to her before or at the time of account approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll and Ridgeline Securities committed multiple serious violations.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer for options trading, a registered options principal (ROP) must review the customer's financial situation, investment objectives, trading experience, and risk tolerance and make a determination that options trading is appropriate. Here, the options application contained materially falsified information—Mrs. Hensley's risk tolerance was changed from 'low' to 'speculative,' her income was inflated from \$34,000 to \$65,000, and her experience was misrepresented as 'moderate.' The ROP (branch manager Lisa Farrow) failed to conduct an independent review or reconcile these discrepancies with the existing new account form, violating the supervisory and approval requirements under Rule 2360(b)(16)(B).
2. ****Failure to Deliver the OCC Options Disclosure Document (FINRA Rule 2360(b)(11))****: Rule 2360(b)(11)(A) requires that each customer receive a copy of the current OCC Options Disclosure Document (ODD) at or prior to the time the account is approved for options trading. Mrs. Hensley was never provided this document, which constitutes a standalone violation.
3. ****Unsuitable Options Strategy (FINRA Rule 2360(b)(19) and Regulation Best Interest)****: Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the customer's best interest. Naked put writing and short strangles on volatile, speculative securities are among the highest-risk options strategies available. They are categorically unsuitable for a 78-year-old retiree with low risk tolerance, limited income, no options experience, capital preservation objectives, and a short-to-intermediate time horizon. The notional exposure

exceeding her entire account value further underscores the recklessness of these recommendations. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the need for firms to have robust controls ensuring that approval levels match customer profiles-this was entirely absent here.

4. ****Falsification of Account Records****: Driscoll's alteration of customer information on the options application to secure a higher approval level constitutes a separate violation of FINRA Rules 4511 (books and records) and 2010 (standards of commercial honor and just and equitable principles of trade).

5. ****Supervisory Failures (FINRA Rule 3110)****: The firm failed to maintain a supervisory system reasonably designed to detect the obvious inconsistency between Mrs. Hensley's new account profile and her options application, and to ensure that the ODD was delivered. Branch manager Farrow's rubber-stamp approval without any customer contact or file review is a clear supervisory deficiency.

****Likely Regulatory Outcome****: Driscoll faces potential sanctions including a bar or lengthy suspension, disgorgement of commissions, and restitution. The firm faces significant fines, a requirement to pay restitution of approximately \$121,000 plus the \$9,370 in commissions, and potential censure. The branch manager may face individual supervisory sanctions. The falsification of records could also trigger a referral for heightened disciplinary action. Given Mrs. Hensley's status as a senior investor, this case would likely be treated with enhanced scrutiny consistent with FINRA's Senior Investor Protection initiatives.

Hypothetical 87

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher in Tucson, Arizona with a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$215,000, held primarily in a rollover IRA that represents her sole retirement savings. Margaret has no prior experience trading options or any securities beyond a handful of mutual funds she purchased through her employer's retirement plan over 30 years. In March 2023, she visited the local branch office of Pinnacle Wealth Advisors after seeing a television advertisement about generating extra income from investments. Her new financial advisor, Derek Loomis, age 34, conducted an initial meeting in which Margaret explained she wanted safe, predictable income to supplement her pension because rising grocery and utility costs were straining her budget. She explicitly told Derek she could not afford to lose principal and described herself as very conservative. Derek completed the new account application and options account paperwork in the same meeting. On the options account application, Derek recorded Margaret's risk tolerance as 'moderate,' her investment objective as 'growth and income,' and her investment experience as 'limited options knowledge.' He listed her annual income as \$50,000 rather than her actual \$38,000, and estimated her liquid net worth at \$300,000. Derek's branch manager approved the options account for Level 3 trading, which permits buying and selling calls and puts, as well as spread strategies. Derek did not provide Margaret with the standardized options risk disclosure booklet during the meeting, though she signed a form acknowledging receipt. Over the following four months, Derek placed 47 options trades in Margaret's

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IRA, including short put spreads on volatile technology stocks such as Tesla and Nvidia, and speculative long call purchases on meme stocks. By August 2023, Margaret's account had declined from \$215,000 to \$129,000 - a loss of approximately \$86,000, or 40% of her life savings. Margaret only became aware of the magnitude of losses when she received her quarterly statement and called the branch in a panic. Derek had not contacted her to discuss any of the individual trades or the mounting losses. When Margaret complained, the branch manager reviewed the account and noted that the options approval had been based on inflated financial information and an inaccurate risk profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Loomis committed multiple serious violations. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including financial situation, investment experience, investment objectives, and risk tolerance. Derek falsified Margaret's income (\$50,000 vs. actual \$38,000) and liquid net worth (\$300,000 vs. actual \$215,000), and mischaracterized her risk tolerance as 'moderate' when she explicitly stated she was very conservative and could not afford to lose principal. This constitutes a failure in the account approval process and likely a falsification of books and records under FINRA Rule 4511.

FINRA Rule 2360(b)(16)(B) requires that the Options Disclosure Document (ODD), published by the OCC, be furnished to the customer at or prior to the time the account is approved. Derek failed to actually deliver the ODD to Margaret despite obtaining her signature on an acknowledgment form, which is a standalone violation.

Under Regulation Best Interest (Reg BI), specifically the Care Obligation, Derek was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of his recommendations and to have a reasonable basis to believe that the recommendations were in Margaret's best interest given her specific investment profile. A 71-year-old retired teacher on a fixed \$38,000 income, with no options experience, whose sole retirement savings totaled \$215,000, and who stated she needed safe, predictable income and could not lose principal, is manifestly unsuitable for Level 3 options trading involving short put spreads on volatile tech stocks and speculative long calls on meme stocks. These strategies carry substantial risk of loss - exactly what Margaret said she could not bear.

FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals, including firms' obligations to collect accurate customer information, to have meaningful approval processes, and to ensure that approved trading levels align with the customer's actual profile. The branch manager's approval of Level 3 trading for a customer with Margaret's true profile represents a supervisory failure under FINRA Rule 3110.

The volume of 47 trades in four months without any communication also raises concerns about unauthorized trading and excessive activity. Under FINRA Rule 2360(b)(16)(C), the firm must maintain specific written procedures for options account review. The branch manager's apparent rubber-stamping of the inflated application suggests deficient supervisory procedures.

Likely regulatory outcomes include: disgorgement of commissions, restitution to the customer of approximately \$86,000 in losses, fines against both the advisor and the firm, suspension or bar of Derek Loomis, and potential supervisory sanctions against the branch manager. Margaret would also have strong grounds for a customer arbitration claim.

Hypothetical 88

[NON-COM]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

In March 2021, Darren Whitfield, a registered representative at Valley Ridge Securities, received an online application from Marcus Ellison, a 22-year-old college senior majoring in communications. Marcus had just opened his first brokerage account two weeks earlier with \$3,800 from a part-time restaurant job. He listed his annual income as \$19,000, liquid net worth of \$4,200, total net worth of \$6,500, and investment experience as 'none.' His stated investment objective was 'growth,' and his risk tolerance was marked 'moderate.' On the application's options section, Marcus requested approval for Level 3 options trading, which at Valley Ridge included selling uncovered (naked) calls, selling uncovered puts, and trading complex multi-leg spreads. Marcus wrote in the application comments that he had been 'watching YouTube videos about options for three months' and wanted to 'use spreads to generate income while in school.' Darren reviewed the application and noticed the limited income, negligible net worth, zero investment experience, and young age. However, Valley Ridge had recently streamlined its options approval process to reduce application processing times from 48 hours to under 10 minutes as part of a growth initiative targeting younger investors. The firm's new automated system flagged Marcus's application for manual review due to the mismatch between his experience level and the requested trading tier, but Darren overrode the flag, noting in the system 'customer seems motivated and educated from self-study.' Darren approved Marcus for Level 3 options trading without any phone call, interview, or additional verification of Marcus's understanding of the risks. Marcus was not provided with or directed to read any options risk disclosure materials before approval. Within three weeks, Marcus sold 10 naked put contracts on a volatile biotech stock trading at \$48 per share, collecting \$2,100 in premium. The stock dropped to \$11 per share after a failed FDA trial, and Marcus was assigned on all contracts, resulting in a total obligation of \$48,000. After liquidation, Marcus owed the firm \$37,400 in margin debt—more than seven times his total net worth. Marcus filed a complaint stating he did not understand what 'assignment' meant and had never been told he could lose more than the money in his account.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Whitfield and Valley Ridge Securities committed multiple serious violations. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including the customer's investment experience, financial situation, investment objectives, and the types of options transactions the customer wishes to employ. The firm must also determine that the customer has sufficient knowledge and experience in financial matters to reasonably expect the customer to be capable of evaluating the risks of the recommended options

transactions. Marcus had zero investment experience, negligible income and net worth (\$19,000 annual income, \$6,500 total net worth), and no formal financial education—watching YouTube videos does not constitute meaningful options education or experience. Approving him for Level 3 trading, which includes uncovered options with theoretically unlimited risk, was plainly inappropriate given his profile.

FINRA Regulatory Notice 21-15 specifically addresses the surge in new, often young and inexperienced, investors seeking options approval and reminds firms that regardless of whether the account is self-directed, they must perform adequate due diligence and collect sufficient customer information to support a determination that options trading is appropriate. The Notice warns against rubber-stamping approvals and emphasizes that streamlined digital onboarding does not relieve firms of their obligations.

Additionally, under FINRA Rule 2360(b)(16)(B), a registered options principal (or designated supervisor) must approve each options account in writing, and the approval must be based on a reasonable determination that the customer's account is suitable for options trading at the approved level. Darren's override of the automated risk flag, with only a cursory notation and no meaningful follow-up, fails this standard. The OCC Options Disclosure Document must be provided to customers at or before the time the account is approved for options trading, as required by FINRA Rule 2360(b)(11). Marcus was never provided this document, constituting an independent violation.

Under Regulation Best Interest, which applies to recommendations to retail customers, even in a self-directed context, the firm has obligations under the Care Obligation (Exchange Act Rule 15c-1) to exercise reasonable diligence, care, and skill in understanding the risks and potential consequences. The approval of naked options for a 22-year-old with no experience and minimal assets fails this standard.

Valley Ridge's institutional failure is also significant. The firm's decision to reduce application processing to under 10 minutes as a growth strategy, combined with easy override capabilities, reflects inadequate supervisory systems and procedures in violation of FINRA Rule 2360(b)(20), which requires firms to establish specific written procedures for the review of options accounts and transactions.

The likely regulatory outcomes include: (1) a fine and possible suspension for Darren for approving an account without adequate due diligence; (2) a fine against Valley Ridge for supervisory failures and failure to deliver the OCC disclosure document; (3) potential restitution to Marcus for the \$37,400 loss; and (4) a possible requirement for the firm to revise its options approval procedures. This fact pattern closely mirrors the types of cases that arose during the 2020-2021 retail trading surge that prompted FINRA's heightened scrutiny of options approval practices.

Hypothetical 89

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

Gerald Hartley, age 59, is a semi-retired electrician in Columbus, Ohio, who opened a brokerage account in March 2023 with Pinnacle Securities. Gerald reported an annual income of \$52,000 from part-time contract

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work and a small pension, liquid net worth of \$185,000 (mostly in a rollover IRA and a savings account), and total net worth of \$340,000 including his home. On his new account form, Gerald checked 'moderate' for risk tolerance, listed his investment objective as 'income and preservation of capital,' and indicated he had no prior options trading experience. His stated time horizon was 5 to 10 years as he planned to fully retire at 65. Gerald's registered representative, Adam Chen, had recently completed an internal training on options products and was eager to grow his options book. During their initial meeting, Gerald mentioned he had heard from a coworker that 'selling puts on big stocks is like getting paid to wait for a bargain,' and expressed curiosity. Adam did not ask any follow-up questions about Gerald's understanding of margin requirements, assignment risk, or the mechanics of options settlement. Adam did not provide Gerald with the standardized options risk disclosure document before proceeding. Within the first week of account opening, Adam submitted an options account application requesting approval for Level 3 options trading, which at Pinnacle included uncovered (naked) put writing, spreads, and straddles. On the application, Adam described Gerald as having '3 years of options experience' and characterized his risk tolerance as 'speculative.' The branch manager approved the application the same day without contacting Gerald. Over the following four months, Adam recommended that Gerald sell uncovered puts on three volatile technology stocks - allocating approximately \$140,000 in margin exposure across these positions. In July 2023, two of the underlying stocks dropped sharply after disappointing earnings. Gerald was assigned on multiple contracts, resulting in forced purchases totaling \$127,000. Unable to meet the resulting margin call of \$68,000, Gerald's positions were liquidated at a realized loss of \$74,500. Gerald complained to the branch in August 2023, stating he never understood the risks, never received a disclosure booklet, and never told Adam he had three years of experience or a speculative risk tolerance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Adam Chen committed multiple serious violations. First, under FINRA Rule 2360(b)(16), before an options account can be approved, the registered representative must obtain comprehensive background and financial information from the customer, including investment objectives, employment status, estimated annual income, net worth, investment experience, and a determination that options trading is appropriate for the customer. Adam failed to conduct meaningful due diligence. He did not probe Gerald's actual understanding of options despite Gerald's admission that he had no experience and was merely repeating a coworker's anecdote. This constitutes a failure to know the customer, one of the foundational requirements for options account approval.

Second, FINRA Rule 2360(b)(16)(B) requires that a registered representative furnish the customer with the OCC Options Disclosure Document (ODD) at or before the time the account is approved for options trading. Adam never provided this document, depriving Gerald of the standardized risk disclosures he was entitled to receive before any options activity commenced.

Third, Adam falsified material information on the options account application. He listed Gerald as having three years of options experience and a speculative risk tolerance, when Gerald had no experience and had stated moderate risk tolerance with income and capital preservation objectives. Falsifying customer information on an account application violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially constitutes fraud.

Fourth, under FINRA Regulatory Notice 21-15, firms and representatives are reminded of their obligations to exercise due diligence in approving options accounts, particularly for customers with limited or no experience. The Notice emphasizes that account approval processes must be robust, that customer information must be verified, and that supervisors must play a meaningful gatekeeping role. The branch manager's same-day rubber-stamp approval without contacting Gerald represents a supervisory failure under FINRA Rules 3110 and 2360(b)(16)(C).

Fifth, under Regulation Best Interest, Adam had an obligation to act in Gerald's best interest at the time of the recommendation. Recommending Level 3 uncovered options strategies - among the highest-risk options activities - to a 59-year-old near-retiree with no options experience, moderate risk tolerance, income and preservation objectives, and limited liquid assets is fundamentally unsuitable. The \$140,000 in margin exposure against \$185,000 in liquid net worth created catastrophic concentration risk that was wholly inconsistent with Gerald's stated profile.

The likely regulatory outcome includes potential sanctions against Adam Chen including fines, disgorgement, suspension, or a bar. The branch manager faces supervisory liability. Pinnacle Securities faces potential firm-level sanctions for inadequate options supervision and approval procedures. Gerald would likely prevail in a customer arbitration claim for the full \$74,500 in losses plus consequential damages.

Hypothetical 90

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Holloway, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small state pension. Her total liquid net worth is approximately \$185,000, held primarily in a savings account and a conservative bond mutual fund. She has no prior experience trading options or any derivative instruments. Her stated investment objective on her new account application was 'capital preservation,' and she indicated a 'low' risk tolerance. In March 2023, Margaret's grandson helped her open a brokerage account with Ridgeline Securities after she mentioned wanting to earn a little extra income beyond her pension. Her assigned advisor, Kevin Pratt, age 34, reviewed her account application and, during their first phone call, described a strategy he called 'easy monthly income' involving selling uncovered (naked) put options on volatile technology stocks including a semiconductor company and a cloud computing firm. Kevin told Margaret that selling puts was 'basically like getting paid to wait for a stock to go on sale' and that the premium income would supplement her pension nicely. He did not provide her with the standardized options risk disclosure booklet, nor did he walk her through the specific risks of naked put writing, including the potential for assignment and the obligation to purchase shares at the strike price regardless of how far the stock had fallen. Kevin approved Margaret's account for Level 4 options trading, which at Ridgeline permits uncovered option writing, after listing her investment experience as 'moderate' and her risk tolerance as 'speculative' on the options agreement - both of which contradicted the information Margaret had provided on her general account application. Between

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April and August 2023, Kevin directed Margaret to sell naked puts on five separate occasions. The positions initially generated approximately \$4,700 in premium income. However, in late July 2023, two of the technology stocks dropped sharply after disappointing earnings reports. Margaret was assigned on three contracts and was forced to purchase 300 shares at a combined cost of \$47,600, while the market value of those shares was only \$31,200 - an unrealized loss of \$16,400. Including commissions totaling \$1,150 across all trades, Margaret's net loss from the strategy was approximately \$12,850, representing nearly 7% of her total liquid net worth. When Margaret called Kevin in distress, he told her to 'hold tight' and that the stocks would recover. Margaret's daughter later discovered the trades and filed a complaint with the firm, noting that her mother did not understand what a put option was and had never agreed to speculative trading.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** Before approving a customer for options trading, a registered representative and the firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, investment experience, and the types of options transactions for which the customer is being approved. Kevin falsified Margaret's options agreement by upgrading her experience level to 'moderate' and her risk tolerance to 'speculative,' directly contradicting the information she provided on her general account application. This constitutes a falsification of account records and a failure to properly approve the account for the authorized level of options trading. Approving a 78-year-old retiree with no options experience, low risk tolerance, and a capital preservation objective for Level 4 uncovered options writing is a clear approval failure.

****Failure to Deliver OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the OCC's standardized risk disclosure document, 'Characteristics and Risks of Standardized Options,' must be furnished to every customer at or before the time the account is approved for options trading. Kevin failed to provide this document, depriving Margaret of the standardized risk disclosures she was entitled to receive.

****Suitability and Reg BI Violations:** Under FINRA Rule 2111 (Suitability) and Regulation Best Interest, recommendations must be suitable for and in the best interest of the customer based on their specific profile. Naked put writing on volatile technology stocks is among the highest-risk options strategies available, carrying substantial downside exposure. For a 78-year-old retiree on a fixed income of \$34,000 with \$185,000 in savings, low risk tolerance, and a capital preservation objective, this strategy is patently unsuitable. It exposed Margaret to potential losses far exceeding any premium income and was wholly inconsistent with her stated goals.

****FINRA RN 21-15 Considerations:** FINRA Regulatory Notice 21-15 specifically highlights concerns about options account opening and approval processes, emphasizing that firms must have robust supervisory systems to ensure options approval levels are consistent with customer profiles and that customers understand the risks. Ridgeline Securities' supervisory system failed to detect the discrepancy between Margaret's general account application and her options agreement.

****Senior Investor Exploitation:**** Margaret's age, cognitive vulnerability, reliance on fixed income, and complete lack of investment sophistication make this a textbook case of senior investor exploitation. Kevin leveraged her trust and her desire for modest supplemental income to place her in an extremely aggressive strategy she did not understand.

****Likely Regulatory Outcome:**** Kevin Pratt faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry. Ridgeline Securities faces potential supervisory failure charges. Margaret would likely be entitled to full restitution of her losses plus commissions through arbitration or a regulatory proceeding.

Hypothetical 91

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COMPLIANCE]

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher living in suburban Ohio. She has a fixed annual income of \$38,000 from her pension and Social Security, a savings account with \$45,000, and a \$310,000 traditional IRA that represents her entire retirement nest egg. She has no other significant assets aside from her home, which is fully paid off. Margaret has described herself as a conservative investor who wants to preserve her capital and generate modest supplemental income. She has no prior experience trading options, futures, or any leveraged products and has stated in writing that she does not understand options terminology.

In March 2023, Margaret's financial advisor, Kyle Brennan, at a mid-sized broker-dealer, recommended that she open an options trading account. Kyle submitted an options account application on Margaret's behalf that listed her risk tolerance as "aggressive," her investment objective as "speculation," her annual income as \$75,000, and her liquid net worth as \$600,000 - all figures significantly higher than Margaret's actual financial profile. The branch manager approved the account for Level 3 options trading, which permits uncovered (naked) put and call writing, based on the inflated application.

Over the following five months, Kyle executed 47 options trades in Margaret's IRA, including selling uncovered calls on volatile technology stocks and purchasing short-dated out-of-the-money puts as speculative bets on earnings announcements. Margaret was not contacted before most of these trades and did not understand the confirmations she received. By August 2023, Margaret's IRA had declined from \$310,000 to \$161,000 - a loss of approximately \$149,000, or 48% of her retirement savings. Kyle earned approximately \$14,200 in commissions and options contract fees from the activity. When Margaret called to ask about the losses, Kyle told her the market had been "unpredictable" and that the positions would "come back" if she was patient. Margaret's daughter, an accountant, reviewed the statements in September 2023 and immediately contacted the firm's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brennan committed multiple serious violations of applicable regulatory standards.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, employment status, investment experience, and other essential facts. The branch manager's approval of Level 3 options trading - which includes uncovered writing - was based on a falsified application. Margaret's actual profile (71-year-old retiree, \$38,000 fixed income, conservative risk tolerance, zero options experience) would not have supported approval for any options trading level, let alone Level 3 uncovered writing. The firm failed its gatekeeping obligations under Rule 2360(b)(16)(B).

****Falsification of Customer Information:** Kyle inflated Margaret's income from \$38,000 to \$75,000, her liquid net worth from approximately \$355,000 to \$600,000, and changed her risk tolerance from conservative to aggressive and her objective from capital preservation to speculation. This constitutes falsification of account records, which independently violates FINRA Rules 4511 (books and records) and 2010 (standards of commercial honor).

****Suitability and Regulation Best Interest Violations:** Under Regulation BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks associated with a recommendation and must have a reasonable basis to believe that the recommendation is in the customer's best interest based on the customer's actual investment profile. Naked call writing and speculative short-dated options purchases are among the highest-risk strategies available and are categorically unsuitable for a 71-year-old conservative retiree with limited income, no options experience, and total dependence on her IRA for retirement security. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approval processes and the risk of approving customers for complex options strategies that do not match their actual financial profiles, experience, or objectives.

****OCC Options Disclosure Document:** The firm is required to deliver the OCC's Options Disclosure Document (known as the "Characteristics and Risks of Standardized Options") to the customer at or before the time the account is approved for options trading. Given Margaret's statements that she did not understand options terminology, it is likely this document was either not delivered or not meaningfully explained.

****Unauthorized Trading (FINRA Rule 2010):** Margaret was not contacted before most trades were executed, and her account was not a discretionary account. Executing trades without prior customer authorization constitutes unauthorized trading.

****Likely Regulatory Outcome:** Kyle Brennan faces potential sanctions including a substantial fine, disgorgement of commissions (\$14,200), restitution of customer losses (\$149,000), suspension, or a permanent bar from the industry. The firm faces supervisory failure charges under FINRA Rule 3110 for the branch manager's approval of the options account based on obviously inflated information. The firm would also likely face liability for failure to establish reasonable supervisory procedures for options account approvals as emphasized in FINRA RN 21-15. Margaret would have strong grounds for a customer

arbitration claim seeking full restitution of her losses.

Hypothetical 92

[NON-COM]

Topic: *excessive_churning* | Difficulty: *hard*

Fact Pattern

Margaret Kowalski, age 71, is a retired schoolteacher living in Tucson, Arizona with an annual pension income of \$42,000 and total liquid savings of approximately \$310,000. She opened a brokerage account in March 2021 with registered representative Derek Fontaine at a mid-sized broker-dealer. On her new account form, Margaret listed her investment objective as 'income and capital preservation,' her risk tolerance as 'low to moderate,' and her investment experience as 'limited - mostly CDs and a 403(b) through her school district.' She stated she had no prior experience trading options.

During the account opening process, Derek told Margaret that he could 'safely boost her retirement income by 3-4% annually using conservative covered call writing on blue-chip stocks.' He approved her for Level 3 options trading, which at his firm permitted covered calls, cash-secured puts, long calls and puts, spreads, and short straddles/strangles. He did not document any specific rationale for approving her beyond Level 1 (covered calls only), and the firm's branch manager signed off on the approval without speaking to Margaret or reviewing her financial profile independently.

Between April 2021 and February 2023, Derek executed 347 options transactions in Margaret's account. The account had an annualized turnover rate of 28.4 and a cost-to-equity ratio of 61%. While the first two months consisted of covered calls on holdings of Johnson & Johnson and Procter & Gamble, Derek quickly shifted the account's activity to short-term weekly put spreads on volatile technology stocks, including trades on Tesla, Nvidia, and Amazon options with expirations of five days or less. He also executed 43 short straddle positions on earnings announcements, exposing the account to theoretically unlimited loss.

Over the 23-month period, Margaret's account generated \$87,400 in total commissions and options contract fees paid to the firm, of which Derek received approximately \$43,700 in production credits. Margaret's account value declined from \$310,000 to \$161,000 - a net loss of \$149,000 - despite the S&P 500 being roughly flat over the same period. Margaret was unaware of the volume of trading until her granddaughter, a CPA, reviewed her statements in March 2023 and flagged the extraordinary number of transactions.

When Margaret called Derek to ask about the losses, he told her that 'options trading is inherently volatile' and that 'sometimes you have to be aggressive to recover losses.' He did not offer to adjust the strategy or recommend reducing trading activity. Margaret filed a complaint with the firm in April 2023. The firm's compliance department had not flagged the account for exception reporting despite the turnover ratio and cost-to-equity ratio far exceeding the firm's own internal thresholds of 6.0 and 20%, respectively.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine violated multiple regulatory requirements, and the firm failed in its supervisory obligations.

****Options Account Approval Failures (FINRA Rules 2360(b)(16) and 2361):**** FINRA Rule 2360(b)(16) requires that before approving a customer for options trading, a registered options principal (ROP) must review the customer's financial situation, investment objectives, and experience to determine that options trading is appropriate. The rule further requires that the specific level of options trading approved must be commensurate with the customer's profile. Margaret had no options experience, a low-to-moderate risk tolerance, an income-and-preservation objective, and limited liquid assets relative to her retirement needs. Approving her for Level 3 options - which included short straddles/strangles with theoretically unlimited risk - was clearly unsuitable. The branch manager's failure to independently review her profile before co-signing the approval compounds this violation. FINRA RN 21-15 specifically warned firms about deficiencies in options account approval processes, including rubber-stamping approvals without meaningful review of customer profiles.

****Excessive Trading / Churning (FINRA Rule 2111 and Reg BI Care Obligation):**** An annualized turnover rate of 28.4 and a cost-to-equity ratio of 61% are dramatically above the thresholds courts and regulators have historically used to establish presumptive churning (turnover ratios above 6 and cost-to-equity ratios above 20% are generally considered excessive). Under FINRA Rule 2111 (suitability) and Regulation Best Interest's care obligation (17 CFR 240.15l-1), a broker must have a reasonable basis to believe that the frequency and volume of transactions are suitable and in the customer's best interest. Here, the trading served Derek's compensation interest - \$87,400 in commissions on a \$310,000 account over 23 months - not Margaret's stated objectives of income and capital preservation. The shift from conservative covered calls to short-term weekly spreads on volatile tech stocks and short straddles on earnings announcements was wholly inconsistent with her profile.

****OCC Options Disclosure Document:**** The OCC's Characteristics and Risks of Standardized Options document, which must be provided to customers before options trading is approved, explicitly warns about the risks of short options positions and complex strategies. There is no indication Margaret understood these risks or that Derek ensured her comprehension before escalating strategy complexity.

****Supervisory Failures (FINRA Rules 3110 and 3120):**** The firm's compliance department failed to flag Margaret's account despite internal exception thresholds of 6.0 turnover and 20% cost-to-equity. The account exceeded both by multiples. This represents a failure of the firm's supervisory system and written supervisory procedures.

****Likely Regulatory Outcome:**** Derek would likely face significant sanctions including disgorgement of commissions, substantial fines, suspension or bar from the industry, and restitution to Margaret. The firm would face fines for supervisory failures and options account approval deficiencies. This fact pattern is consistent with enforcement actions brought under FINRA's churning and options suitability framework, as well as state regulatory actions similar to those pursued by the California DFPI against firms with inadequate options approval processes. Margaret would also have strong grounds for FINRA arbitration seeking full compensatory damages of \$149,000 plus consequential damages.

Hypothetical 93*Topic: inappropriate_risk_profile | Difficulty: medium***Fact Pattern**

Margaret Kowalski, age 67, is a retired elementary school teacher in Dayton, Ohio, living on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has a \$285,000 IRA that represents virtually all of her liquid savings, a paid-off home worth roughly \$180,000, and no other significant assets. In March 2023, she opened a brokerage account with Ridgepoint Financial Services after attending a free dinner seminar hosted by advisor Derek Huang. During the account opening process, Margaret told Derek that she needed her IRA to generate supplemental income and preserve her principal so she would not outlive her savings. She described herself as a conservative investor and said she had no experience with options, futures, or any derivative products. She had previously held only certificates of deposit and a target-date mutual fund through her employer's 403(b) plan. Despite this profile, Derek completed the options account application indicating that Margaret had "3-5 years" of options trading experience, a "speculative" investment objective, an annual income of \$85,000, and a liquid net worth of \$600,000 - none of which was accurate. He told Margaret that he would be using a "conservative covered call strategy" to boost her income by 8-10% annually and that there was "essentially no downside risk." The firm's options principal approved the account for Level 3 trading, which permitted not only covered calls but also cash-secured puts, vertical spreads, and naked put writing. Over the next ten months, Derek executed 94 options trades in Margaret's IRA. While some were covered calls on blue-chip positions, approximately 40% of the trades were short put spreads and naked puts on volatile small-cap biotech and technology stocks. In January 2024, a series of sharp declines in three biotech holdings resulted in assignment on multiple naked puts, causing realized losses of \$74,000 - roughly 26% of Margaret's original account value. Margaret's account also generated \$11,200 in commissions and fees during this period. When Margaret called the branch manager in February 2024 to complain, she said she had never understood what a "naked put" was and had trusted Derek completely. An internal review revealed that Derek had never provided Margaret with the standardized options risk disclosure booklet prior to her first trade, and the firm had no record of Margaret's signed acknowledgment of receipt.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang committed multiple serious violations relating to options account approval and suitability.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm and its registered options principal (ROP) must exercise due diligence to ascertain the essential facts about the customer - including investment objectives, financial situation, employment status, investment experience, and risk tolerance. Here, the options application contained fabricated information: Margaret's actual income was approximately \$38,400/year (not \$85,000), her liquid net worth was approximately \$285,000 (not \$600,000), she had zero options experience (not 3-5 years), and her true objective was income and capital preservation (not speculation). Falsifying customer account information to obtain a higher-level options approval is a standalone violation of Rule 2360 and constitutes fraud. The registered options principal who approved Level 3 trading for a

67-year-old retiree with the stated profile should have conducted a more searching review, but the falsified data made meaningful supervisory review impossible.

****Failure to Deliver the OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11), a copy of the current Options Clearing Corporation (OCC) Options Disclosure Document (ODD), titled "Characteristics and Risks of Standardized Options," must be furnished to the customer at or before the time the account is approved for options trading. The firm had no record of delivery or signed acknowledgment. This is a threshold requirement - no options trading should have occurred without it.

****Reg BI / Suitability Violations:**** Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile - including age, financial situation, risk tolerance, and investment objectives. FINRA Rule 2111 (Suitability) similarly requires that recommendations be suitable at the customer-specific level. A retired 67-year-old teacher with no options experience, conservative risk tolerance, income and capital preservation objectives, and \$285,000 representing virtually all of her savings is not a suitable candidate for Level 3 options trading involving naked puts and short spreads on volatile small-cap stocks. Covered calls on high-quality equities might have been defensible as income enhancement, but naked put writing on speculative biotech names exposed Margaret to theoretically unlimited downside risk that was entirely inconsistent with her profile.

****FINRA Regulatory Notice 21-15:**** This notice specifically reminded firms to strengthen their options account opening and supervision processes in light of the surge in retail options trading. It emphasized that firms must collect accurate information, ensure meaningful ROP review, deliver the ODD, and match approval levels to actual customer profiles. Derek's conduct violated every element highlighted in RN 21-15.

****Quantitative Unsuitability:**** The 94 trades in ten months in a \$285,000 IRA for a conservative retiree, generating \$11,200 in commissions, raises additional concerns about excessive trading (churning) under FINRA Rule 2111.05.

****Likely Regulatory Outcome:**** Derek faces potential sanctions including fines, disgorgement of commissions, suspension, or a permanent bar. The firm faces liability for supervisory failures under FINRA Rules 3110 and 2360(b)(20) for the ROP's inadequate review and for the systemic failure to deliver the ODD. Margaret would likely prevail in an arbitration claim for compensatory damages of at least \$74,000 in trading losses plus the \$11,200 in commissions.

Hypothetical 94

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Kowalski, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,800 from her pension and \$1,450 from Social Security. Her total liquid net worth is approximately \$410,000, held primarily in a rollover IRA containing mutual funds and certificates of

[NON-COM

deposit. She has no prior experience trading options, futures, or any leveraged products. Her stated investment objectives on her account application are "income" and "preservation of capital," and her self-assessed risk tolerance is "conservative." She has a high school education and describes her investment knowledge as "limited."

In March 2023, Margaret's long-time financial advisor, Derek Hollins, age 34, transferred to a new broker-dealer. He contacted Margaret and persuaded her to move her IRA to his new firm. During the account transfer process in April 2023, Derek submitted an options agreement on Margaret's behalf, listing her investment experience as "10+ years in options" and her risk tolerance as "aggressive/speculative." Margaret later stated she did not recall reviewing or signing a separate options agreement and was never provided with the Options Disclosure Document (Characteristics and Risks of Standardized Options).

Derek's branch manager approved Margaret for Level 4 options trading - which at the firm permitted naked call writing, naked put writing, and complex multi-leg spread strategies - after a cursory review of the application. The branch manager did not conduct a phone interview with Margaret, did not independently verify her financial information, and did not question why a 78-year-old retiree with a conservative profile on her prior account now appeared as an aggressive speculator.

Between May 2023 and January 2024, Derek executed 47 options trades in Margaret's IRA. The strategies included selling naked puts on volatile technology stocks such as Nvidia and Tesla, iron condors on the S&P 500 index with weekly expirations, and buying short-dated out-of-the-money call options on biotech companies ahead of FDA announcements. The total premiums collected on short positions were approximately \$38,000, while total premiums paid on long speculative positions were approximately \$29,500. Multiple naked put positions were assigned, requiring Margaret's account to purchase shares worth over \$187,000 at prices well above the prevailing market. Margin calls were met by liquidating her CD positions and mutual fund holdings.

By February 2024, Margaret's IRA had declined from \$410,000 to approximately \$141,000 - a loss of roughly \$269,000, or 65.6% of her retirement savings. Margaret's daughter, a CPA, discovered the trading activity when helping her mother with tax preparation and filed a complaint with the firm. Derek was placed on administrative leave pending an internal investigation. The firm's compliance department found that Derek had altered Margaret's account profile information without her knowledge and that the branch manager had approved options trading without adequate due diligence. Margaret is now unable to cover her assisted living expenses, which had been partially funded by income from her IRA.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Derek Hollins committed multiple serious violations of applicable regulatory standards, and the branch manager's supervisory failures compounded the harm.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Under FINRA Rule 2360, a member firm must exercise due diligence to learn the essential facts about a customer before approving an options account. The firm must obtain information about the customer's investment objectives, employment status,

estimated annual income, net worth, investment experience, and liquid net worth. A registered options principal (ROP) must approve the account in writing after reviewing this information. Here, the branch manager approved Level 4 options authority - the most aggressive level, permitting uncovered (naked) writing - for a 78-year-old retired schoolteacher with \$2,800/month in pension income and conservative stated objectives. The application contained fabricated information ("10+ years in options" experience, "aggressive/speculative" risk tolerance) that directly contradicted Margaret's actual profile. The branch manager failed to conduct any independent verification, such as a phone interview, which is a standard supervisory practice for high-risk options approvals, particularly for senior investors.

****Failure to Deliver the OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11), the current Options Disclosure Document ("Characteristics and Risks of Standardized Options") published by the OCC must be furnished to every customer at or before the time the account is approved for options trading. Margaret stated she never received this document, which constitutes a standalone violation independent of the suitability issues.

****Suitability and Regulation Best Interest Violations:**** Under Regulation Best Interest (Reg BI), a broker-dealer and associated person must act in the best interest of a retail customer when making a recommendation, which includes satisfying the Care Obligation (evaluating reasonably available alternatives and ensuring the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's). Naked put writing on volatile technology stocks, speculative biotech options purchases, and weekly-expiration iron condors are among the most aggressive strategies available and are wholly inconsistent with Margaret's true profile: a 78-year-old conservative investor seeking income and capital preservation with limited investment knowledge and no options experience. Derek's recommendations violated the Care Obligation under Reg BI. Under FINRA Rule 2111 (Suitability), which still applies to certain aspects of broker conduct, the strategies also fail customer-specific suitability analysis.

****FINRA Regulatory Notice 21-15 (Options Account Opening and Supervision):**** This Notice specifically reminds firms that options account approval processes must include meaningful review, and that firms should pay particular attention to customers whose profiles suggest options trading may not be appropriate. The Notice emphasizes that firms cannot rely solely on customer-provided information when there are red flags - such as a sudden change in risk tolerance or experience level - that should trigger additional inquiry. The branch manager's failure to question the dramatic discrepancy between Margaret's prior conservative profile and the new aggressive application is a textbook supervisory failure under this guidance.

****Senior Investor Exploitation:**** FINRA has repeatedly emphasized heightened obligations when dealing with senior investors (age 65+). Margaret's age, fixed income, reliance on her IRA for assisted living expenses, and limited financial sophistication all created an obligation for both the advisor and the firm to exercise enhanced scrutiny. Instead, Derek exploited these vulnerabilities by falsifying her account information to gain options approval and then engaging in aggressive speculative trading that served his commission interests at her expense.

****Falsification of Records:**** Derek's alteration of Margaret's investment experience and risk tolerance on the options application constitutes falsification of books and records, which violates FINRA Rule 4511

(Books and Records) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). This is independently actionable and often results in a statutory disqualification-level sanction (bar).

****Likely Regulatory Outcome:**** Derek Hollins faces an industry bar for falsifying customer records, unsuitable recommendations, and senior investor exploitation. The branch manager faces suspension and fines for supervisory failures under FINRA Rules 3110 and 3120. The firm faces significant fines, disgorgement, and restitution obligations. Margaret would likely recover damages through FINRA arbitration, including the approximately \$269,000 in losses, plus potential punitive damages given the egregious nature of the misconduct. The firm's options approval procedures would likely be subject to a heightened supervisory plan or undertaking imposed by regulators.

Hypothetical 95

Topic: *options_unsuitable* | Difficulty: *medium*

[NON-COMMERCIAL]

Fact Pattern

Margaret Kowalski, age 67, is a retired elementary school teacher living in suburban Pittsburgh, Pennsylvania. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her total liquid net worth is approximately \$210,000, held primarily in a rollover IRA (\$165,000) and a taxable brokerage account (\$45,000). She has no prior experience trading options or any securities beyond mutual funds held in her retirement account. Her stated investment objective on her new account application is "income and preservation of capital," and she indicated a "low" risk tolerance. She told her advisor, Derek Sloane, age 34, that she wanted to generate a little extra monthly income to help cover rising prescription drug costs but could not afford to lose her savings.

In March 2023, Sloane opened an options-approved account for Kowalski at Level 3 authorization, which permitted spreads, uncovered put writing, and covered call writing. The account approval form listed her investment experience as "limited" and her risk tolerance as "moderate" - a change from what Kowalski had originally indicated. Sloane did not provide Kowalski with the Options Disclosure Document at or before the time the account was approved; he later mailed it to her three weeks after the first trades were executed. Sloane told Kowalski that selling put options on blue-chip stocks was "basically like collecting rent" and "almost risk-free."

Between March and August 2023, Sloane recommended and executed 47 short put option trades in Kowalski's taxable account on volatile technology and biotech stocks including a small-cap pharmaceutical company, a recently IPO'd electric vehicle manufacturer, and a meme stock that had experienced 300% price swings in the prior six months. Several of the puts were written at strike prices that, if assigned, would have required Kowalski to purchase shares worth more than her entire liquid net worth. In June 2023, a sharp market downturn led to assignment on eight of the short puts, resulting in Kowalski being forced to purchase \$127,000 worth of shares in companies she had never heard of. The shares subsequently declined another 35%, and by September 2023 Kowalski's taxable account had lost \$61,400 - representing approximately 29% of her total liquid net worth. Commission charges on the 47 trades totaled \$4,230. Kowalski filed a complaint in October 2023 stating she never understood what a "put" was and believed she

was investing in a conservative income strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane committed multiple serious violations of applicable regulatory standards.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a registered options principal (ROP) must review the account and determine that options trading is appropriate based on the customer's financial situation, investment objectives, and experience. Approving a Level 3 options account - which permits uncovered put writing - for a 67-year-old retiree with no options experience, limited liquid net worth of \$210,000, a low risk tolerance, and a preservation-of-capital objective is a clear account approval failure. Additionally, the account application appears to have been altered: Kowalski stated her risk tolerance was "low," but the approval form reflected "moderate," suggesting potential falsification of account documents.

****Failure to Deliver the OCC Options Disclosure Document (FINRA Rule 2360(b)(11)):** The Options Clearing Corporation (OCC) Characteristics and Risks of Standardized Options document must be furnished to the customer at or before the time the account is approved for options trading. Sloane did not provide this document until three weeks after the first trades were executed, a direct violation.

****Reg BI / Suitability Violations:** Under Regulation Best Interest's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making recommendations that are in the retail customer's best interest. Writing naked puts on volatile small-cap, biotech, meme stocks, and recent IPOs - securities with extreme price volatility - is categorically unsuitable for a conservative, income-seeking retiree with no options knowledge. The notional exposure on certain positions exceeded Kowalski's entire liquid net worth, creating catastrophic concentration risk. Sloane's characterization of short puts as "almost risk-free" was materially misleading.

****FINRA Regulatory Notice 21-15 Considerations:** RN 21-15 specifically addresses concerns about options account approvals and reminds firms that they must establish robust supervisory procedures for approving options accounts, particularly for inexperienced investors. The notice emphasizes the risks of granting elevated options trading levels to customers whose profiles do not support such activity - precisely what occurred here.

****FINRA Rule 2361 (Suitability of Options Recommendations):** This rule requires that every options recommendation must be suitable based on the customer's investment profile. Forty-seven short put trades on highly volatile, speculative securities in a five-month period for a retired teacher seeking income and capital preservation is a textbook suitability violation.

****Likely Regulatory Outcome:** Sloane faces significant sanctions including fines, disgorgement of commissions, suspension, or barment. The firm's registered options principal who approved the account also faces supervisory failure charges. Kowalski would likely prevail in arbitration and recover her \$61,400 in losses plus commissions. The altered risk-tolerance designation could constitute a separate violation

related to falsification of records under FINRA Rule 4511.

Hypothetical 96

[NON-COM]

Topic: *excessive_churning* | Difficulty: *hard*

Fact Pattern

Margaret Dunlap, age 71, is a retired schoolteacher in Tucson, Arizona, with a \$340,000 IRA account that represents approximately 80% of her liquid net worth. She receives \$2,100 per month in Social Security and a small pension of \$1,400 per month. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is listed as conservative. She has no prior experience with options trading. In January 2022, her financial advisor, Craig Weston, convinced Margaret to sign an options agreement, telling her that 'covered call writing is as safe as owning stock and will boost your monthly income.' Weston approved her account for Level 3 options trading, which permits spreads, straddles, and uncovered index puts, despite her conservative profile. Over the next 14 months, Weston executed 387 options transactions in her account, including not only covered calls but also bull put spreads on volatile technology stocks, iron condors on meme stocks, and short strangles on biotech ETFs. The account generated \$61,200 in total commissions for Weston during this period. The annualized cost-to-equity ratio was approximately 42%, and the turnover rate exceeded 28 times. Margaret's account declined from \$340,000 to \$187,000 by March 2023, a loss of \$153,000, of which \$61,200 was attributable to commissions and fees. When Margaret called to inquire about the losses, Weston told her the market had been 'rough on everyone' and recommended she add more money to 'average down.' Margaret's neighbor, a retired stockbroker, reviewed her statements and identified the pattern of excessive trading. Weston had full discretion over trade selection and timing, although no formal written discretionary agreement was ever signed. Weston's branch manager had approved the Level 3 options authorization after a cursory review, noting only that Margaret 'wanted income strategies' without conducting an independent interview with the client or verifying her understanding of multi-leg options risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Weston committed multiple serious violations. First, under FINRA Rule 2360, a member firm must approve a customer's account for options trading based on specific factors including the customer's investment objectives, financial situation, investment experience, and the nature of the options strategies to be employed. Approving a 71-year-old retired conservative investor with no options experience for Level 3 options trading—which permits complex multi-leg and uncovered strategies—was plainly unsuitable and represents an account approval failure. The OCC Options Disclosure Document must be delivered to customers prior to account approval, and the customer must demonstrate understanding of the risks; there is no indication Margaret understood the risks of short strangles, iron condors, or uncovered puts.

Second, the trading pattern constitutes classic excessive trading (churning) in violation of FINRA Rule 2111 (suitability) and Regulation Best Interest. The annualized cost-to-equity ratio of 42% and turnover rate exceeding 28x are well above the thresholds regulators and courts have consistently found indicative of

churning. Under FINRA's quantitative suitability obligation, an advisor who exercises de facto control over an account must have a reasonable basis for believing the level of trading activity is suitable. Here, Weston exercised de facto control-selecting all trades and their timing-without even a signed discretionary agreement, which itself violates FINRA Rule 3260 regarding discretionary accounts.

Third, under Regulation BI's Care Obligation, Weston was required to exercise reasonable diligence, care, and skill in making recommendations, considering the costs of the transactions and reasonably available alternatives. Generating \$61,200 in commissions on a \$340,000 conservative retirement account over 14 months, while the account lost 45% of its value, demonstrates a clear failure to act in the customer's best interest.

Fourth, the branch manager's supervisory approval of the Level 3 options authorization was deficient under FINRA Rule 2360(b)(16) and FINRA Rule 3110, which require supervisory review of options accounts to include an independent assessment of the customer's profile and understanding. A cursory review without direct client contact fails this standard. FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms' options account approval processes, particularly in light of the proliferation of complex options trading among inexperienced retail investors, and emphasized the need for robust supervisory procedures.

The likely regulatory outcome includes disgorgement of commissions, restitution to the customer, significant fines against both Weston and his firm, suspension or bar for Weston, and potential supervisory sanctions against the branch manager for failure to supervise. The fact that the customer was elderly, unsophisticated, and the account represented her primary retirement savings would likely be considered aggravating factors.

Hypothetical 97

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Dunleavy, age 72, is a retired elementary school teacher in Tulsa, Oklahoma, with an annual pension income of \$38,000 and total liquid savings of approximately \$185,000, most of which is held in a traditional IRA. She has no prior experience trading options or any securities beyond a handful of blue-chip stocks she purchased through a dividend reinvestment plan over the past 20 years. On her new account application at Trident Financial Group in March 2024, she listed her investment objective as "income and capital preservation," her risk tolerance as "low," and her investment experience as "limited." Her advisor, Kyle Radford, age 29, had been with the firm for 14 months after previously working at a mobile trading platform startup. In April 2024, Radford called Dunleavy and explained that she could "generate extra monthly income like collecting rent" by selling options on stocks. Over the next three months, Radford placed Dunleavy in a Level 4 options account - approved by his branch manager after Radford submitted a revised account form that described her risk tolerance as "moderate-aggressive" and her investment experience as "extensive," changes Dunleavy says she never authorized. Between April and September 2024, Radford executed 47 trades in Dunleavy's IRA involving short naked puts on volatile technology and biotech stocks including a small-cap pharmaceutical company and a meme stock popular on social media.

[NON-COM

Several of the short put positions were assigned during a market downturn in August 2024, requiring Dunleavy's account to purchase shares at prices far above current market values. By October 2024, Dunleavy's IRA had declined from \$165,000 to \$74,300, a loss of approximately \$90,700 or 55%. Commissions and fees on the options trades totaled \$6,420. When Dunleavy called the firm to complain, she was told by a compliance associate that she had signed the options agreement and the losses were due to market conditions. Dunleavy states she never understood what a "naked put" was and believed she was participating in a conservative income strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Radford committed multiple serious violations. First, under FINRA Rule 2360(b)(16), member firms must exercise due diligence to learn the essential facts about a customer before approving an options account, including investment objectives, financial situation, investment experience, and risk tolerance. The firm must determine that the customer's account is suitable for options trading at the level approved. A Level 4 account permitting uncovered (naked) short options writing is the highest risk tier and is categorically inappropriate for a 72-year-old retired teacher with \$185,000 in savings, limited investment experience, low risk tolerance, and capital preservation objectives.

Second, Radford appears to have falsified or materially altered Dunleavy's account application to change her risk tolerance from 'low' to 'moderate-aggressive' and her experience from 'limited' to 'extensive.' This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially FINRA Rule 4511 (Books and Records), as well as a possible forgery issue under applicable state law.

Third, under FINRA Rule 2361 and Regulatory Notice 21-15, firms bear heightened responsibility for options account approval and ongoing supervision. The branch manager who approved the Level 4 options account should have independently verified the customer's profile rather than relying solely on the advisor's submission, particularly given the obvious red flags - a 72-year-old retiree with limited experience seeking capital preservation being placed in the most aggressive options tier.

Fourth, under Regulation Best Interest, Radford had an obligation to act in Dunleavy's best interest at the time of each recommendation. Recommending naked put selling on volatile biotech and meme stocks to a risk-averse retiree whose primary objective was preserving her retirement savings fails the Care Obligation of Reg BI. Naked puts expose the seller to substantial downside risk - theoretically the full strike price minus the premium received - and are wholly inconsistent with low risk tolerance and income/preservation objectives.

Fifth, the OCC Options Disclosure Document, which must be provided to customers at or before the time the account is approved for options trading, explicitly describes the risks of uncovered put writing. The firm had a duty to ensure Dunleavy received, read, and understood this document. Her statements that she did not understand what a naked put was suggest either the document was not provided or no meaningful effort was made to ensure comprehension.

The likely regulatory outcome includes a fine against the firm, suspension or bar of Radford, restitution to Dunleavy, and potential supervisory sanctions against the branch manager who approved the account. The falsification of customer records elevates this from a suitability failure to potential fraud. FINRA has brought numerous enforcement actions in the post-2020 era targeting firms that failed to properly vet options account approvals, particularly following the wave of self-directed trading and the heightened scrutiny outlined in RN 21-15. Dunleavy would also likely prevail in a customer arbitration claim for compensatory damages of approximately \$90,700 plus fees.

Hypothetical 98

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Whitfield, age 72, is a retired postal worker living in suburban Atlanta. He receives \$2,400 per month in Social Security and a small pension of \$1,100 per month. His total liquid net worth is approximately \$185,000, nearly all of which is held in a traditional IRA rollover from his former employer's 401(k). Gerald has no prior experience trading options or any securities beyond the target-date fund that was in his 401(k). He describes his investment objective as generating income to supplement his retirement and preserving his principal so he does not outlive his savings. His risk tolerance, as expressed on his new account form, is 'conservative.' In March 2023, Gerald opened a brokerage account with Bridgepoint Securities after being referred by a neighbor. His advisor, Kevin Pratt, age 29, had been registered for 14 months. During the initial meeting, Kevin asked Gerald a handful of questions about his background, income, and retirement goals, but did not ask about Gerald's familiarity with derivatives, his prior trading history in any options or complex products, his understanding of margin, or his tax situation beyond confirming he was retired. Kevin did not document Gerald's investment time horizon. Kevin approved Gerald for Level 3 options trading-which at Bridgepoint permits buying and selling calls and puts, spreads, and writing covered and uncovered puts. The options account approval form listed Gerald's investment experience as 'moderate' and his risk tolerance as 'moderate/aggressive,' although these characterizations contradicted what Gerald had stated verbally and on his initial new account application. Kevin did not provide Gerald with the standardized options risk disclosure booklet at or before the time the account was approved. Over the following five months, Kevin recommended a series of short put positions on individual technology stocks, including naked puts on a semiconductor company and a social media firm. The notional exposure of these positions at times exceeded \$120,000. In August 2023, a sharp market downturn resulted in assignment on several of the short puts, and Gerald was forced to purchase shares at prices well above the market. His IRA account declined from \$185,000 to approximately \$97,000-a loss of roughly \$88,000, or 47.6% of his retirement savings. Gerald filed a written complaint with the firm in October 2023, stating he never understood what a 'naked put' was and was never told he could lose more than the premiums he collected.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt violated multiple regulatory requirements related to options account approval, customer knowledge, and suitability.

1. ****Failure to Know the Customer (FINRA Rule 2090):**** Kevin failed to use reasonable diligence to know and retain essential facts about Gerald. He did not ascertain Gerald's investment experience with options or complex products, his understanding of margin and derivatives risk, or his investment time horizon. These are fundamental elements of the know-your-customer obligation, particularly when approving a customer for options trading.

2. ****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer for options trading, the firm and the registered representative must obtain specific background and financial information, including investment experience (specifically with options), investment objectives, employment status, estimated annual income and net worth, liquid net worth, and marital/dependent status. The rule further requires that a Registered Options Principal (ROP) review and approve the account based on this information. Here, Kevin inflated Gerald's experience and risk tolerance on the options approval form-listing 'moderate' experience and 'moderate/aggressive' risk tolerance-directly contradicting Gerald's own statements and his new account application. This misrepresentation on the options account form is a serious violation.

3. ****Failure to Deliver the OCC Options Disclosure Document:** FINRA Rule 2360(b)(11) requires that the current Options Clearing Corporation (OCC) Options Disclosure Document ('Characteristics and Risks of Standardized Options') be furnished to every customer at or before the time the account is approved for options trading. Kevin failed to provide this document, depriving Gerald of the standardized risk disclosures he was entitled to receive.

4. ****Unsuitable Recommendations (FINRA Rule 2111 / Reg BI Care Obligation):**** Under both the legacy suitability framework and the current Regulation Best Interest care obligation (for broker-dealers), recommending naked put writing to a 72-year-old retired customer with conservative risk tolerance, no options experience, and a principal preservation objective is plainly unsuitable. Naked put writing carries substantial downside risk-the customer can be forced to buy stock at prices far above market value-and is categorically inappropriate for conservative retirees whose primary concern is not outliving their savings. The notional exposure (\$120,000+) relative to Gerald's total liquid net worth (\$185,000) was grossly disproportionate.

5. ****FINRA Regulatory Notice 21-15 Considerations:** FINRA RN 21-15 specifically addresses concerns about options account opening and approval processes, emphasizing that firms must have robust procedures for evaluating whether customers meet the criteria for the options trading levels they are approved for. The Notice highlights the risks of approving customers for complex strategies without adequate due diligence-exactly the failures present here.

****Likely Regulatory Outcome:** Kevin Pratt would likely face individual sanctions including a fine, suspension, and potential bar. Bridgepoint Securities would likely face supervisory failure charges for inadequate oversight of the options approval process. Gerald would have strong grounds for recovery through arbitration. The misrepresentation on the options approval form could also give rise to fraud-based claims. Expected sanctions could include restitution of the approximately \$88,000 in losses, plus fines and disgorgement of commissions earned on the options trades.

Hypothetical 99*Topic: inappropriate_risk_profile | Difficulty: medium***Fact Pattern**

Margaret Olsen, age 71, is a retired elementary school teacher living in Sacramento, California. She has a fixed monthly income of \$3,200 from her pension and \$1,850 from Social Security, totaling approximately \$60,600 per year. Her total liquid net worth is \$285,000, held primarily in a rollover IRA from her teaching career and a small brokerage account. She has no other sources of income and lists her investment objective as 'capital preservation and income generation' on her new account application. She describes her risk tolerance as 'conservative' and notes that she has 'limited' investment experience, consisting primarily of owning mutual funds and certificates of deposit for the past 20 years. She has never traded options or any derivative product.

In March 2023, Margaret opened an account with registered representative Kevin Driscoll at Pacific Ridge Securities, a mid-sized broker-dealer. During the account opening process, Driscoll completed the options account approval form. On the form, he listed Margaret's investment experience as 'good' and her risk tolerance as 'moderate/aggressive,' noting that she had '5+ years' of options trading experience. Driscoll's branch manager approved Margaret for Level 3 options trading, which permitted uncovered (naked) put and call writing, spreads, and straddles.

Over the next seven months, Driscoll executed 47 options trades in Margaret's IRA account, including 14 uncovered put writes on volatile technology and biotech stocks, several short strangles, and a number of multi-leg spread strategies. Commissions and fees on these transactions totaled approximately \$11,400. By October 2023, Margaret's account had declined from \$285,000 to \$161,000 - a loss of approximately \$124,000, or 43.5% of her liquid net worth. Margaret stated in a subsequent complaint that she did not understand what options were, had never authorized options trading, and believed Driscoll was investing her money in 'safe income funds.' She also stated she never received any options disclosure booklet prior to trading. Driscoll's notes in the firm's CRM system contain no record of providing Margaret with any risk disclosure document, nor any documentation of a conversation about the risks of uncovered options writing. The branch manager who approved the options account relied solely on Driscoll's representations on the application and did not independently verify Margaret's experience, financial situation, or investment objectives before granting Level 3 approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple regulatory requirements, and Pacific Ridge Securities failed in its supervisory obligations.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer for options trading, a registered options principal (ROP) must review the customer's financial background, investment objectives, trading experience, and risk tolerance. The ROP must exercise independent judgment and cannot simply rubber-stamp the representative's representations. Here,

the branch manager approved Margaret for Level 3 options - including uncovered writing, one of the highest-risk strategies available - based solely on Driscoll's falsified application without conducting any independent verification. This constitutes a clear failure of the account approval process under Rule 2360(b)(16)(B).

****Falsification of Account Records:**** Driscoll materially misrepresented Margaret's experience (listing '5+ years options experience' when she had none) and her risk tolerance ('moderate/aggressive' when she self-identified as 'conservative'). Falsifying customer account information violates FINRA Rules 2010 (Standards of Commercial Honor), 4511 (Books and Records), and potentially constitutes fraud.

****Failure to Deliver the OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11), the OCC's 'Characteristics and Risks of Standardized Options' booklet must be furnished to the customer at or before the time the account is approved for options trading. Driscoll's records contain no evidence this was provided, and Margaret confirms she never received it. This is a standalone violation.

****Suitability and Regulation BI Violations:**** Under Regulation Best Interest (Reg BI) and FINRA Rule 2111, recommendations must be suitable for the specific customer based on their investment profile. Margaret was a 71-year-old retiree with conservative objectives, limited experience, fixed income, and no ability to absorb significant losses. Uncovered put writing and short strangles expose the investor to theoretically unlimited losses - these strategies are categorically unsuitable for a customer with Margaret's profile. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the need for firms to have robust procedures to assess whether options strategies are appropriate for retail investors, particularly those with limited experience.

****Care Obligation under Reg BI:**** The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations. Recommending naked options writing to a 71-year-old conservative retiree with no options experience fails this standard by every measure.

****Supervisory Failures (FINRA Rule 3110):**** Pacific Ridge Securities failed to establish and maintain a supervisory system reasonably designed to ensure compliance with options account approval requirements. The branch manager's failure to independently verify any of the customer's stated qualifications represents a systemic supervision breakdown.

****Likely Regulatory Outcome:**** Driscoll would face suspension or bar, disgorgement of commissions, and fines. Pacific Ridge Securities would likely face significant monetary sanctions, a censure, and a requirement to remediate the customer. Margaret would have strong grounds for a FINRA arbitration claim seeking full restitution of her \$124,000 in losses plus the \$11,400 in commissions and fees. This fact pattern is consistent with the types of violations identified in recent enforcement actions against firms that approved retail customers for high-risk options strategies without adequate due diligence - including actions taken against app-based and traditional broker-dealers alike in the post-2020 enforcement environment.

Hypothetical 100

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

In March 2023, financial advisor Derek Hollis at Pinnacle Securities approved a Level 4 options account for Margaret Chen, a 68-year-old retired elementary school teacher in Tucson, Arizona. Margaret had a fixed annual income of \$42,000 from her pension and Social Security, liquid savings of \$185,000 in a brokerage account, and a small \$38,000 IRA. She had no prior options trading experience and told Derek during their initial phone consultation that she wanted to 'make a little extra income without taking big risks' to supplement her retirement. Derek's new account form listed her investment objective as 'speculation' and her risk tolerance as 'aggressive,' though Margaret later stated she never used those words and was never asked to confirm those characterizations. Derek did not provide Margaret with the Options Disclosure Document before she began trading. Within the first week, Derek recommended Margaret sell naked put options on Tesla and write uncovered calls on Amazon, strategies that exposed her to theoretically unlimited losses. Derek's branch manager approved the Level 4 options designation after a cursory review of the new account form without speaking to Margaret or requesting any supporting documentation beyond what Derek submitted. By July 2023, Margaret's account had lost \$74,000 - roughly 40% of her liquid savings - after several short options positions moved against her. When Margaret called the branch to complain, she said she had never understood what 'naked' options meant and believed she was simply collecting premiums as income. Derek had earned \$11,200 in commissions on the options trades over the four-month period. A subsequent internal review found that Derek's notes from the initial phone call contained no documentation of any discussion about Margaret's investment experience, financial situation beyond account balances, or the specific risks of uncovered options strategies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple serious violations related to options suitability and the failure to know his customer.

****Failure to Know the Customer / Options Account Approval (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, a member firm must exercise due diligence to ascertain the essential facts about the customer, including investment objectives, financial situation, employment status, investment experience, and risk tolerance. Derek fabricated or materially mischaracterized Margaret's investment objectives as 'speculation' and her risk tolerance as 'aggressive' when her own stated goals were conservative income supplementation. He failed to document any meaningful discussion of her financial situation or experience level. This is a textbook failure-to-know-your-customer violation.

****Unsuitable Options Strategy (FINRA Rule 2360(b)(19) and Reg BI Care Obligation):** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest. Level 4 options trading - which includes naked calls and uncovered puts - carries the risk of unlimited loss and is categorically unsuitable for a 68-year-old retired teacher with modest fixed income, limited liquid assets, no options experience, and a stated conservative income objective. FINRA Regulatory Notice 21-15 specifically highlighted concerns about firms approving customers for options trading strategies that are inconsistent with their profiles, particularly in the context of increased retail participation.

****Failure to Deliver the Options Disclosure Document (OCC ODD):**** FINRA Rule 2360(b)(11)(i) requires that a copy of the OCC Options Disclosure Document be furnished to the customer at or before the time the account is approved for options trading. Derek's failure to provide this document is an independent violation.

****Supervisory Failures (FINRA Rule 2360(b)(16)(B) and FINRA Rule 3110):**** The branch manager's approval of the Level 4 options account based solely on a cursory review of Derek's new account form - without contacting the customer or requesting supporting documentation - represents a failure of supervisory review. FINRA Rule 2360(b)(16)(B) requires a Registered Options Principal to approve the account based on a reasonable determination that the customer's profile supports the requested level.

****Likely Regulatory Outcome:**** Derek would likely face an enforcement action resulting in disgorgement of commissions, restitution to the customer, a fine, and a suspension or bar. The branch manager could face supervisory failure charges. The firm itself could face fines for inadequate options account approval procedures. FINRA has made clear through RN 21-15 that it is closely scrutinizing options account approvals, particularly where automated or perfunctory processes fail to protect retail investors from strategies inconsistent with their profiles.